



Inspiring
Excellence
Sustaining the Momentum
2024 Annual & Financial Report

Vision, Mission and Values



Purpose (Mission)

Sanlam Kenya Plc is committed to help create a world worth living in and enable people to live the best possible life within it.



Vision

To be the leader in client-centric wealth creation, management and protection.



Core Values

- Care
- Collaboration
- Integrity
- Innovation

We are determined and resolute

For over 100 years, we have been doing business with readiness, resolve and deep-rooted conviction. We are committed, resolute, determined and purposeful in what we do.



We are solid and sensible

We take pride in our solid nature - we choose functional over fancy and we don't do window dressing. When it comes to our customers, the sensible thing is the right thing.



We do it very, very well

We do what we do exceptionally well. Our approach is methodical and thorough, we take no shortcuts. It is the only way we know to show you the respect you deserve.



We do it for good

We desire to make a real and positive difference - to create lasting value that enables people live their best possible lives. Our work is never done and we do it for good.



About us

“Together, we move forward.”

Despite appearing chaotic, a herd of wildebeest demonstrates “swarm intelligence” working together to explore and overcome obstacles as a unified group.

To our investors and stakeholders

Sanlam Kenya is a diversified financial services group listed on the Nairobi Securities Exchange that provides a comprehensive suite of financial solutions tailored to meet the distinctive Kenyan market needs.

Through its subsidiaries Sanlam Life Insurance Limited and Sanlam General Insurance Limited, Sanlam Kenya is well positioned to meet unique client needs in the General and Life Insurance space.

Founded on a rich heritage and good corporate citizenship, Sanlam Kenya currently features a branch network of 10 client experience centres across Kenya's major towns. The firm enjoys an estimated market share of 6% in the life insurance industry in Kenya, insuring over 1.5 million lives under the individual and/or group life policies. Sanlam Kenya also enjoys a market share of 2% in the general insurance

industry, serving over 16,000 policyholders under personal lines and more than 1,200 under commercial lines. Globally, Sanlam is one of the 50 largest internationally active insurance groups in the world with a presence in 44 countries. Our vision is to be the leader in client-centric wealth creation, management and protection, to be a leading player in Pan-African financial services while carving a niche in wealth and investment management in specific developed markets.

Sanlam operates through a number of subsidiaries, associated companies and joint ventures. Sanlam Life is the largest operating subsidiary and the holding company of most of Sanlam's operations in emerging markets.

Sanlam has a decentralised management structure and conducts operations through five business clusters: Sanlam Personal Finance, Sanlam Emerging Markets,

Sanlam Investment Group, Santam and Sanlam Corporate. The Group provides comprehensive and tailored financial solutions to individual and institutional clients across all market segments. Sanlam's areas of expertise include insurance (life and general), financial planning, retirement, investments and wealth.

The Group also has stakes in operations based in Namibia, Botswana, Swaziland, Zimbabwe, Mozambique, Mauritius, Malawi, Zambia, Tanzania, Rwanda, Uganda, Kenya, Nigeria, Morocco, Angola, Algeria, Tunisia, Ghana, Niger, Mali, Senegal, Guinea, Burkina Faso, Côte d'Ivoire, Togo, Benin, Cameroon, Gabon, Republic of the Congo, Madagascar, Lebanon, Saudi Arabia, India, Malaysia and the United Kingdom and has interests in the USA, Australia, Burundi, Lesotho and the Philippines.



Through its subsidiaries Sanlam Life Insurance Limited and Sanlam General Insurance Limited, Sanlam Kenya is well positioned to meet unique client needs in the General and Life Insurance space.



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Globally, Sanlam is one of the 50 largest internationally active insurance groups in the world with a presence in 44 countries.

6%

The firm enjoys an estimated market share of 6% in the Kenyan life insurance industry, insuring over 1.5 million lives under the individual and/or group life policies.



Company information

Principal place of business

Sanlam Tower, Waiyaki Way, Westlands
P.O. Box 44041 - 00100
Nairobi

Registered office

LR No. 1870/V/72
Sanlam Tower, Waiyaki Way, Westlands
P.O. Box 44041 - 00100
Nairobi

Principal Bankers

Kenya Commercial Bank Limited
Kencom House
P O Box 48400 – 00100
Nairobi

Absa Bank Kenya
Barclays Plaza
P O Box 46661 – 00100
Nairobi

Standard Chartered Bank Kenya Limited
Kenyatta Avenue
P O Box 30001 – 00100
Nairobi

Co-operative Bank of Kenya Limited
Ukulima Branch
P O Box 74956 – 00200
Nairobi

Family Bank Limited
Kenyatta Avenue Branch
P.O. Box 74145 – 00200
Nairobi

National Bank of Kenya Limited
Kenyatta Avenue
P O Box 30645 – 00100
Nairobi

Group Company Secretary

Emma Wachira
Sanlam Tower
Waiyaki Way
Westlands
P.O. Box 44041 - 00100
Nairobi

Independent auditor

KPMG Kenya
Certified Public Accountants
8th Floor, ABC Towers
ABC Place, Waiyaki Way
P O Box 40612-00100
Nairobi

Legal advisers

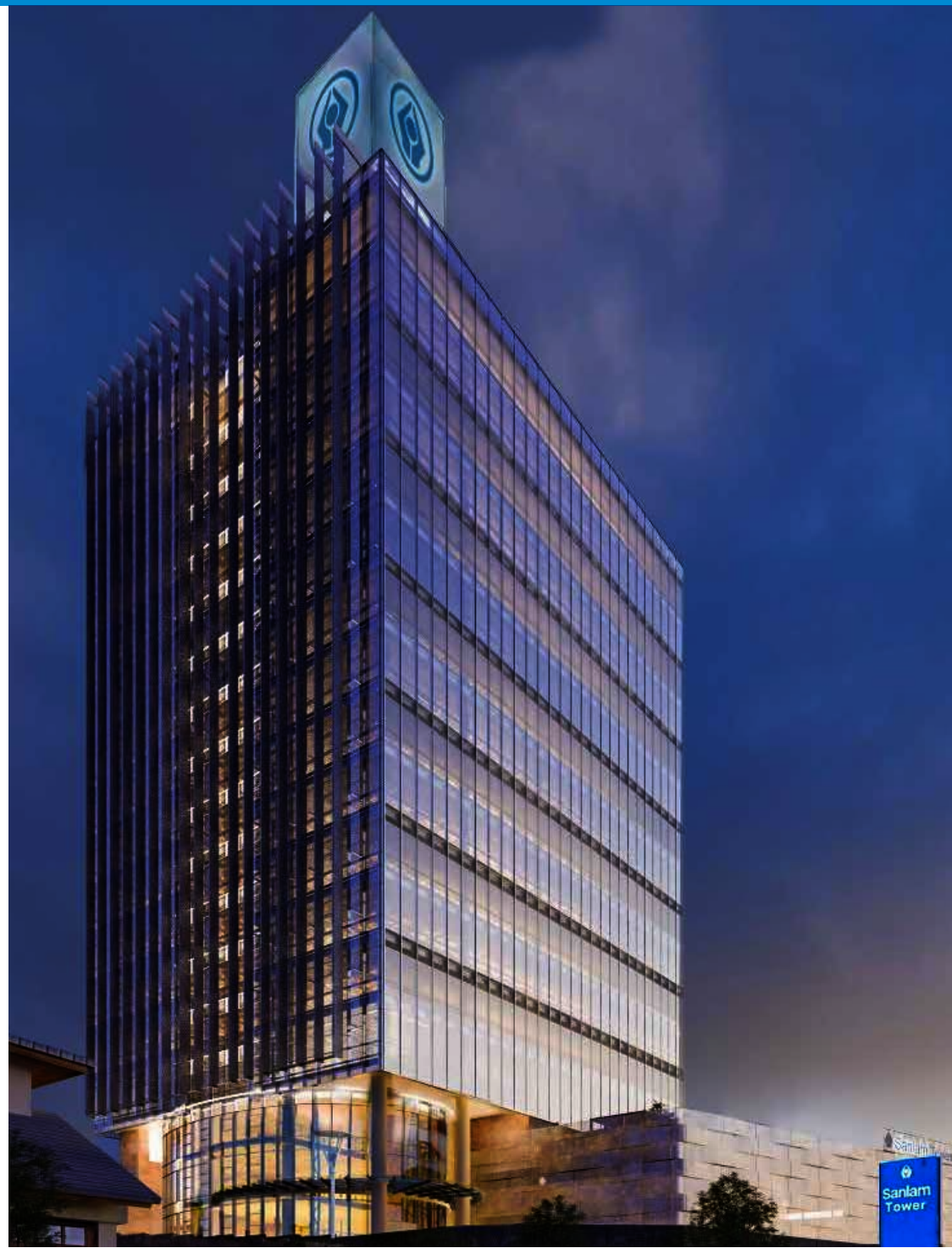
Kaplan & Stratton Advocates
Williamson House, 4th Ngong Avenue
Nairobi

Muriu Mungai Advocates
MMC Arches
Spring Valley Crescent
Nairobi

Anjarwalla & Khanna Advocates
The Oval, 3rd Floor, Westlands,
Nairobi

Muthaura Mugambi Ayugi & Njonjo
Advocates
4th Floor, Capitol Hill Square, Upper Hill,
Nairobi

Waruhiu & Company Advocates
12th Floor, International House
Mama Ngina Street



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Understanding how our business creates shared value

The cornerstone of our purpose, is empowering generations to be financially confident, secure and prosperous,, is our ability to create shared value for our material stakeholders. This way, we strengthen their financial resilience and prosperity.

This contributes to a mutually beneficial value ecosystem for individuals, organisations and society.



We're in the business of helping people make the most of their money while delivering on sustainable and enduring value for our stakeholders. We believe diversification is key to our success because only when we embrace our differences and draw on our collective strengths, can we transform people's lives in a meaningful way. What drives us is we do it for good. What unites us is our job is never done. This is what makes us live with confidence.



Creating a world worth living in means that organisations have the benefit of:

- Opportunities to generate fee income for our sales agents as distribution partners for Sanlam products and services
- Facilitating sustainable economic growth through Sanlam's sound investment of client funds under management
- Technical partnerships with regulators to enable economic, social and regulatory resilience and prosperity



Creating a world worth living in means that society has the benefit of:

- Economic empowerment and choice
- Stability and liquidity in the financial sector through Sanlam's investment of client funds under management
- Trust in the financial sector as a result of technical partnerships
- Collaboration and trust between stakeholders in support of inclusive economic growth



Creating a world worth living in means that individuals have the benefit of:

- Wealth creation, management and protection through sound advice, fair treatment and a range of financial solutions that meet individual needs and expectations
- Employment opportunities and fair remuneration that leads to career development and financial security
- Growth in shareholder value for all our shareholders

Our Stakeholder Network



Sanlam's strategic intent is to create sustainable value for all stakeholders. While we operate in an extended universe of stakeholders, we identify and select material stakeholders on the basis of their impact on Sanlam's business and the successful execution of our strategy. Sanlam's ability to create mutually beneficial financial resilience and prosperity is reflected in RoGEV, our primary performance target for measuring shareholder value creation.

Governance of stakeholder relationships

The Sanlam Board and executive management are responsible for managing Sanlam in a sustainable and stakeholder-inclusive manner. This includes overseeing the strategic risks that relate to the interface between Sanlam and its stakeholders, and balancing the needs, interests and expectations of all material stakeholders in the best interests of Sanlam over time. Read more about governance responsibilities to stakeholders in the online Governance Report.

Stakeholder relations

Sanlam's stakeholder strategy guides engagement with material stakeholders. An approved stakeholder communication policy is in place. Stakeholder engagement is continuous and depends on the needs of the various stakeholders and business clusters.

Each business cluster manages stakeholder engagement according to the specific focus in their operations. The clusters report to the Sanlam stakeholder hub on a quarterly basis on all stakeholder engagement activities and concerns raised.

The stakeholder hub is a centralised stakeholder database that serves as an issue log. The information in the stakeholder hub is collated and reported to the Social, Ethics and Sustainability (SES) committee on a quarterly basis. Group Market Development in the Group Office provides a support function for managing stakeholder relationships through face-to-face and client-centric engagement. This includes established relationships with multiple tertiary institutions in South Africa, trade unions, government departments, private sector institutions and affinity groups such as churches. Group Market Development further facilitates cross-selling and collaboration between clusters to execute on market opportunities.

Sanlam's stakeholder strategy guides engagement with material stakeholders. An approved stakeholder communication policy is in place. Stakeholder engagement is continuous and depends on the needs of the various stakeholders and business clusters.

Stakeholder group

The basis of our relationship



Consumers of Sanlam's financial solutions to achieve their wealth creation, management and protection goals in support of financial resilience and prosperity



Providers of skills and expertise that support the activities underlying Sanlam's business model



Providers of financial capital at a Sanlam Group level



Providers of products and services that enable Sanlam to conduct its business activities Co-investors in Sanlam businesses where appropriate



The base from which demand for Sanlam's financial solutions is generated, and from which human resources are employed



Partners to Sanlam's education, social and enterprise development programmes



Providers of financial stability and a sustainable environment for financial services through prudential and market conduct regulation

The Sanlam Board and executive management are responsible for managing Sanlam in a sustainable and stakeholder-inclusive manner. This includes overseeing the strategic risks that relate to the interface between Sanlam and its stakeholders, and balancing the needs, interests and expectations of all material stakeholders in the best interests of Sanlam over time.

The year in review

Top Right: Sanlam Life & NCBA Partnership

Dr Patrick Tumbo, Sanlam Kenya PLC - Group Chief Executive Officer (centre) with Samuel Odhiambo Managing Director and Principal Officer – NCBA Bancassurance Intermediary Ltd and Lennox Mugambi, Group Director, Asset Finance and Business Solutions – NCBA Group during the partnership and product launch of Sanlam Life and NCBA Group.

Bottom Left: Simba League

George Kuria, Sanlam General - Chief Executive Officer (left), during the annual golf members and partners sponsorship at Muthaiga Golf and Country Club.

Bottom Right:

Dr Patrick Tumbo, Sanlam Kenya PLC - Group Chief Executive Officer (left), during the sponsorship of the Simba League at Muthaiga Golf and Country Club promoting the game of golf among the youth.





Top Left: Africa Impact Summit

Sanlam Kenya team led by Margaret Kariuki, Head of Business Transformation and Sustainability (second left) and Sanlam Group (SA) team lead by Abel Sakhuu, Chief Sustainability Officer (left) attending the Africa Impact Summit.

Top Right: Fire Awards

Sanlam Kenya team led by Fredrick Njoroge, Head of Finance and Ag. Chief Finance Officer – Sanlam Life (third left) during the annual FiRe Awards where Sanlam Kenya was announced the Overall Winner under the Insurance Category



AKI Awards

Sanlam Kenya team led by Jacqueline Karasha, Chief Sales Officer – Sanlam Life (second left) during the celebrations of the annual industry AKI Awards where Sanlam Life scooped at the prestigious AKI Agents Awards 2023, the Overall Winner of three Awards • Best Innovative Company – Life Insurance- Highest Growth in Number of Life Policies • Most Improved Company – Life Insurance Agents and AKI Agents Awards 2024, the Overall Winner • Best Innovative Company – Group Life Best Practice; the 2nd Runner-up • Highest Growth in Number of Life Policies • Best Loss Ratio – Group Life Best Practice • Most Improved Company – Life Insurance Agents



The year in review



Bancassurance Partnership
Group picture during the Bancassurance product launch of Sanlam Life and NCBA Group.



Allianz Group Social Impact

Gertrude's Children's Hospital during the partnership launch unveiling the "Enabling children with disabilities for a Brighter Tomorrow Project".

Five-year group review

In millions of KShs					
	2024	2023	2022	2021	2020
Statement of profit or loss:			Restated		
Profit/(loss) before tax and share of profit of associate	1,661	243	286	(414)	(529)
Profit/(loss) after tax attributed to shareholders	1,055	(127)	(83)	(542)	(628)
Insurance business:	2024	2023	2022	2021	2020
Insurance service result	644	686	(82)	IFRS 4*	IFRS 4*
Investment return	5,273	1,061	2,045	IFRS 4*	IFRS 4*
Net financial result	1,526	388	881	IFRS 4*	IFRS 4*
Statement of financial position:	2024	2023	2022	2021	2020
			Restated	Restated	
Total equity	1,921	866	993	1,076	1,107
Life insurance contract liabilities (Note 23(a))	27,535	25,154	25,938	24,200	20,894
General insurance contract liabilities (Note 23(a) and Note 31)	2,623	2,776	3,686	3,969	1,373
Share capital	720	720	720	720	720
Total assets	39,166	35,535	36,717	34,254	31,039
Key indicators:	KShs	KShs	Restated	KShs	KShs
			KShs		
Basic earnings/(loss) per share	6.67	(1.12)	(0.50)	(2.79)	(3.55)
Market capitalisation at year end (KShs. m)	713	864	1,380	1,663	1,865
Group share prices at the NSE:					
Annual high	6.70	9.58	15	14	22
Annual low	3.90	6	7.56	9	20
Share price at year end	4.95	6	9.58	11.55	12.95

IFRS 4* These items were not assessed under IFRS 17 in 2020 and 2021. 2021 restatement was done only on the statement of financial position.



Total Assets

KShs. 39.1 billion

from KShs. 35.5 billion



Insurance service result

KShs. 644 million

from KShs. 686 million



Profit Before Tax

KShs. 1.7 billion

from KShs. 243 million



Our leadership

“Lead with strength. Excel with purpose.”

Lions are the **ONLY** social big cats, living and hunting in groups called prides. They work together to hunt and protect their territory.

Report of the Directors

The directors are pleased to present the annual report and audited consolidated and separate financial statements for the year ended 31 December 2024 which discloses the state of affairs of Sanlam Kenya Plc (the “Company”) and its subsidiaries (together the “Subsidiaries” and each one a “Subsidiary”) (together the “Group”).

The annual report and consolidated and separate financial statements have been prepared in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board (IFRS Accounting Standards) and the requirements of the Kenyan Companies Act, 2015.

Business review

Principal activities

The principal activity of the Group as a non-banking financial institution is the underwriting of life and non-life insurance risks such as those associated with death, disability, credit

protection, mortgage protection and property protection through its subsidiaries Sanlam Life Insurance Limited and Sanlam General Insurance Limited. The Group has interests in a wholly owned investment company (Sanlam Securities Limited), wholly owned former investment management company (Sanlam Investments Limited) (dormant), Mae Properties Limited (dormant) and Chem Chemi Mineral Water Limited (dormant). The principal activity of the company is investment in subsidiaries for dividend earning and land which it holds for sale.

Financial performance, Value of New Business (VNB) and New Business Projections: Value of new business is a strong indicator that the business is currently underwriting business sustainably, the new business is being underwritten profitably and that future profits are expected from the profitable long-term book.

Projections indicate that Group, through its subsidiaries is expected to continue posting positive operating profits and Value of New business in the future.

The below table illustrates the strategies that will drive the business achieve its objective.

	Strategic thrust	Management effort	Enablers
1	Strategic partnering and Channels	Bancassurance partners	Governance
		Brokers & Independent Agents.	Customer service
		Direct channels	Risk management
2	Innovation	Technology/Digitization	Talent management
		Processes	Systems/processes
		Products	
		Customer experience/Journey	
3	Strategic Expense management	Transaction Processing	Data management
			Capital management
4	Culture & Control environment	Culture change	Leadership

The Group's performance

The Group recorded a profit before tax of KShs 1,661,132,000 (2023: KShs 242,787,000). The improved performance was attributed by outperformance of return of financial assets.

The key performance indicators of the Group over a five-year period have been highlighted on page 12.

Board of Directors

The directors who held office during the year and up to the date of this report are:



Dr. John P N Simba, Non-executive
and Chairman (Kenyan)

...



Dr Patrick Tumbo,
Executive (Kenyan)

...



Rohan Patel,
Non-executive (Kenyan)

...



Find Profiles of
the Directors on
Pages 44 - 45



Cornelius Foord, Non-executive
(South African)

...



Dr Grace Mirigo Mwai,
Non-executive (Kenyan]

...



Rose Agutu,
Non-executive (Kenyan)

...



Freda Britz, Non-executive
(South African)

...



Nelius Bezuidenhout, Non-executive
(South African)

...



Amine El Kernighi, Non-executive
(Moroccan)

...

Senior Management



Dr. Patrick Tumbo,
Sanlam Kenya Group CEO

...

George Kuria,
CEO Sanlam General

...

Emma Wachira,
Group Company Secretary/
Chief Legal Officer

...

Simon Ngura,
Head of IT and Innovation

...



Judith Oloo
Chief Finance Officer,
Sanlam General

...



Dr. Donato Laboke
Head of Marketing and
Channel Development - East Africa

...



Pauline Gitau,
Group Head Internal Audit

...



Fredrick Njoroge,
Head of Finance & Ag Chief
Finance Officer – Sanlam Life

...

Corporate governance

“See far. Aim high”

Giraffes are the tallest animals in Africa with extremely long necks and legs. They always reach for the best leaves at the top of the trees. They have a vision in life – to go further than ever imagined possible

Statement on Corporate Governance

For the Year Ended 31 December 2024

Statement of Directors' Responsibilities

The Kenya Companies Act, 2015 require Directors to act in good faith, to promote the success of the Company for the benefit of all its stakeholders and to avoid conflict between their personal interest and those of the Company, always acting in the best interest of the company.

The Code of Corporate Governance for Issuers of Securities to the Public, 2015 ("the Code") requires listed companies to engage the services of an independent and accredited Governance Auditor to establish the extent to which the Board has implemented the Corporate Governance principles. The Code requires that after undergoing the Governance Audit, the Directors should provide an explicit statement on the level of compliance.

The Directors are responsible for putting in place governance structures and systems that support the practice of good governance in accordance with best practice, the requirements of the Kenya Companies Act, the Code and the Governance Audit Tool developed by the Institute of Certified Secretaries (ICS). The responsibility includes planning, designing

and maintaining governance structures that ensure effective leadership and strategic management, transparency and disclosure, compliance with laws and regulations, communication with stakeholders, Board independence and governance, Board systems and procedures, consistent shareholder and stakeholders' value enhancement and corporate social responsibility and investment.

The Directors' also accept responsibility for putting in place an effective and efficient Management Team and effective internal control and risk governance systems that are designed to promote good governance practice.

The Directors are not aware of any material governance issues that may adversely impact the operations of the Company.

Adoption of the Governance Audit Report

The Governance Audit Report was adopted by the Board of Directors on 12 March 2025.



Dr John PN Simba
Chairman



Dr Patrick Tumbo
Group Chief Executive Officer

Financial Statements

At the date of this report, the directors were not aware of any circumstances, which would have rendered the values attributed to the assets and liabilities in the financial statements of the Group and Company to be misleading.

Disclosures to the auditor

The directors confirm that with respect to each director at the time of approval of this report:

- a) there was, as far as each director is aware, no relevant audit information of which the Group's auditor is unaware; and
- b) each director had taken all steps that ought to have been taken as a director so as to be aware of any relevant audit information and to establish that the Group's auditor is aware of that information.

Auditor

The auditor, KPMG Kenya, have expressed their willingness to continue in office in accordance with the Kenyan Companies Act, 2015.

The directors monitor the effectiveness, objectivity, and independence of the auditor. This responsibility includes the approval of the audit engagement contract and the associated fees on behalf of the shareholders.

Going concern

The directors are aware of the following conditions:

- (i) During the year under review, the Group reported an after-tax profit of KShs 1,054 million (2023: after-tax loss of KShs 127 million) while the Company reported an after-tax profit of KShs 188 million (2023: an after-tax loss of KShs 536 million),
- (ii) The consolidated cumulative losses as at 31 December 2024 was KShs 2,320 million (2023: KShs 2,288 million), while the Company cumulative losses as at 31 December 2024 was KShs 2,569 million (2023: KShs 2,757 million).
- (iii) The Group reported a consolidated negative cash flows from operating activities of KShs 2,582 million for the year ended 31 December 2024
- (iv) As at 31 December 2024, the Group holds a credit facility with a balance of KShs 3.04 billion with Stanbic Bank Kenya Limited which was set to mature on 16 March 2025. The group received 90 days extension of the facility maturity date to 17 June 2025.

The following are mitigation measures put in place by the directors to address the above-mentioned matters:

- (i) Sanlam Life Insurance Limited, a subsidiary of Sanlam Kenya Plc has demonstrated a strong financial performance in the year ended 31 December 2024, generating an after-tax profit of KShs. 1,379 million. A dividend of KShs 900 million has already been paid in 2024 and further KShs 800 million has been paid subsequent to 2024 year-end to its shareholder, Sanlam Kenya Plc, to enable the entity fund its financial obligations for the year 2025.

- (ii) Sanlam General Insurance Limited returned to profitability during the year 2023 posting KShs. 123 million in after-tax profits and has a posted after-tax profit of KShs 337 million in the year 2024 which affirms the entity's ability to continue as a going concern. The entity is now in a net asset position of KShs 532 million (2023 KShs 193 million).
- (iii) Sanlam Emerging Markets the intermediate parent company advanced a loan of KShs 1,085 million to Sanlam General Insurance Limited to bridge the capital shortfall on 5 May 2022. The loan has been extended for a further 18 months and will now mature on 5 May 2025. Further, the loan agreement between Sanlam General Insurance Limited (the borrower) and Sanlam Emerging Markets (Pty) Limited (the lender) provides that "payment shall not be commenced or continued if it results in the CAR of the Borrower falling below 100%" and "(notwithstanding the Maturity Date), the loan shall not be repaid nor shall the lender exercise any right of set-off against other amounts which may be due by the lender to the borrower until the date upon which the CAR Shortfall has been extinguished, whereupon, the loan (together with all accrued interest, costs and charges) shall automatically become repayable in full."
- (iv) Sanlam Kenya Plc's credit facility of KShs 3.04 billion is adequately secured by a corporate guarantee from Sanlam Limited. Based on the KShs 800 million repayments made subsequent to year-end (in 2025), the projected amount is expected to amount to KShs 2.4 billion, comprising principal and accrued interest by the time the KShs 2.5 billion capital raise proceeds are received to settle the balance.
- (v) The company is currently preparing for a KShs 2.5 billion rights issue; all board approvals, together with all the local regulatory approvals from relevant bodies are in place – Capital Markets Authority, Nairobi Securities Exchange & Insurance Regulatory Authority. SanlamAllianz (SAZ) will underwrite the rights issue. SanlamAllianz (SAZ) will underwrite the rights issue and South African Reserve Bank has approved it. Offer opens on 3 April 2025 and closes on 17 April 2025 with funds expected by end of April 2025.

The directors are aware of the proposed merger between the Sanlam General Insurance Limited and Jubilee Allianz General Insurance Limited and that the Sanlam General Insurance Limited intends to transfer part of its assets and liabilities to Jubilee Allianz General Insurance Limited. The Sanlam General Insurance Limited has received a letter of support from the parent company, Sanlam Allianz, committing to provide financial support for at least 12 months. The Directors have considered the above-mentioned matters and have prepared the year 2024 Sanlam Kenya Plc Group financial results on a going concern basis. The basis assumes that the Group and Sanlam Kenya Plc will continue operating as going concerns for the foreseeable future.

Approval of consolidated and separate financial statements

The consolidated and separate financial statements of Sanlam Kenya Plc for the year ended 31 December 2024 were authorised for issue in accordance with a resolution of the directors on 12 March 2025.

By Order of the Board



Emma Wachira
 Group Company Secretary
Date: 12 March 2025

Statement on Corporate Governance

For the Year Ended 31 December 2024

BOARD LEADERSHIP AND RESPONSIBILITIES

Statement of Commitment and Compliance on Corporate Governance Practices

Corporate Governance refers to the practices and procedures that govern the leadership of Sanlam Kenya PLC (Sanlam or the Company) and through which the Company is held accountable by shareholders. In 2024, the Board of Directors of Sanlam Kenya PLC and its subsidiaries (the Group) continued to implement its strategic vision of being a leading Insurer in Kenya who remained focused on sound corporate governance practices that maximises shareholder value, increases profitability and guarantees a sustainable business in the long run. The corporate governance principles continue to be entrenched in the Company's strategic and operational objectives with a focus of revitalizing and accelerating growth in value for the benefit of all our stakeholders.

The Group ascribes to its governance framework that provides a solid structure for effective and responsible decision making within the organization in compliance with the Companies Act, 2015, the Capital Markets Act, Cap 485A, and the Capital Markets Authority (CMA) Code of Corporate Governance Practices for Issuers of Securities to the Public 2015 (the Code) and the stringent standards of corporate governance prescribed in the Company's Board Charter as well as the Company's Articles of Association.

Leadership and Responsibilities

Board Leadership

The Board of Directors is responsible for providing strategic leadership to the Company. According to the Company's Corporate Governance Guidelines, the Board is responsible for formulating the Company's policies and strategies and ensuring that business objectives, aimed at promoting and protecting shareholder value, are achieved. In doing so, the board takes cognisance of the impact of its decisions in the long term, the interests of its employees, the need to forge and foster good relationships with diverse stakeholder's including customers and suppliers and the impact of the Company's operations to the society.

In the year ended 31 December 2024 the Company endeavoured to comply with the Capital Markets Authority (CMA) Code of Corporate Governance Practices for Issuers of Securities to the Public 2015 (the 'Code'); and the implementation of the Code is as detailed in this report.

In carrying out the above responsibilities, the Board delegates its authority to the Group Chief Executive Officer to oversee the day-to-day business operations of the Company and its subsidiaries. The Board also calls upon independent expert advisors where necessary to carry out such work as deemed necessary.

Board Composition and Independence

In the year ended 31 December 2024 the Board composition comprised of ten directors namely: the Chairman, the Group Chief Executive Officer (as the only Executive Director), five non- executive directors representing the interests of the two main shareholders and three independent non- executive directors. Gender parity is ensured in the Board composition.

The table below shows the current members of the Board of Directors:

Name	Industry & Professional Experience	Role
Dr. John P. N. Simba	Legal, Strategy, Leadership, Corporate Governance and ethics	Board Chairman & Non-Executive Director
Dr Patrick Tumbo	Insurance, Strategy, Management	Group Chief Executive Officer & Executive Director
Rohan Patel	Management, Real Estate, Hotel Development & Investment	Non- Executive Director
Freda Britz	Accounting and Management	Independent & Non-Executive Director
Nelius Bezuidenhout	Actuarial, Financial Consulting and Management	Non- Executive Director
Cornelius Foord	Operations, Accounting and Management	Non- Executive Director
Rose Agutu	Banking	Independent & Non-Executive Director
Dr Grace Mwai	Compliance and Program Management	Independent & Non-Executive Director
Amine El Kernighi	Sanlam Allianz Regional Executive Directors - Southern and Eastern Africa	Non- Executive Director

Statement on Corporate Governance

For the Year Ended 31 December 2024

Re-election to the Board

In accordance with the provisions of the Company's Articles of Association, a third of the Board of Directors retires by rotation every three years and the directors are eligible to offer themselves for re-election. In every year, new directors who are appointed during the year to fill any casual vacancies, are subject to election by the shareholders during the Annual General Meeting and thereafter offer themselves for re-election every three years.

The following members of the Board, retire by rotation in accordance with the Articles of association and offer themselves are eligible for re-election at the 2025 AGM:

- Mr Rohan Patel
- Dr Grace Mwai
- Ms Rose Agutu

Board Programme

The Company's annual Board programme is designed to enable the Board to drive the strategy forward across all elements of the company's business model. The Board thus meets quarterly or more often, in accordance with the requirements of the business. The Board's work plan and calendar of meetings are prepared annually in advance. Adequate notice is given for meetings. The agenda and board papers are circulated at least seven days before the meeting. The Board receives reports from the various Chairpersons of the respective Board Committees.

The Role of the Board

The Company's Articles of Association and the Board Charter enumerate responsibilities of the Directors which include strategy, capital and liquidity management, review and approval of financial results, board administration and governance. The Board is collectively responsible for the Company's vision, values, strategic direction and governance. The Board provides the leadership and oversight for the performance of the business and sustainability into the future.

Firstly, the boards responsibility in strategy involves monitoring the Company's performance against clearly defined measures agreed between the board and management as well as the approval of major acquisitions and disposals and approvals of major capital projects. The Board also approves Group's annual budget as recommended by the Audit, Risk, Actuarial and Compliance Committee. The Board ensures that the requisite financial and

human capital resources are available.

Secondly, the Board is also responsible for monitoring the capital and liquidity requirements vis a vis the statutory requirements. The Board is also charged with the review and approval of half yearly and yearly financial results prior to subsequent dissemination to the shareholders. The Board recommends the interim and final dividends to the shareholders for approval.

Thirdly, the Board is responsible for ensuring that an appropriate Enterprise Risk Management Framework and appropriate internal control systems are in place.

In addition, the Board is also charged with the responsibility of establishing the Governance Framework in the following respects: approving company policies; setting the terms of reference for board committees and determining the composition of board committees; conducting board evaluations; maintaining board succession; reviewing risk management and internal controls amongst others.

In dispensing its duties, the Board requires each Director to observe a code of ethical conduct aligned to his/her duties and responsibilities to the Group and shareholders, and act within limitations as defined in the Board Charter while observing principles of good corporate governance. Each Director commits to uphold and promote effective and responsible use of resources and undertakes to act in good faith, with care and prudence in the best interest of the Group while exercising his/her power and executing his/her duties.

2024 Board Attendance Register

Name	Meetings Attended
Dr. John P. N. Simba	4/4
Dr Patrick Tumbo	4/4
Rohan Patel	4/4
Freda Britz	4/4
Nelius Bezuidenhout	4/4
Cornelius Foord	4/4
Dr Grace Mwai	4/4
Rose Agutu	4/4
Amine El Kernighi	4/4

Statement on Corporate Governance

For the Year Ended 31 December 2024

BOARD EFFECTIVENESS

Division of Responsibilities

The roles of the Board Chairman and the Group Chief Executive Officer are separate with each having distinct and clearly spelt out responsibilities and duties.

The Chairman is responsible for the overall leadership of the Board and ensuring its effectiveness. The Chairman is also responsible for ensuring that the interests of the Company's shareholders are safeguarded. The Chairman is also accountable to the Board for leading the direction of the Company's corporate and financial strategies and for the overall supervision of the policies governing the conduct of the business. The Chairman is responsible for ensuring that the interests of the Company's shareholders are safeguarded and effective communication is provided to them.

The Group Chief Executive Officer, an executive director, has the overall responsibility for the performance of the Group and provides leadership to facilitate successful planning and execution of the objectives and strategies agreed upon by the Board. Together with the Chairman, he is the representative of the Company externally.

Balance and Diversity

The directors come from broad industry and professional backgrounds, with varied experience and expertise aligned to the needs of the business. The Board of Directors brings with it, an assorted mix of skills with background in Legal, Actuarial, Finance, Corporate Development, Engineering, Banking.

At Sanlam, the Board take cognisance of the gender inclusion and its commitment to a diverse and inclusive culture continues to evolve as is evidenced by our Directorship which has diversified gender representation in the increase to four female directors up from one female director in previous years.

The Board appreciates that promoting a diverse and inclusive culture is critical to the success of a business and strives for inclusion in professions, skills, race, gender, age and geographic representation to ensure board deliberations are balanced and rich as a result of multi-cultural and international influences. The Board has also promoted and supports gender diversity in the senior management roles.

Director's Conflict of Interest

The Board has put in place a Conflict-of-Interest Policy in compliance with the provisions of the Companies Act, 2015 and the CMA Code of Governance Practices for Issuers of Securities to the Public 2015. Directors are obligated to disclose to the Board any potential conflict of interest, which comes to their attention, whether direct or indirect, real or perceived. The statutory duty to avoid situations in which they have or may have interests that conflict with those of the Group has been observed by the Board. All business transactions with all parties, directors or related parties are carried out at an arms' length. An acknowledgement that should it come to the attention of a Director that a matter concerning the Group may result in a conflict of interest, obligates him/her to declare it and exclude himself/herself from any discussion or decision on the matter.

At every Board Meeting, the Declaration of Conflicts of Interests is the first agenda item exists which requires Directors to make a declaration of any interest they may have in the business under discussion. Such declarations are recorded by the Company Secretary. Directors who have an interest in any discussion item are excluded from discussion and voting on the item.

In 2024, no material conflict of interests were reported by the Directors.

A report on any related party transactions is tabled for the Board's review half-yearly.

Board Information

The Board receives high- quality up to date information for review in good time ahead of each meeting. The Group Company Secretary ensures timely information dissemination to the Board and its committees and between the Non-Executive Directors and senior management as appropriate. Dissemination of Board and Committee Packs, together with the conduct of Board meetings is done so electronically.

Board Induction, Training and Professional Development

The Board has put in place a Board Induction Policy and framework. Each new Director receives a full induction on appointment. This induction includes a full programme of briefings on all areas of the Company's business from the Company Secretary, CEOs and Senior Management. The induction is aimed at enabling the new directors to fully take up their roles and execute their responsibilities.

Statement on Corporate Governance

For the Year Ended 31 December 2024

The Board and its committees also receive quarterly updates on legal and regulatory developments with particular emphasis on regulations that directly impact the Group; and the Group's operations preparedness to comply with the new legislation.

In pursuit of continuous professional development during 2024, the Directors received training in professionally linked continuous professional development programmes. All the Directors have attended and received Certifications from the Centre for Corporate Governance.

Sustainability

The Board places considerable emphasis on the need for the business to be sustainable for the long term, to meet the expectation of stakeholders and inform the Group's commitment to the society. A separate Sustainability Report is included in this Financial Statements. The Board has developed and adopted a Business Continuity Plan and a Disaster Recovery Plan.

Executive Committee (ExCo)

The Group Chief Executive Officer and Senior Management makeup the Executive Committee (EXCO). This Committee serves as a link between the Board and Management and is responsible for the day to day management of the Company and its operating subsidiaries. In so doing, it oversees the implementation of the strategy and policies set by the Board.

ExCo's mandate and responsibility is implementing the Board's decisions, compliance with the statutory and regulatory framework, and guidelines and adherence to Group policies and procedures. Its meetings are convened on a monthly basis.

Shareholder and Stakeholder Engagement

The Board delights in opportunities to engage its shareholders and provides avenues for shareholder participation. The Annual General Meeting (AGM) presents such opportunity to the Board. At the AGM, the Chairman and Group Chief Executive Officer present the Company's performance and answer any questions from shareholders.

The advance issuance of the AGM Notice as provided for in the Kenyan Companies Act also gives shareholders an opportunity to place items on the Agenda by submitting questions and appoint proxies to represent them where they are unable to attend.

Sanlam Kenya PLC held its second virtual AGM on 3 June 2024, and it saw a high

shareholder attendance from all over the world electronically. Shareholders were given an opportunity to submit their queries barehand either electronically or via text which were addressed at the meeting. Shareholders were also given an opportunity to dial into the meeting and raise queries which were also addressed. Shareholders participated in voting for the resolutions via their mobile phones. The Polling Results and the Resolutions approved were published on the company's website.

The Board also informs its shareholders of the performance of the Group through the issuance of Annual Reports and half yearly publications of its financial performance in the Daily Newspapers which are also available on the Group's website www.sanlam.com/kenya.

In addition, the Board communicates to shareholders through various media including company's website, public announcements, media releases, financial statements, and direct correspondence.

The Board has put in place a **Shareholders Framework** which enshrines the equitable treatment of all shareholders whilst protecting their rights. The Framework is available to all shareholders through the website.

The Group has put in place a **Stakeholder Management Policy** that identifies all its stakeholders, maps out areas of interaction and sets out mechanisms to support constructive engagement with different stakeholder groups. The stakeholder management policy provides that decision making must follow a *stakeholder-inclusive approach* and Sanlam must be able to account for all outcomes and impacts which is evident in its reporting.

Group Company Secretary

The Group Company Secretary, a member of the Institute of Certified Secretaries of Kenya (ICPSK), plays the critical role of coordinating the activities of the Board and Board Committees and is the primary liaison in the flow of information between Management and the Board. Each Director has direct access to the Group Company Secretary. The Group Company Secretary in liaison with the Board Chairman are responsible for the development and implementation of the Corporate Governance Code and regularly update the Board members of their obligations under the referenced code.

Board Evaluations

Board Evaluations of the Board, Committees, Peer, Group Chief Executive Officer and Group Company Secretary were conducted, via the use of an online tool, for the

Statement on Corporate Governance

For the Year Ended 31 December 2024

period January 1, 2024 to December 31, 2024 as prescribed in the Code of Corporate Governance Practices for Issuers of Securities to the Public, 2015.

Statement on Insider Trading

As a listed entity, Directors and Employees of Sanlam are required under the Capital Markets Act, Cap 485A not to abuse or place themselves under suspicion of abusing insider information that they have or ought to have, particularly in periods leading up to release of material non-public information. In compliance with the above mentioned Act and the Nairobi Securities Exchange's regulations on prevention of insider trading, the Group's policy is that directors, management, staff members, or any of their relatives and associates, or any of the companies / businesses / organisations that exercise significant influence over the Group are not allowed to deal in the Group's shares during the closed season. The closed season is the period preceding the release of any material, non-public information to the market, and includes, but is not limited to, the end of the Group's reporting period and the publication of financial results.

To ensure compliance with prevention of insider dealing requirements, the Company communicates "Open" and "Closed" periods for trading in its shares to its employees and directors on case-by-case basis. The Group Company Secretary always advises the directors, management and staff of the closed season to avert any incidences of insider trading.

The Board has put in place **The Securities Dealing and Price Sensitive Information Policy** which governs any dealings by persons in relation to the Sanlam Kenya PLC shares which are listed on the NSE.

No incidents of insider trading were reported in the year ended 31 December 2024.

Compliance with Applicable Laws and Regulations

The Group complies with the various applicable Laws and Regulations and various Policies.

The Board has approved Compliance Universe which comprises of a list of the applicable laws and regulations together with the respective compliance risk management plans (CRMPs) for all core legislations in the business.

The Board has approved a compliance policy and manual which clearly sets out the principles and standards for managing compliance risk, culture, responsibilities, reporting framework and breaches as relates to Sanlam.

The Board regularly and timeously monitors the Group's compliance through the Compliance Report that is tabled at quarterly Board Audit Committee meetings.

2024 Independent Legal Audit

In 2024; a Legal Audit was conducted by an independent external law firm and the report published in the Information Memorandum issued to shareholders. The Legal Audit Report highlighted and confirmed the Group's adherence to applicable laws, regulations and standards and confirmed that the Group was in compliance with applicable laws, regulations and Guidelines.

Enterprise Risk Management

The Board has approved an Enterprise Risk Management (ERM) Framework.

The ERM Framework is a high level over-arching framework aimed at ensuring that:

- All risks which could jeopardise/enhance achievement of Sanlam Kenya's strategic goals will be identified;
- Appropriate structures, policies, procedures and practices are in place to manage these risks. ERM also requires Sanlam Kenya to take a portfolio view of risk;
- Sufficient organisational resources are applied to, and corporate culture is fully supportive of, the effective implementation of these structures, policies, procedures and practices; and that
- Sanlam's risks are indeed being managed in accordance with the foregoing.

The ERM deals with risks and opportunities affecting value creation of a company and involves a pro-active holistic enterprise wide view of all risks and their associated risk appetite and tolerance to ensure they are fully aligned with the Sanlam Kenya Group's objectives and strategies and reflects the quality, competencies and capacity of people, technology and capital and provides tools to rationalize risk management activities.

The Board reviews and approves the Risk Appetite Statements half yearly at the Board Audit Committee meetings.

The Board, through the recommendation of the Board Audit Committee, completed its annual review of the effectiveness of the enterprise risk management framework for the one year period from 1 January 2024 and confirmed that no significant failings or weaknesses were identified.

Statement on Corporate Governance

For the Year Ended 31 December 2024

GOVERNANCE POLICIES

Board Charter

The Board activities are regulated by the provisions of the Board Charter which is reviewed annually with the latest review being conducted on 12 March 2024. The Charter sets out the responsibilities of the Board, which include, amongst others:

1. Sets out the frequency of board meetings to at least one meeting every three months. The Board is however mandated to hold meetings of the board as frequently as the board considers appropriate;
2. Conduct of board meetings and procedures, and the nomination, appointment, induction, training, remuneration and evaluation of members of Board;
3. Powers delegated to the Board committees;
4. Policies and practices of the Board on matters of corporate governance, directors' declarations and conflict of interest;
5. Distinguishes the responsibilities of the board from management;
6. Distinguishes the roles of the Chairman and Chief Executive Officer as separate roles;
7. The Board Charter also comprises a Work Plan setting out the schedule of Board meetings and the main business to be dealt with at those meetings.

Board Policies in Place

In the year 2024 the Group continued to adhere to the following policies as approved by the board:

- i. **Corporate Governance Policy:** The Policy outlines the governance framework that provides a solid structure for effective and responsible decision making within the organization in compliance with the Companies Act, 2015, the Capital Markets Act, Cap 485A, and the Capital Markets Authority (CMA) Code of Corporate Governance Practices for Issuers of Securities to the Public 2015 (the Code) and the stringent standards of corporate governance prescribed in the Group's Board Charter as well as the Company's Articles of Association.
- ii. **Conflict of Interest Policy:** This policy outlines the conduct of directors and management and bars their engagement directly or indirectly to any business activity that competes or conflicts with the Company's interest or those of its clients unless fully disclosed. All Directors are required to disclose

to the company secretary any real or perceived conflicts on appointment, annually and on an ongoing basis of any circumstance which may give rise to any actual or potential conflict of interest with their roles as Directors.

- iii. **Code of Ethics:** This outlines the ethical principles that are designed to prevent employees and Directors from engaging in activities that would compromise the Group's integrity, respect for diversity, impartiality or reputation.
- iv. **Policy in Respect of Giving and Receipt of Gratifications :** This outlines the policy on receipt and issue of gifts by Employees and Directors and is designed to prevent the unfair granting of a gift or a favour.
- v. **Financial Crime Combating Policy:** This outlines the guidelines of combating financial crime and unlawful conduct. This policy is in line with the provisions of the Proceeds of Crime and Anti-Money Laundering Act (POCAMLA) and the Capital Markets Authority Guidelines on the Prevention of Money Laundering and Terrorism Financing in the Capital Markets. In addition, the Company upholds a Zero Tolerance Approach which stipulates zero tolerance to financial crimes and unlawful conduct. It further outlines consequences of committing a financial crime and/or unlawful act.
- vi. **Procurement Policy:** Sanlam maintains a procurement policy that governs the procurement of goods and services. This policy and related procedures are necessary to ensure that procurement is able to generate value in the acquisition of goods and services while satisfying the needs of the business. The policy ensures that the most appropriate and effective controls are applied in the purchase of goods and services for the company's needs.
- vii. **Whistle blowing policy:** Sanlam maintains a whistle blowing policy (enshrined in the staff handbook) that provides a platform for employees to raise concerns regarding any wrongdoing, and the policy details how such concerns are addressed.
- viii. **The Securities Dealing and Price Sensitive Information Policy:** The policy aims at promoting compliance with applicable securities laws by Nairobi Securities Exchange Limited and all directors, officers and employees thereof, in order to preserve the reputation and integrity of Sanlam Kenya Plc as well as that of all persons affiliated with it. The Policy sets out the procedures and guidelines with respect to transactions in the SKP's securities, the protection of Insider Information and the standard of conduct expected of SKP's directors, officers and employees in this highly sensitive area. It calls for personal obligation and responsibility of each director, officer or employee to act in a manner consistent with this Policy.

Statement on Corporate Governance

For the Year Ended 31 December 2024

- ix. **Board Dispute Resolution Policy:** The policy to set out the processes for dispute resolution or grievances in the Board in order to reach a prompt and fair resolution of any disputes, conflicts, or disagreements that may arise from time to time, and that may threaten the functioning of the board; in compliance with the Code.
- x. **Board Induction Policy:** The policy sets out the induction framework for new directors upon their appointment to the Board.
- xi. **Board Remuneration Policy:** The policy establishes the formal and transparent remuneration policies and procedures in compliance with the Code.
- xii. **ICT Policy:** The Group has put in place a comprehensive policy on its information technology in compliance with the Code. The Policy's objectives is to protect the Company's investment in information technology infrastructure (including IT equipment, mobile facilities, data/ telecommunications networks and software) and to maintain the highest standards of cyber security, while protecting the Company's confidential and sensitive information. The policy aims to facilitate ease of use of IT systems by staff, business partners and other stakeholders while mandating the responsible use of IT systems.
- xiii. **Board Appointment Policy and Procedures:** The policy governs the process of nomination and recruiting of suitable Board Directors by the Human Resources Nomination and Remuneration Committee for the recommendation to the Board of Directors' subject to the Regulatory Approvals.

The Group also continues to inculcate and cascade the corporate culture of "The Sanlam Way" in line with the Mission and Vision and which is driven by four key principles:

- i. We are determined and resolute;
- ii. We are solid and sensible;
- iii. We do it very, very well; and
- iv. We do it for good.

Code of Conduct

At Sanlam, good corporate governance is engrained as a valuable contributor to long-

term success of the Company through the creation of the right culture in organisation. The Sanlam Code of Conduct continues to be in place and is geared towards inculcating a culture of Professionalism, Integrity, and Customer centric wealth creation in line with the Groups Vision and Mission Statements.

The Group conducts its business in compliance with legal principles and high ethical standards of business practice. The Board, Management and employees are required to observe the code of ethics and high standards of integrity. Further, these standards are applied in all dealings with customers, suppliers and other stakeholders.

BOARD COMMITTEES

To assist the Board better discharge its responsibilities, the Board has constituted several Board Committees, to which it has delegated responsibilities, comprising a balanced mix of independent and non-executive directors.

Executive management and Group consultants, experts and service providers are on occasion invited to the Board as circumstances dictate to provide their expertise.

Each Committee is governed by its respective Committee Charter which defines its Terms of Reference; including provisions relating to the powers delegated by the Board to each Committee, membership of the Committee and the Committee's mandate, authorities and duties as well as working processes. The Charters are reviewed annually by the respective Committees and the Board; with the last annual review date by 12 March 2025.

Annual Evaluation reviews of each Committee are carried out and presented to the Board. At every quarter, the Chairperson of each Committee presents a report on the discussions held at the Committee meeting and seeks the Board's ratification for any decisions made.

The Board has three committees as follows:

- Audit, Actuarial, Risk and Compliance Committee
- Investment Committee
- Human Resources, Nomination and Remuneration Committee

Statement on Corporate Governance

For the Year Ended 31 December 2024

1. Audit, Actuarial, Risk and Compliance Committee

Attendance at Meetings in 2024

The members of the Committee, and their attendance to the four meetings held in the year 2024 were as follows:

Audit, Actuarial, Risk and Compliance Committee Membership and Attendance 2024

Member	Directorship Status	Number of Meetings Schedules in 2024
Freda Britz	Independent & Non Exective	4/4
Amine El Kernighi	Non-Executive Director	4/4
Rose Agutu	Independent & Non Exective Directors	4/4
Cornelius Foord	Non-Executive Director	4/4
Nelius Bezuidenhout	Non-Executive Director	4/4

Mandate and Role of the Audit, Actuarial, Risk and Compliance Committee

The Audit, Risk & Compliance Committee's duties are based on six broad functions namely the Internal Control, Risk Management & Compliance, Financial Reporting, Internal Audit, External Audit, Compliance with laws and regulations; and Compliance with the Company's Code of Conduct and ethical guidelines functions.

The Committee is responsible for the internal audit & risk management function by ensuring the Group's management acts on audit and risk management reports; reviews the performance and considers the independence of the external auditors; confirms that all regulatory compliance is considered in the preparation of financial statements; and invites a representative of the external auditors when reviewing the audited results.

The Committee assesses effectiveness of the Group's internal control and risk management & compliance framework. It reviews the impact of significant accounting and reporting issues such as professional and regulatory pronouncements; meets the management and both external & internal auditors to review the financial statements and results of the audit process; and assesses if generally accepted accounting principles have been consistently applied within preparation of preliminary announcements & interim financial statements.

2. Investment Committee

Attendance at Meetings in 2024

The members of the Committee, and their attendance to the four meetings held in the year 2024 were as follows:

Investment Committee Membership and Attendance 2024

Member	Directorship Status	Number of Meetings scheduled in 2024
Rohan Patel (Chairman)	Non-Executive Director	4/4
Nelius Bezuidenhout	Non-Executive Director	4/4
Dr John PN Simba	Board Chairman	4/4
Dr Grace Mwai	Independent & Non-Executive	4/4
Freda Britz	Independent & Non-Executive	4/4

Mandate and Role of the Investment Committee

The primary mandates of the Investment Committee are:

- To establish appropriate investment guidelines for the Life & General Businesses;
- To approve and provide oversight on the Investment Policy Statement
- To set investment benchmarks;
- To review the actual portfolio compositions against these benchmarks on a quarterly basis;
- To review the performance of investments and make recommendations where appropriate;
- To approve the acquisition and disposal of significant investments;
- To review the performance of the property investments

The Investment Committee has established an Investment Sub-Committee whose mandate is to review the performance of the property portfolio on a monthly basis and to report to the Investment Committee.

Statement on Corporate Governance

For the Year Ended 31 December 2024

3. Human Resources, Nomination and Remuneration Committee

Nomination and Remuneration Committee Membership and Attendance 2024

Member	Directorship Status	Number of Meetings Schedules in 2024
Dr Grace Mwai (Chairperson)	Independent & Non-Executive	4/4
Amine El Kernighi	Non-Executive Director	4/4
Dr John PN Simba	Non-Executive Director	4/4
Rohan Patel	Non-Executive Director	4/4

Mandate and Role of the Human Resources, Nomination and Remuneration Committee

The Committee monitors the policies and practices of the Group in relation to the Human Resources. The Committee's duties are based on three broad functions namely the Human Resources, Nomination and Remuneration functions.

• Human Resource Function

The Committee continually reviews the organizational structure, core functions and optimum establishment; policies and procedures on staff recruitment and selection, staff training and development policy for operational efficiency, of performance and reward system and capacity enhancement & reviews, the terms and conditions of service in line with the organisation's strategy. Further it reviews the Group's Human Resource policies and recommends amendments to the Board for approval.

• Nomination Function

The Committee supports and advises the Board on the appropriate size and composition to enable it to discharge its responsibilities; transparent procedure for selecting new directors for appointment and re-selection to the Board; evaluation of the performance of the Board, the various committees and individual Directors.

• Remuneration Function

The Committee reviews the Group's remuneration, recruitment, retention, incentive and termination policies and procedures for executive directors and senior managers; their salaries & the criteria for payment of bonuses to all staff and monitors its operation, considers any recommendations of the GCEO of the regarding payment of performance related remuneration.

BOARD REMUNERATION

The Boards Remuneration policy outlines the principles that govern the remuneration procedures and policies. In general the remuneration policy ensures that directors remuneration are competitive, incentivises performance and reflects regulatory requirement while considering the demands and requirements made on the directors in relation to the business of the Group, the availability of the directors for ad hoc consultation, professional and business counsel as and when the need arises, industry and related companies benchmarks, international experiences and the calibre of directors needed to run this Group. The directors are, continuously expected to add -value to the business.

The directors' fee is annual but the sitting allowances are only paid subject to attendance at the board and/or committee meetings confirmed by the register of attendance . Both the annual fees and sitting allowance are paid on a quarterly basis. The Directors are not eligible for pension scheme membership and do not participate in any of the Group's remuneration schemes.

In compliance with the disclosure requirements under the CMA Code and the Companies (General) (Amendment) (No. 2) Regulations, 2017 which were gazetted in September 2017, the Directors' Remuneration report is provided in Page 79 of this Annual Report.

External Advisers and Consultants

External Auditors

Whereas the directors are responsible for preparing the accounts and for presenting a balanced and fair view of the financial position of the Group, the external auditors examine and give their opinion on the reasonableness of the financial statements.

The auditor's report independently and directly to the Board at the half year and end year board meetings. KPMG were appointed as the company's external auditors and have carried out the company's audit for 2024.

Internal Auditors

The Group's internal audit function report directly to the Board Audit, Risk, Actuarial and Compliance Committee. The Internal Audit function is governed by an Internal Audit Charter and the Board annually approves the Internal Audit Plan.

The internal audit function is headed by a qualified Group Internal Auditor who is a Certified Internal Auditor (CIA), Certified Information System Auditor (CISA) and a Certified Public Accountant of Kenya-CPA (K).

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For the Year Ended 31 December 2024

Tax Advisors

PwC are the group's tax advisors. They were appointed by the Board and liaise with management to ensure that the Group optimises its tax position and complies with all tax matters.

Statutory Actuary

Giles Waugh (of Deloitte, South Africa) and Zamara are the Group's statutory actuaries responsible for examining the financial soundness of the Group's Life and General Insurance Companies respectively. They do this by independently valuing the Companies assets and policy liabilities. The statutory actuaries report independently and directly to the Board at board meetings where the half results and the end year results are being considered.

Llyod Masika

A significant component of the Investments within the Group comprises of residential and commercial properties. Llyod Masika serves as the property manager in the year 2024 and were responsible for the management of these commercial properties, collection of rent, general repairs and maintenance. Monthly reports from Llyod Masika are tabled before the Investment sub-committee for discussion.

SHAREHOLDING

The Company, through its Registrar, Image Registrars Limited, files returns regularly in line with the requirement of the Capital Markets Act and the Nairobi Securities Exchange listing regulations on shareholding and other transactions related to shareholders.

Details of the **Directors' Shareholding** in the Group as at December 31, 2024 are summarised in Table below:

	Name	No. of Shares
1.	DR JOHN PN SIMBA	106,950

Details of **Management's Shareholding** in the Group as at December 31, 2024 are summarised in Table below:

	Name	No. of Shares
1.	None	None

Disclosure of Information to shareholders

The Board discloses to shareholders the financial position of the Group three times a year: at the annual general meeting; by publication of the half- year results and the year-end results in at least two (2) daily newspapers of national circulation. The financial position of the Group together with relevant information such as the share price are made available for viewing on the Group's website, www.sanlam.com/kenya

The share register is kept at the offices of the Group and a computer database stores this information. The Share Registrar, Image Registrar, is responsible for the share register and responds to correspondence directly from shareholders. The official registers of shareholders are maintained by Image Registrars.

The Registers of Directors are kept at the head office of the Group and are available for the perusal by shareholders on any working day during working hours. The Group publishes the annual report and audited accounts, which are sent out to all shareholders, entitled to attend the annual general meeting.

The Group has an authorised share capital of Kenya Shillings Two Billion (KShs. 2B) divided into 400 Million shares of Kenya Shillings Five (KShs 5/-) each. 144 Million shares are currently issued.

Top Shareholders in the Group

The top 10 shareholders, based on the Group's Register of Members, as at 31 December 2024 are shown in Tables below:

Statement on Corporate Governance

For the Year Ended 31 December 2024

Top Ten Local Individual Shareholders as at 31 December 2024

Name	Shares	Percentage
1 Mwangi, Peter Kingori	2,250,080	9.78%
2 Patel, Anjay Vithalbhai	847,800	3.68%
3 Malde, Anilkumar Virpar	452,550	1.97%
4 Mohamed, Adan Abdulla	389,250	1.69%
5 Mucheru, Elijah	387,300	1.68%
6 Maitha, Anthony Leshan	372,600	1.62%
7 Patel Dahilaxmi Mangalbhai	360,003	1.56%
8 Bid, Keval Ashvin	315,000	1.37%
9 John Richard Githere	300,000	1.30%
10 Malde, Urvi Harakhchand Virpar	268,800	1.17%
11 Others - 3598	17,066,130	74.17%
	23,009,513	100.00%

Top 10 Local Institutions Shareholders as at December 31, 2024

Name	Shares	Percentage
1 Hubris Holdings Limited	82,278,000	69.29%
2 Aksaya Investment Holdings Limited	30,298,077	25.51%
3 Mayfair Insurance Company Ltd	1,132,050	0.95%
4 Standard Chartered Nominees A/C 9595	852,600	0.72%
5 Kenya Reinsurance Corporation Limited	511,200	0.43%
6 Thammo Holdings Limited	457,949	0.39%
7 Carbacid Investments Limited	390,000	0.33%

Name	Shares	Percentage
8 Apa Insurance Limited	343,557	0.29%
9 Seta Holdings Limited	308,400	0.26%
10 Public Trustee Estate of E.N.kamau Re:Pt/646/79/613/SMA	298,440	0.25%

Distribution of Shareholders

The Capital Markets Act requires the Group to provide information on the distribution of the shareholders based on the number of shares owned and based on their nationality. This information is presented in the Tables here follows:

Shareholders based on Number of Shares held:

Range	Records	Range Total	Percentage
1 1 to 500	1,135	185,867	.13%
2 501 to 1000	286	219,329	.15%
3 1001 to 5000	1,976	5,193,143	3.61%
4 5001 to 10000	224	1,643,309	1.14%
5 10001 to 50000	262	5,714,675	3.97%
6 50001 to 100000	41	2,861,349	1.99%
7 100001 to 500000	47	10,012,521	6.95%
8 500001 to 1000000	3	2,211,600	1.54%
9 1000001 to 2000000000	4	115,958,207	80.53%
	3,978	144,000,000	100.00%

Statement on Corporate Governance

For the Year Ended 31 December 2024

Shareholders based on Nationality

Investor Pool	Records	Shares	Percentage
Local Institutions	150	118,747,081	82.46%
Local Individuals	3,608	23,009,513	15.98%
Foreign Investors	220	2,243,406	1.56%
TOTAL		144,000,000	100.00%

GOING CONCERN

The Board submits this annual report and audited financial statements for the year ending 31 December 2024. The annual report and audited financial statements present, in the opinion of the directors, a fair, balanced and understandable assessment of the state of the affairs of the Group's position and prospects. The Board reports that the business is a going concern and they have no reason to believe that the Group and its subsidiaries will not be a going concern into the foreseeable future.



Dr John PN Simba
Chairman



Dr Patrick Tumbo
Group Chief Executive Officer



Chairman's statement

Dear shareholders,

On behalf of the Board of Directors, I take this opportunity to present to you the Sanlam Kenya Plc Integrated report and financial statements for the year ended 31 December 2024.

2024 Overview

In 2024, the insurance sector in Kenya faced unprecedented challenges from devastating climate disasters to shifting political landscapes. These effects were felt deeply and compelled families to make difficult choices.

The year saw extreme weather patterns and other events that disrupted lives, businesses, and community activities. Floods displaced thousands of people and destroyed homes and businesses.

The year was also marked by geopolitical tensions that rocked global markets and local economies. The war in Ukraine, the Gaza war, the regional conflicts, and the 2024 financial bill protests in Kenya left individuals and businesses alike scrambling. The rising cost of living and Gen Z protests added pressure to an already strained system, which meant a rise in business interruptions and political violence claims.

397%

Investment income grew significantly to KShs 5,273m in 2024, up from KShs 1,061m the previous year — representing a growth of approximately 397%.



Last year, the country witnessed an improved operating environment on the back of easing inflationary pressures and a strengthened Shilling. On the other hand, the overall GDP growth rate declined to 4.6% in Quarter 2, 2024, from 5.6% recorded in a similar period in 2023 according to the Kenya National Bureau of Statistics (KNBS).

Additionally, Artificial Intelligence (AI), blockchain technology and automation reshaped the insurance industry during the year. AI transformed claims processing, risk assessment, and even customer engagement, while blockchain started offering enhanced transparency and security in transactions.

Business Environment

Last year, the country witnessed an improved operating environment on the back of easing inflationary pressures and a strengthened Shilling. On the other hand, the overall GDP growth rate declined to 4.6% in Quarter 2, 2024, from 5.6% recorded in a similar period in 2023 according to the Kenya National Bureau of Statistics (KNBS).

During the year, we saw the adoption of digital distribution of insurance products as a matter of necessity. Insurance companies continued to take advantage of the available digital channels to drive growth and increase insurance penetration in the country.

On the regulatory front, to ensure that the sector benefitted from a globally competitive financial services sector, the regulator has been working through regulation implementations to address some of the perennial, as well as emerging problems in the sector..

Additionally, the rejected Finance Bill 2024 included provisions that sought to expand taxes on insurance premiums and extend VAT to certain insurance services. These included a new 2.5% tax on the value of motor vehicles, payable when

issuing insurance cover and limiting VAT exemptions to insurance and reinsurance premiums only, subjecting other related services to the standard VAT rate of 16%.

These measures were aimed at increasing government revenue but were met with opposition from the sector's stakeholders, including the Association of Kenya Insurers (AKI) due to concerns over increased insurance costs. The rejection of the Finance Bill 2024 provided a temporary reprieve for the sector, though discussions on balancing fiscal policy and market growth continue to shape the regulatory landscape.

Board & Business Updates

For the year ended 2024, Sanlam Kenya PLC reported a profit after tax of KShs1,054 million compared to the KShs127 million after tax loss reported in 2023.

During the year, there were some changes in the composition of the Board of Directors. Amine El Kernighi was appointed on March 13, 2024, following Dr Tobias Doyer's resignation.

In addition, the Board of Directors approved the proposed merger between Sanlam General Insurance Limited and Jubilee Allianz General Insurance Limited. As a result of the merger Sanlam General Insurance Limited was to transfer part of its assets and liabilities to Jubilee Allianz General Insurance Limited.

This came after the signing of a conditional share purchase agreement with Sanlam Emerging Markets Proprietary Limited (SEM), which is part of a broader partnership between Jubilee Allianz General Insurance Limited and Sanlam General Insurance Limited, which

formalised their joint venture – Sanlam Allianz Africa in May 2022. The collaboration aims to create the largest Pan-African non-banking financial services entity, spanning 27 countries.

Additionally, during the year, the company secured all the regulatory and related approvals from the Capital Markets Authority of Kenya (CMA), the Nairobi Securities Exchange (NSE), the Insurance Regulatory Authority (IRA) and the South African Reserve Bank (SARB) ahead of the commencement of the Rights Issue which aims to raise Ksh2.5 billion.

The Rights Issue followed shareholders' approval in December at an Extraordinary General Meeting (EGM) called to consider recapitalising the company's balance sheet to drive its profitability. The Ksh2.5 billion Rights Issue will enable Sanlam Kenya PLC to settle a loan facility from Stanbic Bank Kenya Plc.

Sustainability

Sanlam Kenya PLC is committed to advancing Sustainable Development Goals (SDGs) with particular focus of SDG 3 – (Good Health and Wellbeing), SDG 4 – (Quality Education), SDG 8 – (Decent Work and Economic Growth), SDG 9 – (Industry, Innovation, and Infrastructure), SDG 11 – (Sustainable Cities and Communities), SDG 13 – (Climate Action), and SDG 17 (Partnerships for Goals).

During the year, the Board of Directors continued to provide oversight for sustainability matters at Sanlam Kenya PLC through the Board Audit, Risk, and Actuarial Committee.

The Board's oversight is critical to ensure Environmental, Social and Governance (ESG) is integrated into business practices by the Executive Management and the governance rules are upheld to track and measure performance including identifying, assessing, managing, and monitoring risks and opportunities associated with ESG issues.

Future Outlook

The Board of Directors remains committed to the development of our people, the digitisation of critical business processes, and the improvement of capital efficiency in order to enhance the sustainability of the business. By doing so, the Board is able to offer a competitive customer value proposition and provide the required return to its shareholders.

In conclusion, I would like to express my gratitude to the Executive Management, the Staff, and my colleagues on the Board for their dedication and fortitude. In addition, I would like to express my appreciation to our shareholders for their continued support throughout the year.

Thank you.



Dr John PN Simba, OGW, MBS, EGH
Chairman

Our focus is to strengthen internal processes and controls to plug gaps that may give rise to fraudulent claims or loss-making investments without stifling decision-making processes that are essential to our business.



Taarifa ya Mwenyekiti

Kwa Wenye-hisa wapendwa,

Kwa niaba ya Bodi ya Wakurugenzi, nachukua fursa hii kuwasilisha kwenu Ripoti kamilifu na taarifa za kifedha za Sanlam Kenya PLC za mwaka uliokamilika 31 Desemba 2024.

2024 kwa Ufupi

Mwaka wa 2024, sekta ya bima nchini Kenya ilikabiliwa na changamoto nyingi, kuanzia kwa majanga ya kimazingira na hali ya hewa hadi kwa mabadiliko ya kisiasa. Athari za changamoto hizo zililazimisha familia nyingi kufanya maamuzi magumu.

Mwaka huo ulishuhudia hali mbaya ya hewa na matukio mengine ambayo yalivuruga maisha, biashara na shughuli za jamii. Mafuriko yaliwaacha maelfu ya watu bila makao na kuharibu nyumba na biashara nyingi.

Mwaka huo pia ulikuwa na misukosuko ya kisiasa kimataifa ambayo iliathiri masoko na uchumi wa dunia na hata ndani ya nchi. Vita nchini Ukraine, vita Gaza, mizozo ya kikanda, na maandamano ya kupinga mswada wa kifedha wa 2024 nchini Kenya vyote viliathiri watu binafsi na biashara. Kupanda kwa gharama ya maisha na maandamano ya Gen Z viliongeza shinikizo kwenye mfumo ambao tayari ulikuwa chini ya

397%

Mapato kutokana na uwekezaji yalifikia KShs 5,273 milioni, ongezeko la asilimia 397 kutoka KShs 1,061m mwaka uliopita.



Mwaka wa 2024, sekta ya bima nchini Kenya ilikabiliwa na changamoto nyingi, kuanzia kwa majanga ya kimazingira na hali ya hewa hadi kwa mabadiliko ya kisiasa. Athari za changamoto hizo zililazimisha familia nyingi kufanya maamuzi magumu.

shinikizo kubwa, jambo lililosababisha biashara kuvurugwa zaidi na kuongezeka kwa madai ya bima ya fujo za kisiasa.

Kadhalika, Akili Mnemba (AI), teknolojia ya blockchain, na matumizi ya mitambo inayojiendesha yenyewe vilibadilisha taswira katika sekta ya bima mwaka huo. AI ilibadilisha ushughulikiaji wa madai ya malipo, utathmini wa hatari, na hata mawasiliano na mteja. Blockchain nayo ilianza kuhakikisha uwazi zaidi na usalama katika miamala.

Mazingira ya Kibiashara

Mwaka uliopita, taifa lilishuhudia kuimarika kwa mazingira ya uendesheaji shughuli kutokana na kupungua kwa shinikizo za mfumko wa bei na pia kuimarika kwa Shilingi. Hata hivyo, kiwango cha ukuaji wa jumla wa GDP kilishuka hadi 4.6% katika robo ya pili ya mwaka 2024, ukilinganisha na 5.6% katika kipindi sawa mwaka 2023, kwa mujibu wa Idara ya Taifa ya Takwimu ya Kenya (KNBS).

Katika mwaka huo, tulishuhudia ukumbatiaji wa matumizi ya dijitali katika kusambaza huduma za bima likiibuka kuwa jambo la msingi. Kampuni za bima ziliendelea kutumia njia za kidijitali zilizopo kuchochea ukuaji na kueneza huduma za bima nchini.

Katika upande wa sheria, ili kuhakikisha sekta hii inafaidi kutokana na huduma za kifedha zenye ushindani kimataifa, mamlaka inayodhibiti sekta hii imekuwa ikitekeleza kanuni mbalimbali za kutatua baadhi ya matatizo ya tangu jadi na yanayoibuka katika sekta ya bima.

Kadhalika, Mswada wa Kifedha wa 2024 uliokataliwa ulikuwa na vifungu vilivyolenga kuongeza ushuru kwenye malipo ya kila mwezi ya bima na pia kuongeza VAT kwenye baadhi ya huduma za bima. Hii ilikuwa ni pamoja na kodi mpya ya 2.5% ya thamani ya magari, ambayo ingelipwa wakati wa kulipiwa kwa bima. Aidha, kupunguzwa kwa huduma zisizotowa VAT kusalia tu kuwa kwa malipo ya kila mwezi ya bima na malipo ya kila mwezi ya bima kwa kampuni nyingine ya bima. Hii ikiwa na maana kwamba huduma nyingine zote zingetowa kiwango cha kawaida cha VAT cha 16%.

Hatua hizi zililengwa kuongeza mapato ya serikali lakini zilikumbana na pingamizi kutoka kwa wadau kwenye sekta ya bima, ikiwa ni Pamoja na Chama cha Watoaji Bima Kenya (AKI) kutokana na hatari ya kuongezeka kwa gharama ya bima.

Kukataliwa kwa Mswada wa Kifedha wa 2024 kulitoa nafuu ya muda kwa sekta hii, ingawa mashauriano kuhusu jinsi ya kusawazisha sera na mahitaji ya kifedha ya serikali na ukuaji wa sekta bado yanaendelea kuongoza mazingira ya kisheria.

Mabadiliko kwenye Bodi na Biashara

Kwa mwaka uliomalizika 2024, Sanlam Kenya PLC iliandikisha faida kabla ya ushuru ya KShs1,054 milioni ukilinganisha na hasara ya baada ya ushuru ya KShs127 milioni iliyopatikana mwaka 2023.

Katika mwaka huo, kulikuwa na mabadiliko kadha kwenye Bodi ya Wakurugenzi. Amine El Kernighi aliteuliwa Machi 13, 2024, baada ya Dkt Tobias Doyer kujiuzulu.

Kadhalika, Bodi ya Wakurugenzi ilidhinisha kuunganishwa kwa biashara ambako kumependekezwa kati ya Sanlam General Insurance Limited na Jubilee Allianz General Insurance Limited. Matokeo ya kuunganishwa huko ni kwamba Sanlam General Insurance Limited ingekabidhi

baadhi ya mali na dhima kwa Jubilee Allianz General Insurance Limited.

Hii ilifanyika baada ya kutiwa saina kwa makubaliano ya ununuzi, yenye masharti, na Sanlam Emerging Markets Proprietary Limited (SEM), ambayo ni sehemu ya ushirikiano mpana kati ya Jubilee Allianz General Insurance Limited na Sanlam General Insurance Limited, ambayo yalirasmisha biashara ya pamoja – Sanlam Allianz Africa mwezi Mei 2022. Ushirikiano huo unalenga kuunda kampuni kubwa zaidi Afrika ya huduma za kifedha, isiyo benki, ambayo inahudumu katika mataifa 27.

Kadhalika, katika mwaka huo, kampuni yetu pia ilipata idhini zote za kisheria na nyinginezo, kutoka kwa Mamlaka ya Masoko ya Mtaji Kenya (CMA), Soko la Hisa la Nairobi (NSE), na Mamlaka ya Udhidhi wa Bima (IRA) na Benki Kuu ya Afrika Kusini (SARB) kabla ya kuanza kuuzwa kwa hisa za kampuni mpya kwa wenye hisa, shughuli inayolenga kukusanya KSh2.5 bilioni.

Kuanza kuuzwa kwa hisa kulianza baada ya wenye hisa kuidhinisha hatua hiyo katika Mkutano Mkuu Maalum (EGM) ulioandaliwa ili kujadili suala la kuongeza mtaji wa kampuni ili kuongeza utengenezaji wake wa faida. Uuzaji wa hisa hizo za KSh2.5 bilioni utaiwezesha Sanlam Kenya PLC kulipa mkopo iliokuwa imeuchukua kutoka Stanbic Bank Kenya Plc.

Uendelevu

Sanlam Kenya PLC imejitolea kusaidia kutimizwa kwa Malengo ya Maendeleo Endelevu (SDGs) ya Umoja wa Mataifa (UN) na hasa SDG 3 - (Afya Njema na Hali Bora), SDG 4 – (Elimu Bora), SDG 8 – (Kazi zenye Staha na Ukuaji wa Kiuchumi), SDG 9 – (Viwanda, Ubunifu na Miundo mbinu), SDG 11 - (Miji na Jamii Endelevu), SDG 13 (Hatua kwa Mazingira), na SDG 17 – (Ubia kufikia Malengo).

Katika mwaka huo, Bodi ya Wakurugenzi iliendelea kutoa uongozi na uangalizi wa masuala ya Uendelevu katika Sanlam Kenya PLC kupitia Kamati ya Bodi ya Ukaguzi wa Hesabu, Hatari na Utakwimu Bima.

Uangalizi wa bodi ni muhimu katika kuhakikisha Mazingira, Jamii na Utawala (ESG) vinafungamanishwa katika shughuli za biashara yetu na Wasimamizi Watendaji. Pia, kuhakikisha kanuni za utawala zinafuatwa na kudumishwa ili kufuatilia na kupima matokeo. Hii ni pamoja na kutambua, kutathmini, kudhibiti na kufuatilia hatari na fursa zinazojitokeza zinazohusiana na masuala ya ESG.

Mustakabali

Bodi ya Wakurugenzi imesalia kujitolea katika kuwaendeleza wafanyakazi wetu, kufanywa dijitali kwa shughuli muhimu za biashara yetu, na kutumiwa vyema kwa mtaji ili kuhakikisha uendelevu wa biashara yetu. Kwa kufanya hivyo, Bodi itaweza kutoa huduma za thamani na zenye ushindani kwa mteja na pia kuhakikisha mapato yanayotarajiwa kwa wenye hisa.

Nikihitimisha, ningependa kutoa shukrani zangu kwa Wasimamizi Watendaji, Wafanyakazi, na wenzangu katika Bodi kwa kujitolea kwao na ushupavu wao. Kadhalika, ningependa kutoa shukrani zangu kwa wenye hisa kwa kuendelea kutuunga mkono katika kipindi chote cha mwaka huo.

Asanteni



Dr John PN Simba, OGW, MBS, EGH
 Mwenyekiti

Lengo letu ni kuimarisha mifumo na udhibiti wa ndani ili kuziba mianya inayoweza kusababisha madai ya udanganyifu au uwekezaji unaopoteza fedha, bila kudhoofisha michakato ya maamuzi ambayo ni muhimu kwa biashara yetu.



GCEO's statement

Operating landscape

The insurance sector is showing resilience and growth despite macroeconomic and geopolitical challenges, driven by rising demand for insurance solutions. The recent shifts are emphasising digital transformation and innovation, aligning with consumer expectations for accessible services.

The integration of technology into insurance services has also revolutionised how products are delivered and managed. The regulatory reforms being implemented are designed to improve transparency, protect consumers, and encourage more players to enter the market.

In addition, as economic activities expand, there is an increasing demand for insurance solutions across various sectors, and this is driving a growing awareness of the importance of insurance in mitigating risks associated with unforeseen events. Additionally, infrastructure projects continue to boost demand for commercial insurance products to manage risks associated with their operations.

Financial Performance Highlights

During the year, the Sanlam Kenya PLC reported an after-tax profit of KShs1,054 million a significant improvement from KShs127 million after-tax loss reported in 2023.

Sanlam Life Insurance Limited, a subsidiary of Sanlam Kenya PLC demonstrated a strong financial performance during the year, generating an after-tax profit of KShs1,378 million. Sanlam Life paid an interim dividend of KShs500 million in 2024 and a further KShs800 million was paid subsequent to 2024 year-end to its shareholders, Sanlam Kenya PLC, to enable the holding entity to fund its financial obligations for the year 2025.

Additionally, Sanlam General Insurance Limited posted an after-tax profit of KShs337 million from KShs123 million after-tax profit posted during the previous year. The entity is now in a net asset position of KShs532 million compared to KShs193 million in 2023.

As of December 31, 2024, the parent company, Sanlam Kenya PLC, held a credit facility with a balance of KShs 3.04 billion with Stanbic Bank Kenya Limited which is set to mature on March 16, 2025. Sanlam Kenya PLC received 90 days extension of the facility maturity date to June 17, 2025.

The credit facility of KShs 3.04 billion is adequately secured by a corporate guarantee from the parent company, Sanlam Kenya PLC. Based on the KShs800 million repayment made subsequent to year-end (in March 2025), the projected amount is expected to amount to KShs2.5 billion, comprising principal and accrued interest by the time the KShs2.5 billion capital raise for settlement of the credit facility through a rights issue.

The early retirement of the Stanbic Bank Kenya Limited facility will reduce the Sanlam Kenya PLC's long-term debt levels, which will save on financing costs currently being charged by Sanlam Kenya PLC's lenders.

Sustainability

During the year, Sustainability continued to be integrated into our core operations, driving significant strides in our operational efficiency on how we deliver long-term value to our stakeholders and create meaningful change. Our Sustainability Governance Strategy, which is built on three core pillars:

- 1 Climate Action and Decarbonisation;
- 2 Financial Inclusion;
- 3 Environmental, Social and Governance (ESG) Integration and Resilience;

KShs 1,054 million

During the year, the Sanlam Kenya PLC reported an after-tax profit of KShs1,054 million a significant improvement from KShs127 million after-tax loss reported in 2023.

These pillars have formed the foundation of our efforts to mitigate environmental impact, expand access to insurance, and embed ESG principles across all aspects of our business. In addition, Sanlam Life, Kenya, adopted the Sanlam Connect portal to enhance the efficiencies of our sales and client onboarding processes, reflecting our dedication to building organisational resilience and improving stakeholder experience through innovation and best practices for sustainability.

2025 Focus

The Group is focusing on the development of inclusive financial confidence by investing in a variety of non-bank financial services. Our robust capital reserves and balance sheet will enhance this.

In recent years, we have implemented a strategic approach to improve and streamline our capital and investment management. This has involved the retirement and restructuring of our debt portfolio, the divestment from real estate, and the winding up of dormant subsidiaries. Sanlam Kenya PLC has been able to guarantee superior returns to its shareholders by maintaining a razor-sharp focus on its primary insurance businesses as a result of these endeavors.

The Group's medium-term objective is to guarantee sustainable growth in market share through innovative pricing and pricing strategies, capital optimisation, an effective control environment, and partnerships with bancassurance and technology partners. This is achieved through the guidance of a seasoned Board of Directors with a wide range of skills, as well as a professional management and staffing team.



Dr Patrick Tumbo EBS
Group Chief Executive Officer



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The integration of technology into insurance services has also revolutionised how products are delivered and managed. The regulatory reforms being implemented are designed to improve transparency, protect consumers, and encourage more players to enter the market.



Taarifa ya GCEO

Mazingira ya Uendeshaji Shughuli

Sekta ya bima inaonyesha uthabiti na dalili za ukuaji licha ya changamoto kwenye mazingira pana ya kiuchumi na siasa za kimataifa. Hii inatokana na kuongezeka kwa hitaji la huduma za bima. Mabadiliko haya yanasisitiza umuhimu wa mabadiliko ya kidijitali na uvumbuzi, ili kuendana na matarajio ya mteja ya kufikia huduma za bima kwa urahisi.

Kufungamanishwa kwa teknolojia katika huduma za bima pia kumebadilisha pakubwa jinsi huduma za bima zinavyotolewa na kusimamiwa. Mabadiliko ya kisheria yanayotekelezwa yana lengo la kuimarisha uwazi, kuwalinda wateja, na kuwahimiza wahusika zaidi kuingia sokoni.

Kadhalika, shughuli za kiuchumi zinavyoongezeka, hitaji la bima katika sekta mbalimbali pia linaongezeka, na hili linachochea kuongezeka kwa uhamasisho kuhusu umuhimu wa bima katika kupunguza madhara ya hatari zinazotokana na matukio yasiyoweza kutabirika. Pia, miradi ya miundo mbinu inaendelea kuongeza hitaji la huduma za bima za kibiashara za kupunguza hatari zinazohusiana na shughuli za miradi hiyo.

Vidokezo muhimu vya matokeo

Katika mwaka huo, Sanlam Kenya PLC iliandikisha faida baada ya ushuru ya KShs1,054 milioni ambayo ni kuimarika pakubwa ukilinganisha na hasara ya KShs127 milioni baada ya ushuru mwaka 2023.

Sanlam Life Insurance Limited, kampuni tanzu ya Sanlam Kenya PLC iliandikisha matokeo mazuri sana mwaka huo, ambapo ilipata faida ya KShs1,378 milioni baada ya ushuru. Sanlam Life ililipa mgawo wa faida wa muda wa KShs 500 milioni mwaka 2024, na kiasi kingine cha KShs800 milioni kililipwa mwishoni mwa mwaka 2024 kwa wenyehisa wake Sanlam Kenya PLC kuiwezesha kampuni mama kutimiza mahitaji yake ya kifedha kwa mwaka 2025.

Sanlam General Insurance Limited nayo iliandikisha faida ya

baada ya ushuru ya KShs337 milioni kutoka faida ya baada ya ushuru ya KShs123 milioni mwaka uliotangulia. Kampuni hiyo tanzu sasa ina mali ya KShs532 milioni ukilinganisha na KShs193 milioni mwaka 2023.

Kufikia Desemba 31, 2024, kampuni mama, Sanlam Kenya PLC, ilikuwa na mkopo wenye salio la KShs 3.04 bilioni kutoka kwa Stanbic Bank Kenya Limited ambao ulifaa kulipwa Machi 16, 2025. Sanlam Kenya PLC iliongezewa muda wa siku 90 wa kufanya malipo hayo hadi Juni 17, 2025.

Mkopo huo wa KShs3.04 bilioni umedhaminiwa kikamilifu na dhamana ya kampuni kutoka kwa kampuni mama, Sanlam Kenya PLC. Kutokana na kiasi cha KShs800 milioni kilicholipwa baada ya kumalizika kwa mwaka (Machi 2025), kiasi kinachotarajiwa kutakiwa kulipwa sasa ni KShs2.5 bilioni, ambacho ni amana na riba ya kufikia wakati ambapo KShs2.5 bilioni zinatarajiwa kupatikana kupitia kuuzwa kwa hisa za kampuni mpya kwa wenyehisa.

Kulipwa mapema kwa mkopo huo wa Stanbic Bank Kenya Limited kutapunguza kiwango cha madeni ya kipindi kirefu ya Sanlam Kenya PLC jambo ambalo litapunguza gharama za kifedha kutokana na ada na riba zinazotowza Sanlam Kenya PLC's na wakopeshaji wake.

Uendelevu

Katika mwaka huo, Uendelevu uliendelea kufungamanishwa kwenye shughuli zetu kuu, ambapo hatua kubwa zilipigwa katika kuboresha uendeshaji wa shughuli zetu katika jinsi tunavyohakikisha kupatikana kwa thamani ya kipindi kirefu kwa wenyehisa wetu na kuleta mabadiliko ya maana. Mkakati wetu wa Utawala wa Uendelevu, ambao una nguzo

KShs 1,054 milioni

Katika mwaka huo, Sanlam Kenya PLC iliandikisha faida baada ya ushuru ya KShs1,054 milioni ambayo ni kuimarika pakubwa ukilinganisha na hasara ya KShs127 milioni baada ya ushuru mwaka 2023.

- Hatua kwa Mazingira na Upunguzaji wa matumizi ya Kaboni;
- Ujumuishaji wa Kifedha;
- Ufungamanishaji na Uthabiti wa Mazingira, Jamii na Utawala (ESG);

Nguzo hizi zimebadilisha msingi wa juhudi zetu za kupunguza athari kwenye mazingira, kupanua ufikiwaji wa huduma za bima, na kufungamanisha maadili ya ESG katika kila sehemu ya biashara yetu. Kadhalika, Sanlam Life, Kenya, ilianza kutumia mfumo wa Sanlam Connect kuboresha utaratibu wetu wa mauzo na kuwaandikisha wateja wapya. Hili ni dhihirisho la kujitolea kwetu katika kujenga uthabiti kwenye biashara yetu na kuboresha mahusiano yetu na wadau kupitia uvumbuzi na ubunifu na maadili bora kwa ajili ya uendelevu.

Kuangazia 2025

Kundi linaangazia kuendelea kuongeza imani katika kujumuisha wote katika huduma za kifedha kwa kuwekeza katika huduma mbalimbali za kifedha zisizo za benki. Mtaji wetu mkubwa na mizania vitasaidia hili.

Katika miaka ya karibuni, tumetekeleza mtazamo wa kimkakati wa kuboresha na kulainisha usimamizi wa mtaji wetu na uwekezaji. Hili limehusisha kulipwa na kufanyiwa mabadiliko kwa madeni yetu, pamoja na kujitoka kutoka kwenye uwekezaji wa nyumba na ardhi, na kufungwa kwa kampuni tanzu zisizoonyesha ukuaji. Sanlam Kenya PLC imeweza kuhakikisha matokeo mazuri kwa wenyekisa kwa kuangazia kwa umakinifu mkubwa biashara yake kuu ya bima kutokana na hatua hizi.

Lengo la Kundi katika kipindi cha wastani ni kuhakikisha ukuaji endelevu katika sehemu inayodhibiti sokoni kupitia ubunifu katika kuamua bei ya huduma zake na mikakati mingine ya kuamua bei, kutumia vyema mtaji, kusimamia vyema mazingira, na ushirikiano na washirika wa benki zinazouza bima na wale wa teknolojia. Hili litatimizwa kupitia uongozi wa Bodi ya Wakurugenzi wenye uzoefu na ujuzi mpana, pamoja na wasimamizi na wafanyakazi wenye weledi mkubwa.



Dkt Patrick Tumbo EBS

Afisa Mkuu Mtendaji wa Kundi



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Kufungamanishwa kwa teknolojia katika huduma za bima pia kumebadilisha pakubwa jinsi huduma za bima zinavyotolewa na kusimamiwa. Mabadiliko ya kisheria yanayotekelezwa yana lengo la kuimarisha uwazi, kuwalinda wateja, na kuwahimiza wahusika zaidi kuingia sokoni. Kufungamanishwa kwa teknolojia katika huduma za bima pia kumebadilisha pakubwa jinsi huduma za bima zinavyotolewa na kusimamiwa. Mabadiliko ya kisheria yanayotekelezwa yana lengo la kuimarisha uwazi, kuwalinda wateja, na kuwahimiza wahusika zaidi kuingia sokoni.

Board of Directors



Dr. John P N Simba (80)
(Chairman)

Appointed to the Board in December 2001. Appointed as Chairman in March 2002

Occupation: Lawyer, Partner in Simba & Simba, Advocates

Academic Qualifications: LLD (Hons) University of Nairobi, Bachelor of Law (University of Dar-es-Salaam).

Professional Qualification: Advocate of the High Court of Kenya.

Professional Qualification: Fellow of the Institute of Chartered Accountants in England and Wales.



Dr. Patrick Tumbo (61)
Appointed to the board on 2 August 2018

Occupation: Group Chief Executive Officer

Academic Qualifications: Master of Business Administration (MBA) - Strategic Management (Major) and Strategic Marketing (Minor) – University of Nairobi (Kenya), Bachelor of Commerce (Insurance) – University of Nairobi (Kenya)

Professional Qualification: Chartered Insurer; Associate of Chartered Insurance Institute and member of the Society of Fellows of The Chartered Insurance Institute (London, United Kingdom), Associate of Insurance Institute of Kenya - (Kenya)



Rohan Patel (49)

Appointed to the Board on 16 May 2014

Occupation: Director of Corporate Development

Academic Qualifications: MBA International Management Development, MSc Management (LSE), BA Geography (LSE)

Professional Qualifications: Certificate in Real Estate, Development and Hotel Investment, Cornell University.



Freda Britz (58)

Appointed to the Board on 8 November 2018

Occupation: Qualified chartered accountant

Qualification: B.Com; Rand Afrikaans University, Post Graduate Diploma in Accountancy (Honours) & CTA, CA (SA), CMA (CIMA), Cert. Dir SAICA



Cornelius Foord (67)

Appointed to the Board on 8 November 2018

Occupation: Chief Operating Officer of SEM

Qualification: Honours degree in Accounting and Masters Degree in Business Management – University of South Africa

Board of Directors



Nelius Bezuidenhout
(42)

Appointed to the Board
on 8 November 2018

Occupation: Executive:
Finance, Sanlam Pan Africa
Life

Qualification: Fellow of
Actuarial Society of South
Africa



Dr Grace Mirigo Mwai
(45)

Appointed to the Board
on 9 May 2019

Occupation: Compliance
Officer AGRA for the
Partnership for Inclusive
Agricultural Transformation
in Africa (PIATA)

Qualification: Doctorate
in Business Administration
(USIU), MBA (University of
Nairobi) and Bachelor of
Commerce (University of
Nairobi)



Rose Agutu
(62)

Appointed to the Board
on 9 May 2019

Occupation: Banker

Qualification: Bachelor
of Commerce (University
of Nairobi), Women's
Leadership Development
Program (WLDP)/
University of California
(UCLA) – Los Angeles



Amine el Kernighi
(47)

Appointed: 13 March 2024

Occupation: Regional
Executive Director,
Southern and Eastern
Africa, SanlamAllianz

Qualification: Engineering
Degree in Automation and
Industrial IT (Mohammadia
School of Engineers),
Morocco, Certified Black
Belt Lean Six Sigma (Ecole
Centrale), Morocco.





Our Approach to **Sustainability**

Butterflies are symbols of transformation, biodiversity, and delicate balance—reminding us to protect ecosystems and adapt sustainably to changing environments.

About this Report

Sanlam Kenya PLC's 2024 Sustainability Report presents a comprehensive overview of the company's commitment to sustainable development. Under the theme "Enabling You to Live with Confidence", this report covers the period from January 1, 2024, to December 31, 2024. It has been prepared in accordance with the Global Reporting Initiative (GRI) and with reference to the International Sustainability Standards Board's IFRS S1 and S2. It further demonstrates Sanlam Kenya PLC's alignment with the UN Global Compact (UNGC) principles, the Nairobi Securities Exchange (NSE) Environmental, Social, and Governance (ESG) Disclosure Guidelines, the UN Sustainable Development Goals (SDGs), and the Taskforce for Nature-related Financial Disclosures (TNFD).

This report highlights Key Performance Indicators (KPIs) based on the company's sustainability strategy and material sustainability matters, reinforcing our commitment to responsible business practices. Sanlam Kenya PLC has adopted a forward-looking, prudent, and responsible approach to business. As part of the Sanlam Group, which has been in existence for 106 years, we continue to create long-term value by managing a diverse range of risks along our insurance value chain. We remain confident that our sustainable business approach will drive long-term success and resilience.

The 2024 Sustainability Report has been reviewed and approved through the established governance processes of the Sanlam Kenya PLC Board Audit, Risk, and Actuarial Committee, which provides oversight on sustainability matters.



01 Sanlam Kenya's Sustainability Strategy

Sanlam Kenya acknowledges the vital role of sustainability in its long-term success and its commitment to delivering value to stakeholders. Our sustainability strategy is fundamental to our business model, demonstrating our commitment to embedding environmental, social, and economic considerations into our operations by continuously evaluating and managing the impact of our business activities. Our sustainability strategy is built on the following three key pillars, which align with Sanlam Group's sustainability ambitions:

01

Climate Action and Decarbonisation

- Mitigating Climate Change Impacts
- Reducing Our Carbon Footprint
- Alignment with International Sustainability Targets



02

Financial inclusion

- Equitable Access to Insurance
- Leveraging Strategic Partnerships & Innovative Technologies
- Fostering Economic Growth & Empowering Aspirations



03

ESG Integration and Resilience

- Integration of ESG Principles Across All Operations
- Embedding ESG Criteria into Decision-making
- Building Organisational Resilience



Our Purpose

Creating a world worth living in while enabling people to live the best possible life with confidence.

02 OUR 2024 SUSTAINABILITY HIGHLIGHTS



Economic

106 years

Sanlam's contribution to economic growth since 1918.

KShs. 9.0 billion

Gross Written Premium (GWP) revenue generated from our core insurance activities.

KShs. 31,646,441

Direct costs to drive affordable and accessible insurance products through strategic partnerships, including bancassurance.



Environmental

Planted **800 trees** in schools in 2024, bringing the total to 1,000 trees since 2023.

Installed **15 waste segregation bins** at Sanlam Kenya Head Offices.

Conducted **e-waste capacity-building** and collection drive in collaboration with WEEE Centre.

Cost savings of **KShs 113,473** by Sanlam General from adoption of bottleless water points in 2024 and reduction in single-use plastic.

20% overall reduction in paper usage in 2024, mainly due to digitisation and automation of processes.

KShs 27.4 million flood claims paid by Sanlam General in 2024.

50% reduction in diesel purchased for generator use in 2024, from 3,000 litres in 2023 to 1,500 litres.

2.7% reduction in electricity consumption for Sanlam Kenya entities at Sanlam Tower in 2024.



Social

Bancassurance

partnership with NCBA Group in 2024 to increase accessibility and affordable products as part of financial inclusion.

403,760

insurance policies processed under the pilot partnership with Safaricom, which cover credit life under Sanlam Life Insurance (SLI) and phone insurance under Sanlam Kenya General.

KShs. 5.6 million

social impact, three-year partnership with Gertude's Hospital Foundation launched to promote social inclusion to over 300 children, enabled by Allianz Group.



Governance

33 percent

Board diversity at 33% women (3 women and 6 men).

ESG

Board approved ESG-sensitive business areas to guide underwriting and investment decisions.

WEPs

Sustainable partnerships: Sanlam Kenya PLC joined the Women's Empowerment Principles (WEPs) in 2024.

03 Our contribution to the Economy

Sanlam Kenya is committed to creating and distributing economic value in a way that benefits all stakeholders while maintaining ethical and responsible business practices. We ensure transparency in our generation and allocation of economic value. We remain committed to fostering economic prosperity, supporting sustainable development, and delivering long-term value to all stakeholders.

Below are key financial indicators for 2024:

Indicator	Description	Amount (KShs)
Revenue (Gross Written Premium) 	We recorded a Gross Written Premium (GWP) of KShs 8,963,775,000 driven by our core insurance business. Through innovative products, quality services, and effective risk management solutions, we continue to deliver value to our customers.	8,963,775,000
Employee Benefits 	We recognise our employees as key contributors to our success and remain committed to offering fair compensation and career growth opportunities. In 2024, the company allocated KShs 1,004,994,000 towards staff wages and benefits.	1,004,994,000
Corporate Tax Paid 	As a responsible corporate entity, we fulfil our tax obligations, supporting national economic development through various taxes, duties, and levies. In 2024, we paid KShs 224,852,000 in corporate taxes, contributing to public services, infrastructure, and social welfare programmes.	224,852,000



04 Our approach to Sustainability

In 2024, Sanlam Kenya intensified its focus on implementing its sustainability strategy, supporting its commitment to social equity, economic resilience, and environmental responsibility. The company leveraged partnerships to champion a more inclusive and sustainable access to insurance services and products. The collective efforts with stakeholders reflect our steadfast commitment to meaningful and lasting value creation.

Our sustainability approach is as follows:

4.1 Materiality Assessment Process

The materiality assessment process forms the basis for defining our reporting content. The process follows the principles of stakeholder inclusiveness, sustainability context, materiality, and completeness according to GRI Standards. The material topics were also aligned to our adopted SDGs, UNGC principles and the values of our business.



4.2 Our Materiality Assessment Process



Materiality assessment is a continuous process that involves a feedback loop with key internal and external stakeholders to determine sustainability priority topics, define key areas for action, and foster dialogue. The assessment covered double materiality: the financial impact of sustainability matters on the company (financial materiality) and the impact of Sanlam Kenya on sustainability matters (impact materiality).

4.3 Stakeholder Engagement

The foundation of our sustainability strategy is built on the value the company places on engaging with and responding to its stakeholders. To foster meaningful engagement, the company has established efficient feedback mechanisms that enable it to listen to stakeholder opinions and suggestions. Additionally, we carefully select the most appropriate and accessible communication channels to ensure effective responses to stakeholder needs and concerns.

Stakeholder Group	Engagement Platforms	Major Issues of Concern	How We Addressed the Concerns
Clients and Policyholders	- Customer service accessibility - Digital platforms (Sanlam Connect, website) - Regular client feedback surveys	- Customer service excellence - Comprehensive and affordable insurance products - Fast and efficient claims processing - Financial stability and reliability - Digital accessibility and convenience	- Developed affordable insurance and digitised products. - Enhanced process automation, feedback mechanisms and customer service excellence. - Financial literacy sessions.
Regulators and Government	- Regular regulatory filings and reports - Industry consultations and engagements - Compliance audits - Policy advocacy forums	- Compliance with insurance regulations - Market development and stability - Consumer protection - Financial reporting and solvency requirements - Alignment with national insurance policies	- Ensured compliance with regulations through regular audits and timely filings. - Actively participated in policy discussions and advocacy forums. - Collaborated on market development and consumer protection initiatives. - Conducted internal compliance reviews to strengthen regulatory adherence.
Shareholders and Investors	- Annual General Meetings (AGMs) - Investor briefings - Financial reports and market updates - Investor relations communication	- Strong financial performance - Transparent governance and risk management - Sustainable business growth - Dividend returns and investment security - ESG integration in investment decisions	- Enhanced transparency with quarterly financial and ESG performance updates. - Implemented a robust governance and risk management framework.
Employees	- Performance appraisals - Internal communication platforms - Staff training and development programmes - Employee engagement surveys	- Competitive remuneration and benefits - Career growth and professional development - Safe and inclusive work environment - Employee wellbeing and work-life balance - Training on emerging insurance trends	- Launched career development and leadership training programmes. - Introduced hybrid work models and wellness programmes to promote work-life balance. - Regularly conducted employee engagement surveys for continuous improvement.
Reinsurers and Strategic Partners	- Regular partnership reviews - Reinsurance treaties and agreements - Industry forums and business conferences	- Risk-sharing and financial stability - Collaboration on product innovation - Reinsurance coverage and pricing - Timely claims settlements - Long-term strategic alliances	- Ensured timely settlement of claims to build trust. - Co-developed innovative insurance products via collaborative task forces.

Stakeholder Group	Engagement Platforms	Major Issues of Concern	How We Addressed the Concerns
Brokers and Agents	• Broker and agent training workshops • Sales performance reviews • Online portals and digital tools • Regular meetings and updates	• Competitive commissions and incentives • Product training and capacity building • Sales support and digital tools • Market trends and regulatory updates • Ethical and transparent practices	• Product training workshops. • Provided regular market updates and regulatory guidance.
Community	• Corporate social responsibility (CSR) programmes • Community outreach events • Insurance awareness campaigns • Partnerships with NGOs and local organisations	• Financial literacy and insurance awareness • Social impact and sustainability initiatives • Support for vulnerable communities • Climate change resilience and disaster recovery efforts • Employment creation and skills development	• Organised financial literacy workshops to promote insurance awareness. • Sponsored community outreach and sustainability initiatives.
Board	• Board meetings • Strategy and governance retreats • Quarterly performance reviews • Risk and audit committee sessions	• Corporate governance and compliance • Strategic direction and business sustainability • Risk management and regulatory adherence • Financial performance and shareholder value creation	• Strengthened corporate governance through regular Board training and oversight. • Ensured strategic alignment with market trends and regulatory expectations. • Enhanced risk management frameworks for operational resilience. • Provided detailed financial and ESG performance updates to facilitate informed decision-making.
Lenders and Financial Institutions	• Credit facility reviews • Financial performance reports	• Financial stability and creditworthiness • Compliance with loan covenants • Risk management and liquidity planning	• Ensured compliance with all lending requirements and covenants. • Strengthened financial reporting and risk management to enhance lender confidence.



4.4 Our Alignment with UN SDGs

We believe that the UN SDGs provide a framework for the private and public sectors to work together for a better future for all. As a leading insurer and employer, we are cognisant of our ability to impact the SDGs and align our material topics with the goals where we have a significant positive impact. Below are the SDGs aligned with our identified material issues:



Categorisation	Focus Area	Alignment with SDGs	Relevant SGD Target
Economic	- Integration of ESG principles across all operations. - Embedding ESG criteria into decision-making. - Building organisational resilience		- Target 8.2 - Target 9.1
Environment	- Mitigating the adverse impacts of climate change. - Reduction of carbon footprint and adoption of sustainable practices. - Alignment with international sustainability targets.		- Target 11.6 - Target 12.6 - Target 13.1
Social	- Equitable access to insurance. - Leveraging strategic partnerships and innovative technologies for insurance solutions. - Fostering economic growth and empowering aspirations.		- Target 3.C - Target 4.4 - Target 8.5
Governance	- Risk management and resilience. - Business ethics and compliance.		- Target 17.16 - Target 17.17

4.5 Our Alignment with UNGC Principles

Sanlam Kenya became a signatory to the UNGC in 2023, demonstrating its commitment to taking measurable, credible, and ambitious actions to accelerate progress on realising impact on the SDGs where the company has the most impact. In 2024, we submitted our Communication of Progress (CoP) report in compliance with the UNGC reporting framework, demonstrating our commitment to transparency and sustainable business practices. Below is a highlight of the company's adherence to the UNGC principles:]

UNGC Pillar	UNGC Principles
Human rights	Principle 1: Businesses should support and respect the protection of internationally proclaimed human rights. We are committed to upholding and respecting international human rights across our sphere of influence in alignment with the UNGC's human rights principles.
	Principle 2: Businesses should make sure they are not complicit in human rights abuses. We are dedicated to upholding human rights across all areas of operations to identify and address potential human rights risks, ensuring compliance and proactive protection.
Labour	Principle 3: Businesses should uphold the freedom of association and effective recognition of the right to collective bargaining. We uphold employees' rights to freedom of association in line with local labour laws. The Company is committed to creating a workplace that supports open, honest and constructive dialogue among management, employees, and union representatives, promoting effective and respectful labour relations.
	Principle 4: Businesses should uphold the elimination of all forms of forced and compulsory labour. We are committed to eliminating all forms of forced and compulsory labour, and we provide our employees with contracts that fully comply with labour laws. Our employees have the right to resign freely in adherence with standard legal procedures.
	Principle 5: Businesses should uphold the effective abolition of child labour. We are firmly committed to preventing child labour across all operations. We enforce a strict policy against child labour and actively monitor compliance with labour laws in each country where we operate, ensuring that all practices align with our ethical standards.
	Principle 6: Businesses should uphold the elimination of discrimination in respect of employment and occupation. We are committed to eliminating all forms of discrimination in our workforce and fostering an equitable work environment. Our commitment is reflected in our active support of employment equity and human resource policies, which promote fair pay and non-discrimination, all of which are accessible on the Company's website.
Environment	Principle 7: Businesses should support a precautionary approach to environmental challenges. Our ESG policy applies the precautionary principle and underscores the commitment to achieving world-class environmental performance sustainably.
	Principle 8: Businesses should undertake initiatives to promote greater environmental responsibility. We are committed to advancing environmental responsibility through a range of initiatives, and our efforts focus on optimising the addressing of climate-related risks and opportunities. This approach reflects our commitment to sustainable practices and proactive action in mitigating environmental challenges.
	Principle 9: Businesses should encourage the development and diffusion of environmentally friendly technologies. We are committed to exploring the development and diffusion of environmentally friendly technologies to mitigate environmental challenges.
Anti-corruption	Principle 10: Businesses should work against corruption in all its forms, including extortion and bribery. We have a zero-tolerance policy regarding fraud and corruption and expect all employees, business partners, contractors and associates to comply with our code of ethics and anti-bribery and anti-corruption policy.

05 Our Sustainability Governance and Compliance

Sanlam Kenya is committed to upholding the highest standards of sustainability governance and regulatory compliance. Our approach ensures that we integrate ESG considerations into our corporate decision-making, risk management, and business operations. This framework enhances our ability to create long-term value for stakeholders while fostering transparency, accountability, and ethical leadership.

5.1 Policy Commitments

The Company is a signatory to the Nairobi Declaration on Sustainable Insurance and the UNGC. In 2024, Sanlam Kenya reinforced its policy commitments by joining the WEPs, an initiative by UN Women and the UNGC to solidify the company's commitment to promoting gender equality within the organisation and the broader community. Its commitments have extended to Board charters, strategies and processes to promote sustainable business practices.

5.2 Governance Structures for Sustainability Oversight

Sanlam Kenya's governance structure is set to ensure effective oversight and accountability at all levels of the company. Our Board of Directors plays a crucial role in guiding our sustainability strategy, supported by our Audit, Actuarial, and Risk committee, which oversees any sustainability-related issues as detailed below.

Department/Body	Function/Role
Board of Directors (Sanlam Kenya PLC and Sanlam General Insurance Limited)	- Provides oversight and leadership on sustainability matters. - Integrate sustainability into strategic priorities and long-term objectives. - Sets sustainability goals, monitors performance, and holds management accountable for meeting targets.
Executive Management	- Support implementation of the sustainability strategy. - Integrate sustainability across company and departmental strategies. - Allocate resources to support sustainability efforts. - Ensure timely submission of information for sustainability reporting.
Audit, Actuarial, and Risk Committee	- Oversees ESG strategy development and recommends changes to the Board. - Monitors objectives and targets for ESG strategy implementation. - Reviews ESG data and content for the company's annual report. - Monitors operational, regulatory, and reputational ESG risks and provides insights on risk management.
Head of Sustainability	- Acts as the focal point for sustainability within the organisation. - Leads sustainability reporting and strategy implementation. - Drives organisational transformation where sustainability is a key profitability driver.
ESG Champions	- Assist the Head of Sustainability in monitoring ESG initiatives. - Proactively assess ESG issues, trends, and risks. - Collect ESG data and oversee project implementation.



5.3 Sustainability Risk Management

At Sanlam Kenya, risk management is central to our business model and our commitment to sustainable value creation. To effectively identify, assess, and mitigate ESG risks, we have established a robust risk framework tailored to our business operations.

This framework is applied across all our business activities. This includes insurance underwriting, investments, and operational processes, where adequate data and insights are available to conduct meaningful ESG risk assessments. To ensure we remain resilient in a dynamic business environment, we regularly review our ESG risks to respond to evolving risk factors and changing stakeholder expectations.

Risk Category	Sanlam Kenya's Response	
	Mitigation Strategy	Potential Opportunity
Climate Change Risks	- Ensure reduction of our carbon footprint. - Green certification – Sanlam Tower.	- Continuously innovate products for key sectors (e.g., SMEs, etc.). - Address Scopes 1, 2, and 3 emissions. - Continuously develop our climate risk modelling.
Regulatory Risks	- Conduct robust risk management. - Data protection policies.	Building investor confidence through transparent disclosure of sustainability performance.
Human Resources Risks	- Employee engagement and sense of belonging. - Employee welfare, decent work, and social activities.	- Training and professional development. - Talent retention. - Productive workforce.
Strategic Risks	- Stakeholder engagement. - Manage emerging risks, including climate-related risks. - Reinsurance risk transfer. - Product innovation – flexible and inclusive products.	- Investing in technology to unlock operational efficiencies. - Optimising distribution channels. - Financial literacy.
Operational Risks	- ESG consideration in underwriting strategies. - Claims management. - Leverage data and technology in modelling and analytics tools.	- Proactively enhance process efficiencies. - Build ESG into business planning processes, actuarial and monitoring against key ESG metrics. - Financial literacy.
Reputational Risks	- Improved response and contingency plans. - Stakeholder engagement and involvement.	- Disclosure and transparency of sustainability performance. - Employee wellbeing initiatives and sense of belonging.

06 Our Social Impact

Sanlam Kenya is committed to creating a business centred on financial inclusion through innovation and access to insurance products. This is targeted at catalysing economic development and mitigating the socio-economic challenges confronting our communities. Through proactive stakeholder engagements and inclusion, our mission is to be a force for good in all our business and community engagements. Our approach to social impact is underpinned by the following:

6.1 Employee Wellbeing and Human Rights

In 2024, three ESG champions at Sanlam Kenya participated in the UNGC African Business and Human Rights program as a strategic tool to ensure that aspects of human rights and employee wellbeing are upheld. This adds to the existing procedures and policies such as the staff handbook, data privacy policy, complaints management handling policy for clients, customer service charter and Anti-money Laundering (AML) policy which are regularly reviewed. No human rights violations were reported in 2024.

6.2 Financial Inclusion

We foster financial inclusion for our stakeholders through accessible insurance solutions, innovative partnerships and financial literacy programmes. We also use digital platforms to ensure financial security and sustainable market expansion.

We have actively leveraged technology and partnerships to enhance financial inclusion by making insurance products more accessible to different market segments. The partnership with Little Cab App exemplifies this commitment by integrating the 'Family Care' insurance cover directly within the app. This cover ensures seamless onboarding for drivers and provides financial security in the event of bereavement or permanent disability. By the end of 2024, this initiative had attracted 925 driver



From left to right:
Dr Patrick Tumbo, Group Chief Executive Officer Sanlam Kenya PLC, Nozizwe Vundla, Head of Sanlam Foundation (SA), George Kuria Chief Executive Officer, Sanlam General, Dr Robert Nyarango Chief Executive Officer, Gertrude's Children's Hospital during the partnership launch unveiling the "Enabling children with disabilities for a Brighter Tomorrow Project."

subscriptions, generating an Annualised Premium Income (API) of KShs 4,925,544. Additionally, the Digital Individual Pension Plan (IPP) has provided a convenient digital retirement savings solution, covering 19 policies with an API of KShs 7,711,394 by year-end.

We have also enhanced student financial protection through the 360 Students product, which provides life insurance coverage against accidents, medical expenses, permanent disability, and death. Furthermore, bancassurance partnerships have played a crucial role in increasing insurance accessibility. In 2024, we established a strategic partnership with NCBA Group, building on our 2023 partnership with KCB Group for life insurance distribution. Cumulatively, these partnerships have resulted in 3,847 new policyholders.

Our partnership with Safaricom Plc (in pilot phase) has transformed mobile insurance in Kenya through an embedded insurance offering, integrating device insurance and credit life insurance into the customer journey. By the end of 2024, this initiative successfully onboarded 403,706 clients, generating KShs 10,448,746.54 in API for Credit Life Insurance under Sanlam Life Insurance and KShs 65,304,665.88 in API for Phone Insurance under Sanlam General Insurance.

We empowered our stakeholders and communities through financial literacy sessions to promote knowledge and skills. This ultimately led to improved socio-economic conditions as part of our financial inclusion initiatives in Kenya.

We continue to harness technology and strategic partnerships to drive financial inclusion. Through our collaboration with Little Cab App, we introduced the 'Family Care' insurance cover, offering drivers a seamless onboarding experience and vital protection against bereavement and permanent disability.

6.3 Employee Satisfaction Rate

Employee satisfaction is measured through the annual company culture survey rating, as well as through the Customer Satisfaction Index from the customer service team. The table below highlights the comparable rates of employee satisfaction in the Financial years of 2023 and 2024.

Aggregated Employees Satisfaction	FY 2023 Rates	FY 2024 Rates
Life Insurance	82%	91%
General Insurance	67%	87%

6.4 Building a Sustainable Workforce

Building a sustainable workforce is a crucial element of sustainable and responsible business practice that guarantees a company a long-term supply of skilled employees. Our focus on building a sustainable workforce has positively contributed to increased productivity, effective service delivery, reduced employee turnover, greater innovation, and a positive reputation. The industry gives an optimal attrition rate of 20-30% (retention rate of 70-80%).

The table below provides comparable retention and attrition rates for Sanlam Kenya PLC in 2023 and 2024:

Aggregated Attrition	FY 2023 Rates	FY 2024 Rates
Life Insurance	4%	8%
General Insurance	7%	19%

Aggregated Retention	FY 2023 Rates	FY 2024 Rates
Life Insurance	96%	92%
General Insurance	93%	81%





6.5 Customer Experience

The Customer Satisfaction Index rating for Sanlam Life Insurance was 83% as of 31st December 2024. This rating indicates our robust customer centric approach to business.

The table below summarises the awards that Sanlam Kenya received in 2024, some of which were stakeholder driven, particularly based on customer experience:

2024 Awards for Sanlam Kenya Plc	Awarder	Details
Kenya's no. 1 Transparency and Accountability trailblazer (Kenya ESG Award 2023-2024)	Kenya Entrepreneurs' Conference on Trade and Development (KENCTAD)	- The award recognised Sanlam Kenya's transparency and accountability in stakeholder engagement and corporate governance, as outlined in the Environmental, Social, and Governance (ESG) principles. - Sanlam Kenya was also nominated for the same award, for year 2024-2025.
The Most Engaged Large Company Award, 2024 in Kenya.	United Nations Global Compact (UNGC)	The award recognised our active participation in UNGC programs and forums as part of our commitment to embracing the UNGC principles and Sustainable Development Goals (SDGs).
Overall, Winner in Insurance Industry - Financial Reporting (FiRe) Award.	Institute of Certified Public Accountants Kenya (ICPAK).	The award recognised Sanlam Kenya for its effective adoption of international financial reporting standards, which enhances accountability and transparency.
Best HR Transformation Strategies - Human Resources (HR) Certificate Awards	Institute of Human Resources Management (IHRM)	The award recognised Sanlam Kenya for contributing to the development of best-in-class Human Resources strategies that promote a high-performing culture and for embracing a people-centric approach.
Experience Award - Excellence in tailored insurance products	Kenya Entrepreneurs' Conference on Trade and Development (KENCTAD)	The Award recognised our unique tailor-made products and excellence in customer service that promote responsible and sustainable business practices as an insurer.
- Award of the Highest Growth in number of life policies - Award on Innovation - Award on most improved company	Association of Kenya Insurers (AKI)	The award recognised Sanlam Kenya's exemplary performance in the insurance sector on outstanding quality, productivity and innovation of the services and products.

6.6 Net Promoter Score (NPS)

The Net Promoter Score (NPS) is a metric used to measure the likelihood of a customer to recommend a company, product, or service to others. In the year 2024, the client NPS Sanlam General Insurance score for the year 2023 was 33, though unavailable for the year 2024. Sanlam Life Insurance NPS was 57 in the year, which was a great improvement from the 47 NPS in the year 2023, and the Customer Satisfaction Index was at 83.

6.7 Efficiency of Processes

Sanlam Kenya has implemented robust operational and strategic frameworks that ensure that there is efficiency in all processes. The table below shows some of the mechanisms that were implemented to enhance efficiency:

Insurance Service	Efficiency of the Processes
Customer Complaints Processes	- Complaints are recorded in a portal and tracked as per the Turn-Around-Timelines (TATs), which is specified in the Customer Service Charter. - The portal has an escalation matrix for complaints that exceed the TATs.
Insurance Claims processes	- Complaints related to claims are followed up and resolved using a system called Customer Issue Tracker which has inbuilt timelines and escalation processes. - The Customer Charter also informs customers on the turn-around-timelines for their claims. - Sanlam Kenya General Insurance assesses risk related to clients who have benefits for flood claims regarding areas prone to high risk of flooding. These are included as part of the underwriting considerations for the vulnerable regions. In 2024, the gross paid and outstanding flood claims for both motor and non-motor classes totalled KShs 38,283,475.30. Specifically, flood claims paid amounted to KShs 27,396,857.20, while outstanding flood claims totalled KShs 10,886,618.10.
Risk and Compliance function	- We track anticipated and emerging risks through the Risk and Compliance function, supported by Risk champions across the organisation. These champions receive periodic up-to-date training on risk-related matters. The company's Risk Management framework and policies are approved by the Board and are regularly reviewed and updated on any emerging trends. - Risk maturity levels are assessed by the Risk and Management team through a Gartner system. Risk management and Controls are embedded within all the organisational processes to ensure continuous improvement. Regular process, risks and controls mapping workshops and sessions help improve the risk control environment. The internal audit function acts as the third line model to give assurance and advice on the adequacy and effectiveness of our internal controls, which mitigate risks. - In 2024, staff undertook the AML training through the Learning Academy portal as part of risk awareness and risk management.
Ensuring the credibility of integrated Sustainability reporting and disclosures.	Our internal controls are integrated into the process for collecting ESG data. Further, Sanlam Kenya engages a sustainability certified consultant to guide its sustainability performance reporting. We also ensure peer reviews of the report by the Sanlam Kenya Group Sustainability reporting team and the Board. Sanlam Kenya intends to adopt assurance of its sustainability in the near term.
Tracking performance indicators and effectiveness of its response to the climate related risks and opportunities.	Our climate related risks and opportunities are tracked as part of the company's Sustainability Strategy.
Ensuring internal and industrial regulatory compliance	We have stayed ahead of regulatory compliance requirements by adopting a culture of continuous learning and mandatory adherence to the company's established standards, policies, industry regulations, and laws. This includes tracking complaints, conducting regular compliance audits, and holding annual customer satisfaction surveys.



6.8 Product Innovation for Financial Inclusion

Sanlam Kenya is dedicated to empowering its stakeholders to live with confidence through insurance products that are responsive and inclusive. This has been made possible through innovative partnerships, accessible insurance solutions, financial literacy programmes and strategic use of digital platforms that broaden reach and enhance economic security.

The table below shows our total expenditure in 2024 towards developing products and services that support sustainability and financial inclusion. The direct costs, mainly for promoting the accessibility of our insurance products through bancassurance and innovative products, increased from approximately KShs. 6.1 million in 2023 to

about KShs. 31.6 million in the year 2024.

Shift Your Destiny with Little Cabs

Sanlam Kenya, in partnership with Little Cabs, offers a 'Family Care' insurance cover dubbed 'Shift Your Destiny', a revolutionary and innovative life insurance solution tailored to provide financial security to the families of Little Cabs drivers in the event of bereavement or permanent disability.

Bancassurance Partnerships

In 2024, we expanded our bancassurance strategic partnerships to include NCBA Bank, in addition to our previous partnership with KCB Group; both partnerships

resulted in 3,847 inception businesses in 2024.

Flexible Individual and SME-focused Products

In 2024, we initiated several partnerships for flexible individual and SME focused products such as Wakandi, Fortune Credit and B-box. Some of the 2023 initiatives, such as the products with Little Cab, 360 students, Flexi Hela, and the Individual Pension Plan, continued to thrive as well.

7.9 Partnerships for Local Community Development

Tree Planting in Collaboration with Local Schools

In 2024, Sanlam Kenya, in collaboration with local schools in its community, planted trees, with approximately 300 children participating in the tree-planting initiative. The direct and indirect social impact was achieved through books we donated, green conservation talks on the benefits of the environment, and planting 800 indigenous and fruit trees, bringing the total number of planted trees to 1,000 since 2023.

Sanlam Kenya Allianz Social Impact Fund in Partnership with Gertude's Hospital Foundation (GFH)

In 2024, Sanlam Kenya PLC, the Sanlam Foundation, Gertrude's Hospital Foundation (GHF), and Allianz Group Social Impact Fund partnered to support 300 children living with disabilities.

The three-year partnership aims to empower youth aged 21 years and below, improving their social skills and enhancing their functional abilities through occupational therapy.

The 'Enabling Children with Disabilities for a Brighter Tomorrow' partnership was enabled by the Allianz Group Social Impact Fund of KShs.5.6 million. This illustrates our commitment to foster social inclusion, support children with special needs to enhance their employability prospects and live with confidence.

07 Our Environmental Stewardship

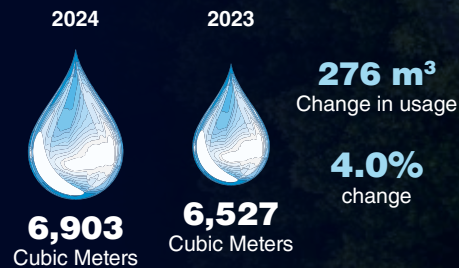
7.1 Water Stewardship

We are committed to minimising our impact on the environment through deliberate management of our water use. We installed a water solution that guarantees a consistent supply of safe drinking water, through purification units that connect to portable water systems. These systems purify and dispense water at designated locations while simultaneously eliminating the need for single-use plastic water bottles. Sanlam Tower is also fitted with sensors and slow-flow taps in the washrooms that prevent water wastage. In 2024, water usage at Sanlam Tower increased by 4% mainly due to an increase in the tenant occupancy as shown below:

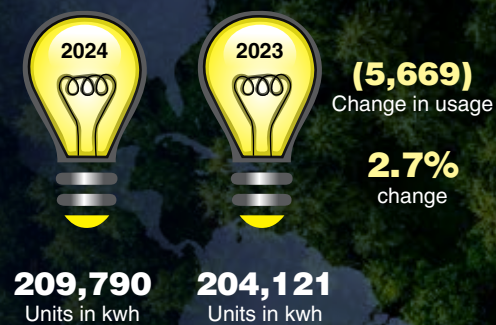
7.2 Energy Consumption Management

In 2024, the quantity of electricity units purchased for our operations at Sanlam Tower decreased by 2.70% compared to 2023, as shown below.

Water Consumption - Sanlam Towers (Cubic Meters – 2023 to 2024)



Electricity Consumption - Sanlam Towers (Kilowatt hours – 2023 to 2024)



7.3 Waste Management, Reduction of Plastic and Paper Use

In 2024, Sanlam General Insurance implemented **bottle-less water dispensers** at its Head office, resulting in actual cost savings of KShs 113,473 and significantly reducing plastic waste. Sanlam Life Insurance had implemented the bottle-less-water dispensers at its Head Office and branch network in 2022. Additionally, collaboration with organisations like the WEEE Centre facilitated electronic waste (e-waste) collection drives, promoting responsible disposal at Sanlam Towers. We implemented **waste segregation** at Sanlam Towers in 2024, separating recyclables, organic, paper, plastics and non-recyclable hazardous waste segregated at source.



At Sanlam, energy management is much more than a social and environmental responsibility, it's also a commercial and business asset.



2024	SLI (Waste in Kg)	SGI (Waste in Kg)	Total (Waste in Kg)	% per type of Waste
PAPER	323.90	287.20	611.10	38%
PLASTIC	196.71	200.96	397.67	24%
ORGANIC	322.00	298.00	620.00	38%
Total Waste	842.61	786.16	1,628.77	100%
% Per Entity SLI/SGI	52%	48%	100%	

In collaboration with WEEE Centre, we increased awareness of responsible e-waste management and had a collection drive for personal e-waste for Sanlam Towers occupants. We diverted hazardous materials from landfills in 2024 through our Property Manager. An e-waste certificate was issued to Sanlam Towers by WEEE Centre after the e-waste collection drive, indicating 13.40 kg of e-waste was collected from Sanlam Towers occupants and led to a 19.26 kg reduction in carbon emissions. Future goals include the

installation of e-waste bins and the adoption of zero single-use plastic as our commitment to continuously improve in the efficient management of waste.

Digitisation of processes (e.g., e-proposals, e-policies) reduced paper usage by 20% in 2024 compared to 2023, leading to cost savings and reduced carbon footprint. As indicated in the table below:

Paper use	2024 (Volumes)	2023 (Volumes)	Variance/ Reduction (Volumes)	% reduction
Total Volumes printed and photocopies	875,848	1,093,961	(218,113)	20%

7.4 Nature-related Commitments, Resilience, Opportunities and Initiatives

In the year 2024, we planted a total of 800 trees of various species, including indigenous and fruit trees, in Nairobi and Mombasa, contributing to biodiversity on land. We aim to continue our efforts in promoting biodiversity in alignment with the Taskforce on Nature-Related Disclosures (TNFD) recommendations. Our tree-growing initiative and partnerships with environmental organisations reflect this commitment, and we will explore further opportunities relating to TNFD recommendations.

7.5 Greenhouse Gas Emissions and Reduction Initiatives

While Sanlam Kenya has not yet quantified its greenhouse gas (GHG) emissions, we are committed to reducing our carbon footprint. Initiatives such as digitised products, automated processes, flexible work schedules, and the reduction of single-use plastics contribute to lower GHG emissions. We aim to track our Scope 1, 2 and 3 GHG emissions in the long term.

7.6 Climate-related commitments, Resilience, Opportunities and Initiatives

Sanlam Kenya is a signatory to the Nairobi Declaration on Sustainable Insurance (NDSI) and the Africa Private Sector Climate Statement. These commitments drive climate-resilient product design, such as coverage for renewable energy installations. The company also advocates for climate-smart agriculture through partnerships with SMEs. Our traditional insurance offerings also cover climate-related risks (e.g., flood damage under Fire and Peril). The company also promotes the adoption of renewable energy through our solar panel insurance covers. Participation in the UNGC Climate Accelerator Program in 2024, led by three ESG champions, enhanced our internal capacity for climate action. The Climate Ambition Accelerator is a program designed to equip companies with the knowledge and skills they need to accelerate progress towards setting science-based emissions reduction targets.



Sanlam Kenya Plc – Notice to The Annual General Meeting

NOTICE IS HEREBY GIVEN that the 79th Annual General Meeting of the Company will be held via electronic communication on Friday 27 June 2025 at 11.00am. to conduct the business detailed below:

AGENDA

1. To table the proxies and note the presence of a Quorum.
2. To read the Notice convening the meeting.
3. To confirm the minutes of the previous Annual General Meeting held on 26 June 2024 and the Extra Ordinary General Meeting held on 11 December 2024.
4. To consider, and if approved, adopt the Balance Sheet and Accounts for the year ended 31 December 2024 together with the reports of the Chairman, the Group Chief Executive, the Directors, the Auditor and the Statutory Actuary.
5. To note that the Directors do not recommend the payment of Dividend for the financial year ended 31 December 2024.
6. To elect Directors:
 - 6.1 Mr Rohan Patel retires by rotation in accordance with the Company's Articles of Association and offers himself up for re-election.
 - 6.2 Dr Grace Mwai retires by rotation in accordance with the Company's Articles of Association and he offers herself for re-election.
 - 6.3 Ms Rose Agutu retires by rotation in accordance with the Company's Articles of Association and he offers herself for re-election.
7. In accordance with the provisions of Section 769 of the Companies Act, 2015 the following Directors, being members of the Audit, Actuarial, Risk and Compliance Committee be elected to continue serving as members of the Committee:
 - (a) Freda Britz (Chair Person)
 - (b) Nelius Bezuidenhout
 - (c) Cornie Foord
 - (d) Rose Agutu
 - (e) Amine El Kernighi

8. To approve the Directors' remuneration.
9. To note that the auditors, KPMG Kenya as will continue in office in accordance with Section 721(2) of the Companies Act No. 17 of 2015 until the conclusion of the next Annual General Meeting and to authorise the Directors to fix their remuneration.

SPECIAL BUSINESS

1. To consider and if deemed fit to approve the following policies pursuant to Regulation 8.21 of the Thirteenth Schedule to the Capital markets (Public Offers, Listings, Disclosures) Regulations, 2023:
 - (a) Directors Remuneration Policy
 - (b) Stakeholder Management Policy
 - (c) Corporate Disclosure and Procedures Policy
 - (d) Dispute Resolution Policy; and
 - (e) Board Appointment Policy and Procedure
2. To transact any other business with the permission of the Chair for which 48 hours' notice had been given to the Group Company Secretary at the registered office of the Company.

By Order of the Board



Emma Wachira
Group Company Secretary

Date: 3 June 2025

NOTES:

1. Shareholders wishing to participate in the meeting should register for the AGM by doing the following:
 - (i) Dialling *483*902# for all networks and follow the various prompts regarding the registration process; or
 - (ii) Sending an email request to be registered to sanlamagm@image.co.ke; or
 - (iii) Shareholders with email addresses will receive a registration link via email through which they can use to register.
 - (iv) In order to complete the registration process, shareholders will need to have their ID/Passport Numbers which were used to purchase their shares and/or their CDSC Account Number at hand. For assistance shareholders (whether in Kenya or outside) should dial the following helpline number: (+254) 709 170 000 from 8:00 a.m. to 5:00 p.m. from Monday to Friday. Any shareholder outside Kenya should dial the helpline number to be assisted to register.
2. Registration for the AGM opens on 4 June 2025 at 8:00 a.m. and will close on 25 June 2025 at 11:00a.m. Shareholders will not be able to register after 25 June 2025 at 11:00a.m.
3. In accordance with Section 283 (2) (c) of the Companies Act, the following documents may be viewed on the Company's website <https://www.sanlam.com/kenya> (i) a copy of this Notice and the proxy form; (ii) the Company's audited financial statements for the year ended 2024.

The reports may also be accessed upon request by dialling the USSD code above and selecting the Reports option. The reports and agenda can also be accessed on the livestream link.
4. A shareholder entitled to attend and vote at the meeting and who is unable to attend electronically is still entitled to appoint a proxy to attend and vote on his behalf. A proxy need not be a shareholder of the Company. To be valid, a proxy form, which is available from the Company's head office or the Share Registrar's offices, must be completed and signed by the shareholder or the duly authorised attorney of the shareholder and must be either emailed to sanlamagm@image.co.ke or lodged at the offices of the Company's Share Registrar's Image Registrars, 5th Floor, Absa Towers (formerly Barclays Plaza), Loita Street, Kenya so as to arrive not later than 11:00am on 25 June 2025. A proxy form is attached to this Notice [and is available on the Company's website via this link: <https://www.sanlam.com/kenya>]. Physical copies of the proxy form are also available at the following address: Image Registrars Limited offices, 5th Floor Absa Towers (formerly Barclays Plaza), Loita Street.
5. Any person appointed as a proxy should submit his/her mobile telephone number to the Image Registrars no later than 24 June 2025 at 11:00 a.m. Any proxy registration

that is rejected will be communicated to the shareholder concerned no later than 25 June 2025 at 11:00am to allow time to address any issues.

6. Shareholders wishing to raise any questions or clarifications regarding the AGM may do so by:
 - (a) sending their written questions by email to agm@sanlam.co.ke;
 - (b) shareholders who will have registered to participate in the meeting shall be able to ask questions via sms by dialling the USSD code above and selecting the option (ask Question) on the prompts; or
 - (c) to the extent possible, physically delivering their written questions with a return email address to the registered office of the Company at Sanlam Tower, 15th Floor, Waiyaki Way, Westlands, Nairobi, or to Image Registrars offices at 5th floor, Absa Towers (formerly Barclays Plaza), Loita Street; or
 - (d) sending their written questions with a return email address by registered post to the Company's address at P. O. Box 10493-00100 Nairobi.

Shareholders must provide their full details (full names, ID/Passport Number/CDSC Account Number) when submitting their questions and clarifications.
7. All questions and clarification received by the Company by **Wednesday 25 June 2025** at 5:00 pm will be responded to by the directors of the company by 25 June 2025. A full list of all questions received and the answers thereto will be published on the Company's website before the commencement of the General Meeting. Some of the questions will also be answered during the meeting.
8. The AGM will be streamed live via a link which shall be provided to all shareholders who will have registered to participate in the AGM.
9. Duly registered shareholders and proxies will receive a short message service (SMS) prompt on their registered mobile numbers, 24 hours prior to the AGM acting as a reminder of the AGM. A second SMS prompt shall be sent one hour ahead of the AGM, reminding duly registered shareholders and proxies that the AGM will begin in an hours' time and providing a link to the livestream.
10. Duly registered shareholders and proxies may follow the proceedings of the AGM using the livestream platform and may access the agenda, ask a question, propose and second resolutions and vote via the VOTE tab on the livestream link. Duly registered shareholders and proxies may vote via the USSD prompts as well as through the vote tab on the livestream link.
11. Results of the AGM shall be published on the Company's website <https://www.sanlam.com/kenya> within 24 hours following conclusion of the AGM
12. Shareholders are encouraged to continuously monitor the Company's website <https://www.sanlam.com/kenya> for any updates relating to the AGM.

Risk management

“Strength in motion. Power in persistence.”

Rhinos are ancient giants with thick protective skin and a strong sense of smell. Though mostly solitary, they play a crucial role in shaping landscapes by grazing and creating paths that benefit other wildlife.

Risk management

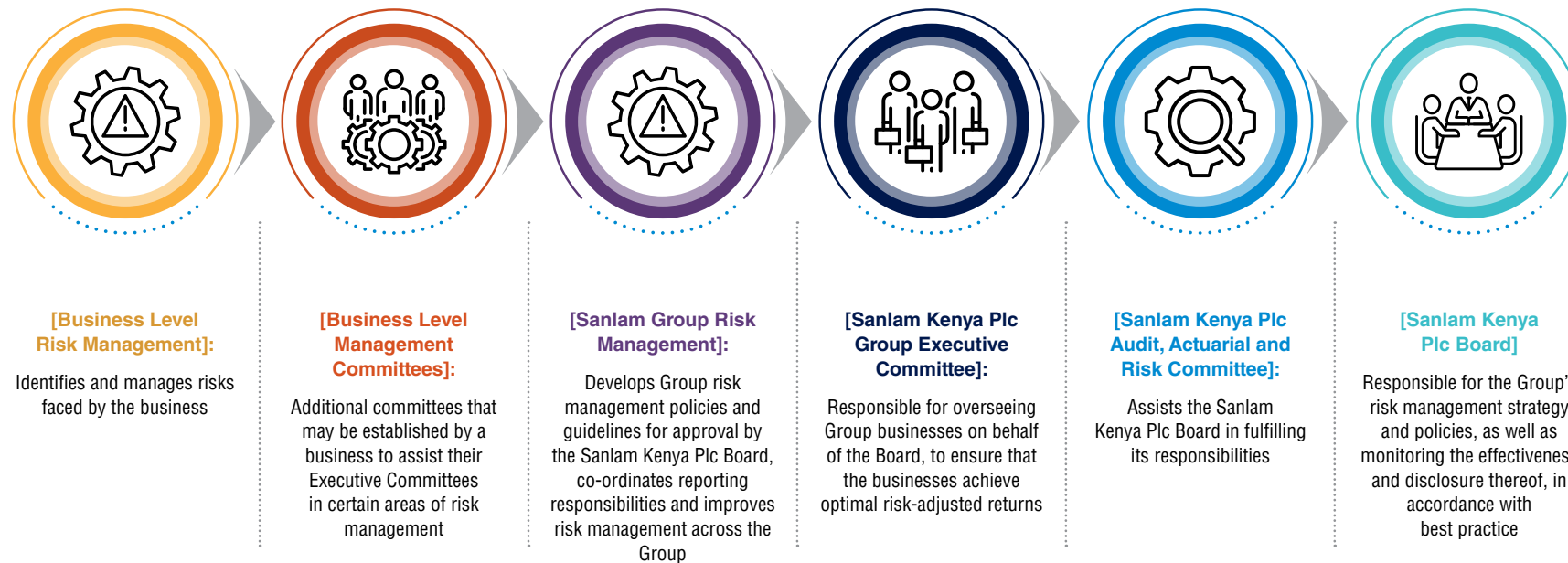
The Group's activities expose it to a variety of financial risks including credit, liquidity, and market risks. The Group's overall risk management policies are set out by the board and implemented by the management and focus on the unpredictability of changes in the business environment and seek to minimise the potential adverse effects of such risks on the Group's performance by setting acceptable levels of risk. The Group does not hedge against any risks.

(a) Governance structure

The Board meetings of the Group are held according to a Board calendar that is planned at the beginning of each year. The Board meetings are scheduled in a manner that increases the efficiency of the Board. Meetings of the Boards and Board Sub-committees of the subsidiaries are held first, and Sanlam Kenya Plc's Board and Board Sub-committees meet after the subsidiaries Boards conclude their meetings and prepare their reports

for submission to the Board of Sanlam Kenya Plc. The agenda of the Board focuses on Group strategy, capital management, accounting policies, financial results, dividend policy, human resource development, corporate governance and requirements of the Capital Markets Authority (CMA) and Nairobi Securities Exchange (NSE). The Board of each group company is responsible for statutory matters as well as monitoring operational efficiency and risk issues throughout the Group.

The Group operates within a decentralised business model. In terms of this philosophy, the Sanlam Kenya Plc Board sets the Group risk management policies and frameworks while the individual businesses take responsibility for all operational and risk-related matters at a business level, within the limits set by these policies and frameworks. The following diagram generically depicts the flow of risk management information from the individual businesses to the Sanlam Kenya Plc Board.



Risk management (continued)

(a) Governance structure (continued)

A number of other risk monitoring mechanisms are operating within the Group as part of the overall risk management structure. The most important of these are illustrated in the following table.

Other Risk Monitoring Mechanisms

 [Capital Management] Reviews and oversees the management of the Group's capital base	 [Asset and Liability Matching] Determines appropriate investment policies and guidelines for policyholder portfolios where guarantees are provided	
 [Compliance] Facilitates management of compliance through analysing of statutory and regulatory requirements, and monitoring implementation and execution thereof	 [Group Risk Forum] Aids co-ordination and transfer of knowledge between businesses and the Group, and assists Group Risk Management in identifying risks requiring escalation to the Sanlam Kenya Plc Board	 [Non-listed Assets] The Audit Committee reviews and approves the valuation of all unlisted assets in the Group for recommendation to the Sanlam Kenya Plc Board
 [Chief Financial Officer (Finance)] Ensures that sound financial practices are followed, adequate and accurate reporting occurs, and financial statement risk is minimised	 [Actuarial] Monitors and reports on key risks affecting the life insurance operations. Determines capital requirements of the life insurance operations and the potential impact of strategic decisions thereon, by using appropriate modelling techniques	 [Group Legal and Corporate Secretarial] Reviews and reports on corporate governance practices and structures. Reports on applicable Legal and compliance matters
 [Sanlam Forensics] Investigates and reports on fraud and illegal behaviour in businesses	 [Investment Committee] Determines and monitors appropriate investment strategies for policyholder solutions	 [IT Risk Management] Manages and reports Group-wide IT risks
 [Risk Officer] Assists business management in their implementation of the Group risk management strategy, and to monitor the risk profile of the business		 [Internal Audit] Assists the Sanlam Kenya Plc Board and management by monitoring the adequacy and effectiveness of risk management in businesses

Risk management (continued)

(b) Group risk policies and guidelines

All risks are managed in terms of the policies and guidelines of the Board and its committees. Some of the main policies are:

- (i) The Group Enterprise Risk Management (ERM) Framework;
- (ii) The Group Strategic Risk Management (SRM);
- (iii) Group Risk Escalation Policy (REP);
- (iv) Group Business Continuity Policy (BCP);
- (v) Group Information and Communication Technology (ICT) Risk Management Policy;
- (vi) Assets and Liabilities Matching (ALM) Policy; and
- (vii) Group Investment Policy.

The above policies were developed by Sanlam Group Enterprise Risk Management and have been implemented by all Group businesses. The maturity of the implementation within the Group does, however, vary from business to business due to different cost/benefit scenarios, complexity of risks and the degree of risk integration. At the quarterly Sanlam Kenya Plc Board, risk management reports are tabled that must also indicate the extent of compliance with the Sanlam Risk Management Policies.

The aim of the Group Escalation Policy is to ensure that key risks and risk events in any business in the Group are reported to the appropriate governance level. The Group Business Continuity Policy ensures that effective vertical and horizontal recovery abilities, consistent with business priorities, exist across the Group, to deal with disasters and related contingencies. The Sanlam Kenya Plc Group Strategic Risk Management is briefly summarised below:

Sanlam Kenya Plc Group Strategic Risk Management (SRM)

Definition

SRM is a high-level over-arching approach to ensure that:

- i. All risks which could jeopardise or enhance achievement of the Group's strategic goals are identified;
- ii. Appropriate structures, policies, procedures and practices are in place to manage these risks;
- iii. Sufficient organisational resources are applied to, and corporate culture is fully

supportive of, the effective implementation of these structures, policies, procedures and practices;

- iv. The organisation's risks are indeed being managed in accordance with the foregoing; and
- v. The impact of strategic decisions on the risk-adjusted return on Group Embedded Value is considered by way of appropriate modelling techniques prior to such decisions being implemented.

Objective

The primary objective of SRM is to optimise the Group's risk-adjusted return on Group Embedded Value.

Philosophy

SRM is achieved by:

- i. Applying a decentralised philosophy, in that the individual businesses are responsible for the identification of risks in their business and to apply appropriate risk management. Only significant risks are escalated to the Sanlam Kenya Plc. Group level, in accordance with the Group Risk Escalation Policy (mentioned above). This policy guides the businesses to assess the impact of the risk (on a scale of insignificant to extreme), likelihood of risk (on a scale of rare to almost certain), and accordingly to determine the role players to whom the risk should be reported (from the Enterprise Risk Manager of the business to the chairman of the Audit, Actuarial, Risk and Compliance Committee).

Risk is inherent in doing business and includes all of the uncertain consequences of business activities that could prevent Sanlam Kenya Plc from achieving its strategic goals. The Group's strategic risk management process is aimed at managing three elements of risk:

- ii. **Opportunity:** managing risk on the upside as an "offensive" function; focusing on actions taken by management to increase the probability of success and decrease the probability of failure;
- iii. **Hazard:** managing risk on the downside as a "defensive" function; focusing on the prevention or mitigation of actions that can generate losses; and
- iv. **Uncertainty:** managing the uncertainty associated with risk, focusing on achieving overall financial performance that falls within a defined acceptable range.



Risk is inherent in doing business and includes all of the uncertain consequences of business activities that could prevent Sanlam Kenya PLC from achieving its strategic goals. The Group's strategic risk management process is aimed at managing elements of Opportunity risks; Hazard risks and Uncertainties.

Risk management (continued)

(b) Group risk policies and guidelines (continued)

Process

Each business has a documented process that links into the business's normal management process and includes:

- Strategic organisational and risk management context:
 - Strategic context (defining the strengths, weaknesses, opportunities and threats relative to the business environment),
 - Organisational context (understanding the business's goals, strategies, capabilities and values), and

- Risk management context (setting of scope and boundaries).

- Developing risk evaluation criteria, defining a logical framework for risk identification, establishing a risk identification process, analysing the risks identified, evaluating the risks against established risk criteria, deciding on the appropriate action and communication, with the aim of continuous management and improvement.

(c) Risk types

The Group is exposed to the following main risks:

	Risk type	Description	Potential significant impact
GENERAL RISKS	Operational	Operational risk is the risk that there is a loss as a result of inadequate or failed internal processes, people or systems and external events. Operational risk includes:	All Group businesses
		Information and technology risk: the risk of obsolescence of infrastructure, deficiency in integration, failures/inadequacies in systems/networks and the loss of accuracy, confidentiality, availability and integrity of data.	
		Going concern/business continuity risk: the risk that inadequate processes, people, financial controls and resources exist to continue business in the foreseeable future.	
		Legal risk: the risk that the Group will be exposed to contractual obligations which have not been provided for.	
		Compliance risk: the risk of not complying with laws and regulations, as well as investment management mandates.	
		Fraud risk: the risk of financial crime and unlawful conduct occurring within the Group.	
	Taxation	Taxation risk is the risk of financial loss due to changes in tax legislation that result in the actual tax on shareholders' fund earnings being higher than expected, with a corresponding reduction in return on Group Embedded Value; or the actual policyholder tax being higher than that assumed in the determination of premium rates and guaranteed policy benefits.	All Group businesses
	Reputational	Reputational risk is the risk that the actions of a business (e.g. the treatment of clients, employment equity and social responsibility) harm its reputation and brand.	All Group businesses
	Legislation	Legislation risk is the risk that unanticipated new acts or regulations will result in the need to change business practices that may lead to financial loss.	All Group businesses
	Strategic	Strategic risk is the risk that the Group's strategy is inappropriate or that the Group is unable to implement its strategy.	All Group businesses

Risk type		Description	Potential significant impact
FINANCIAL AND BUSINESS (SPECIFIC RISKS)	Market	① Market risk is the risk that the fair value or future cash flows of financial instruments will fluctuate because of changes in market price. Market risk includes:	Life insurance General insurance
		② Equity risk: the risk that the fair value of cash flows of a financial instrument will fluctuate as a result of changes in equity prices.	
		③ Interest rate risk: the risk that the value of an unmatched financial instrument will fluctuate as a result of changes in interest rates and the risks that mismatch losses will be incurred in respect of a matched asset/liability position following changes in interest rates.	
		④ Foreign Exchange Risk: The risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates.	
		⑤ Property risk: the risk that the value of investment properties will fluctuate as a result of changes in the environment.	Life insurance General insurance
	Credit	Credit risk is the risk that the Group will incur a financial loss from the inability or unwillingness of a counterparty to a financial instrument to discharge its contractual obligations. Credit risk includes:	Group
		Reinsurance risk: concentration risk with individual reinsurers, due to the nature of the reinsurance market and the restricted range of reinsurers that have acceptable credit ratings.	Life insurance General insurance
	Liquidity	Liquidity risk is the risk relating to the difficulty/inability to accessing/raising funds to meet commitments associated with financial instruments or policy contracts.	All Group businesses
	Insurance	Insurance risk includes:	Life insurance General insurance
		① Underwriting risk: the risk that the actual experience relating to mortality, disability and medical risks will deviate negatively from the expected experience used in the pricing of solutions and valuation of policy liabilities.	
		② Persistency risk: the risk of financial loss due to negative lapse, surrender and paid-up experience.	
		③ Expense risk: the risk of loss due to actual expense experience being worse than that assumed in premium rates and the valuation of policy liabilities.	
		④ Concentration risk: the risk of financial loss due to having written large proportions of business with policyholders of the same/ similar risk profile.	
	Capital adequacy	Capital adequacy risk is the risk that there are insufficient assets to provide for variations in actual future experience, worse than that which has been assumed in the valuation bases.	Life insurance General insurance

Risk management (continued)

(c) Risk types (continued)

1. Operational risk

The Group mitigates this risk through the strategic planning process, selection of experienced and technically competent staff with high ethical values, a comprehensive system of internal controls, internal audit, forensic and compliance functions and other measures such as back-up facilities, contingency planning and insurance. The initiation of transactions and their administration is conducted based on the segregation of duties, designed to ensure the correctness, completeness and validity of all transactions.

The management of risks associated with human resources is addressed in the Corporate Governance Report.

The following functions assist in mitigating operational risk:

(i) Internal audit

A board-approved internal audit charter governs internal audit activity within the Group. A regular risk-focused review of internal control and risk management systems is carried out and has unrestricted access to the Chairman of the Audit Committee and the Sanlam Kenya Plc Board. The authority, resources, scope of work and effectiveness of the functions are reviewed regularly.

(ii) External audit

The Group's external auditor is KPMG Kenya. The external auditors consider internal control relevant to the Group's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances and express an independent opinion on the annual financial statements. Non-audit services rendered by the external auditors are strictly governed by a Group policy in this regard.

(iii) Enterprise Risk Management

The Enterprise Risk Management function performs an annual review of the Group's risk management processes. The purpose of this review is to continuously identify potential areas for improved risk management in line with developing international best practice and the changing risk profile of the Group or any business units. The function also supports business units within the Group to incorporate risk considerations into their agenda and all decision-making processes.

2. Information and technology risk

The Group Information and Communication Technology risk management policies are authorised and ratified by the Group Executive Committee. These policies stipulate the role of the Information Security manager and other persons with IT risk management roles. Furthermore, it provides a framework of IT risk management, the methods of reporting, assessment and action, appropriate documentation and management of all risk-related IT incidents that have occurred, timing of communication and liaison with other functions in the Group.

3. Compliance risk

Laws and regulations:

The Group considers compliance with applicable laws, industry regulations and codes an integral part of doing business. The Group compliance function facilitates the management of compliance through the analysis of statutory and regulatory requirements and monitoring the implementation and execution thereof.

4. Fraud risk

The Group recognises that financial crime and unlawful conduct are in conflict with the principles of ethical behaviour, as set out in the Group's code of ethics and undermines the organisational integrity of the Group. The financial crime combating policy for the Sanlam Kenya Plc Group is designed to counter the threat of financial crime and unlawful conduct. A zero-tolerance approach is applied in combating financial crime and all offenders will be prosecuted. The forensic services function at Group level oversees the prevention, detection and investigation of incidents of unlawful conduct that are of such a nature that they may have an impact on the Group.

The head of each business unit is responsible for the implementation of the policy in his or her respective business and is accountable to the Group Chief Executive and the Board of Sanlam Kenya Plc. Quarterly reports are submitted by Group Forensic Services to the Group's Audit Committee on the incidence of financial crime and unlawful conduct in the Group and on measures taken to prevent, detect, investigate and deal with such conduct.

Risk management (continued)

5. Taxation risk

The risk is addressed through clear contracting to ensure that policy contracts entitle policyholders to after-tax returns, where applicable. The Group's internal tax resources monitor the impact of changes in tax legislation and are involved in the development of new products. External tax advice is obtained as required.

The Group consults widely with tax consultants when considering new initiatives to identify tax impact. As much as possible, the Group policy is to negotiate contracts gross of tax. Overseas contracts are negotiated inclusive of taxes and preference is given to parties in countries where Kenya has double taxation agreement.

6. Reputational risk

Actions with a potential reputational impact are escalated to the appropriate level of senior management. The Audit committee and board of directors are involved as required. Events with an industry-wide reputational impact are addressed through industry representative groups. Quarterly reports on the client complaints and adverse media mentions are submitted to the Executive Committee.

7. Strategic risk

The Group's governance structure and various monitoring tools in place ensure that any events that affect the achievement of the Group's strategy are escalated and addressed at the earliest opportunity. The Board has no tolerance for any breaches.

Group strategy is addressed on a continuous basis at various forums within the Group, the most important of which are:

- The Group's strategic direction and success is discussed and evaluated at an annual strategic session of the Group's Board as well as at the scheduled Board meetings during the year;
- As part of the annual budgeting process, the Group businesses present their strategic plans and budgets to the Executive Committee of the Group, which ensures that the businesses' strategies are aligned with the overall Group strategy; and
- The Group's Executive Committee, which includes the Group Chief and the Chief Executives of the various Group businesses, meets on a regular basis to discuss, among others, the achievement of the businesses' and Group's strategies. Any strategic issues are identified at these meetings and corrective actions are immediately implemented.

Financial statements

“Progress is built on solid foundations.”

Elephants have strong memory and emotions,
remembering places and individuals for years
and even mourning their dead.



Statement of Directors' Responsibilities

The Directors are responsible for the preparation and true and fair view representation of the consolidated and separate financial statements of Sanlam Kenya Plc (Group and Company) set out on pages 88 to 220. These comprise the consolidated and company statements of financial position as at 31 December 2024, and the consolidated and company statements of profit or loss, consolidated and company statements of other comprehensive income, consolidated and company statements of changes in equity and consolidated and company statements of cash flows for the year then ended, and notes to the consolidated and separate financial statements, including material accounting policies.

The Directors' responsibilities include determining that the basis of preparation described in Note 2 is an acceptable basis for preparing and presenting the consolidated and separate financial statements in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board (IFRS Accounting Standards) and in the manner required by the Kenyan Companies Act, 2015, and for such internal control as the Directors determine is necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.

Under the Kenyan Companies Act, 2015, the Directors are required to prepare consolidated and separate financial statements for each financial year which give a true and fair view of the financial position of the Group and Company as at the end of the financial year and of the profit or loss of the Group and Company for that year. It also requires the Directors to ensure the Group keeps proper accounting records which disclose with reasonable accuracy the financial position and profit or loss of the Group and Company.

The Directors accept responsibility for the consolidated and separate financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgments and estimates, in conformity with IFRS Accounting Standards and in the manner required by the Kenyan Companies Act, 2015. The Directors are of the opinion that the consolidated and separate financial statements give a true and fair view of the financial position of the Group and Company and of their profit or loss.

The Directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of consolidated and separate financial statements, as well as adequate systems of internal financial control.

The directors are aware of the following con

- i. During the year under review, the Group reported an after-tax profit of KShs 1,054 million (2023: after-tax loss of KShs 127 million) while the Company reported an after-tax profit of KShs 188 million (2023: an after-tax loss of KShs 536 million),
- ii. The consolidated cumulative losses as at 31 December 2024 was KShs 2,320 million (2023: KShs 2,288 million), while the Company cumulative losses as at 31 December

2024 was KShs 2,569 million (2023: KShs 2,757 million).

- iii. The Group reported a consolidated negative cash flows from operating activities of KShs 2,582 million for the year ended 31 December 2024
- iv. As at 31 December 2024, the Group holds a credit facility with a balance of KShs 3.04 billion with Stanbic Bank Kenya Limited which was set to mature on 16 March 2025. The group received 90 days extension of the facility maturity date to 17 June 2025.

The following are mitigation measures put in place by the directors to address the above-mentioned matters:

- i. Sanlam Life Insurance Limited, a subsidiary of Sanlam Kenya Plc has demonstrated a strong financial performance in the year ended 31 December 2024, generating an after-tax profit of KShs. 1,379 million. A dividend of KShs 900 million has already been paid in 2024 and further KShs 800 million has been paid subsequent to 2024 year-end to its shareholder, Sanlam Kenya Plc, to enable the entity fund its financial obligations for the year 2025.
- ii. Sanlam General Insurance Limited returned to profitability during the year 2023 posting KShs. 123 million in after-tax profits and has a posted after-tax profit of KShs 337 million in the year 2024 which affirms the entity's ability to continue as a going concern. The entity is now in a net asset position of KShs 532 million (2023 KShs 193 million).
- iii. Sanlam Emerging Markets the intermediate parent company advanced a loan of KShs 1,085 million to Sanlam General Insurance Limited to bridge the capital shortfall on 5 May 2022. The loan has been extended for a further 18 months and will now mature on 5 May 2025. Further, the loan agreement between Sanlam General Insurance Limited (the borrower) and Sanlam Emerging Markets (Pty) Limited (the lender) provides that "payment shall not be commenced or continued if it results in the CAR of the Borrower falling below 100%" and "(notwithstanding the Maturity Date), the loan shall not be repaid nor shall the lender exercise any right of set-off against other amounts which may be due by the lender to the borrower until the date upon which the CAR Shortfall has been extinguished, whereupon, the loan (together with all accrued interest, costs and charges) shall automatically become repayable in full."
- iv. Sanlam Kenya Plc's credit facility of KShs 3.04 billion is adequately secured by a corporate guarantee from Sanlam Limited. Based on the KShs 800 million repayments made subsequent to year-end (in 2025), the projected amount is expected to amount to KShs 2.4 billion, comprising principal and accrued interest by the time the KShs 2.5 billion capital raise proceeds are received to settle the balance.

Statement of Directors' Responsibilities (continued)

- v. The company is currently preparing for a KShs 2.5 billion rights issue; all board approvals, together with all the local regulatory approvals from relevant bodies are in place – Capital Markets Authority, Nairobi Securities Exchange & Insurance Regulatory Authority. SanlamAllianz (SAZ) will underwrite the rights issue and South African Reserve Bank has approved it. Offer opens on 3 April 2025 and closes on 17 April 2025 with funds expected by end of April 2025.

The directors are aware of the proposed merger between the Sanlam General Insurance Limited and Jubilee Allianz General Insurance Limited and that the Sanlam General Insurance Limited intends to transfer part of its assets and liabilities to Jubilee Allianz General Insurance Limited. The Sanlam General Insurance Limited has received a letter of support from the parent company, Sanlam Allianz, committing to provide financial support

for at least 12 months.

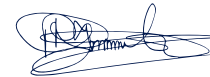
The Directors have considered the above-mentioned matters and have prepared the year 2024 Sanlam Kenya Plc Group financial results on a going concern basis. The basis assumes that the Group and Sanlam Kenya Plc will continue operating as going concerns for the foreseeable future..

Approval of the consolidated and separate financial statements

The consolidated and separate financial statements, as indicated above, were approved and authorised for issue by the Board of Directors on 13 April 2023.



Dr John P N Simba
Chairman
Date: 12 March 2025



Dr Patrick Tumbo
Group Chief Executive Officer

Directors' Remuneration Report

Information not subject to audit

The Company's Directors Remuneration Policy and Strategy

The Board establishes and approves formal and transparent remuneration policies to attract and retain both executive and non-executive Board members. These policies clearly stipulate remuneration elements such as Directors' fees, honorarium and attendance allowances that are competitive and in line with those of other players in the industry.

In accordance with the guidelines provided in the Companies (General) (Amendment) Regulations, Code of Corporate Governance as well as shareholder approval granted at the Annual General Meeting; the Directors and the Chairman are paid a taxable sitting allowance of KShs 99,040 and KShs 159,565 respectively, for every meeting attended.

It is proposed that each Director and the Chairman receives a gross fee of KShs 3,345,345 and KShs 4,249,909 respectively per annum for the financial year ended 31 December 2024 subject to approval by shareholders during the Annual General Meeting.

Contract of service

In accordance with the Capital Markets Authority (CMA) regulations on non-executive Directors, a third of the Board retires by rotation and is elected at every Annual General Meeting by the shareholders on rotation basis. The Group Chief Executive Officer has a permanent and pensionable contract with Sanlam Kenya Plc which commenced 2 August 2018.

Changes to Directors Remuneration

During the period, there were no changes in Directors Remuneration which is set as per the guidelines provided in Companies (General) (Amendment) Regulations and the Code of Corporate Governance.

Statement of Voting on the Directors Remuneration Report at the Previous Annual General Meeting

During the Annual General Meeting held on 26th June 2024, the shareholders unanimously approved the payments of Directors fees for the year ended 31 December 2023 by a show of hands.

The Group will schedule its Annual General Meeting in June 2025; the Notice of the Annual General Meeting will be circulated to the shareholders beforehand and approval will be sought from shareholders to pay Director Fees for the financial year ended 31 December 2024.

Information subject to audit

The following table shows a single figure remuneration for the Executive Directors, Chairman and Non-Executive directors in respect of qualifying services for the year ended 31 December 2024 together with the comparative figures for 2023. The aggregate Directors' emoluments are shown on Note 32 (d). The fees paid to Sanlam Emerging Markets directors do not accrue to them personally.

For the year ended 31 December 2024	Salary and short-term benefits	Fees	Total
	KShs '000	KShs '000	KShs '000
Patrick Tumbo – Executive	172,152	-	172,152
John PN Simba – Chairman	-	4,099	4,099
Amine El Kernighi	-	2,178	2,178
Rose Agutu	-	2,177	2,177
Grace Mwai	-	2,664	2,664
Rohan Patel	-	2,728	2,728
Nelius Bezuidenhout	-	2,813	2,813
Cornelius Foord	-	2,177	2,177
Freda Britz	-	2,897	2,897
	172,152	21,733	193,885

Directors' Remuneration Report (continued)

Information subject to audit (continued)

For the year ended 31 December 2023	Salary and short-term benefits	Fees	Total
	KShs '000	KShs '000	KShs '000
Patrick Tumbo – Executive	112,679	-	112,679
John P N Simba – Chairman	-	4,250	4,250
Tobias Doyer	-	2,474	2,474
Rose Agutu	-	2,850	2,850
Grace Mwai	-	3,325	3,325
Rohan Baloobhai Patel	-	3,246	3,246
Nelius Bezuidenhout	-	3,246	3,246
Cornelius Foord	-	2,850	2,850
Freda Britz	-	3,345	3,345
	112,679	25,586	138,265

All the directors' remuneration for the relevant financial years we paid before the close of the year.

Pension related benefits

	2024	2023
	KShs '000	KShs '000
Dr Patrick Tumbo – Executive	8,476	7,844
	8,476	7,844

Approval of the Directors' remuneration report

The Directors confirm that this report has been prepared in accordance with the Kenyan Companies Act, 2015, Capital Markets Authority (CMA) Code and listing rules and reflects the disclosure requirements under the IFRS Accounting Standards as issued by the

International Accounting Standards Board (IFRS Accounting Standards) with respect to related parties (see Note 32 to the consolidated and separate financial statements).

On behalf of the Board



Dr Grace Mwai
Chairperson, Remuneration Committee

Date: 12 March 2025

Report of the Statutory Actuary - Sanlam Life Insurance Limited

I have conducted a statutory actuarial valuation of the long-term business of Sanlam Life Insurance Limited as at 31 December 2024.

This valuation has been conducted in accordance with generally accepted actuarial principles and in compliance with the requirements of the Insurance Act Cap 487 of the Laws of Kenya. Those principles require that prudent principles for future outgo under contracts, generally based upon the assumptions that current conditions will continue. Provision is therefore not made for all possible contingencies.

In completing the actuarial valuation, I have relied upon the financial statements of the Company.

In my opinion, the long-term business of the Company was financially sound and the actuarial value of the liabilities in respect of all classes of long-term insurance business did not exceed the amount of funds of the long-term insurance business at 31 December 2024.



Giles T Waugh

Statutory Actuary

Fellow of the Actuarial Society of South Africa

Date: 12 March 2025.

Report of the Statutory Actuary – Sanlam General Insurance Limited

I have conducted an actuarial valuation of Sanlam General Insurance Limited as at 31 December 2024.

The valuation was conducted in accordance with generally accepted actuarial principles and in accordance with the requirements of the Insurance Act Cap 487 of the Laws of Kenya. Those principles require prudent principles for future outgo under contracts, generally based upon the assumptions that current conditions will continue. Provision is therefore not made for all possible contingencies.

In completing the actuarial valuation, I have relied upon the financial statements of the company.

In my opinion, the general business of the Company was financially sound and the actuarial value of the liabilities in respect of all the classes of general business did not exceed the amount of outstanding claims liabilities of the general business at 31 December 2024.



James Olubayi
Zamara Actuaries, Administrators & Consultants Limited

Date: 12 March 2025

Independent Auditor's Report to the Members of Sanlam Kenya Plc



Report on the audit of the consolidated and separate financial statements

Opinion

We have audited the consolidated and separate financial statements of Sanlam Kenya Plc (the "Group and Company") as set out on pages 88 to 220 which comprise the consolidated and company statements of financial position as at 31 December 2024, and the consolidated and company statements of profit or loss, consolidated and company statements of other comprehensive income, consolidated and company statements of changes in equity and consolidated and company statements of cash flows for the year then ended, and notes to the consolidated and separate financial statements, including material accounting policies.

In our opinion, the accompanying consolidated and separate financial statements give a true and fair view of the consolidated and separate financial position of Sanlam Kenya Plc as at 31 December 2024, and of its consolidated and separate financial performance and its consolidated and separate cash flows for the year then ended in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board (IFRS Accounting Standards) and in the manner required by the Kenyan Companies Act, 2015.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the consolidated and separate financial statements section of our report. We are independent of the Group and Company in accordance with the International Ethics Standards Board for Accountants International Code of Ethics for Professional Accountants (including International Independence Standards) (IESBA Code) together with the ethical requirements that are relevant to our audit of the consolidated and separate financial statements in Kenya, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated and separate financial statements of the current period. These matters were addressed in the context of our audit of the consolidated and separate financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Valuation of insurance contract liabilities (being insurance and reinsurance contract assets and liabilities) in the consolidated financial statements

See notes 2(c), 2(z), 4, 5, 6, 23 and 34 (g) to the consolidated financial statements

The key audit matter	How the matter was addressed in our audit
At 31 December 2024, the Group held insurance contract liabilities as well as reinsurance contract assets and liabilities as a result of its insurance operations. The Group applies IFRS 17 Insurance contracts to insurance contracts and reinsurance contracts it holds. In valuing insurance contract liability and asset balances, management applies significant judgment. Various assumptions are made including probability-weighted estimate assumptions regarding the expected claims and lapses, expected premiums on insurance contracts, expected directly attributable expenses, commission and charges. Changes to these assumptions may result in material changes to the valuation.	Our audit procedures in this area included; - Using our actuarial expertise, we assessed the valuation methodology and assumptions for compliance against the latest actuarial guidance, legislation and Group accounting policy in accordance with IFRS 17. - We challenged key assumptions and the methodologies and processes used to determine and update these assumptions through comparison with externally observable data (market data) and our assessment of the Group's analysis of experience to date and allowance for future uncertainty. Our challenge focused on the following assumptions:



Independent Auditor's Report to the Members of Sanlam Kenya Plc (continued)

Report on the audit of the consolidated and separate financial statements (continued)

Key audit matters (continued)

Valuation of insurance contract liabilities (being insurance and reinsurance contract assets and liabilities) in the consolidated financial statements	
See notes 2(c), 2(z), 4, 5, 6, 23 and 34 (g) to the consolidated financial statements	
The key audit matter	How the matter was addressed in our audit
The most significant assumptions made in the valuation of insurance contract liability balances arising from the Group's insurance contracts relate to: • Future mortality, longevity, morbidity and policyholder behaviour; • Persistency assumptions with regard to lapse, surrender and paid-up rates; • Future maintenance expenses; • Discount rates; • Inflation; and • Risk adjustment for non-financial risk. We considered the valuation of insurance contract liability balances to be a key audit matter in our audit of the financial statements because of the following: (i) The significant judgements and high degree of estimation uncertainty relating to the magnitude and timing of the projected cash flows and the use of significant unobservable assumptions applied in valuing it;	• the confidence levels applied in the determination of the risk adjustment for non-financial risk, non-financial assumptions (mortality, longevity, lapses/withdrawal, initial and renewal expenses, acquisition costs, maintenance expenses, premium collection rate), economic assumptions (inflation, discount rate and associated illiquidity premium) by comparing to historical claims experience and assessing the movement in claims experience and the concurrent changes on the risk adjustment factors. ① We tested the effectiveness of management controls over models, including that any changes to models have been appropriately tested and the impacts quantified by management. ② We evaluated the accuracy of the risk adjustment for non-financial risk, including calculation method, and its related release by conducting walkthroughs of the risk adjustment models and assessing the movement in claims experience and the concurrent changes on the risk adjustment factors;
(ii) The use of complex actuarial methods, together with significant judgements and assumptions; and (iii) The material nature of the insurance contract liability balances and the related disclosures in the consolidated financial statements as at 31 December 2024.	How the matter was addressed in our audit ① We evaluated the reasonability of the build-up and changes in the probability-weighted estimate liabilities (BEL), risk adjustment (RA) and contractual service margin (CSM), comparing expected changes to previous periods and unexpected changes to our knowledge of changes in the business and assumptions, based on the experience investigation results and assumption changes approved by management / governance structures. ② We assessed the appropriateness of management's allocation of groups of contracts into the various measurement buckets as required by IFRS 17. ③ Where management applied the premium allocation approach (PAA) to measure a group of contracts, we also assessed compliance of these groups with the eligibility criteria in IFRS 17.

Independent Auditor's Report to the Members of Sanlam Kenya PLC (continued)



Report on the audit of the consolidated and separate financial statements (continued)

Key audit matters (continued)

Valuation of insurance contract liabilities (being insurance and reinsurance contract assets and liabilities) in the consolidated financial statements	
See notes 2(c), 2(z), 4, 5, 6, 23 and 34 (g) to the consolidated financial statements	
The key audit matter	How the matter was addressed in our audit
	- For the valuation of the liability for incurred claims (LIC) for PAA contracts across the Group, we assessed management's valuation models. We assessed the adequacy of the assumptions applied by management e.g., claims ratio, claims triangles, reinsurance recovery rates, and assessed the adequacy of the year-end valuation with amongst others reference to prior years and key ratios; and - We assessed the adequacy of the insurance contract balances disclosures in the consolidated financial statements in accordance with IFRS 17 requirements.
The Directors have prepared the consolidated and separate financial statements on the basis of accounting applicable to a going concern. We considered the application of the going concern basis of accounting and the related disclosures in these financial statements to be a key audit matter due to the following: - The cumulative losses and negative cashflows from operating activities for the group and the company as at 31 December 2024 were material; - The group's and the company's significant borrowings due to mature in the year ending 31 December 2025 and the measures put in place to resolve liquidity challenges and raise additional funds to settle the outstanding obligations which include significant judgements and assumptions regarding cash flows. Due to the significant judgements made by the Directors in their evaluation of the group's and the company's ability to continue as a going concern, we considered this to be a key audit matter.	Our audit procedures in this area included: - evaluation of the Directors' assessment of the group's and the company's going concern for at least the next 12 months from the approval of these financial statements by: - examining the group's and the company's financial forecasts and understanding the underlying assumptions that the directors have used in preparing these forecasts. This involved evaluating the reasonableness of these forecasts based on evidence provided to support the underlying assumptions; - comparing the actual performance for the year ended 31 December 2024 to the budget and prior year in order to determine the reasonableness of the budgets and the historical accuracy of management forecasts; - understanding the debt restructuring agreements with existing lenders through reading of correspondence between the Directors, the Insurance Regulatory Authority (IRA) and the existing lenders; - evaluation of the adequacy of the disclosures made in the consolidated and separate financial statements in respect of judgements and plans made with respect to going concern assessment.



Independent Auditor's Report to the Members of Sanlam Kenya PLC (continued)

Report on the audit of the consolidated and separate financial statements (continued)

Other information

The Directors are responsible for the other information. The other information comprises the *Group and Company information, Five-year group review, Report of the directors, Risk management, Profile of the Directors, Statement of Directors' responsibilities, Directors' remuneration report and Reports of the statutory actuary*, but does not include the consolidated and separate financial statements, and our auditor's report thereon, which we obtained prior to the date of this auditor's report, and the additional other information to be included in the published *Sanlam Kenya PLC Annual Report and Financial Statements for the year ended 31 December 2024*, which is expected to be made available to us after that date.

Our opinion on the consolidated and separate financial statements does not cover the other information and we do not and will not express any form of assurance conclusion thereon, other than that prescribed by the Kenyan Companies Act, 2015 as set out below.

In connection with our audit of the consolidated and separate financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the consolidated and separate financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed on the other information that we have obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Directors' responsibilities for the consolidated and separate financial statements

The directors are responsible for the preparation of consolidated and separate financial statements that give a true and fair view in accordance with IFRS Accounting Standards and in the manner required by the Kenyan Companies Act, 2015 and for such internal control, as the directors determine is necessary to enable the preparation of consolidated and separate financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated and separate financial statements, the directors are responsible for assessing the Group's and Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going

concern basis of accounting unless the directors either intend to liquidate the Group and/or the Company or to cease operations, or have no realistic alternative but to do so.

In preparing the consolidated and separate financial statements, the directors are responsible for assessing the Group's and Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group and/or the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the consolidated and separate financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated and separate financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated and separate financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated and separate financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion.
- The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's and the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.

Independent Auditor's Report to the Members of Sanlam Kenya Plc (continued)



Report on the audit of the consolidated and separate financial statements (continued)

Auditor's responsibilities for the audit of the consolidated and separate financial statements (continued)

- ➊ Conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's and the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated and separate financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group and/or the Company to cease to continue as a going concern.
- ➋ Evaluate the overall presentation, structure and content of the consolidated and separate financial statements, including the disclosures, and whether the consolidated and separate financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- ➌ Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the Group audit. We remain solely responsible for our audit opinion.

We communicate with the Directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the directors with a statement that we have complied with relevant ethical requirements regarding independence and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the consolidated and separate financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

As required by the Kenyan Companies Act, 2015, we report to you, solely based on our audit of the consolidated and separate financial statements, that in our opinion;

- (i) The information in the report of the directors on pages 44 to 45 is consistent with the consolidated and separate financial statements; and
- (ii) The auditable part of the directors remuneration report on pages 79 to 80 has been prepared in accordance with the Kenya Company Act, 2015.

The engagement partner responsible for the audit resulting in this independent auditor's report is CPA Maurice Gachuhi, Practicing Certificate No. P/2699.

For and on behalf of:



KPMG Kenya
Certified Public Accountants
PO Box 40612 – 00100
Nairobi, Kenya

Date: 14 March 2025.

CONSOLIDATED AND COMPANY STATEMENT OF PROFIT OR LOSS FOR THE YEAR ENDED 31 DECEMBER 2024

		Group		Company	
		2024	2023	2024	2023
	Note	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Insurance revenue	4	7,359,029	6,936,282	-	-
Insurance service expenses	5	(5,672,959)	(5,048,193)	-	-
Net expenses from reinsurance contracts	5(d)	(1,042,555)	(1,201,990)	-	-
Insurance service result		643,515	686,099	-	-
Interest revenue calculated using the effective interest method	6	413,872	244,768	-	-
Other interest income	6	2,551,436	2,757,142	-	-
Other investment revenue	6	2,307,477	(1,940,684)	-	-
Net investment income		5,272,785	1,061,226	-	-
Net finance expenses from insurance contracts	6	(3,789,450)	(682,425)	-	-
Net finance income/(expenses) from reinsurance contracts	6	42,322	9,477	-	-
Net financial result		1,525,657	388,278	-	-
Other operating expenses	5(c)	(128,478)	(220,937)	(109,358)	(111,680)
Other incomes	7	355,250	(6,043)	998,431	154,123
Finance costs	22	(734,812)	(604,610)	(700,510)	(577,301)
Profit/loss before tax		1,661,132	242,787	188,563	(534,858)
Income tax expense	8(a)	(606,245)	(369,355)	(462)	(1,254)
Profit/(loss) for the year after tax		1,054,887	(126,568)	188,101	(536,112)

The notes set out on pages 96 to 220 form an integral part of these financial statements.

CONSOLIDATED AND COMPANY STATEMENT OF PROFIT OR LOSS

FOR THE YEAR ENDED 31 DECEMBER 2024

		Group		Company	
		2024	2023	2024	2023
	Note	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Profit/loss attributable to:					
Owners of the parent	28	959,870	(161,128)	188,101	(536,112)
Non-controlling interests	12(b)	95,017	34,560	-	-
		1,054,887	(126,568)	188,101	(536,112)
Earnings/(loss) per share:					
Basic - KShs	28	6.67	(1.12)	1.31	(3.72)
Diluted - KShs	28	6.67	(1.12)	1.31	(3.72)
Loss for the year, after tax:		1,054,887	(126,568)	188,101	(536,112)
Other comprehensive income for the year net of tax		-	-	-	-
Total comprehensive income for the year		1,054,887	(126,568)	188,101	(536,112)
Attributable to:					
Owners of the parent		959,870	(161,128)	188,101	(536,112)
Non-controlling interests		95,017	34,560	-	-
		1,054,887	(126,568)	188,101	(536,112)

The notes set out on pages 96 to 220 form an integral part of these financial statements.

CONSOLIDATED AND COMPANY STATEMENT OF FINANCIAL POSITION

AS AT 31 DECEMBER 2024

		Group		Company	
		2024	2023	2024	2023
	Note	KShs:'000	KShs:'000	KShs:'000	KShs:'000
ASSETS					
Property and equipment	10(a)	472,664	531,750	-	-
Right-of-use asset	10(b)	33,736	64,791	-	-
Investment properties	11(a)	2,399,680	2,479,580	-	-
Intangible assets	9	1,087	8,540	-	-
Investments in subsidiaries	12(a)	-	-	1,138,859	1,451,938
Deferred income tax asset	27	93,984	92,181	-	-
<i>Financial assets</i>					
Equity securities - At fair value through profit or loss	14	155,557	439,384	-	-
Government securities - At fair value through profit or loss	14	28,864,569	26,571,319	-	-
Government securities - At amortised cost	14	1,109,562	1,095,918	-	-
Loans	13	74,645	86,178	-	-
Reinsurance contract assets	17	423,411	1,153,349	-	-
Inventory	16	82,055	90,108	82,055	90,108
Current income tax receivable	8(b)	269,909	227,787	2,450	1,325
Receivables from intermediaries	18	-	255,201	-	-
Receivables and other assets	19	298,148	239,967	30,863	29,260
Deposits with financial institutions	14	1,540,386	1,561,335	-	17,754
Cash and bank balances	20	467,210	477,955	56,475	6,372
Assets held for sale	31	2,879,329	-	-	-
TOTAL ASSETS		39,165,932	35,375,343	1,310,702	1,596,757

The notes set out on pages 96 to 220 form an integral part of these financial statements.

CONSOLIDATED AND COMPANY STATEMENT OF FINANCIAL POSITION

AS AT 31 DECEMBER 2024

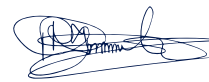
		Group		Company	
		2024	2023	2024	2023
		KShs:'000	KShs:'000	KShs:'000	KShs:'000
EQUITY AND LIABILITIES					
CAPITAL AND RESERVES					
Issued share capital	21	720,000	720,000	720,000	720,000
Statutory fund	21	3,371,581	2,380,139	-	-
Retained losses		(2,319,915)	(2,288,343)	(2,568,858)	(2,756,959)
Shareholder's funds		1,771,666	811,796	(1,848,858)	(2,036,959)
Non-controlling interests	12(b)	149,471	54,454	-	-
TOTAL CAPITAL AND RESERVES		1,921,137	866,250	(1,848,858)	(2,036,959)
LIABILITIES					
Insurance contract liabilities	23	27,535,254	27,770,379	-	-
General insurance reinsurance contract liabilities	24	-	53,586	-	-
Deferred income tax liability	27	1,445,377	1,020,059	-	-
Lease liabilities	10(b)	37,644	69,670	-	-
Provisions	25	33,678	34,570	-	-
Payables and other liabilities	26	1,210,482	903,685	117,932	116,798
Borrowings	22	4,216,156	4,657,144	3,041,628	3,516,918
Liabilities directly attributed with the assets held for sale	31	2,766,204	-	-	-
Total liabilities		37,244,795	34,509,093	3,159,560	3,633,716
TOTAL EQUITY AND LIABILITIES		39,165,932	35,375,343	1,310,702	1,596,757

The financial statements on pages 88 to 220 were approved and authorised for issue by the Board of Directors on 12 March 2025 and signed on its behalf by:



Dr John P N Simba
Chairman

The notes set out on pages 96 to 220 form an integral part of these financial statements.



Dr Patrick Tumbo
Group Chief Executive Officer

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31 DECEMBER 2024

		Share capital	Statutory fund	Retained earnings	Total	Non-controlling interests	Total
	Note	KShsh.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Year ended 31 December 2024:							
At 1 January 2024		720,000	2,380,139	(2,288,343)	811,796	54,454	866,250
Total comprehensive income for the year;							
Profit for the year, after tax		-	-	959,870	959,870	95,017	1,054,887
Transfer to the statutory fund	21	-	1,378,870	(1,378,870)	-	-	-
Transfer to retained earnings	21	-	(387,428)	387,428	-	-	-
At 31 December 2024		720,000	3,371,581	(2,319,915)	1,771,666	149,471	1,921,137
Year ended 31 December 2023:							
At 1 January 2023		720,000	2,249,279	(1,996,355)	972,924	19,894	992,818
Total comprehensive income for the year;							
Loss for the year, after tax		-	-	(161,128)	(161,128)	34,560	(126,568)
Transfer to the statutory fund	21	-	533,898	(533,898)	-	-	-
Transfer to retained earnings	21	-	(403,038)	403,038	-	-	-
At 31 December 2023		720,000	2,380,139	(2,288,343)	811,796	54,454	866,250

Transfer to retained earnings from statutory fund is done through the recommendation of appointed statutory actuary after valuation of the liabilities.

The notes set out on pages 96 to 220 form an integral part of these financial statements.

COMPANY STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31 DECEMBER 2024

	Share capital	Retained earnings	Total
	KShs.'000	KShs.'000	KShs.'000
Year ended 31 December 2024:			
At 1 January	720,000	(2,756,959)	(2,036,959)
Total comprehensive income	-	188,101	188,101
At 31 December	720,000	(2,568,858)	(1,848,858)
Year ended 31 December 2023:			
At 1 January	720,000	(2,220,847)	(1,500,847)
Total comprehensive income	-	(536,112)	(536,112)
At 31 December	720,000	(2,756,959)	(2,036,959)

The notes set out on pages 96 to 220 form an integral part of these financial statements.

CONSOLIDATED STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED 31 DECEMBER 2024

	Note	2024	2023
		KShs. '000	KShs. '000
Cash flows from operating activities			
Cash (utilized in)/generated from operations	30(a)	(2,336,191)	(1,014,238)
Interest on lease payments	10(c)	(21,546)	(20,271)
Income tax paid	8(b)	(224,852)	(177,526)
Net cash flows (used in)/ generated from operations		(2,582,589)	(1,212,035)
Cash flows from investing activities			
Purchase of intangible assets	9	(1,813)	-
Proceed from disposal of investment property	11	64,900	-
Purchase of property and equipment	10	(31,307)	(17,468)
Loans repaid	13	11,236	6,036
Land and development	16	(1,700)	(412)
Purchase of financial assets through profit and loss	14(a)	(2,933,118)	(4,577,129)
Purchase of equity securities		-	(82,988)
Purchase of financial assets at amortised cost	14(a)	(207,767)	
Proceeds from disposal of financial assets at fair value through profit or loss	14(a)	2,180,785	2,097,869
Proceeds from disposal of equity securities	14(a)	352,881	-
Proceeds from disposal of financial assets at amortised cost	14(a)	197,820	470,000
Dividend income received	7	30,197	-
Interest received		4,181,569	3,714,192
Net cash flows from investing activities		3,843,683	1,610,100
Cash flows from financing activities			
Principal lease payments	10(c)	(34,345)	(17,620)
Interest paid on borrowings	22	(1,125,000)	(14,400)

The notes set out on pages 96 to 220 form an integral part of these financial statements.

COMPANY STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED 31 DECEMBER 2024

	Note	2024	2023
		KShs. '000	KShs. '000
Net cash flows used in financing activities		(1,159,345)	(32,020)
Increase in cash and cash equivalents		101,749	366,045
Effects of changes in exchange rates	12(a)	(723)	25,163
Cash and cash equivalents at start of year	20	2,039,290	1,648,082
Reclassification to assets held for sale	31	(132,720)	
Cash and cash equivalents at end of year	20	2,007,596	2,039,290
Cash flow from/ (used in) operating activities			
cash flows from operations	30(b)	254,078	(119,895)
Cash flows from investing activities			
Dividends received		900,000	150,000
Interest received		4,971	3,484
Investment in land and development		(1,700)	-
Net cash flows from investing activities		903,271	153,484
Cash flow from financing activities			
Interest paid	22	(1,125,000)	(14,400)
Net cash flows used in financing activities		(1,125,000)	(14,400)
Increase/(decrease) in cash and cash equivalents		32,349	19,189
Cash and cash equivalents at start of year	20	24,126	4,937
Cash and cash equivalents at end of year	20	56,475	24,126

The notes set out on pages 96 to 220 form an integral part of these financial statements.

Notes to Financial Statements

For the year ended 31 December 2024

1. General information

Sanlam Kenya PLC is listed at Nairobi Securities Exchange, with its principal activity as a non-banking financial institution being underwriting life and non-life insurance risks such as those associated with death, disability, credit protection, mortgage protection and property protection through its subsidiaries Sanlam Life Insurance Limited and Sanlam General Insurance Limited. The Group has other dormant subsidiaries listed on note 32. The registered address being P.O. Box 10493 – 00100 Nairobi. The Group does business in Kenya and engages over 1,000 employees and financial advisers. The consolidated financial statements of the company as at and for the year ended 31 December 2024 comprise the company and its subsidiaries (together referred to as the “Group”). The separate financial statements are the unconsolidated company financial statements.

Where reference is made in the accounting policies to Group or Company it should be interpreted as being applicable to the consolidated or separate financial statements as the context requires. The consolidated and separate financial statements are hereinafter referred to as “the financial statements”.

List of abbreviations

EEV	European Embedded Value Principles
IFRS	International Financial Reporting Standards
ISA	International Standards on Auditing
IESBA	Ethics for Professional Accountants (including International Independence Standards)
FVTPL	Fair Value Through Profit or Loss
IAS	International Accounting Standards
DPF	Discretionary Participation Features
GMM	General Measurement Model
VFA	Variable Fee Approach
PAA	Premium Allocation Approach
CSM	Contractual Service Margin
PPFM	Principles and Practices of Financial Management
BEL	Best Estimate Liability

RA	Risk Adjustment
DAC	Deferred Acquisition Cost
NSSF	National Social Security Fund
FVOCI	Fair Value through Other Comprehensive Income
SPPI	Solely Payments of Principal and Interest
ECL	Expected Credit Loss
PD	Probability of Default
LGD	Loss Given Default
EAD	Exposure at Default
EIR	Effective Interest Rate
SICR	Significant Increase in Credit Risk
CAR	Capital Adequacy ratio

2. Material accounting policies

The principal accounting policies adopted in the preparation of these financial statements are set out below. These policies have been consistently applied to all years presented, unless otherwise stated.

a) Basis of preparation

The financial statements are prepared on a going concern basis in compliance with IFRS accounting Standards and in the manner required by the Kenyan Companies, Act, 2015. The preparation of financial statements in conformity with IFRS® Accounting Standards requires the use of estimates and assumptions. It also requires management to exercise its judgement in the process of applying the accounting policies adopted by the Group. Although such estimates and assumptions are based on the directors' best knowledge of the information available, actual results may differ from those estimates. The judgements and estimates are reviewed at the end of each reporting period, and any revisions to such estimates are recognised in the year in which the revision is made. The areas involving the judgements of most significance to the financial statements, and the sources of estimation uncertainty that have a significant risk of resulting in a material adjustment within the next financial year, are disclosed in note 2 (b). Changes in accounting estimates result from new information or new developments and, accordingly, are not corrections of errors. The

Notes to Financial Statements (continued)

For the year ended 31 December 2024

2. Material accounting policies (continued)

a) Basis of preparation (continued)

effect of a change in an accounting estimate is recognised prospectively by including it in separate and consolidated statement of profit or loss in:

- the period of the change, if the change affects that period only; or
- the period of the change and future periods, if the change affects both.

For purposes of reporting under the Kenyan Companies Act, 2015 the balance sheet in these financial statements is represented by the statement of financial position and the profit and loss account is presented in the statement of profit or loss and other comprehensive income.

Going concern

The group's key subsidiaries are wholly owned Sanlam Life Insurance Limited and Sanlam General Insurance Limited where the group has a 71.8% shareholding. Sanlam Securities Limited is a wholly owned subsidiary of the group and is an investment company with the key investment being unlisted equities in Family bank, a Kenyan bank and these equity securities form a material apart of the subsidiary's assets. Other wholly owned subsidiaries are dormant and are in the process of being wound up and include Sanlam Investments Limited, ChemiCemi Mineral Water Company and Mae properties. The group is a subsidiary of Sanlam Limited, a diversified financial services company headquartered in South Africa and listed at the Johannesburg Stock Exchange. Sanlam Emerging Markets a subsidiary of Sanlam Limited is the intermediate parent of the group.

Details relating to going concern review are included on page 77 Statement of Directors' Responsibilities.

The Directors have considered the above-mentioned matters and have prepared the year 2024 Sanlam Kenya PLC Group financial results on a going concern basis. The basis assumes that the Group and Sanlam Kenya PLC will continue operating as going concerns for the foreseeable future.

The measurement basis used is the historical cost basis, except for the following items which are carried at fair value or valued using another measurement basis:

- Investment properties;
- Financial assets measured at fair value through profit or loss and at fair value through other comprehensive income; and
- The financial statements are presented in Kenya Shillings (KShs '000), rounded to the nearest thousand.

The financial statements comprise consolidated and company statements of profit or loss, consolidated and company statements other comprehensive income, consolidated and company statements of changes in equity and consolidated and company statements of cash flows for the year then ended, and notes to the consolidated and separate financial statements. For purposes of the Kenyan companies Act, 2015, the balance sheet is represented by the consolidated and company statements of financial position and the profit and loss account by the consolidated and company statements of profit or loss. Income and expenses, excluding the components of other comprehensive income, are recognised in the consolidated and company statements of profit or loss.

Other comprehensive income is recognised in the statement of other comprehensive income and comprises items of income and expenses (including reclassification adjustments) that are not recognised in the statement of profit or loss as required or permitted by IFRS Accounting Standards. Reclassification adjustments are amounts reclassified to statement of profit or loss in the current period that were recognised in other comprehensive income in the current or previous periods. Transactions with the owners of the Company in their capacity as owners are recognised in the statement of changes in equity.

(b) New standards, amendments and interpretations

(i) New standards and interpretations effective and adopted during the year

The group and company adopted the following standards and interpretations applicable for the first time to their annual reporting commencing 1 January 2024. The adoption of following standards did not have material impact on the group and company.

New and amended standards and interpretations	Effective for periods beginning on or after
Classification of liabilities as Current or Non-Current and Non- current Liabilities with Covenants (Amendments to IAS 1 Presentation of Financial Statements)	1 January 2024
Lease Liability in a Sale and Leaseback (Amendments to IFRS 16)	1 January 2024
Amendments to IAS 7 Statement of Cash Flows and IFRS 7 Financial Instruments: Disclosures – Supplier Finance Arrangements	1 January 2024
Lack of Exchangeability – Amendments to IAS 21	1 January 2024
Sale or Contribution of Assets between an Investor and its Associate or Joint Venture (Amendments to IFRS 10 and IAS 28)	Optional

Notes to Financial Statements

For the year ended 31 December 2024

2. Material accounting policies

(b) New standards, amendments and interpretations (continued)

(i) New standards and interpretations effective and adopted during the year (continued)

The above standards and interpretations did not have a significant impact on the Company's financial statements.

(ii) New standards and interpretations effective and adopted during the year

The following standards and interpretations have been issued but were not mandatory for annual reporting periods ending 31 December 2024:

New and amended standards and interpretations	Effective for periods beginning on or after
Sale or Contribution of Assets between an Investor and its Associate or Joint Venture (Amendments to IFRS 10 and IAS 28)	Available for optional adoption/ effective date deferred indefinitely
Lack of Exchangeability-Amendments to IAS 21	1 January 2025
FRS 18 Presentation and Disclosure in Financial Statements	1 January 2027
IFRS 19 Subsidiaries without Public Accountants	1 January 2027
IFRS S1 General Requirements for Disclosure of Sustainability-related Financial Information and IFRS S2 Climate-related Disclosures*	1 January 2027

*The implementation and the effective dates of IFRS Sustainability Disclosure Standards are subject to local regulation. The Institute of Certified Public Accountants of Kenya (ICPAK) pronounced that these standards should be adopted by public interest entities effective 1 January 2027.

The Directors do not plan to apply the above standards, until they become effective. Based on their assessment of the potential impact of application of the above, there are no standards that are not yet effective that would be expected to have a material impact on the entity in the current or future reporting periods and on near future transactions.

Classification of Liabilities as Current or Non-current, and Non-current Liabilities with Covenants (Amendments to IAS 1, Presentation of Financial Statements)

The amendment clarifies that the classification of liabilities as current or non-current is based solely on a Group's right to defer settlement for at least 12 months at the reporting date. The right needs to exist at the reporting date and must have substance.

Only covenants with which a Group must comply on or before the reporting date may affect this right. Covenants to be complied with after the reporting date do not affect the classification of a liability as current or noncurrent at the reporting date. However, disclosure about covenants is now required to help users understand the risk that those liabilities could become repayable within 12 months after the reporting date.

The amendments did not have a material impact on the Group's financial statements.

The amendments also clarify that the transfer of a company's own Equity securities is regarded as settlement of a liability. If a liability has any conversion options, then those generally affect its classification as current or noncurrent, unless these conversion options are recognized as equity under IAS 32, Financial Instruments: Presentation.

The amendments apply retrospectively for annual reporting periods beginning on or after 1 January 2024, with early application permitted.

The amendments did not have a material impact on the Group's financial statements.

International Tax Reform—Pillar Two Model Rules (Amendments to IAS 12)

On 23 May 2023, the International Accounting Standards Board (the IASB or Board) issued International Tax Reform—Pillar Two Model Rules – Amendments to IAS 12 (the Amendments) to clarify the application of IAS 12 Income Taxes to income taxes arising from tax law enacted or substantively enacted to implement the Organisation for Economic Co-operation and Development (OECD)/G20 Inclusive Framework on Base Erosion and Profit Shifting (BEPS) Pillar Two model rules (Pillar Two income taxes). The Amendments introduce:

- provide a temporary mandatory relief from deferred tax accounting for top-up tax; and
- require companies to provide new disclosures to compensate for the potential loss of information resulting from the relief.

The amendments did not have a material impact on the Group's financial statements.

Notes to Financial Statements

For the year ended 31 December 2024

2. Material accounting policies (continued)

(c) IFRS 17 Insurance Contracts

IFRS 17 establishes principles for the recognition, measurement, presentation, and disclosure of insurance contracts, reinsurance contracts and investment contracts with discretionary participation features. It introduces a model that measures groups of contracts based on the Group's estimates of the present value of future cash flows that are expected to arise as the Group fulfils the contracts, an explicit risk adjustment for non-financial risk and a CSM.

Under IFRS 17, insurance revenue in each reporting period represents the changes in the liabilities for remaining coverage that relate to services for which the Group expects to receive consideration and an allocation of premiums that relate to recovering insurance acquisition cash flows. In addition, investment components are no longer included in insurance revenue and insurance service expenses.

(i) Identifying contracts in the scope of IFRS 17

The Group applies IFRS 17 - Insurance Contracts to insurance contracts it holds and investment contracts with discretionary participation features (DPF) it issues.

All references to insurance contracts in these consolidated financial statements apply to insurance contracts issued or acquired, and investment contracts with DPF issued, unless specifically stated otherwise.

Once a contract has been classified as an insurance contract the classification remains unchanged for the remainder of its lifetime, even if the insurance risk reduces significantly during the coverage period, unless the term of the contract is modified.

Insurance contracts without direct participation features

A contract is classified as an insurance contract without direct participation features where the Group provides insurance coverage by accepting significant insurance risk when agreeing with the policyholder to pay benefits if a specified uncertain future event (the insured event) adversely affects the policyholder or other beneficiary. Significant insurance risk is assessed on a contract level and exists where there is at least one scenario in which the insured event results both in significant additional payments and also in an overall loss to the Group on a present value basis. A contract where the Group generates an investment return for the policyholder (investment-return service) that does not meet the criteria for

being a substantially investment-related service contract (an insurance contract with direct participation features), is also classified as an insurance contract without direct participation features.

In the normal course of business, the Group uses reinsurance to mitigate its risk exposures. A reinsurance contract transfers significant risk if it transfers substantially all the insurance risk resulting from the insured portion of the underlying insurance contracts, even if it does not expose the reinsurer to the possibility of a significant loss.

The accounting model applied to these insurance contracts for liability measurement purposes is the General Measurement Model (GMM), unless the Premium Allocation Approach (PAA) applies. The PAA is a modification of the GMM that allows the use of a simplified approach for measuring the insurance contract liabilities for certain eligible types of contracts.

Insurance contracts with direct participation features

The Group issues insurance contracts with direct participation features that are substantially investment-related service contracts where underlying items are managed on behalf of the policyholders. The Group expects to pay amounts to these policyholders equal to a substantial share of the fair value returns on the underlying items, and a substantial proportion of any change in the amounts to be paid to the policyholders is expected to vary with the change in fair value of the underlying items. Underlying items comprise reference portfolios of investment assets that determine some of the amounts payable to the policyholders.

The accounting model applied to these insurance contracts for liability measurement purposes is the Variable Fee Approach (VFA).

Investment contracts

Investment contracts with DPF are in scope of IFRS 17 as the Group also issues insurance contracts. These contracts do not include a transfer of significant insurance risk and are measured under the VFA if they meet the eligibility requirements of direct participating contracts.

An investment contract with DPF entitles the policyholder to receive benefits or bonuses in addition to guaranteed benefits that are expected to be a significant proportion of the total contractual benefits, the timing or amount of which are contractually at the discretion of the Group, but which has to be exercised in a reasonable way. The benefits are based on the investment performance of a specified pool of underlying assets.

Notes to Financial Statements

For the year ended 31 December 2024

2. Material accounting policies (continued)

(c) IFRS 17 Insurance Contracts (continued)

Investment contracts (continued)

Investment contracts invested in DPF assets at the recognition date create a significant probability of discretionary returns and are therefore classified as investment contracts with DPF.

Other investment contracts with or without investment management services fall within the scope of IFRS 9 – Financial Instruments and are designated as at fair value through profit or loss.

(ii) Level of aggregation

Each business within the Group manages insurance contracts issued within product lines. Insurance contracts within each product line are allocated to portfolios of insurance contracts that are managed together and subject to similar risks.

Portfolios are divided into groups of insurance contracts, based on whether:

- (a) contracts are onerous at initial recognition.
- (b) contracts at initial recognition have no significant possibility of becoming onerous subsequently; and
- (c) groups of remaining contracts.

An insurance contract is expected to be onerous if the fulfilment cash flows allocated to the contract at initial recognition in total are a net outflow. For insurance contracts measured under the PAA, the Group has assumed that these contracts are not onerous at initial recognition, unless facts and circumstances indicate otherwise. For reinsurance contracts the references to onerous contracts are replaced with references to contracts on which there is a net gain at initial recognition. Each group of contracts does not include contracts issued more than one year apart in the same group.

These groups represent the level of aggregation at which insurance revenue is measured. Such groups are not subsequently reconsidered.

For each portfolio of contracts, the Group determines the appropriate level at which reasonable and supportable information is available to determine these groups of contracts.

Where the Group has reasonable and supportable information to conclude that a set of contracts will all be in the same group, then it may measure that set of contracts (i.e. at a level higher than the individual contracts), to determine whether the contracts are onerous on initial recognition. If the Group cannot support such a conclusion, then it determines the group by considering individual contracts.

(iii) Contracts Boundaries

Cash flows are within the boundary of an insurance contract if they arise from substantive rights and obligations that exist during the reporting period in which:

- The Group can compel the policyholder to pay premiums; or
- The Group has a substantive obligation to provide the policyholder with insurance contract services.

For groups of reinsurance contracts held, cash flows are within the contract boundary if they arise from substantive rights and obligations of the Group that exist during the reporting period in which the Group is compelled to pay amounts to the reinsurer or in which the Group has a substantive right to receive services from the reinsurer.

The Group considers the legal rights and the commercial substance of the contracts in this assessment.

Cash flows outside of the boundary of the insurance contract relate to future insurance contracts and are recognised when those contracts meet the recognition criteria.

(iv) Measurement – overview

On initial recognition, the Group measures a group of insurance contracts as the total of following under General Measurement Model:

- the fulfilment cash flows,
- the contractual service margin (CSM), and
- risk adjustment.

The PAA is a modification of the General Measurement Model that allows the use of simplified approach for measuring the liability for remaining coverage for certain eligible types of contracts.

Notes to Financial Statements

For the year ended 31 December 2024

2. Materiel accounting policies (continued)

(c) IFRS 17 Insurance contracts (continued)

Fulfilment cash flows

The fulfilment cash flows comprise unbiased and probability-weighted estimates of future cash flows within the contract boundary. The fulfilment cash flows consider all reasonable and supportable information available at the reporting date without undue cost or effort.

Fulfilment cash flows are determined separately for insurance contracts issued and reinsurance contracts issued or held. Fulfilment cash flows are allocated to groups of insurance contracts for measurement purposes.

An explicit risk adjustment for non-financial risk is estimated separately from the other estimates. This risk adjustment represents compensation required for bearing uncertainty about the amount and timing of the cash flows that arises from non-financial risk. The risk adjustment forms part of the fulfilment cash flows for a group of insurance contracts.

The Group followed the margins approach in determining the risk adjustment which only applies to non-financial assumptions. The range for the aggregate confidence level was 80%-90%.

Variable fee approach

The fulfilment cash flows for insurance contracts with direct participation features can also be determined as the obligation to pay policyholders an amount that is equal to the fair value of the underlying items, less a variable fee for future services. The variable fee comprises the amount of the entity's share in the fair value of the underlying items less fulfilment cash flows (e.g. amounts payable to the policyholder) that do not vary based on the underlying items.

Reinsurance contracts

Fulfilment cash flows of reinsurance contracts include the effect of any risk of non-performance by the issuer of the reinsurance contract where material, including the effects of collateral and losses from disputes. The fulfilment cash flows are calculated using all cash flows within the reinsurance contract boundary, including future new business contracts where relevant. The Group applies judgement in determining the value of future new business.

Provision for minimum investment return guarantees

In addition to the fulfilment cash flows described above, a stochastic modelling approach

was used to provide for the possible cost of minimum investment return guarantees provided by some participating and market-related policies, consistent with actuarial guidance note.

Contractual service margin

The CSM is a component of the carrying amount of the asset or liability for a group of insurance contracts issued which represents the unearned profit that the Group expects to recognise as it provides insurance contract services.

If a group of insurance contracts is not onerous at initial recognition, the CSM is measured as the equal and opposite amount of the net inflow resulting from the total of the fulfilment cash flows, any derecognised assets or liabilities for insurance acquisition cash flow or other cash flows paid before the recognition date. This results in no income or expenses arising on initial recognition.

For groups of contracts acquired, the consideration received for the contracts is included in the fulfilment cash flows as a proxy for the premiums received at the date of acquisition. In a business combination, the consideration received is the fair value of the contracts at that date.

If a group of insurance contracts is onerous at initial recognition, the Group immediately recognises this net outflow in profit or loss. Following this, a loss component is created to represent these losses recognised in profit or loss, which determines the amounts that are subsequently presented in profit or loss as an increase or reversal of losses on onerous groups of insurance contracts.

The Group recognise a group of reinsurance contracts held from the earlier of the following: the beginning of the coverage period of the group of reinsurance contracts held, and the date the entity recognises an onerous group of underlying insurance contracts when they become onerous, and when Group entered a related reinsurance contract held in the group of reinsurance contracts held at or before that date.

Best estimate of future experience

The best estimate of future experience is determined as follows:

- Future investment return assumptions for cash flows which vary with the underlying items are consistent with the expected long-term investment returns on the assets backing the insurance contracts, derived from market yields of fixed interest securities on the valuation date, with adjustments for the other asset classes.

Notes to Financial Statements

For the year ended 31 December 2024

2. Material accounting policies (continued)

(c) IFRS 17 Insurance Contracts (continued)

(iv) Measurement – overview (continued)

Best estimate of future experience (continued)

- The appropriate asset composition of the various asset portfolios is considered. The allowance for investment management expenses, taxation at current tax rates and charges for investment guarantees is determined separately from the future investment returns and discount rates for measurement purposes.
- Investment return assumptions are based on an assessment of longer-term economic conditions. The future investment returns are based on the market yields of Kenyan fixed interest securities on the valuation date.
- Future expense assumptions are based on the 2024 actual expenses and escalated at estimated expense inflation rates per annum, with a higher rate assumed for legacy business. The allocation of initial and maintenance expenses is based on functional cost analyses and reflects actual expenses incurred during 2024. The future expense assumptions do not include any costs that are not directly attributable to the fulfilment of the insurance contracts.
- Assumptions with regard to future mortality, disability and disability payment termination rates are consistent with Sanlam's recent experience or expected future experience if this would result in a more accurate liability. In particular, mortality and disability rates are adjusted to allow for expected deterioration in mortality rates as a result of HIV/Aids and for expected improvements in mortality rates in the case of annuity business.
- Persistency assumptions with regard to lapse, surrender and paid-up rates are consistent with Sanlam's recent experience or expected future experience if this would result in a more accurate liability.

Discount rates

The estimates of future cash flows are adjusted to reflect the time value of money and the financial risks related to those cash flows, to the extent not included in the estimates of future cash flows.

For cash flows that vary based on the returns on underlying items the entity used a top-down approach and for cash flows that do not vary based on the returns on the underlying items the entity used a bottom-up approach under IFRS 17 to determine discount rates. The risk

free rate used is government bonds yield curve as at valuation date and the confidence level applied used was 90%.

The tables below set out the yield curve used to discount the cash flows of insurance contracts.

Year	1 Year	5 Years	10 Years	15 Years	20 Years
2024	11.41%	14.14%	13.60%	13.72%	14.78%
2023	16.10%	17.45%	15.70%	15.73%	15.90%

The discount rates applied to the estimates of the future cash flows:

- reflect the time value of money, the characteristics of the cash flows and the liquidity characteristics of the insurance contracts.
- are consistent with observable current market prices (if any); and
- exclude the effect of factors that influence such observable market prices, but do not affect the future cash flows of the insurance contracts.

Cash flows are divided between cash flows that vary based on the returns on underlying items and cash flows that do not vary based on the returns on underlying items. Cash flows that vary based on the returns on underlying items are be discounted using rates that reflect that variability.

The government bonds yield curve was applied to cash flows that do not vary based on the returns on underlying items. Insurance contracts such as non-participating life annuities that cannot be surrendered or lapsed are illiquid.

Asset portfolios

Separate asset portfolios are maintained in support of policy liabilities for each of the major lines of business; each portfolio having an asset mix appropriate for the specific product. Bonus rates are declared for each class of participating business in relation to the funding level of each portfolio and the expected future net investment return on the assets of the particular investment portfolio.

Bonus stabilisation reserves

Smoothed-bonus business provide for the payment of an investment return (net of tax and investment costs) to the policyholder, in the form of bonuses. The use of bonuses is a mechanism to smooth returns to policyholders in order to reduce the effects of volatile

Notes to Financial Statements

For the year ended 31 December 2024

2. Material accounting policies (continued)

(c) IFRS 17 Insurance Contracts (continued)

(iv) Measurement – overview (continued)

Bonus stabilization reserve (continued)

investment performance, and bonus rates are determined in line with the product design, policyholder reasonable expectations, affordability and the approved bonus philosophy. Any returns not yet distributed are retained in a policyholder bonus stabilisation reserve, for future distribution to policyholders. In the event of adverse investment performance, this reserve may become negative.

The funding level of portfolios is bolstered through loans from the capital portfolio and cancellation of non-vested bonuses in instances where negative stabilisation reserves will not be eliminated by these management actions

Bonus declarations are made in accordance with the Sanlam Principles and Practices of Financial Management (PPFM).

Subsequent measurement (excluding PAA)

The carrying amount of a group of insurance contracts issued at each reporting date is the sum of:

- ① the liability for remaining coverage, comprising:
 - (a) the fulfilment cash flows related to service to be provided under the contract in future periods; and
 - (b) the remaining CSM of the group at that date.
- ② the liability for incurred claims, comprising the fulfilment cash flows for past incurred claims and expenses not paid, including claims that have been incurred but not reported. The liability for incurred claims also includes the payment of any investment components or other amounts that are not related to the provision of insurance contract services and that are not included in the liability for remaining coverage.

Fulfilment cash flows

The fulfilment cash flows of groups of insurance contracts are measured at the reporting date using current estimates of fulfilment cash flows, discount rates appropriate to the measurement model being used and current estimates of the risk adjustment for non-financial risk.

Contractual service margin

For groups of insurance contracts measured under the GMM, the CSM at the start of the period is explicitly accreted with interest based on the discount rates applied to the fulfilment cash flows at initial recognition.

For groups of insurance contracts measured under the VFA, the CSM at the start of the period is implicitly accreted with interest equal to the effect of the time value of money on the variable fee in each period.

The impact of changes in estimates of the fulfilment cash flows on the measurement of the CSM depends on whether the changes are related to current (or past) or future service:

- ① changes that relate to current or past service are recognised in profit or loss; and
- ② changes that relate to future service are recognised by adjusting the CSM within the liability for remaining coverage, including changes in the risk adjustment for non-financial risk that relate to future service. This excludes any changes which give rise to a loss on a group of insurance contracts, as well as any changes which adjust the loss recovery component on a group of reinsurance contracts.

For groups of insurance contracts measured under the GMM:

- ② changes in estimates of the present value of future cash flows included in the liability for remaining coverage, are related to future service and adjust the CSM. These changes are based on the discount rates applied to the fulfilment cash flows at initial recognition. Changes in the estimates that relate to the effect of the time value of money and the effect of financial risk and changes therein, do not adjust the CSM and are recognised in profit or loss; and
- ③ differences in the investment components expected to become payable in the period and actual investment components payable in the period, are related to future service and adjust the CSM.

For groups of insurance contracts measured under the VFA, the fulfilment cash flows can also be determined as the obligation to pay policyholders an amount that is equal to the fair value of the underlying items, less a variable fee for future services:

- ① changes in the fair value of the underlying items are related to current service and are recognised in profit or loss;

Notes to Financial Statements

For the year ended 31 December 2024

2. Material accounting policies (continued)

(c) IFRS 17 Insurance Contracts (continued)

(iv) Measurement – overview (continued)

Contractual service margin (continued)

- changes in the variable fee are related to future service and adjust the CSM, which includes any variances in the Group's share of the fair value returns on the underlying items in the reporting period. The CSM is adjusted for changes in estimates that relate to the effect of the time value of money and the effect of financial risk and changes therein; and
- the Group has chosen not to apply the risk mitigation option and therefore changes in the in the effect of the time value of money and financial risk adjust the CSM.

The experience adjustments arising from premiums received (including related cash flows such as insurance acquisition cash flows) that do not vary based on the returns on underlying items, adjust the CSM if they relate to future service, or such amounts are recognised in insurance revenue in the reporting period if they relate to current (or past) service. The Group applies judgement to determine whether these experience adjustments relate to current (or past) service or future service. The experience adjustments arising from incurred claims and administration expenses relate to current (or past) service and are recognised in profit or loss.

An amount of the CSM at the end of the period is recognised in insurance revenue in profit or loss in each reporting period based on the insurance contract services provided under the group of contracts, defined based on the coverage units provided in the current period and expected to be provided in the future.

Coverage units

The coverage units of the group of insurance contracts are identified by considering for each contract the quantity of the benefits provided under the contract and its expected coverage period.

The coverage units for contracts measured under the GMM consider the quantity of benefits and expected coverage period of investment-return services (where relevant), in addition to the insurance coverage provided per group. The coverage units for contracts measured under the VFA consider the quantity of benefits and expected coverage period of investment-related services as well as any insurance coverage provided (where relevant). Coverage units are not applicable to contracts measured under the PAA.

Loss component

The loss component represents the expected losses to be incurred on a group of insurance contracts, i.e. groups of insurance contracts where the cash outflows are expected to exceed the cash inflows included in the fulfilment cash flows at initial recognition.

Subsequent to initial recognition, the loss component of a group of insurance contracts is adjusted for changes in estimates of the fulfilment cash flows that relate to future service (consistent with the equivalent treatment for groups of insurance contracts with a CSM), with such increases or reversals of losses recognised in profit or loss. The subsequent changes in the fulfilment cash flows of the liability for remaining coverage are allocated to the loss component on a systematic basis based on the expected incurred claims and administration expenses and expected release of the risk adjustment in each reporting period, such that the loss component reduces to zero by the end of the coverage period of a group of insurance contracts.

These changes in the fulfilment cash flows allocated to the loss component are excluded from insurance revenue and insurance service expenses. This ensures that the recognition of insurance revenue depicts the consideration to which the Group expects to be entitled in exchange for the insurance contract services provided.

For reinsurance arrangements the loss recovery component is adjusted for changes in estimates that relate to future service and adjust the loss component of the onerous groups of underlying insurance contracts.

Insurance revenue

Insurance revenue represents the changes in the liability for remaining coverage over the period by the Group, excluding changes in the liability that do not relate to services expected to be covered by the consideration received. The total consideration for a group of contracts covers the following amounts: amounts related to the provision of services, comprising, insurance service expenses, excluding any amounts relating to the risk adjustment for non-financial risk included in and any amounts allocated to the loss component of the liability for remaining coverage, amounts related to income tax that are specifically chargeable to the policyholder, the risk adjustment for non-financial risk, excluding any amounts allocated to the loss component of the liability for remaining coverage, and the contractual service margin. Amounts related to insurance acquisition cash flows.

Notes to Financial Statements

For the year ended 31 December 2024

2. Material accounting policies (continued)

(c) IFRS 17 Insurance Contracts (continued)

(iv) Measurement – overview (continued)

Insurance revenue (continued)

For contracts not measured under the PAA, the total consideration for a group of contracts includes the following amounts:

- the expected claims and administration expenses incurred in the period (excluding amounts allocated to the loss component and excluding investment components payable in the period);
- the amount of the CSM recognised in profit or loss;
- the release of the risk adjustment for risk expired (excluding amounts allocated to the loss component);
- amounts related to income tax that are specifically chargeable to policyholders;
- premium experience adjustments relating to current service (including experience adjustments arising from related cash flows such as insurance acquisition cash flows); and
- the amortisation of insurance acquisition cash flows.

For contracts measured under the PAA, insurance revenue for the period is the amount of expected premium receipts allocated to the period based on the passage of time. However, if the expected pattern of release of risk during the coverage period differs significantly from the passage of time, then insurance revenue for the period is allocated on the basis of the expected timing of incurred insurance service expenses.

Insurance service expenses

The following amounts are recognised in insurance service expenses:

- the expected claims and administration expenses incurred (excluding amounts allocated to the loss component and excluding investment components payable in the period);

- experience adjustments relating to claims and administration expenses incurred;
- the initial loss on onerous groups of contracts recognised during the period;
- the increases and reversals of losses on onerous contracts;
- the changes in liability for incurred claims relating to past service; and
- the amortisation of insurance acquisition cash flows.

These amounts refer only to expenses which are directly attributable to fulfilling the insurance contracts. Non-attributable expenses are recognised separately in profit or loss.

Income or expenses from reinsurance contracts

The Group presents income or expenses from a group of reinsurance contracts held, other than insurance finance income or expenses, as a single amount.

Income or expense from reinsurance contracts comprise reinsurance service expenses less amounts recovered from reinsurers. The amounts recognised as income or expenses reflect the features of reinsurance contracts held that differ from insurance contracts issued, for e.g. the loss recovery component recognised during the reporting period rather than an initial loss recognised.

The Group recognises all insurance finance income or expenses for the reporting period in profit or loss. Under the GMM and PAA, the effect of and changes in financial risk form part of the insurance finance income and expenses. For groups of insurance contracts measured under the VFA, the fair value returns on the underlying items are recognised in insurance revenue. Insurance finance income or expenses (charges) for VFA contracts are recognised under insurance revenue. The amounts recognised in insurance finance income or expenses are before any allowance for investment management expenses, taxation at current tax rates and charges for investment guarantees.

The changes in the risk adjustment for non-financial risk have been disaggregated between the insurance service result and insurance finance income and expenses.

Amortisation of insurance acquisition cash flows

Insurance acquisition cash flows are cash flows arising from the costs of selling, underwriting, and starting a group of insurance contracts (issued or expected to be issued) that are directly attributable to the portfolio of insurance contracts to which the group

Notes to Financial Statements

For the year ended 31 December 2024

2. Material accounting policies (continued)

(c) IFRS 17 Insurance Contracts (continued)

(iv) Measurement – overview (continued)

Amortisation of insurance acquisition cash flows (continued)

belongs. Such cash flows include cash flows that are not directly attributable to individual contracts or groups of insurance contracts within the portfolio. Insurance acquisition cash flows are amortised in insurance revenue and insurance service expenses in each reporting period in a systematic way based on the passage of time. For long-term insurance contracts issued in Kenya, the insurance acquisition cash flows are amortised in line with the coverage units used to recognise the CSM in insurance revenue. This produces a more predictable amortisation pattern.

(d) Consolidation

The consolidated financial statements comprise the financial statements of the parent company and its subsidiaries as at 31 December 2024.

(i) Subsidiaries

Any losses within a subsidiary which are attributed to the non-controlling interest are recognised as such even if this results in a deficit balance. Transactions with non-controlling interests that do not result in loss of control are accounted for as equity transactions – that is, as transactions with the owners in their capacity as owners. The difference between fair value of any consideration paid and the relevant share acquired of the carrying value of net assets of the subsidiary is recorded in equity. Gains or losses on disposals to non-controlling interests are also recorded in equity.

When the Group ceases to have control any retained interest in the entity is re-measured to its fair value at the date when control is lost, with the change in carrying amount recognised in profit or loss. A change in the ownership interest of a subsidiary, without loss of control, is accounted for as an equity transaction. If the Company loses control over a subsidiary, it derecognises the related assets (including goodwill), liabilities, NCI and other components of equity, while any resultant gain or loss is recognised in profit or loss. Any investment retained is recognised at fair value at the date of loss of control. Investment in subsidiaries are accounted for at cost less impairment in the separate financial statements of the Company.

In the company financial statements, the investments in subsidiaries are accounted for

at cost and assessed for impairment at the end of accounting period by comparing the carrying amount against net asset value of each entity.

(ii) Non-controlling interests (NCI)

NCI are measured initially at their proportionate share of the acquiree's identifiable net assets at the date of acquisition. Changes in the Group's interest in a subsidiary that do not result in a loss of control are accounted for as equity transactions.

(iii) Loss of control

When the Group loses control over a subsidiary, it derecognises the assets and liabilities of the subsidiary, and any related NCI and other components of equity. Any resulting gain or loss is recognised in profit or loss. Any interest retained in the former subsidiary is measured at fair value when control is lost.

(iv) Transactions eliminated on consolidation

Intra-group balances and transactions, and any unrealised income and expenses (except for foreign currency transaction gains or losses) arising from intra-group transactions, are eliminated. Unrealised losses are eliminated in the same way as unrealised gains, but only to the extent that there is no evidence of impairment.

(e) Business combinations and goodwill

Business combinations are accounted for using the acquisition method. The cost comprises the fair value of assets given, liabilities assumed and Equity securities issued, plus the amount of any noncontrolling interests in the acquiree plus, if the business combination is achieved in stages, the fair value of the existing equity interest in the acquiree. The Group's identifiable assets and liabilities are measured at their acquisition-date fair value.

Non-controlling interests in an acquiree that are present ownership interests and entitle their holders to a proportionate share of the entity's net assets in the event of liquidation, are measured at either fair value or the present ownership instruments' proportionate share in the recognised amounts of the acquiree's net identifiable assets. Non-controlling interests that are not present ownership interests are measured at fair value. This accounting policy choice can be made on an individual business combination basis.

Acquisition-related costs are expensed as incurred and included in administrative expenses.

Notes to Financial Statements

For the year ended 31 December 2024

2. Material accounting policies (continued)

(e) Business combinations and goodwill (continued)

When the Group acquires a business, it assesses the financial assets and liabilities assumed for appropriate classification and designation in accordance with the contractual terms, economic circumstances and pertinent conditions as at the acquisition date.

If the business combination is achieved in stages, any previously held equity interest is re-measured at its acquisition date fair value and any resulting gain or loss is recognised in profit or loss. It is then considered in the determination of goodwill.

Any contingent consideration to be transferred by the acquirer will be recognised at fair value at the acquisition date. Contingent consideration classified as an asset or liability that is a financial instrument and within the scope of IFRS 9 Financial Instruments: Recognition and Measurement, is measured at fair value with changes in fair value recognised in profit or loss. Contingent consideration that is classified as equity is not re-measured and subsequent settlement is accounted for within equity.

Goodwill is initially measured at cost, being the excess of the aggregate of the consideration transferred and the amount recognised for non-controlling interests, and any previous interest held, over the net identifiable assets acquired and liabilities assumed.

If the fair value of the net assets acquired is in excess of the aggregate consideration transferred, the amount recognised for non-controlling interests, and any previous interest held, the Group re-assesses whether it has correctly identified all of the assets acquired and all of the liabilities assumed and reviews the procedures used to measure the amounts to be recognised at the acquisition date. If the re-assessment still results in an excess of the fair value of net assets acquired over the aggregate consideration transferred, then the gain is recognised in profit or loss. After initial recognition, goodwill is measured at cost less any accumulated impairment losses. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash-generating units that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the of the acquiree are assigned to those units.

(f) Segment reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision-maker. The chief operating decision-maker, who is responsible for allocating resources and assessing performance of the operating segments, has been identified as the executive committee that makes strategic decisions.

An operating segment is a component of an entity:

- (i) that engages in business activities from which it may earn revenues and incur expenses (including revenues and expenses relating to transactions with other components of the same entity);
- (ii) whose operating results are regularly reviewed by the entity's chief operating decision maker to make decision about resources to be allocated to the segment and assess its performance; and
- (iii) for which discrete financial information is available.
- (iv) An operating segment may engage in business activities for which it is yet to earn revenues, for example, start-up operations may be operating segments before earning revenues.

(g) Revenues

(i) Investment income

Investment income comprise of interest income, rental income and dividends.

- interest earned from financial assets at fair value through profit or loss is recognised on a time proportion basis.
- Rental income is recognised on an accrual basis on a straight line method.
- Dividends are recognised when the Group's right to receive the payment is established.

(ii) Realised/unrealised gains and losses

Realised/unrealised gains and losses are recorded in the other investment revenue and other incomes lines in the statement of profit or loss and include gains and losses on financial assets and investment properties. Gains and losses on the sale of investments are calculated as the difference between net sales proceeds and the original or amortised cost and are recorded on occurrence of the sale transaction.

(h) Reinsurance contracts

Fulfilment cash flows of reinsurance contracts include the effect of any risk of non-performance by the issuer of the reinsurance contract where material, including the effects of collateral and losses from disputes. The fulfilment cash flows are calculated using

Notes to Financial Statements

For the year ended 31 December 2024

2. Material accounting policies (continued)

(h) Reinsurance contracts (continued)

all cash flows within the reinsurance contract boundary, including future new business contracts where relevant. The Group applies judgement in determining the value of future new business.

(i) Property and equipment

All categories of property and equipment are initially recognised at cost. Cost includes expenditure directly attributable to the acquisition of the assets. Computer software, including the operating system, that is an integral part of the related hardware is capitalised as part of the computer equipment.

Motor vehicles, furniture, equipment and computers are stated at cost, excluding the costs of day-to-day servicing, less accumulated depreciation and accumulated impairment losses. Replacement or major inspection costs are capitalised when incurred and if it is probable that future economic benefits associated with the item will flow to the entity and the cost of the item can be measured reliably.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. Repairs and maintenance expenses are charged to the statement of profit or loss in the year in which they are incurred.

Depreciation is calculated using the straight-line method to write down the cost of each asset to its residual value over its estimated useful life using the following annual rates:

Freehold land	-	Nil
Property (owner occupied)	-	2.5%
Computers	-	25%
Motor vehicles	-	25%
Furniture and equipment	-	12.5%

When no parts of items of property and equipment have a cost that is significant in relation to the total cost of the item, the same rate of depreciation is applied to the whole item. The assets' residual values, depreciation method and useful lives are reviewed, and adjusted if appropriate, at each reporting date.

An item of property and equipment is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Gains and losses on disposal of property and equipment are determined by reference to their carrying amounts and are taken into account in determining operating profit.

(j) Investment properties

Investment property is property held to earn rentals and/or for capital appreciation or both. Investment property, including interest in leasehold land, is initially recognised at cost including the transaction costs. Subsequently, investment property is carried at fair value representing the open market value at the reporting date determined by annual valuations carried out by external valuers. Gains or losses arising from changes in the fair value are included in determining the profit or loss for the year to which they relate. The carrying amount excludes the costs of day-to-day servicing of an investment property.

When the Group can reliably determine the fair value of a self-constructed investment property under construction or development, any difference between the fair value of the property at that date and its previous carrying amount is recognised in the statement of profit or loss.

The difference between the carrying value and the fair value of the properties at the date of reclassification to investment properties is recognised in the statement of profit or loss.

Investment properties are derecognised when either they have been disposed off or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. On disposal of an investment property, the difference between the disposal proceeds and the carrying amount is charged or credited to profit or loss.

Transfers are made to or from investment property only when there is a change in use. For a transfer from investment property to owner occupied property, the deemed cost for subsequent accounting is the fair value at the date of change in use. If an owner-occupied property becomes an investment property that will be carried at fair value, an entity shall apply IAS 16 for owned property and IAS 40 for property held by a lessee as a right-of-use asset up to the date of change in use. The entity shall treat any difference at that date between the carrying amount of the property in accordance with IAS 16 or IAS 40 and its fair value in the same way as a revaluation in accordance with IAS 16.

The following table shows the valuation technique used in measuring the fair values of investment properties, as well as the significant unobservable inputs used.

Notes to Financial Statements

For the year ended 31 December 2024

2. Material accounting policies (continued)

(j) Investment properties (continued)

Valuation technique	Significant unobservable inputs	Inter-relationship between key
Discounted cash flows: The valuation model considers the present value of net cash flows to be generated from the property, taking into account expected rental growth rate, void periods, occupancy rate, lease incentive costs such as rent-free periods and other costs not paid by tenants.	- Expected market rental growth 5%. - Void periods 6 months at the beginning of each lease. - Occupancy rate 90%. - Rent-free periods 6 months at the beginning of each lease. - Discount rate 14%.	The estimated fair value would increase (decrease) if: - expected market rental growth were higher (lower); - void periods were shorter (longer); - the occupancy rate was higher (lower); - rent-free periods were shorter (longer); or - the discount rate was lower (higher).

(k) Intangible assets

Software licence costs and computer software that is not an integral part of the related hardware are initially recognised at cost, and subsequently carried at cost less accumulated amortisation and accumulated impairment losses. Costs that are directly attributable to the production of identifiable computer software products controlled by the Group are recognised as intangible assets. Amortisation is calculated using the straight-line method to write down the cost of each licence or item of software over its estimated useful life (three to five years).

Amortisation begins when the asset is available for use, i.e. when it is in the location and condition necessary for it to be capable of operating in the manner intended by management, even when idle. Amortisation ceases at the earlier of the date that the asset is classified as held for disposal and the date that the asset is derecognised.

Internally generated intangible assets, excluding capitalised development costs, are not capitalised and expenditure is reflected in the statement of profit or loss in the year in which the expenditure is incurred.

Software under implementation is recognised as work in progress at historical costs less any accumulated impairment loss. The cost of such software includes professional fees and costs directly attributable to the software. The software is not amortised until it is ready for the intended use.

Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the statement of profit or loss when the asset is derecognised.

(l) Borrowing costs

All borrowing costs are recognised in the profit or loss in the year in which they are incurred.

(m) Financial assets

(i) Classification

The Group classifies its financial assets in the following measurement categories:

- Equities and Government securities measured at fair value through profit or loss, and
- Government securities and other financial assets measured at amortised cost.

(ii) Recognition and derecognition

Regular purchases and sales of financial assets are recognised on the trade-date, the date on which the Group commits to purchase or sell the asset. Financial assets are derecognised when the rights to receive cash flows from the investments have expired or have been transferred and the Group has transferred substantially all risks and rewards of ownership.

(iii) Measurement

Classification and subsequent measurement of debt instruments depends on:

- (a) the Group's business model for managing the financial assets; and
- (b) the cash flow characteristics of the asset (whether the contractual cash flows are solely payments of principal and interest (SPPI)).

Notes to Financial Statements

For the year ended 31 December 2024

2. Material accounting policies (continued)

(m) Financial assets (continued)

(iii) Measurement (continued)

Based on these factors, the Group classifies its debt instruments into one of the following two measurement categories:

- **Amortised cost:** Assets that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortised cost. Interest income from these financial assets is included in finance income using the effective interest rate method. Any gain or loss arising on derecognition is recognised directly in profit or loss and presented in other gains/ (losses) together with foreign exchange gains and losses. Impairment losses are presented as separate line item in the statement of profit or loss.
- **FVOCI:** The group does not have assets held at FVOCI.
- **FVTPL:** Assets that do not meet the criteria for amortised cost are measured at FVTPL. A gain or loss on a debt investment that is subsequently measured at FVTPL is recognised in profit or loss and presented net within other gains/ (losses) in the period in which it arises.

Debt instruments

All financial assets not classified as measured at amortised cost as described above are measured at FVTPL. In addition, on initial recognition the Group may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost as measured at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Business model: the business model reflected how the Group manages the assets in order to generate cash flows i.e. whether the Group's objective is solely to collect the contractual cash flows from the assets (government securities) or is to collect both interest and cash flows arising from the sale of assets. Factors considered by the Group in determining the business model for a group of assets include past experience on how the cash flows for these assets were collected, how the asset's performance is evaluated and reported to key management personnel and how risks are assessed and managed.

SPPI: Where the business model is to hold assets to collect contractual cash flows or to collect contractual cash flows and sell, the Group assesses whether the financial instruments' cash flow represent solely payments of principal and interest ('SPPI test'). In making this assessment, the Group considers whether the contractual cash flows are consistent with a basic lending arrangement i.e. includes only consideration for the time value of money, credit risk, other basic lending risks and a profit margin that is consistent with a basic lending arrangement.

Where the contractual terms introduce exposure to risk or volatility that are inconsistent with a basic lending arrangement, the related financial asset is classified and measured at fair value through profit or loss. In extremely rare circumstances, the Group reclassifies debt investments when and only when its business model for managing those assets changes.

Equity securities

The Group subsequently measures all equity investments at fair value. Dividends from such investments are presented separately under other incomes and presented as part of other incomes in the statement of profit when the Group's right to receive payments is established.

Changes in the fair value of financial assets at FVPL are recognised in other investment income in the statement of profit or loss.

(iv) Determination of fair value

For financial instruments traded in active markets, the determination of fair values of financial assets and financial liabilities is based on the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. This includes listed equity securities and quoted debt instruments on major exchanges (NSE). The Group evaluates the market activities level through the fund manager reports determine whether each financial instrument is trading "enough" on the NSE. The Government bond yield curve used is thus considered to be an appropriate curve for discounting the liability cash flows without the need to make further adjustments for liquidity. For instruments that are not actively traded, the market price is adjusted for an illiquidity premium.

For all other financial instruments, fair value is determined using valuation techniques. In these techniques, fair values are estimated from observable data in respect of similar financial instruments, using models to estimate the present value of expected future cash flows or other valuation techniques, using inputs existing at the dates of the statement of financial position.

Notes to Financial Statements

For the year ended 31 December 2024

2. Material accounting policies (continued)

(iv) Determination of fair value (continued)

Fair values are categorised into three levels in a fair value hierarchy based on the degree to which the inputs to the measurement are observable and the significance of the inputs to the fair value measurement in its entirety:

- Level 1 fair value measurements are those derived from quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2 fair value measurements are those derived from inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3 fair value measurements are those derived from valuation techniques that include inputs for the asset or liability that are not based on observable market data (unobservable inputs).

Transfers between levels of the fair value hierarchy are recognised by the Group at the end of the reporting period during which the change occurred.

(v) Impairment

The Group assesses on a forward-looking basis the expected credit losses associated with its debt instruments carried at amortised cost. The impairment methodology applied depends on whether there has been a significant increase in credit risk. The impairment model applies to the following financial instruments that are not measured at FVTPL.

- Government securities measured at amortised cost
- Rent and other receivables,
- Mortgage loan,
- Corporate bonds at amortised cost;
- Deposits with financial institutions at amortised cost; and
- Cash and bank balances

No impairment loss is recognised on equity investments and financial assets measured at FVPL.

The Group recognises loss allowance at an amount equal to either 12-month ECLs or lifetime ECLs. Lifetime ECLs are the ECLs that result from all possible default events over the expected life of a financial instrument, whereas 12-month ECLs are the portion of ECLs that result from default events that are possible within the 12 months after the reporting date.

The Group will recognise loss allowances at an amount equal to lifetime ECLs, except on financial instruments for which credit risk has not increased significantly since initial recognition.

Loss allowances for rent receivables and receivables from intermediaries will always be measured at an amount equal to lifetime ECLs. The impairment requirements of IFRS 9 require management judgement, estimates and assumptions, particularly in the following areas, which are discussed in detail below:

- assessing whether the credit risk of an instrument has increased significantly since initial recognition; and
- incorporating forward-looking information into the measurement of ECLs.

Measurement of expected credit losses

ECLs are a probability-weighted estimate of credit losses and will be measured as follows:

- financial assets that are not credit-impaired at the reporting date: the present value of all cash shortfalls – i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Group expects to receive;
- financial assets that are credit-impaired at the reporting date: the difference between the gross carrying amount and the present value of estimated future cash flows;

An asset is credit-impaired if one or more events have occurred that have a detrimental impact on the estimated future cash flows of the asset. These events include but not limited to breach of covenant and other indicators of financial distress on the part of the debtor and default in payment of amounts due.

Expected credit losses are computed as a product of the Probability of Default (PD), Loss Given Default (LGD) and the Exposure at Default (EAD).

Notes to Financial Statements

For the year ended 31 December 2024

2. Material accounting policies (continued)

(v) Impairment (continued)

Measurement of expected credit losses (continued)

$$\text{ECL} = \text{PD} \times \text{LGD} \times \text{EAD}$$

Expected credit losses

In applying the IFRS 9 impairment requirements, the Group follows one of the approaches below:

- The general approach
- The simplified approach

The Group will apply the approaches below to each of its assets subject to impairment under IFRS 9:

Financial asset	Impairment approach
Loans (mortgage)	General approach
Receivables from intermediaries	Simplified approach
Rent and inter-company receivables	Simplified approach
Corporate bonds at amortised cost	General approach
Deposits with financial institutions at amortised cost	General approach
Cash and bank balances	General approach
Trade and lease receivables	Simplified approach

The general approach

Under the general approach, at each reporting date, the Group determines whether the financial asset is in one of three stages in order to determine both the amount of ECL to recognise as well as how interest income should be recognised.

- **Stage 1** - where credit risk has not increased significantly since initial recognition. For financial assets in stage 1, the Group will recognise 12 month ECL and recognise

interest income on a gross basis – this means that interest will be calculated on the gross carrying amount of the financial asset before adjusting for ECL.

- **Stage 2** - where credit risk has increased significantly since initial recognition. When a financial asset transfers to stage 2, the Group will recognise lifetime ECL but interest income will continue to be recognised on a gross basis.
- **Stage 3** - where the financial asset is credit impaired. This is effectively the point at which there has been an incurred loss event. For financial assets in stage 3, the Group will continue to recognise lifetime ECL but they will now recognise interest income on a net basis. As such, interest income will be calculated based on the gross carrying amount of the financial asset less ECL.

The changes in the loss allowance balance are recognised in profit or loss as an impairment gain or loss.

Under the simplified approach, the Group measures the loss allowance at an amount equal to lifetime expected credit losses.

Definition of default

The Group will consider a financial asset to be in default when:

- the counterparty or borrower is unlikely to pay their credit obligations to the Group in full, without recourse by the Group to actions such as realising security (if any is held); or
- the counterparty or borrower is more than 90 days past due on any material credit obligation to the Group. This will be consistent with the rebuttable criteria set out by IFRS 9 and existing practice of the Group.

In assessing whether the counterparty or borrower is in default, the Group considers indicators that are:

- **Qualitative:** e.g. Breach of covenant and other indicators of financial distress;
- **Quantitative:** e.g. Overdue status and non-payment of another obligation of the same issuer to the Group; and
- **Based on data** developed internally and obtained from external sources.

Inputs into the assessment of whether a financial instrument is in default and their significance may vary over time to reflect changes in circumstances. For financial assets that are credit impaired, the Group will continue to recognise lifetime ECL but they will now recognise interest income on a net basis. As such, interest income is calculated by applying the credit-adjusted effective interest rate to the amortized cost of the asset.

Notes to Financial Statements

For the year ended 31 December 2024

2. Material accounting policies (continued)

(v) Impairment (continued)

Definition of default (continued)

Significant increase in credit risk (SICR)

When determining whether the credit risk (i.e. risk of default) on a financial instrument has increased significantly since initial recognition, the Group considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis based on the Group's historical experience, expert credit assessment and forward-looking information.

The assessment of significant increase in credit risk is key in establishing the point of switching between the requirement to measure an allowance based on 12-month expected credit losses and one that is based on lifetime expected credit losses.

The Group monitors the effectiveness of the criteria used to identify significant increases in credit risk by regular reviews to confirm that:

- the criteria are capable of identifying significant increases in credit risk before an exposure is in default;
- the criteria do not align with the point in time when an asset becomes 30 days past due;
- the average time between the identification of a significant increase in credit risk and default appears reasonable;
- exposures are not generally transferred from 12-month ECL measurement to credit-impaired; and
- there is no unwarranted volatility in loss allowance from transfers between 12-month and lifetime ECL measurements.

Incorporation of forward-looking information

The Group incorporates forward-looking information into both its assessment of whether the credit risk of an instrument has increased significantly since initial recognition and its measurement of ECL. It formulates a 'base case' view of the future direction of relevant economic variables including interest rates, inflation, sovereign risk, regulatory environment, exchange rates and other industry-specific indicators and a representative range of other

possible forecast scenarios based on a variety of external actual and forecast information. External information includes economic data and forecasts published by governmental bodies and monetary authorities.

The base case represents a best estimate and is aligned with information used by the Group for other purposes, such as strategic planning and budgeting. The other scenarios represent more optimistic and more pessimistic outcomes. The process of stress testing equips senior management with perspectives on identifying concentrations, controlling risk exposures, and identifying management actions which may need to be taken in situations of stress. For this process to be effective, it is important to stress all material risks that the business is exposed to with appropriate regularity.

Measurement of ECL

The key inputs into the measurement of ECL are the term structures of the following variables (i) Probability of Default; (ii) Loss given default (LGD); and (iii) Exposure at default (EAD).

To determine lifetime and 12-month PDs, the Group uses internally developed PD tables based on the default history of obligors with the same credit rating. The Group adopts the same approach for unrated investments by mapping its internal risk grades to the equivalent external credit ratings (see (n) (i)). The PDs are recalibrated based on current bond yields and CDS prices, and adjusted to reflect forward-looking information as described above. Changes in the rating for a counterparty or exposure lead to a change in the estimate of the associated PD.

LGD is the magnitude of the likely loss if there is a default. The Group estimates LGD parameters based on the history of recovery rates of claims against defaulted counterparties. The LGD models consider the structure, collateral, seniority of the claim, counterparty industry and recovery costs of any collateral that is integral to the financial asset. For loans secured by retail property, loan-to-value ratios are a key parameter in determining LGD. LGD estimates are recalibrated for different economic scenarios. They are calculated on a discounted cash flow basis using the effective interest rate as the discounting factor.

EAD represents the expected exposure in the event of a default. The Group derives the EAD from the current exposure to the counterparty and potential changes to the current amount allowed under the contract, including amortisation, and prepayments. The EAD of a financial asset is its gross carrying amount.

As described above, and subject to using a maximum of a 12-month PD for financial assets for which credit risk has not significantly increased, the Group measures ECL considering

Notes to Financial Statements

For the year ended 31 December 2024

2. Material accounting policies (continued)

(v) Impairment (continued)

Measurement of expected credit losses (continued)

the risk of default over the maximum contractual period (including any borrower's extension options) over which it is exposed to credit risk, even if, for risk management purposes, the Group considers a longer period. Where modelling of a parameter is carried out on a collective basis, the financial instruments are grouped on the basis of shared risk characteristics, which include: instrument type; credit risk grading; collateral type; date of initial recognition; remaining term to maturity; industry; and geographic location of the borrower.

The groupings are subject to regular review to ensure that exposures within a particular group remain appropriately homogeneous.

When ECL are measured using parameters based on collective modelling, a significant input into the measurement of ECL is the external benchmark information that the Group uses to derive the default rates of its portfolios. This includes the PDs provided by rating agencies.

Receivables from intermediaries

The right to receive corresponding amounts from the intermediary is a separate right that does not arise under the insurance contract with the policyholder but instead arises from the service agreement between the insurer and the intermediary. The origination of this separate right is considered to settle the right to receive premiums; therefore, the premium under the insurance contract should be considered receivable by the insurer when it is received by the intermediary. The entity's policy on operating receivables from intermediaries is accounting for them as financial assets under IFRS 9. The ECL of operating Receivables from intermediaries are determined at using a provision matrix. Loss rates are calculated with reference to days past due and actual credit loss experience over the past few years.

(vi) Modification of contracts

The Group rarely renegotiates or otherwise modifies the contractual cash flows of securities. When this happens, the Group assesses whether or not the new terms are substantially different to the original terms. The Group does this by considering, among others, the following factors:

- If the counterparty is in financial difficulty;
- Whether any substantial new terms are introduced that affect the risk profile of the instrument;
- Significant extension of the contract term when the borrower is not in financial difficulty;
- Significant change in interest rate;
- Change in the currency the security is denominated in; or
- Inclusion of collateral, other security or credit enhancements that significantly affect the credit risk associated with the loan.

If the terms are substantially different, the Group derecognises the original financial asset and recognises a 'new' asset at fair value and recalculates a new EIR for the asset. The date of renegotiation is consequently considered the date of initial recognition for impairment calculation purposes, including the purpose of determining whether a SICR has occurred.

If the terms are not substantially different, the renegotiation or modification does not result in derecognition, and the Group recalculates the gross carrying amount based on the revised cash flows of the financial asset and recognises a modification gain or loss in profit or loss. The new gross carrying amount is recalculated by discounting the modified cash flows at the original EIR.

(vii) Write off policy

The Group writes off financial assets, in whole or in part when it has exhausted all practical recovery effort and has concluded that there is no reasonable expectation of recovery. Indicators that there is no reasonable expectation of recovery include (i) ceasing enforcement activity; and (ii) the Group is foreclosing on collateral and the value of the collateral is such as there is no reasonable expectation of recovering in full.

The Group may write-off financial assets that are still subject to enforcement activity. The outstanding contractual amounts of such assets written off during the year ended 31 December 2024 was KShs Nil (2023: Nil). The Group still seeks to recover amounts it is legally owed in full, but which have been partially written off due to no reasonable expectation of full recovery

Notes to Financial Statements

For the year ended 31 December 2024

2. Material accounting policies (continued)

(n) Translation of foreign currencies

On initial recognition, all transactions are recorded in the functional currency (the currency of the primary economic environment in which the Group operates), which is Kenya Shillings. Transactions in foreign currencies during the year are converted into the functional currency using the exchange rate prevailing at the transaction date. Monetary assets and liabilities at the reporting date denominated in foreign currencies are translated into the functional currency using the exchange rate prevailing as at that date. The resulting foreign exchange gains and losses from the settlement of such transactions and from year-end translation are recognised on a net basis in the statement of profit or loss in the year in which they arise, except for differences arising on translation of non-monetary financial assets which are recognised in other comprehensive income.

(o) Inventory

Inventory, comprising plots held for resale is stated at the lower of cost and net realisable value. The cost of land and development includes infrastructure costs incurred in respect of unsold plots, which are capitalised and released to income as the plots are sold. Cost is calculated on specific costs incurred to bring land and development to its present condition.

(i) Retirement benefit obligations

The Group operates a defined contribution retirement benefit scheme for qualifying employees. The Group and all its employees also contribute to the National Social Security Fund which is also a defined contribution scheme. A defined contribution plan is a pension plan under which the Group pays fixed contributions into a separate entity. The Group has no legal or constructive obligations to pay further contributions if the fund does not hold sufficient assets to pay all employees the benefits relating to employee service in the current and prior periods. The Group's contributions to the defined contribution schemes are charged to the statement of profit or loss in the year to which they relate.

(ii) Long-term staff retention scheme

The Group has a long-term staff retention scheme that is separately administered by Trustees under a legal entity. The Group has no legal or constructive obligations to pay further contributions if the fund does not hold sufficient assets to pay qualifying employees the benefits due to them on vestation. The amount expensed each year is approved by the Board of directors and charged directly to the statement of profit or loss. The Group has no claim whatsoever on the amounts that have not vested as this is redistributed to the existing

qualifying members.

(iii) Bonus

Staff are entitled to a bonus which is based on preset performance parameters on an annual basis. The full cost of the bonus is expensed in the year in which it is incurred.

(iv) Other entitlements

The estimated monetary liability for employees accrued annual leave entitlement at the statement of financial position date is recognised as an expense accrual.

(q) Other financial liabilities

All financial liabilities are recognised initially at fair value of the consideration given plus the transaction cost with the exception of financial liabilities carried at fair value through profit or loss, which are initially recognised at fair value and the transaction costs are expensed in the statement of profit or loss. Subsequently, all financial liabilities are carried at amortised cost using the effective interest method except for financial liabilities at fair value through profit or loss which are carried at fair value.

Borrowings, trade and other liabilities are classified as financial liabilities and are carried at amortised cost.

Gains and losses on financial liabilities at amortised cost are recognised on derecognition and through the amortisation process. Gains and loss on financial liabilities at fair value through profit or loss are recognised in the statement of profit or loss.

(r) Income tax expense

Income tax expense is the aggregate amount charged/ (credited) in respect of current tax and deferred tax in determining the profit or loss for the year. Tax is recognised in the statement of profit or loss except when it relates to items recognised in other comprehensive income, in which case it is also recognised in other comprehensive income, or to items recognised directly in equity, in which case it is also recognised directly in equity.

Current income tax

Current income tax is the amount of income tax payable on the taxable profit for the year determined in accordance with the Kenyan Income Tax Act. The tax rates and tax laws

Notes to Financial Statements

For the year ended 31 December 2024

2. Material accounting policies (continued)

(r) Income tax expense (continued)

used to compute the amount are those that are enacted or substantively enacted as at the reporting date.

Deferred income tax

Deferred tax is determined for all temporary differences arising between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes, using tax rates and laws enacted or substantively enacted at the balance sheet date and expected to apply when the asset is recovered or the liability is settled.

The measurement of deferred tax assets and liabilities reflects the tax consequences that would follow from the manner in which the Group expects, at the end of the reporting period, to recover or settle the carrying amount of its assets or liabilities. However, for investment property that is measured using the fair value model, there is a rebuttable presumption that the carrying amount of the investment property will be recovered through sale.

Deferred tax liabilities are recognised for all taxable temporary differences except those arising on the initial recognition of an asset or liability, other than through a business combination, that at the time of the transaction affects neither the accounting nor taxable profit or loss.

Deferred tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which temporary differences can be utilised. Recognised and unrecognised deferred tax assets are reassessed at the end of each reporting period and, if appropriate, the recognised amount is adjusted to reflect the extent that it has become probable that future taxable profits will allow the deferred tax asset to be recovered.

Value added taxes and premium taxes

Revenues, expenses and assets and liabilities are recognised net of the amount of value added taxes and premium taxes except:

- when the value added taxes or premium tax incurred on a purchase of assets or services is not recoverable from the taxation authority, in which case the value added tax is recognised as part of the cost of acquisition of the asset or as part of the expense item as applicable; or
- receivables and payables that are measured with the amount of value added taxes or premium tax included.

Outstanding net amounts of value added taxes or premium tax recoverable from, or payable to, the taxation authority is included as part of receivables or payables in the statement of financial position.

(s) Dividends

Dividends on ordinary shares are recognised as a liability in the year in which they are declared. Dividends for the year that are approved after the reporting date are dealt with as a non-adjusting event after the reporting date.

(t) Expenses

Expenses are recognised in the statement of profit or loss when a decrease in future economic benefits related to a decrease in an asset or an increase of a liability has arisen that can be measured reliably and is independent from transactions with equity participants. This means, in effect, that recognition of expenses occurs simultaneously with the recognition of an increase in liabilities or a decrease in assets (for example, the accrual of employee entitlements or the depreciation of equipment).

- (i) When economic benefits are expected to arise over several accounting periods and the association with income can only be broadly or indirectly determined expenses are recognised in the statement of profit or loss on the basis of systematic and rational allocation procedures. This is often necessary in recognising the equipment associated with the using up of assets such as property, plant and equipment in such cases the expense is referred to as a depreciation or amortisation. These allocation procedures are intended to recognise expenses in the accounting periods in which the economic benefits associated with these items are consumed or expire.
- (ii) An expense is recognised immediately in the statement of profit or loss when expenditure produces no future economic benefits or when, and to the extent that, future economic benefits do not qualify, or cease to qualify, for recognition in the statement of financial position as an asset.

(u) Impairment of non-financial assets

The Group assesses at each reporting date whether there is an indication that an asset may be impaired. If any such indication exists, or when annual impairment testing for an asset is required, the Group estimates the asset's recoverable amount.

An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. An asset's recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs to sell and its value in use. The recoverable

Notes to Financial Statements

For the year ended 31 December 2024

2. Material accounting policies (continued)

(u) Impairment of non-financial assets (continued)

amount is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used.

Impairment losses of continuing operations are recognised in the statement of profit or loss in those expense categories consistent with the function of the impaired asset. In this case the impairment is also recognised in other comprehensive income up to the amount of any previous revaluation.

An assessment is made at each reporting date as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. If such indication exists, the Group makes an estimate of recoverable amount. A previous impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognised. If that is the case the carrying amount of the asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the statement of profit or loss unless the asset is carried at revalued amount, in which case the reversal is treated as a revaluation increase.

(v) Intangible assets

Intangible assets with indefinite useful lives are tested for impairment annually as at 31 December at the CGU level, as appropriate, and when circumstances indicate that the carrying value may be impaired

(w) Provisions

Provisions are recognised when the Group has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. Where the Group expects some or all of a provision to be reimbursed, the reimbursement is recognised as a separate asset but only when the reimbursement is virtually certain. The expense relating to any provision is presented in the statement of profit or loss net of any reimbursement. If the effect of the time value

of money is material, provisions are discounted using a current pre-tax rate that reflects, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

(x) Cash and cash equivalents

Cash and cash equivalents include cash in hand and on demand and term deposits, with maturities of three months or less from the date of acquisition, that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value, net of bank overdrafts. In the statement of financial position, bank overdrafts are included as borrowings under current liabilities.

For the purpose of the consolidated cash flow, cash and cash equivalents consist of cash and cash equivalent as defined above, net of outstanding bank overdrafts.

(y) Significant judgements and key sources of estimation uncertainty

In the process of applying the accounting policies adopted by the Group, the directors make certain judgements and estimates that may affect the carrying values of assets and liabilities in the next financial period. Such judgements and estimates are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the current circumstances. The directors evaluate these at each financial reporting date to ensure that they are still reasonable under the prevailing circumstances based on the information available.

The preparation of the Group's financial statements requires management to make judgments, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities and the disclosure of contingent liabilities, at the reporting date. However, uncertainty about these assumptions and estimates could result in outcomes that could require a material adjustment to the carrying amount of the asset or liability affected in the future.

(z) Significant judgements made in applying the Group's accounting policies

The judgements made by the directors in the process of applying the Group's accounting policies that have the most significant effect on the amounts recognised in the financial statements include:

- (a) Whether it is probable that future taxable profits will be available against which temporary differences can be utilised (note 27), judgement on recoverability of deferred tax asset; and

Notes to Financial Statements

For the year ended 31 December 2024

2. Material accounting policies (continued)

(z) Significant judgements made in applying the Group's accounting policies (continued)

- (b) Whether the Group has control over investee in view of the criteria set out under IFRS 10. These are;
- power over the investee
 - exposure, or rights, to variable returns from its involvement with the investee, and the ability to use its power over the investee to affect the amount of the investor's returns
- (a) The classification of financial assets and leases (note 14 and note 10(b)), judgement on correct classification of financial assets and leases
- (b) Classification of contracts as insurance or investments contracts (notes 2 (c) and 23).
- (c) Whether assets are impaired and if whether there have been a Significant Increase in Credit Risk (SICR) (note 2(n)(v)).
- (d) Whether land and buildings meet the criteria to be classified as investment property (note 10 a&b)
- (e) Going concern as well as the assumption that the regulator will approve the proposed merger between the Sanlam General Insurance and Jubilee Allianz General Insurance Limited (note 31)

Significant judgements and changes in judgements made when applying IFRS 17 specifically, the inputs, assumptions and estimation techniques used in measurement including coverage units, release of CSM and risk adjustment further details are included in note IFRS 17 Insurance contracts (note 2(c)) which include:

- methods used to measure insurance contracts and processes for estimating the inputs to those methods
- any changes in methods and processes for estimating inputs used to measure contracts, the reason for each change and the type of contracts affected
- the approach used to:
 - identify changes in discretionary cash flows for contracts without direct participation features
 - determine the risk adjustment for non-financial risk

- determine discount rates
- determine investment components determine the relative weighting of the benefits provided by insurance coverage and investment services

Going concern

Management does an assessment of the Group's and Company's ability to continue as a going concern at the end of every financial year. The assessment involves review of the Group's and Company's net assets and total assets against total liabilities and the plans management have put in place to address any going concern indicators. Furthermore, an assessment of events and conditions that may cast significant doubt upon the Group's and Company's ability to continue as a going concern is done. The Group and Company also evaluates existing growth opportunities and potential threats that may have a significant impact on their existence including compliance with statutory requirements. The Group and Company leverage on existing opportunities in developing future business plan to ensure that they continue operating in a profitable manner.

(i) Key sources of estimation uncertainty

Valuation of insurance contract liabilities

Critical assumptions are made by the actuary in determining the present value of actuarial liabilities and estimating the liabilities for claims that have occurred but have not yet been reported to the Group (incurred but not reported (IBNR)). The liability for life insurance contracts is based on assumptions updated at each reporting period to derive best estimate liabilities in addition to the liabilities for incurred claims.

The main assumptions used relate to mortality, morbidity, longevity, investment returns, expenses, lapse and surrender rates and discount rates. The Group base mortality and morbidity on standard industry and Kenya's mortality tables which reflect historical experiences, adjusted when appropriate to reflect the Group's unique risk exposure, product characteristics, target markets and own claims severity and frequency experiences. For those contracts that insure risk to longevity, prudent allowance is made for expected future mortality improvements, but epidemics, as well as wide ranging changes to lifestyle, could result in significant changes to the expected future mortality exposure.

Lapse and surrender rates are based on the Group's historical experience of lapses and surrenders. Discount rates are determined using the bottom-up approach and the risk-free rate used is government bonds yield curve as at valuation date and the confidence level applied used was 90%.

IFRS17 requires contracts to be allocated to groups where each group cannot contain

Notes to Financial Statements

For the year ended 31 December 2024

2. Material accounting policies (continued)

(i) Key sources of estimation uncertainty (continued)

Valuation of insurance contract liabilities (continued)

contracts issued more than one year apart. We thus have annual cohorts as the maximum, but may have shorter groups where it makes sense e.g. monthly cohorts for Annuity business. Further, each product have its own cohorts. Contracts have been divided into groups of contracts that are:

- (a) Onerous at initial recognition;
- (b) Have no significant possibility of becoming onerous subsequently; and
- (c) Remaining contracts in the portfolio.

The profitability assessment will be based on the individual policy's profitability at full unit costs and whether the product as a whole is profitable on a marginal unit cost basis.

The inputs, assumptions and estimation techniques used in measurement including coverage units, release of CSM and risk adjustment further details are included in note IFRS 17 Insurance contracts (note 2.2.1).

ECL Measurement

Management assesses the carrying value of the Group's assets on an annual basis.

- Significant increase of credit risk: As explained in Note 2 (n) (v), ECLs are measured as an allowance equal to 12-month ECL for stage 1 assets, or lifetime ECL assets for stage 2 or stage 3 assets. An asset moves to stage 2 when its credit risk has increased significantly since initial recognition. IFRS 9 does not define what constitutes a significant increase in credit risk. In assessing whether the credit risk of an asset has significantly increased the Group takes into account qualitative and quantitative reasonable and supportable forward-looking information. Refer to Note 2 (n) (v) for more details.
- Models and assumptions used: The Group uses various models and assumptions in measuring fair value of financial assets as well as in estimating ECL. Judgment is applied in identifying the most appropriate model for each type of asset, as well as for determining the assumptions used in these models, including assumptions that relate to key drivers of credit risk.
- Establishing the number and relative weightings of forward-looking scenarios for each type of product/market and determining the forward-looking information relevant to each scenario: When measuring ECL the Group uses reasonable and supportable

forward-looking information, which is based on assumptions for the future movement of different economic drivers and how these drivers will affect each other.

- Probability of default: PD constitutes a key input in measuring ECL. PD is an estimate of the likelihood of default over a given time horizon, the calculation of which includes historical data, assumptions and expectations of future conditions.
- Loss Given Default: LGD is an estimate of the loss arising on default. It is based on the difference between the contractual cash flows due and those that are expected to be received, taking into account cash flows from collateral and integral credit enhancements.

Income taxes

The Group is subject to income taxes under the Kenya Income Tax Act. Estimates are required in determining the provision for income taxes. There are transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and the deferred tax provisions in the period in which such determination is made.

(aa) Events after the reporting date

The financial statements are adjusted to reflect events that occurred between the reporting date and the date when the financial statements are authorised for issue, provided they give evidence of conditions that existed at the reporting date. Events that are indicative of conditions that arose after the reporting date are disclosed, but do not result in an adjustment of the financial statements themselves.

(bb) Share capital and share premium

Ordinary shares are recognised at par value and classified as 'share capital' in equity. Any amounts received over and above the par value of the shares issued are classified as 'share premium' in equity.

Incremental costs attributable to the issue or cancellation of Equity securities are recognised directly in equity, net of tax if applicable.

(cc) Statutory fund - life business

The Group matches the assets to liabilities, after which there is a surplus/deficit that is transferred to the statutory fund. The Insurance Act regulations stipulate that only a maximum 30% of this can be transferred to the shareholders. The statutory actuary advises on the amount to be transferred to the shareholders. When a transfer is made to the shareholders, tax at the prevailing corporation rate 2024: 30% (2023:30%) is incurred.

Notes to Financial Statements

For the year ended 31 December 2024

2. Material accounting policies (continued)

(aa) Events after the reporting date (continued)

(dd) Assets held for sale

Non-current assets, or disposal groups comprising assets and liabilities, are classified as held for sale if it is highly probable that they will be recovered primarily through sale rather than through continuing use.

The following criteria are considered in the determination of whether the sale is highly probable:

- The asset (or disposal group) must be available for immediate sale in its present condition subject only to terms that are usual and customary for sales of such assets (or disposal groups) and its sale must be highly probable.
- The appropriate level of management must be committed to a plan to sell the asset (or disposal group), and an active programme to locate a buyer and complete the plan must have been initiated.
- The sale should be expected to qualify for recognition as a completed sale within one year from the date of classification and actions required to complete the plan should indicate that it is unlikely that significant changes to the plan will be made or that the plan will be withdrawn.
- The probability of shareholders' approval (if required in the jurisdiction) should be considered as part of the assessment of whether the sale is highly probable.

Such assets, or disposal groups, are generally measured at their fair value or valuation in accordance with the applicable accounting policy. The assets are classified in the statement of financial position as assets held for sale, whereas the liabilities are classified as liabilities directly attributed to the assets held for sale.

3. Segment information

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision-maker. The chief operating decision-maker, who is responsible for allocating resources and assessing performance of the operating segments, has been identified as the Executive Committee that makes strategic decisions. Executive Committee is appointed by the Board of Directors. It consists of the Group Chief operating decision maker (Chief Executive Officer (CEO)) and all the positions that directly report to the CEO.

The reportable segments are based on product features that vest various benefits to the policyholder which are mainly categorized into risk products, savings, participating and non-life products. The following summary describes the products and services that each reportable segment offers.

Reportable segments

Life risk

Life risk contracts provide protection against risk of premature death, disability or critical illness and, in the case of annuity contracts, extended longevity. These include term assurance, critical illness, non-participating whole-life contracts and immediate annuities with fixed and guaranteed terms.

Life savings

Life savings contracts provide both savings and protection. Deferred annuities with fixed and guaranteed terms. Universal life contracts that provide both a lump sum benefit payable on death and access to an account value.

Participating

Participating contracts are flexible savings products that allow policyholders to benefit from participating in the performance of a wide range of underlying items. Contracts include traditional participating contracts, variable annuities, unit-linked contracts and collective investment schemes and investment-linked contracts.

Non-life

The Group issues non-life contracts to corporate and individual customers. Contracts issued to medium and large businesses provide coverage for property and casualty risks, including public liability, employers' liability, cyber, marine and energy. Contracts issued to individuals and small businesses provide coverage for property and casualty risks, primarily in the form of motor and home insurance contracts.

Investments

These are operations at the holding entity which includes investing in the subsidiaries by providing the required capital and in return earns dividends. It invests in properties (land) that it sells. This also includes operation of all other non-insurance subsidiaries.

Segment results that are reported to the Group management committee include items that are directly attributable to a segment and those that can be allocated on a reasonable basis. Unallocated items mainly relate to the once off costs.

Notes to Financial Statements

For the year ended 31 December 2024

3. Segment information (continued)

a) Segment statement of comprehensive income for the year ended 31 December 2024

	Life risk	Life savings	Non-life	Investment	*Consolidation Adjust	Total
	KShs.'000'	KShs.'000'	KShs.'000'	KShs.'000'	KShs.'000'	KShs.'000'
Segment revenue						
Insurance revenue	4,389,292	170,955	2,810,845	-	(12,063)	7,359,029
Interest revenue calculated using the effective interest method	260,371	-	153,501	-	-	413,872
Other interest income	2,334,663	-	216,773	-	-	2,551,436
Other investment revenue	2,127,963	-	179,514	-	-	2,307,477
Total	9,112,289	170,955	3,360,633	-	(12,063)	12,631,814
Insurance service exp	(3,565,605)	-	(2,119,417)	-	12,063	(5,672,959)
Insurance service result	994,642	-	691,428	-	-	1,686,070
Insurance finance income and expenses	(3,557,854)	-	(231,596)	-	-	(3,789,450)
Interest expenses (included in 'other finance costs	-	-	(34,302)	(700,510)	-	(734,812)
Claims and benefits	2,611,442	2,249,644	941,923	-	-	5,803,009
Fees and commissions	571,051	28,475	433,131	-	-	1,032,657
Employee benefits	562,836	68,198	373,960	-	-	1,004,994
Depreciation and amortization	59,492	-	44,238	-	-	103,730
Segment profit/(loss) before taxation	2,135,733	-	336,743	-	-	2,472,476
Segment assets	19,785,194	8,627,306	7,798,673	1,537,405	-	37,748,578
Segment liabilities	18,165,889	9,369,365	-	-	-	27,535,254
Liabilities directly attributed with the assets held for sale	-	-	2,766,204	-	-	2,766,204
Additions to non-current assets	-	-	-	-	-	-
Borrowings	-	-	1,174,528	3,041,628	-	4,216,156

All expenses, including depreciation and amortization costs, have been charged to the respective operating segments. All revenues and expenses are included in the consolidated statement of profit or loss.

*Consolidation adjustments - All intra-group transactions, balances, income and expenses are eliminated in full on consolidation and consistent accounting policies are used throughout the group for the purposes of the consolidation.

Notes to Financial Statements

For the year ended 31 December 2024

3. Segment information (continued)

b) Segment statement of comprehensive income for the year ended 31 December 2023

	Life risk	Life savings	Non-life	Investments	Total
	KShs:'000	KShs:'000	KShs:'000	KShs:'000	KShs:'000
Segment revenue					
Insurance revenue	3,928,251	184,844	2,823,187	-	6,936,282
Interest revenue calculated using the effective interest method	124,730	-	120,038	-	244,768
Other interest income	2,530,423	-	226,719	-	2,757,142
Other investment revenue	(1,853,758)	-	(86,926)	-	(1,940,684)
Total	4,729,646	184,844	3,083,018	-	7,997,508
Insurance service expenses	(3,378,801)	-	(1,669,391)	-	(5,048,192)
Insurance service result	734,294	-	91,841	-	826,135
Insurance finance income and expenses	(552,620)	-	(129,805)	-	(682,425)
Interest expenses (included in 'other finance costs	-	-	(27,309)	(577,301)	(604,610)
Claims and benefits	2,598,347	1,957,396	586,919	-	5,142,662
Fees and commissions	461,506	29,744	383,690	-	874,940
Employee benefits	446,377	79,554	346,848	-	872,779
Depreciation and amortization	39,437	-	14,088	-	53,525
Segment profit/(loss) before taxation	869,112	-	254,545	(534,858)	588,799
Segment assets	19,443,687	8,843,278	4,345,015	1,596,757	34,228,737
Segment liabilities	17,290,365	7,863,915	2,775,967	-	27,930,247
Additions to non-current assets	11,822	-	5,646	-	17,468
Borrowings	-	-	1,140,226	3,516,918	4,657,144

All expenses, including depreciation and amortization costs, have been charged to the respective operating segments. All revenues and expenses are included in the consolidated statement of profit or loss.

Notes to Financial Statements

For the year ended 31 December 2024

3. Segment information (continued)

(c) Reconciliations of information on reportable segments to the amounts (continued)

		2024	2023
		KShs.'000'	KShs.'000'
Revenue			
Total segment revenue		12,631,814	7,997,508
Unallocated interest revenue		-	-
Consolidated revenue		12,631,814	7,997,508
Represented by:			
Insurance revenue		7,359,029	6,936,282
Other interest income		2,551,436	2,757,142
Interest revenue calculated using the effective interest method		413,872	244,768
Other investment revenue		2,307,477	(1,940,684)
		12,631,814	7,997,508
Profit before tax			
Total profit before tax for reportable segments		2,472,476	1,123,657
Unallocated amounts		184,331	113,957
Life insurance contracts		(359,365)	(163,237)
Other incomes		(82,993)	5,654
Investment income		407,650	(11,697)
Other operating expenses		(260,457)	(220,937)
Interest expenses (included in 'other finance costs')		(700,510)	(604,610)

Notes to Financial Statements

For the year ended 31 December 2024

3. Segment information (continued)

(c) Reconciliations of information on reportable segments to the amounts (continued)

	2024	2023
	KShs.'000'	KShs.'000'
Consolidated profit before tax	1,661,132	242,787
Assets		
Total assets for reportable segments	37,748,579	33,995,417
Unallocated amounts	816,310	814,191
Property and equipment	492,993	531,750
Other	108,050	33,985
Consolidated total assets	39,165,932	35,375,343
Liabilities		
Total liabilities for reportable segments	30,158,050	27,770,379
Unallocated amounts	-	-
Loans and borrowings	4,216,156	4,657,143
Deferred income tax liability	1,445,377	1,020,059
Other	1,425,212	1,061,513
Consolidated total liabilities	37,244,795	34,509,094

Notes to Financial Statements

For the year ended 31 December 2024

3. Segment information (continued)

(c) Reconciliations of information on reportable segments to the amounts (continued)

	Reportable segment	Reinsurance contracts Adjustments	Consolidated Total
	KShs.'000'	KShs.'000'	KShs.'000'
Other material items 2024			
Insurance service expenses	(5,672,959)	-	(5,672,959)
Insurance service result	1,686,070	(1,042,556)	643,514
Insurance finance income and expenses	(3,789,450)	-	(3,789,450)
Interest expenses (included in 'other finance costs')	(734,812)	-	(734,812)
Depreciation and amortisation	103,730	-	103,730
Additions to non-current assets			
Other material items 2023			
Insurance service expenses	(5,048,192)	-	(5,048,192)
Insurance service result	826,135	(140,036)	686,099
Insurance finance income and expenses	(682,425)	-	(682,425)
Interest expenses (included in 'other finance costs')	(604,610)	-	(604,610)
Depreciation and amortisation	(53,525)	-	(53,525)
Additions to non-current assets	17,468	-	17,468

Notes to Financial Statements

For the year ended 31 December 2024

3. Segment information (continued)

Products and services

The following table analyses the Group's revenue by product and service offered.

		2024	2023
		KShs.'000'	KShs.'000'
Life risk insurance contracts		32,470	714,390
Immediate fixed annuity		2,172,878	1,733,667
Other		1,456,285	1,323,261
Participating insurance contracts			
Traditional participating		814,120	235,344
Variable annuity		-	-
Unit-linked and other investment-linked		84,494	106,433
Non-life insurance contracts			
• Motor		1,331,356	1,360,691
• Property		688,128	612,013
• Public liability		172,199	148,562
• Employers liability		223,558	339,246
• Other		395,604	362,675
Consolidation Adjustment		(12,063)	-
Consolidated revenue		7,359,029	6,936,282

Notes to Financial Statements

For the year ended 31 December 2024

4. Insurance revenue

2024	Life risk	Life savings	Non-life	Consolidated Adjustment	Total
	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Contracts not measured under the PAA					
Amounts relating to changes in liabilities for remaining coverage					
• CSM recognised for services provided	316,897	208,092	-	-	524,989
• Change in risk adjustment for non- financial risk for risk expired	27,212	-	-	-	27,212
• Expected incurred claims and other insurance service expenses	2,265,137	-	-	-	2,265,137
• Other	387,434	(37,137)	-	-	350,297
	2,996,680	170,955	-	-	3,167,635
Contracts measured under the PAA	1,392,612	-	2,810,845	(12,063)	4,191,394
Total insurance revenue	4,389,292	170,955	2,810,845	(12,063)	7,359,029

2023	Life risk	Life savings	Non-life	Total
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Contracts not measured under the PAA				
Amounts relating to changes in liabilities for remaining coverage				
• CSM recognised for services provided	461,209	-	-	461,209
• Change in risk adjustment for non- financial risk for risk expired	23,505	-	-	23,505
• Expected incurred claims and other insurance service expenses	2,136,546	-	-	2,136,546
• Other	(22,436)	184,844	-	162,408
Recovery of insurance acquisition cashflows	-	-	-	-
	2,598,824	184,844	-	2,783,668
Contracts measured under the PAA	1,329,427	-	2,823,187	4,152,614
Total insurance revenue	3,928,251	184,844	2,823,187	6,936,282

Notes to Financial Statements

For the year ended 31 December 2024

5. Insurance service expenses

	Note	2024	2023
		KShs.'000'	KShs.'000'
Claims and benefits		3,974,433	3,568,956
Fees and commissions		599,526	874,940
Employee benefits	5(a)	1,004,994	872,779
Amortisation of intangible assets		9,266	23,121
Depreciation on property and equipment		50,005	53,525
Depreciation on right of use asset		44,174	25,474
Auditor's remuneration		15,195	13,498
Professional fees		15,241	12,709
Legal fees		9,523	8,759
Repair and maintenance		29,801	20,114
Premium tax and stamp duty		51,120	43,935
Other administrative expenses	5(b)	810,664	853,787
Total expenses		6,613,942	6,371,597
Amounts attributed to insurance acquisition cash flows incurred during the year		(917,257)	(1,209,447)
Total expenses		5,696,685	5,162,150
Represented by:			
Insurance service expenses		5,672,959	5,048,193
Other operating expenses (Note 5 c)		23,726	113,957
Total		5,696,685	5,162,150

Notes to Financial Statements

For the year ended 31 December 2024

5. Insurance services expenses (continued)

(a) Employee benefit expenses

	2024	2023
	KShs. '000	KShs. '000
Wages and salaries	840,507	748,817
Social security contributions	8,510	71,189
Contributions to defined contribution plans	78,472	2,519
Other staff costs	77,505	50,254
Total employee benefit expenses	1,004,994	872,779

The total number of permanent employees for the Group as at 31 December 2024 was 164 compared to 172 as at 31 December 2023. Total employees for the Company as at 31 December 2024 was nil (2023: nil). The company employees were transferred to the operating subsidiaries where they provide employment services.

(b) Other administrative expenses

	2024	2023
	KShs. '000	KShs. '000
Office rent, repairs, and insurance	61,720	60,326
Sales promotion	137,966	126,375
Telephone, electricity, internet, and postage	31,266	30,352
Premium collection charges	34,445	33,927
Travel, accommodation & entertainment	63,475	45,991
Per policy costs and software licenses	115,170	111,156
Outsourced services	13,875	17,850
Bank charges	27,657	31,424
Printing and stationery	18,193	15,730
Other expenses	306,897	380,656
Total other administrative expenses	810,664	853,787

Other expenses comprise marketing expenses, printing and stationery expenses and other office expenses.

Notes to Financial Statements

For the year ended 31 December 2024

5. Insurance services expenses (continued)

c) Other expenses (non-insurance investments)

	Group		Company	
	2024	2023	2024	2023
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Non attributable expenses (Note 5)	23,726	113,957	-	-
Other operating expenses*	104,752	106,980	109,358	111,680
Total	128,478	220,937	109,358	111,680

* Other expenses comprise of compliance expenses incurred in running the non- insurance entities.

(d) Net expenses from reinsurance

	2024	2023
Contracts measured under the PAA	KShs. '000	KShs. '000
General insurance		
Premium ceded to reinsurers	783,359	808,846
Claims recoverable from reinsurers	(82,338)	253,108
Net General insurance	701,021	1,061,954
Life Insurance	341,534	140,036
Net expenses from reinsurance	1,042,555	1,201,990

Notes to Financial Statements

For the year ended 31 December 2024

6 Net financial result

The following table analyses the Group's net financial result in profit or loss

2024	Life risk	Non-life	Total
	KShs.'000'	KShs.'000'	KShs.'000'
Investment return			
Interest revenue calculated using the effective interest method	260,371	153,501	413,872
Interest revenue	2,334,663	216,773	2,551,436
Other investment revenue from financial instruments designated as at FVTPL	2,127,963	179,514	2,307,477
Total other investment income	4,722,997	549,788	5,272,785

2024	Life risk	Non-life	Total
	KShs.'000'	KShs.'000'	KShs.'000'
Finance expenses			
Risk adjustment unwind	(31,536)	-	(31,536)
Interest accreted	33,112	-	33,112
Effect of changes in interest rates and other financial assumptions	(1,333,580)	(231,596)	(1,565,176)
Effect of measuring changes in estimates at current rates and adjusting the CSM at rates on initial recognition	(2,225,850)	-	(2,225,850)
Net foreign exchange loss			
Total net finance expenses from insurance contracts	(3,557,854)	(231,596)	(3,789,450)
Net finance income from reinsurance contracts			
Interest accreted	1,959	-	1,959
Other	(19,789)	60,152	40,363
Total net finance income from reinsurance contracts	(17,830)	60,152	42,322
Represented by: Amounts recognised in profit or loss	1,147,313	378,344	1,525,657
(A) Insurance finance income and expenses			
Net finance expenses from insurance contracts	(3,557,854)	(231,596)	(3,789,450)
Recognised in profit or loss	(3,557,854)	(231,596)	(3,789,450)

Notes to Financial Statements

For the year ended 31 December 2024

6. Net financial result (continued)

The following table analyses the Group's net financial result in profit or loss

2023	Life risk	Non-life	Total
	KShs.'000'	KShs.'000'	KShs.'000'
Investment return			
Interest revenue calculated using the effective interest method	124,730	120,038	244,768
Interest revenue	2,530,423	226,719	2,757,142
Other investment revenue from financial instruments designated as at FVTPL	(1,853,758)	(86,926)	(1,940,684)
Total other investment income	801,395	259,831	1,061,226

2023	Life risk	Non-life	Total
	KShs.'000'	KShs.'000'	KShs.'000'
Investment return			
Changes in fair value of underlying items of direct participating contracts	-	-	-
Effects of risk mitigation option	-	-	-
Interest accreted	(2,625)	-	(2,625)
Effect of changes in interest rates and other financial assumptions	1,053,474	(129,805)	923,669
Effect of measuring changes in estimates at current rates and adjusting the CSM at rates on initial recognition	(1,603,469)	-	(1,603,469)
Net foreign exchange loss	-	-	-
Total net finance expenses from insurance contracts	(552,620)	(129,805)	(682,425)
Net finance income from reinsurance contracts			
Interest accreted	(22)	-	(22)
Other	(23,179)	32,678	9,499
Total net finance expenses from reinsurance contracts	(23,201)	32,678	9,477
Represented by: Amounts recognised in profit or loss	225,574	162,704	388,278
(A) Insurance finance income and expenses			
Net finance expenses from insurance contracts	(552,620)	(129,805)	(682,425)
Recognised in profit or loss	(552,620)	(129,805)	(682,425)

Notes to Financial Statements

For the year ended 31 December 2024

7. Other income (*non-insurance investments)

	Group		Company	
	2024	2023	2024	2023
	KShs:'000	KShs:'000	KShs:'000	KShs:'000
Other incomes	40,258	5,654	4,970	4,123
Disposal of inventory	32,500	-	32,500	-
Investment income				
Net rental Income (Note 11)	140,631	77,662	-	-
Dividends	30,197	-	900,000	150,000
Other investment revenue from financial instruments mandatorily measured at FVTPL	69,313	-	-	-
Fair value gains/(losses)	42,351	(89,359)	60,961	-
Total investment income	282,492	(11,697)	960,961	150,000
Total other income	355,250	(6,043)	998,431	154,123

*These are dividends from investment in subsidiaries, sale of land , unlisted equities dividend & valuation gains/(loss), and rental investment properties.

Notes to Financial Statements

For the year ended 31 December 2024

8. (a) Income tax expense

	Group		Company	
	2024	2023	2024	2023
Statement of profit or loss	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Current tax:				
Current year tax charge	17,031	39,531	1,491	1,254
Under/(over) provision of current tax from prior years	(341)	-	(1,029)	-
Deferred tax:				
Prior year adjustment	(815)	-	-	-
Deferred income tax charge (Note 27(a))	590,370	329,824	-	-
Income tax expense	606,245	369,355	462	1,254
Reconciliation of income tax expense to tax based on accounting profit: -				
Profit before income tax	1,661,132	242,787	188,563	(536,112)
Tax calculated at a statutory rate of 30% (2023: 30%)	498,339	72,837	56,569	(160,834)
Tax effect of:				
Income not subject to tax	(721,257)	(252,100)	(55,078)	162,088
Expenses not deductible for tax	239,949	323,313	-	-
Under/(over) provision of current tax from prior years	(341)	(3,508)	(1,029)	-
Deferred tax prior year adjustment	(815)	-	-	-
Deferred tax current year tax credit	(988)	-	-	-
Deferred tax charge on life fund surplus	591,358	228,813	-	-
Income tax expense	606,245	369,355	462	1,254

Notes to Financial Statements

For the year ended 31 December 2024

8. (b) Current income tax receivable/(payable)

	Group		Company	
	2024	2023	2024	2023
	KShs:'000	KShs:'000	KShs:'000	KShs:'000
At start of the year:				
• current tax receivable	227,787	254,960	1,325	-
• current tax payable	-	(1,137)	-	(1,137)
Income tax paid	224,852	177,526	1,587	3,716
Current year tax charge	(17,031)	(39,531)	(1,491)	(1,254)
Under/(over) provision of current tax from prior years	341	8,700	1,029	-
Transfer from deferred tax on life fund surplus	(166,040)	(172,731)	-	-
Net tax position	269,909	227,787	2,450	1,325
At end of the year: current tax receivable	269,909	227,787	2,450	1,325
Current tax payable	-	-	-	-

9. Intangible assets – software

	Group	
	2024	2023
	KShs:'000	KShs:'000
Cost:		
At 1 January	209,671	209,671
Additions	1,813	-
At 31 December	211,484	209,671
Amortisation		
At start of year	(201,131)	(178,008)
Charge for the year	(9,266)	(23,123)
At 31 December	(210,397)	(201,131)
Carrying amount at 31 December	1,087	8,540

Notes to Financial Statements

For the year ended 31 December 2024

10. (a) Property and equipment

Year ended 31 December 2024	Motor vehicles	Computer equipment	Furniture and equipment	Owner occupied property	Total
	KShs:'000	KShs:'000	KShs:'000	KShs:'000	KShs:'000
Cost					
At 1 January	11,786	167,453	409,332	446,320	1,034,891
Additions	-	20,029	11,278	-	31,307
Disposals	(1,375)	-	(544)	-	(1,919)
At 31 December	10,411	187,482	420,066	446,320	1,064,279
Depreciation					
At 1 January	(11,786)	(166,715)	(268,850)	(55,790)	(503,141)
Disposals	1,375	-	544	-	1,919
Charge for the year	-	(9,920)	(40,086)	(11,158)	(61,164)
At 31 December	(10,411)	(176,635)	(308,392)	(66,948)	(562,386)
Carrying amount at 1 January	-	738	140,482	390,530	531,750
Carrying amount	-	10,847	111,674	379,372	501,893
Reclassification to assets held for sale	-	(2,074)	(27,155)	-	(29,229)
At 31 December	-	8,773	84,519	379,372	472,664

Notes to Financial Statements

For the year ended 31 December 2024

10. (a) Property and equipment (continued)

Year ended 31 December 2023	Motor vehicles	Computer equipment	Furniture and equipment	Owner occupied property	Total
	KShs:'000	KShs:'000	KShs:'000	KShs:'000	KShs:'000
Cost					
At 1 January	11,786	157,957	401,360	446,320	1,017,423
Additions	-	9,496	7,972	-	17,468
At 31 December	11,786	116,355	262,726	446,320	837,187
Depreciation					
At 1 January	(11,786)	(157,641)	(224,399)	(44,632)	(438,458)
Charge for the year	-	(9,074)	(44,451)	(11,158)	(64,683)
At 31 December	(11,786)	(117,691)	(149,398)	(55,790)	(334,665)
Carrying amount at 1 January	-	316	176,961	401,688	578,965
At 31 December	-	738	140,482	390,530	531,750

Fully depreciated assets still in use had a cost of KShs 264,025,000 (2023: KShs 284,025,000). Notional depreciation of fully depreciated assets were KShs 56,805,000 (2023; KShs 42,605,000).

None of the group equipment has been pledged as collateral (2023; nil).

*The adjustments in the movement schedule above relate to expensing of historical costs and depreciation not supported by asset register and reclassification of depreciation on transfer of assets between asset classes.

Notes to Financial Statements

For the year ended 31 December 2024

10. (a) Property and equipment (continued)

Company

The company is a holding entity with only shareholder activities supported by subsidiaries. Therefore the company had no equipments.

There are no restrictions on the titles and no item of property or equipment is pledged as collateral (2023; nil).

10. (b) Leases

This note provides information for leases where the Group is a lessee. The Group leases office space for branch operations across the country. These leases span for a period of 5 to 6 years and the Group negotiates for new lease three month before expiry with existing or new landlord. The offices are fitted to put them in operational state and fittings are capitalized and depreciated as per note 2(i)

On the commencement date of each lease (excluding leases with a term, on commencement, of 12 months or less and leases for which the underlying asset is of low value) the Group recognises a right-of-use asset at an amount equal to lease liability.

The lease liability is measured at the present value of the lease payments that are not paid on that date. The lease payments are discounted at the interest rate implicit in the lease.

If that rate cannot be readily determined, the Group's incremental borrowing rate is used. The incremental borrowing rate is the internal cost of debt determined as the risk-free borrowing rate adjusted for country premium.

For leases that contain non-lease components, the Group allocates the consideration payable to the lease and non-lease components based on their relative stand-alone components.

The right-of-use asset is initially measured at cost comprising the initial measurement of the lease liability, any lease payments made on or before the commencement date, any initial direct costs incurred, and an estimate of the costs of restoring the underlying asset to the condition required under the terms of the lease.

Subsequently the lease liability is measured at amortised cost, subject to re-measurement to reflect any reassessment, lease modifications, or revised fixed lease payments.

Depreciation is calculated using the straight-line method to write down the cost of each asset to its residual value over its estimated useful life. If ownership of the underlying asset is not expected to pass to the Group at the end of the lease term, the estimated useful life would not exceed the lease term.

For leases with a term, on commencement, of 12 months or less and leases for which the underlying asset is of low value, the total lease payments are recognized in profit or loss on a straight-line basis over the lease period.

Measurement of right of use assets and lease liabilities

	Group		Company	
	2024	2023	2024	2023
(i) Right of use asset	KShs:'000	KShs:'000	KShs:'000	KShs:'000
At start of year	64,791	64,833	-	-
Additions	36,168	41,849	-	-
Disposal	-	(12,875)	-	-
Amortisation of right of use asset in statement of profit or loss	(44,174)	(29,016)	-	-
Reclassification to assets held for sale	(23,049)	-	-	-
At end of year	33,736	64,791	-	-

Notes to Financial Statements

For the year ended 31 December 2024

10. (b) Leases (continued)

Measurement of right of use assets and lease liabilities

	Group		Company	
	2024	2023	2024	2023
Lease liabilities	KShs:'000	KShs:'000	KShs:'000	KShs:'000
At start of year	69,670	82,079	-	-
Additions	28,984	41,849	-	-
Disposal	-	(34,572)	-	-
Finance charge in the income statement	19,480	18,205	-	-
Lease payments recognised in the cashflow statement	(55,891)	(37,891)	-	-
Reclassification to assets held for sale	(24,599)	-	-	-
At end of year	37,644	69,670	-	-

	Group		Company	
	2024	2023	2024	2023
(ii) Amounts recognised in profit or loss	KShs:'000	KShs:'000	KShs:'000	KShs:'000
Amortization of right of use asset	44,174	29,016	-	-
Interest on lease liabilities	19,480	18,205	-	-
Total amount recognised in profit or loss	63,654	47,221	-	-

	Group		Company	
	2024	2023	2024	2023
(iii) Amounts recognised in statement of cash flows	KShs:'000	KShs:'000	KShs:'000	KShs:'000
Principal lease payments	34,345	17,620	-	-
Interest on lease payments	21,546	20,271	-	-
Total cash outflows for leases	55,891	(37,891)	-	-

Notes to Financial Statements

For the year ended 31 December 2024

(10. (b) Leases (continued)

iv) Extension options

Where practicable, the Group seeks to include extension options in new leases to provide operational flexibility. The extension options will be exercisable only by the Group and not by the lessors. The Group current opts to negotiate new lease terms with the lessors.

The Group has estimated that the potential future lease payments, should it exercise the extension options, would result in an increase in lease liability of KShs 46 million (2023 – KShs 32 million).

11. Investment properties

Group	2024	2023
	KShs:'000	KShs:'000
At end of year	2,399,680	2,479,580
Disposal	(64,900)	-
Fair value gain/(loss)	(15,000)	6,900
At end of year	2,399,680	2,479,580
Rental income from operating leases	273,107	174,979
Direct operating expenses from property that generated rental income	(61,693)	(56,791)
	211,414	118,188

Leasing arrangements

The investment properties are leased to tenants under operating leases with rentals payable monthly. Although the Group is exposed to changes in the residual value at the end of the current leases, the Group typically enters into new operating leases and therefore will not immediately realise any reduction in residual value at the end of these leases. Expectations about the future residual values are reflected in the fair value of the properties

Minimum lease payments expected on leases of investment properties are as follows:

Group	2024	2023
	KShs:'000	KShs:'000
Within 1 year	113,913	106,461
Within 2 – 5 years	459,272	429,226
Later than 5 years	278,929	260,681
	852,114	796,368

Notes to Financial Statements

For the year ended 31 December 2024

12: (a) Investments in subsidiaries

Company	Country of incorporation	Shareholding in 2024	At 1 January 2024	Impairment of investment in subsidiary	At 31 December 2024
	KShs:'000	KShs:'000	KShs:'000	KShs:'000	KShs:'000
Sanlam Life Insurance Limited	Kenya	100%	873,399	-	873,399
Sanlam General Insurance Limited	Kenya	71.86%	94,642	-	94,642
Sanlam Securities Limited	Kenya	100%	483,897	(313,079)	170,818
Sanlam Investments Limited	Kenya	100%	-	-	-
Mae Properties Limited	Kenya	100%	-	-	-
Chem Chemi Mineral Water Limited	Kenya	100%	-	-	-
			1,451,938	(313,079)	1,138,859

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs of disposal, recent market transactions are considered. If no such transactions can be identified, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded companies or other available fair value indicators. The impairment of Sanlam Security was determined by the value Family Bank Limited shares which comprise of the only cash generating asset.

Company	Country of incorporation	Shareholding in 2023	At 1 January 2023	Impairment of investment in subsidiary	At 31 December 2023
	KShs:'000	KShs:'000	KShs:'000	KShs:'000	KShs:'000
Sanlam Life Insurance Limited		100%	873,399	-	873,399
Sanlam General Insurance Limited		71.86%	94,642	-	94,642
Sanlam Securities Limited		100%	483,897	-	483,897
Sanlam Investments Limited		100%	-	-	-
Mae Properties Limited		100%	-	-	-
Chem Chemi Mineral Water Limited		100%	-	-	-
			1,451,938	-	1,451,938

Notes to Financial Statements

For the year ended 31 December 2024

12. (a) Investments in subsidiaries (continued)

Set out below is the summarised financial information of Sanlam General Insurance Limited, the only subsidiary whose non-controlling interest is material to the Group. The amounts disclosed are before intercompany eliminations.

	2024	2023
	KShs. '000	KShs. '000
Summarised statement of financial position		
Non-current assets	1,237,562	2,980,911
Current assets	537,865	1,364,102
Assets held for sale	2,961,620	-
Non-current liabilities	-	(3,969,778)
Liabilities directly attributed with the assets held for sale	(2,858,935)	-
Current liabilities	(1,347,362)	(181,877)
Net assets	530,750	193,358
Summarised statement of comprehensive income		
Insurance revenue	2,810,845	2,823,187
Insurance service expenses	(1,845,896)	(1,100,414)
Net expenses from reinsurance contracts	(592,089)	(1,029,275)
Underwriting profit	372,860	693,498
Operating profit	371,045	254,546
Finance cost	(34,302)	(27,309)
Income tax expense	645	(104,519)
Other comprehensive income	-	-
Total comprehensive income for the year	337,388	122,718

Notes to Financial Statements

For the year ended 31 December 2024

12. (a) Investments in subsidiaries (continued)

	2024	2023
	KShs. '000	KShs. '000
Total comprehensive income allocated to non-controlling interests	95,017	35,546
Summarised cash flows		
Net cash generated from operating activities	24,223	83,325
Net cash used in investing activities	226,523	(148,827)
Net cash used in financing activities	12,670	(3,273)
Net increase in cash and cash equivalents	263,416	(68,775)
Cash and cash equivalents at start of year	167,065	210,677
Effects of changes in exchange rates	(723)	25,163
Cash and cash equivalents at end of year	429,758	167,065

12 (b) Non-controlling interest movement

Sanlam General Insurance Limited (28.16%)	2024	2023
	KShs:'000	KShs:'000
At 1 January	54,454	19,894
NCI share of total comprehensive income	95,017	34,560
At 31 December	149,471	54,454

Notes to Financial Statements

For the year ended 31 December 2024

13. Loans

These are mortgage advance issued to former directors and staff and the Group has charged the property title to collateralize the loan.

As at the reporting date, the carrying value of the loans receivable fairly approximates the fair value of the loans. Mortgage loans are secured on the underlying property.

Group	2024	2023
	KShs. '000	KShs. '000
Gross mortgage loans		
At 1 January	114,381	120,417
Accrued interest	1,415	1,674
Interest received	(1,415)	(1,674)
Loan repayments	(11,236)	(6,036)
At 31 December	103,145	114,381
Impairment:		
At 1 January	(28,203)	(28,196)
Movement in the year	(297)	(7)
At 31 December	(28,500)	(28,203)
Net mortgages at 31 December	74,645	86,178

Maturity profile of mortgage loans based on contractual undiscounted cashflows

	Group	
	2024	2023
	KShs:'000	KShs:'000
Loans maturing:		
Within 1 year	41,365	41,373
In 1 - 5 years	22,429	19,951
After 5 years	52,519	53,057
	116,313	114,381

14. Financial assets at fair value through profit or loss and government securities at amortised cost

(a) Classification

The Group classifies its financial assets in the following measurement categories:

- those to be measured subsequently at fair value through profit or loss and
- those to be measured at amortised cost.

For assets measured at fair value, gains and losses are recorded in other investment income line in profit or loss.

Notes to Financial Statements

For the year ended 31 December 2024

14. Financial assets at fair value through profit or loss and government securities at amortised cost (continued)

(a) Classification (continued)

At 31 December 2024:	Amortised cost	Mandatorily at FVTPL	Designated at FVTPL	Total
	KShs:'000	KShs:'000	KShs:'000	KShs:'000
Equity securities	-	155,557	-	155,557
Government securities at fair value through profit or loss	-	-	28,864,569	28,864,569
Government securities at amortised cost	1,109,562	-	-	1,109,562
Loans (note 13)	74,645	-	-	74,645
Receivables and other financial assets (excluding prepayments, advances)	204,469	-	-	204,469
Deposits with financial institutions	1,540,386	-	-	1,540,386
Cash and cash equivalent	467,210	-	-	467,210
Total	3,396,272	155,557	28,864,569	32,416,398

At 31 December 2023:	Amortised cost	Mandatorily at FVTPL	Designated at FVTPL	Total
	KShs:'000	KShs:'000	KShs:'000	KShs:'000
Equity securities	-	439,384	-	439,384
Government securities at fair value through profit or loss	-	-	26,571,319	26,571,319
Government securities at amortised cost	1,095,918	-	-	1,095,918
Loans (note 13)	86,178	-	-	86,178
Receivables	130,129	-	-	130,129
Deposits with financial institutions	1,561,335	-	-	1,561,335
Cash and cash equivalent	477,955	-	-	477,955
Total	3,351,515	439,384	26,571,319	30,362,218

Notes to Financial Statements

For the year ended 31 December 2024

14. Financial assets at fair value through profit or loss and government securities at amortised cost (continued)

(a) Classification (continued)

All the government securities and deposits with financial institutions are measured either at fair value through profit or loss or at amortised cost. At 31 December 2024, the maximum exposure to credit risk of these financial assets was their carrying amount of Kshs. 28,864,569,000 (2023: Kshs. 26,571,319,000) These financial assets has not been hedged by the use of credit derivatives or similar securities.

Financial assets movement

The movement in financial assets is as shown below:

Year ended 31 December 2024:	Opening balance	ECL adjustment	Purchases	Disposals	Fair value adjustment	Accrued interest	Closing balance
	KShs. '000	KShs. '000	KShs. '000	KShs. '000	KShs. '000	KShs. '000	KShs. '000
Equity securities	439,384	-	-	(352,881)	69,054	-	155,557
Government securities at fair value through profit or loss	26,571,319	-	2,933,118	(2,180,785)	3,003,863	161,659	30,489,174
Government securities at FVTPL reclassification to assets held for sale	(1,686,634)	-	(455,000)	696,543	(179,514)	-	(1,624,605)
Government securities at amortised cost	1,095,918	1,359	207,767	(197,820)	-	2,338	1,109,562
Deposits with financial institutions	1,561,335	(12,902)	9,842,955	(9,718,282)	-	-	1,673,106
Deposits with financial institutions reclassification to assets held for sale							
Reclassification to assets held for sale	(134,839)	2,119	-	-	-	-	(132,720)
Total	27,846,483	(9,424)	12,528,840	(11,753,225)	2,893,403	163,997	31,670,074

Year ended 31 December 2023:	Opening balance	ECL adjustment	Purchases	Disposals	Fair value adjustment	Accrued interest	Closing balance
	KShs. '000	KShs. '000	KShs. '000	KShs. '000	KShs. '000	KShs. '000	KShs. '000
Equity securities	576,692	-	82,988	(133,043)	(87,253)	-	439,384
Government securities at fair value through profit or loss	26,585,346	-	4,577,129	(1,964,826)	(2,671,531)	45,201	26,571,319
Government securities at amortised cost	1,556,898	(2,132)	-	(470,000)	-	11,152	1,095,918
Deposits with financial institutions	1,343,437	(9,167)	1,345,623	(2,770,712)	-	1,652,154	1,561,335
Total	30,062,373	(11,299)	6,005,740	(5,338,581)	(2,758,784)	1,708,507	29,667,956

Notes to Financial Statements

For the year ended 31 December 2024

14. Financial assets at fair value through profit or loss and government securities at amortised cost (continued)

(a) Classification (continued)

Maturity analysis:

As at 31 December 2024:	< 1 year	1 - 5 years	> 5 years	Payable on demand	Total
	KShs:'000	KShs:'000	KShs:'000	KShs:'000	KShs:'000
Equity securities	-	-	-	155,557	155,557
Government securities at fair value through profit or loss	373,171	3,216,786	11,063,035	14,211,577	28,864,569
Government securities at amortised cost	-	1,109,562	-	-	1,109,562
Deposits with financial institutions	1,540,386	-	-	-	1,540,386
Total	1,913,557	4,326,348	11,063,035	14,367,134	31,670,074

As at 31 December 2023:	< 1 year	1 - 5 years	> 5 years	Payable on demand	Total
	KShs:'000	KShs:'000	KShs:'000	KShs:'000	KShs:'000
Equity securities	-	-	-	439,384	439,384
Government securities at fair value through profit or loss	2,029,679	2,071,495	22,470,145	-	26,571,319
Government securities at amortised cost	-	1,095,918	-	-	1,095,918
Deposits with financial institutions	1,561,335	-	-	-	1,561,335
Total	3,591,014	3,167,413	22,470,145	439,384	29,667,956

Included within the government securities are bonds held under lien as required by the Insurance Regulatory Authority KShs. 1,610,000,000.

Notes to Financial Statements

For the year ended 31 December 2024

14. Financial assets at fair value through profit or loss and government securities at amortised cost (continued)

(b) Determination of fair value and fair value hierarchy (continued)

Below is the required disclosure of fair value measurements, using a three-level fair value hierarchy that reflects the significance of the inputs used in determining the measurements.

Level 1

Included in level 1 category are financial assets and liabilities that are measured in whole or in part by reference to unadjusted, quoted prices in an active market for identical assets and liabilities. Quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service or regulatory agency and those prices represent actual and regularly occurring market transactions on an arm's length basis.

Level 2

Included in level 2 category are financial assets and liabilities measured using inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices). For example, instruments measured using a valuation technique such as discounted cash flows, based on assumptions that are supported by prices from observable current market transactions are categorised as level 2.

Fair value is determined by discounting estimated cash flows with a discount rate based on a market yield for similar instruments at year-end. Inputs applied include a market discount rate and credit risk of the counterparty. The market discount rate used is the 91 days treasury bill rate.

Level 3

Financial assets and liabilities measured using inputs that are not based on observable market data are categorised as level 3. Non-market observable inputs mean that fair values are determined in whole or in part using a valuation technique (model) based on assumptions that are neither supported by prices from observable current market transactions in the same instrument nor are they based on available market data. The Group's level 3 financial assets indicated below comprise of unquoted equities valued using market approach and government securities.

Significant unobservable inputs are developed as follows.

- Expected prepayment rates are derived from historical prepayment trends, adjusted to reflect current conditions.

- The probabilities of defaults and loss severities for commercial assets are derived from the CDS market. When this information is not available, the inputs are obtained from historical default and recovery information and adjusted for current conditions.
- The probabilities of default and loss severities for retail assets are derived from historical default and recovery information and adjusted for current conditions.
- Correlations between and volatilities of the underlying are derived through extrapolation of observable volatilities, recent transaction prices, quotes from other market participants, data from consensus pricing services and historical data adjusted for current conditions.
- Risk-adjusted spreads are derived from the CDS market (when this information is available) and from historical defaults and prepayment trends adjusted for current conditions.
- Expected cash flows are derived from the entity's business plan and from historical comparison between plans and actual results.

Valuation techniques are used to the extent that observable inputs are not available, thereby allowing for situations for which there is little, if any, market activity for the asset or liability at the measurement date. However, the fair value measurement objective remains the same, that is, an exit price from the perspective of the Group. Therefore, unobservable inputs reflect the Group's own assumptions about the assumptions that market participants would use in pricing the asset or liability (including assumptions about risk). These inputs are developed based on the best information available, which might include three key inputs to the valuation process are: a) Cash flows—the cash generated from ownership of the asset; b) Timing—the time period(s) in which cash flows are received; and c) Required return—the interest rate used to discount the future cash flows to a present value.

Financial asset carried at fair value categorized at Level 3 relate to investment in unlisted Kenyan bank shares. The market approach has been applied in valuation using the comparable company analysis approach. The comparable companies chosen in computing the comparable company analysis of listed banks in Kenya (Nairobi Securities Exchange). The comparable companies are appropriate as they operate under similar regulatory and market conditions as the equity security considered.

Notes to Financial Statements

For the year ended 31 December 2024

14. Financial assets at fair value through profit or loss and government securities at amortised cost (continued)

(b) Determination of fair value and fair value hierarchy (continued)

As at 31 December 2024:	Level 1	Level 2	Level 3	Total carrying value
	KShs:'000	KShs:'000	KShs:'000	KShs:'000
Equity securities	-	-	155,557	155,557
Government securities at fair value through profit or loss	28,864,569	-	-	28,864,569
Government securities at amortised cost	1,109,562	-	-	1,109,562
Total	29,974,131	-	155,557	30,129,688

As at 31 December 2023:	Level 1	Level 2	Level 3	Total carrying value
	KShs:'000	KShs:'000	KShs:'000	KShs:'000
Equity securities	83,828	-	355,556	439,384
Government securities at fair value through profit or loss	26,571,319	-	-	26,571,319
Government securities at amortised cost	1,095,918	-	-	1,095,918
Total	27,751,065	-	355,556	28,106,621

Valuation technique used to derive the fair values

Level 3 fair values of land and buildings have been derived using values that can only be estimated using a combination of complex market prices, mathematical models, and subjective assumptions. These include sales prices of comparable land and buildings in proximity are adjusted for differences in key attributes such as property size and location, estimated value of future cashflow from rental incomes and appropriate estimated discount for commercial properties.

The fair valuation basis considers the existing use and the tenancies and considers the normal lease structure for similar buildings.

The table below analyses the non-financial assets carried at fair value, by valuation method. The different levels have been defined as follows:

- Quoted prices (unadjusted) in active markets for identical assets or liabilities (Level 1)
- Inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly (that is, as prices) or immediately (that is, derived from prices) (Level 2).
- Inputs for the asset or liability that are not based on observable market data (that is, unobservable inputs) (Level 3).

Notes to Financial Statements

For the year ended 31 December 2024

14. Financial assets at fair value through profit or loss and government securities at amortised cost (continued)

(b) Determination of fair value and fair value hierarchy (continued)

	Level 1	Level 2	Level 3	Total
As at 31 December 2024	KShs. '000	KShs. '000	KShs. '000	KShs. '000
Investment properties	-	-	2,399,680	2,399,680
As at 31 December 2023	KShs. '000	KShs. '000	KShs. '000	KShs. '000
Investment properties	-	-	2,479,580	2,479,580

Investment properties are stated at fair value, which has been determined based on valuations performed by Knight Frank Limited during the year and was determined by the discounted cash flows method with inputs referenced to the market prices of similar properties of the type and in the area in which the property is situated. Knight Frank Limited are industry specialists in valuing investment properties and have appropriate recognized professional qualification and recent experience in the location and category of property being valued.

The expected cashflow are derived from the expected lease receipts from tenants occupying the building and discounting the using specifically determined discount rate this category of assets.

Equity securities carried at fair value categorized at Level 3 has been valued using the comparative company analysis approach. The comparable companies chosen in computing the Price to Book multiple of listed banks in Kenya. The comparable companies are appropriate as they operate under similar regulatory and market conditions as the equity security considered.

15. Weighted average effective interest rate

The following table summarises the fixed average effective interest rates at the year-end on the principal interest-bearing investments. The interest contractual rates do not fluctuate during the term of the investments.

	2024	2023
Equity securities - At fair value through profit or loss	12%	12%
Government securities - At fair value through profit or loss	13%	13%
Mortgage loans and corporate bonds	10%	10%
Deposits with financial institutions	4%	4%

16. Inventory

	Group		Company	
	2024	2023	2024	2023
	KShs:'000	KShs:'000	KShs:'000	KShs:'000
At start of year	90,108	89,696	90,108	89,696
Additions	1,700	412	1,700	412
Inventories expensed during the year	(9,753)	-	(9,753)	-
As at December	82,055	90,108	82,055	90,108

Notes to Financial Statements

For the year ended 31 December 2024

17. Reinsurance contract assets

	2024	2023
	KShs.'000	KShs.'000
Reinsurance contract assets - general insurance	838,048	716,797
Reinsurance contract assets - life insurance	423,411	436,552
Reclassification to assets held for sale	(838,048)	-
Total	423,411	1,153,349

18. Receivable from intermediaries

	2024	2023
	KShs.'000	KShs.'000
Gross receivables	291,378	321,246
Expected credit loss allowance	(59,700)	(66,045)
Reclassification to assets held for sale	(231,678)	-
Net receivables	-	255,201

The carrying value of receivables above approximates their fair value. These are amounts are recoverable from intermediaries in relation to contracts that have been issued through them to the policyholders.

19. Receivables and other assets

	Group		Company	
	2024	2023	2024	2023
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Rent outstanding	6,044	13,402	-	-
Due from related companies (Note 31(a))	102,250	28,004	-	12,772
Prepayments	93,697	104,827	-	-
VAT claimable	-	5,011	-	-
Other receivables	96,157	88,723	30,863	16,488
	298,148	239,967	30,863	29,260

The carrying value of receivables above approximates their fair value. Other receivables are advances that are recoverable within three months.

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20. Cash and cash equivalents

For the purposes of the cash flow statement, cash and cash equivalents comprise the following:

	Group		Company	
	2024	2023	2024	2023
	KShs:'000	KShs:'000	KShs:'000	KShs:'000
Cash and bank balances	467,210	477,955	-	6,372
Deposits with financial institutions (Note 14)	1,673,106	1,561,335	56,475	17,754
Deposits with financial institutions reclassification to assets held for sale	(132,720)	-	-	-
Deposits with financial institutions	1,540,386	1,561,335	56,475	17,754
	2,007,596	2,039,290	56,475	24,126

Short-term deposits are made for varying periods of between one day and three months depending on the immediate cash requirements of the Group. The carrying amounts disclosed above reasonably approximate fair value at the reporting date.

21. Capital and reserves

Group and Company:			
Share capital issued and fully paid	Ordinary shares	2024	2023
	Thousands	KShs:'000	KShs:'000
At start and end of year	144,000	720,000	720,000
At the end of the year	144,000	720,000	720,000

The total number of authorised ordinary shares is 400,000,000 with a par value of KShs. 5 per share. There are 144,000,000 shares in issue with a par value of KShs. 5 per share. All issued shares are fully paid.

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Group and Company. All ordinary shares rank equally with regards to the Group and Company residual assets.

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For the year ended 31 December 2024

21. Capital and reserves (continued)

Statutory fund

The statutory fund represents a reserve maintained within the long-term insurance business and represents unallocated surpluses from previous actuarial valuations as required by section 46(5) of the Insurance Act. Transfers from this fund are made upon recommendation of the actuary. This movement has been shown on the statement of changes in equity.

	Group	
	2024	2023
	KShs:'000	KShs:'000
Balance at the beginning of the year	2,380,139	2,249,279
Transfer to retained earnings	(387,428)	(403,038)
Profit for the year	1,378,870	533,898
Closing fund	3,371,581	2,380,139

22. Borrowings

Finance costs incurred	Group		Company	
	2024	2023	2024	2023
	KShs:'000	KShs:'000	KShs:'000	KShs:'000
Stanbic loan	649,710	529,008	649,710	529,008
Interest on related party loan	34,302	27,309	-	-
Sub total	684,012	556,317	649,710	529,008
Guarantee fees	50,800	48,293	50,800	48,293
Total finance cost	734,812	604,610	700,510	577,301

Notes to Financial Statements

For the year ended 31 December 2024

22. Borrowings (continued)

The movement in the loan balance during the period is as shown below;

	Group		Company	
	2024	2023	2024	2023
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
At start of year	4,657,144	4,088,010	3,516,918	3,002,310
Loans received during the year	-	-	-	-
Accrued interest	684,012	556,317	649,710	529,008
Accrued interest prior year	-	27,217	-	-
Interest repayments	(1,125,000)	(14,400)	(1,125,000)	(14,400)
At end of year	4,216,156	4,657,144	3,041,628	3,516,918

Net asset/(debt) reconciliation

This section sets out an analysis of net asset/(debt) and the movements in net asset/(debt) for each of the periods presented

	Group		Company	
	2024	2023	2024	2023
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Cash and cash equivalents	467,210	477,955	56,475	24,126
Financial assets held at FVTPL	33,427,399	29,667,958	-	-
Borrowings	(4,216,156)	(4,657,143)	(3,041,628)	(3,516,918)
Lease liabilities	33,678	69,670	-	-
Net asset/(debt)	29,712,131	25,558,440	(2,985,153)	(3,492,792)

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For the year ended 31 December 2024

22. Borrowings (continued)

Maturity profile of the borrowings:

The maturity profile of borrowing is as shown below:

	Group		Company	
	2024	2023	2024	2023
	KShs:'000	KShs:'000	KShs:'000	KShs:'000
- Current	3,041,628	-	3,041,628	-
- Non-current	1,174,528	4,657,144	-	3,516,918
	4,216,156	4,657,144	3,041,628	3,516,918

The Group on 21 December 2017 and on 19 December 2018 acquired loan facilities from Sanlam Capital Markets Property Limited of USD 10 million and USD 17 million respectively for a period of two years each whose interest was referenced to the 3month LIBOR plus 7% margin. The facility was obtained to settle intercompany balances with related parties, recapitalize the Group's insurance businesses and finance completion of the Sanlam Tower.

Sanlam Kenya PLC extended repayment to 17 February 2021 and refinanced the loan facilities with a Kenya shilling loan from Stanbic Bank Kenya Limited of KShs 3 billion with interest referenced to 3-month average of the Government of Kenya 182-day Treasury Bill Rate plus 4.5% margin for a term of three years. The facility was restructured again in 2022 to a KShs 4 billion facility with the same bank for another two years to March 2025 with interest expense being capitalized. Interest rate is referenced to 3-month average of the Government of Kenya 182-day Treasury Bill Rate plus 4.95% margin. The facility is sufficiently collateralized by a corporate guarantee issued by Sanlam Emerging Markets.

23. Insurance and reinsurance contracts

Sanlam Emerging Markets advanced a loan to Sanlam General Insurance Limited of KShs 1,085,700,000 in 2022. The loan had been issued for an initial period of 18 months to November 2023 at the rate of 3% per annum. The loan has been extended for a further 18 months and will now mature on 5 May 2025. There is no collateral issued for this borrowing.

The carrying value of the borrowings approximates the fair value of the borrowings because this is a variable rate loan and therefore the carrying amount approximates its fair value at any reporting date.

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For the year ended 31 December 2024

23. Insurance and reinsurance contracts (continued)

(a) Movements in insurance and reinsurance contract balances

	Life risk					
31 December 2024	GMM	PAA	Life savings	Total Life	Non-life	Total
	KShs.'000'	KShs.'000'	KShs.'000'	KShs.'000'	KShs.'000'	KShs.'000'
Insurance contracts						
Insurance contract liabilities						
Insurance contract balances	18,165,889	1,087,535	8,281,830	27,535,254	-	27,535,254
Total	18,165,889	1,087,535	8,281,830	27,535,254	-	27,535,254
Reinsurance contracts						
Reinsurance contract assets	(71,060)	(352,351)	-	(423,411)	-	(423,411)
31 December 2023						
	KShs.'000'	KShs.'000'	KShs.'000'	KShs.'000'	KShs.'000'	KShs.'000'
Insurance contracts						
Insurance contract liabilities						
Insurance contract balances	16,159,346	1,131,020	7,704,046	24,994,412	2,775,967	27,770,379
Total	16,159,346	1,131,020	7,704,046	24,994,412	2,775,967	27,770,379
Reinsurance contracts						
Reinsurance contract assets	136,976	(573,528)	-	(436,552)	(716,797)	(1,153,349)

Notes to Financial Statements

For the year ended 31 December 2024

23. Insurance and reinsurance contracts (continued)

(a) Movements in insurance and reinsurance contract balances (continued)

(i) Life Risk - Insurance Contracts

Analysis by remaining coverage and incurred claims - contracts not measured under PAA

2024	Liabilities for remaining coverage		Liabilities for incurred claims	Total
	Excluding loss component	Loss component		
	KShs '000'	KShs '000'	KShs '000'	KShs '000'
Opening liabilities	15,442,067	8,959	708,320	16,159,346
Changes in the statement of profit or loss				
Insurance revenue				
Contracts under the fair value transition approach	(2,997,142)	(16,362)	-	(3,013,504)
Other contracts	-	-	-	-
Total insurance revenue	(2,997,142)	(16,362)	-	(3,013,504)
Insurance service expenses				
Incurred claims and other insurance service expenses	-	-	1,960,995	1,960,995
Losses and reversals of losses on onerous contracts	-	120,794	-	120,794
Adjustments to liabilities for incurred claims	-	-	(57,394)	(57,394)
Total Insurance service expenses	-	120,794	1,903,601	2,024,395
Investment Components and premium refunds	(1,149,822)	-	1,149,822	-
Insurance service result	(4,146,964)	104,432	3,053,423	(989,109)
Net finance expenses from insurance contracts (Note 6)	3,539,019	18,835	-	3,557,854
Total changes in the statement of profit or loss OCI	(607,945)	123,267	3,053,423	2,568,745
Cash flows				
Premiums received	3,363,488	-	-	3,363,488
Claims and other insurance service expenses paid, including investment components	-	-	(3,218,974)	(3,218,974)
Insurance acquisition cash flows	(706,716)	-	-	(706,716)
Total cash flows	2,656,772	-	(3,218,974)	(562,202)
Closing liabilities	17,490,894	132,226	542,769	18,165,889

Notes to Financial Statements

For the year ended 31 December 2024

23. Insurance and reinsurance contracts (continued)

(a) Movements in insurance and reinsurance contract balances (continued)

(i) Life Risk - Insurance Contracts (continued)

Analysis by remaining coverage and incurred claims - contracts not measured under PAA (continued)

2023	Liabilities for remaining coverage		Liabilities for incurred claims	Total
	Excluding loss component	Loss component		
	KShs '000'	KShs '000'	KShs '000'	KShs '000'
Opening liabilities	16,642,693	-	674,784	17,317,477
Changes in the statement of profit or loss				
Insurance revenue				
Contracts under the fair value transition approach	(2,376,813)	-	-	(2,376,813)
Other contracts	(222,011)	-	-	(222,011)
Total insurance revenue	(2,598,824)	-	-	(2,598,824)
Insurance service expenses				
Incurred claims and other insurance service expenses	-	-	1,853,882	1,853,882
Losses and reversals of losses on onerous contracts	-	8,703	-	8,703
Adjustments to liabilities for incurred claims	-	-	(49,010)	(49,010)
Total Insurance service expenses	-	8,703	1,804,872	1,813,575
Insurance service result	(2,598,824)	8,703	1,804,872	(785,249)
Net finance expenses from insurance contracts (Note 6)	552,364	256	-	552,620
Total changes in the statement of profit or loss OCI	(2,046,460)	8,959	1,804,872	(232,629)
Cash flows				
Premiums received	2,618,515	-	-	2,618,515
Claims and other insurance service expenses paid, including investment components	(1,184,435)	-	(1,771,336)	(2,955,771)
Insurance acquisition cash flows	(588,246)	-	-	(588,246)
Total cash flows	845,834	-	(1,771,336)	(925,502)
Closing liabilities	15,442,067	8,959	708,320	16,159,346

Notes to Financial Statements

For the year ended 31 December 2024

23. Insurance and reinsurance contracts (continued)

(a) Movements in insurance and reinsurance contract balances (continued)

(i) Life Risk - Analysis by measurement component – Contracts not measured under the PAA (continued)

2024	CSM					Total
	Estimates of present value of future cash flows	Risk adjustment for non-financial risk	Contracts under fair value transition approach	Other contracts	Subtotal	
	KShs '000'	KShs '000'	KShs '000'	KShs '000'	KShs '000'	KShs '000'
Opening liabilities	13,631,611	184,426	646,460	1,696,849	2,343,309	16,159,346
Changes in the statement of profit or loss						
Changes that relate to current services						
CSM recognised for services provided (note 4)	-	-	(59,211)	(257,686)	(316,897)	(316,897)
Change in risk adjustment for non-financial risk for risk expired (note 4)	-	(27,212)	-	-	-	(27,212)
Experience adjustments	(248,412)	955	-	(155,846)	(155,846)	(403,303)
Total changes that relate to current services	(248,412)	(26,257)	(59,211)	(413,532)	(472,743)	(747,412)
Changes that relate to future services						
Contracts initially recognised in the year	(386,034)	14,779	-	371,255	371,255	-
Changes in estimates that adjust the CSM	579,971	24,760	(313,389)	(291,342)	(604,731)	-
Changes in estimates that result in losses and reversals of losses on onerous contracts	116,612	4,182	-	-	-	120,794
Adjustment to liabilities for incurred claims	(362,491)	-	-	-	-	(362,491)
Insurance service result	(300,354)	17,464	(372,600)	(333,619)	(706,219)	(989,109)
Net finance expenses from insurance contracts	3,371,701	29,783	60,088	96,282	156,370	3,557,854
Total changes in the statement of profit or loss	3,071,347	47,247	(312,512)	(237,337)	(549,849)	2,568,745
Premium received, incurred claims and insurance acquisition cashflows	(562,202)	-	-	-	-	(562,202)
Closing liabilities	16,140,756	231,673	333,948	1,459,512	1,793,460	18,165,889

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For the year ended 31 December 2024

23. Insurance and reinsurance contracts (continued)

(a) Movements in insurance and reinsurance contract balances (continued)

(i) Life Risk - Analysis by measurement component – Contracts not measured under the PAA (continued)

2023	CSM					Total
	Estimates of present value of future cash flows	Risk adjustment for non-financial risk	Contracts under fair value transition approach	Other contracts	Subtotal	
	KShs '000'	KShs '000'	KShs '000'	KShs '000'	KShs '000'	KShs '000'
Opening liabilities	15,010,298	170,855	616,756	1,519,568	2,136,324	17,317,477
Changes in the statement of profit or loss						
Changes that relate to current services						
CSM recognised for services provided (note 4)	(138,300)	-	(100,898)	(222,011)	(322,909)	(461,209)
Change in risk adjustment for non-financial risk for risk expired (note 4)	-	(23,505)	-	-	-	(23,505)
Experience adjustments	(2,115,295)	-	-	-	-	(2,115,295)
Total changes that relate to current services	(2,253,595)	(23,505)	(100,898)	(222,011)	(322,909)	(2,600,009)
Changes that relate to future services						
Contracts initially recognised in the year	(275,888)	14,014	-	261,874	261,874	-
Changes in estimates that adjust the CSM	(91,628)	24,277	66,026	1,325	67,351	-
Changes in estimates that result in losses and reversals of losses on onerous contracts	9,888	-	-	-	-	9,888
Adjustment to liabilities for incurred claims	33,536	-	-	-	-	33,536
Insurance service result	(2,577,687)	14,786	(34,872)	41,188	6,316	(2,556,585)
Net finance expenses from insurance contracts	353,166	(1,215)	64,576	136,093	200,669	552,620
Total changes in the statement of profit or loss	(2,224,521)	13,571	29,704	177,281	206,985	(2,003,965)
Premium received, incurred claims and insurance acquisition cashflows	845,834	-	-	-	-	845,834
Closing liabilities	13,631,611	184,426	646,460	1,696,849	2,343,309	16,159,346

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For the year ended 31 December 2024

23. Insurance and reinsurance contracts (continued)

(a) Movements in insurance and reinsurance contract balances (continued)

(i) Life Risk - Analysis by measurement component – Contracts not measured under the PAA (continued)

2024	Liabilities for incurred claims			Total
	Liabilities for remaining coverage	Estimate of PV of cashflows	Risk adjustment for non-financial risk	
	KShs '000'	KShs '000'	KShs '000'	KShs '000'
Opening liabilities	386,989	744,031	-	1,131,020
Changes in the statement of profit or loss				
Insurance revenue				
Contracts under the full retrospective transition approach	(1,392,612)	-	-	(1,392,612)
Total insurance revenue	(1,392,612)	-	-	(1,392,612)
Insurance service expenses				
Incurring claims and other insurance service expenses	-	585,847	17,247	603,094
Insurance acquisition cash flows	232,634	-	-	232,634
Adjustments to liabilities for incurred claims	-	-	-	-
Total Insurance service expenses	232,634	585,847	17,247	835,728
Insurance service results	(1,159,978)	585,847	17,247	(556,884)
Changes in the statement of profit or loss	(1,159,978)	585,847	17,247	(556,884)
Cash flows				
Premiums received	1,329,611	-	-	1,329,611
Claims and other insurance service expenses paid, including investment components	-	(583,578)	-	(583,578)
Insurance acquisition cash flows	(232,634)	-	-	(232,634)
Total cash flows	1,096,977	(583,578)	-	513,399
Closing liabilities	323,988	746,300	17,247	1,087,535

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For the year ended 31 December 2024

23. Insurance and reinsurance contracts (continued)

(a) Movements in insurance and reinsurance contract balances (continued)

(i) Life Risk - Analysis by measurement component – Contracts not measured under the PAA (continued)

2023	Liabilities for remaining coverage excluding loss component	Liabilities for incurred claims	Total
	KShs.'000'	KShs.'000'	KShs.'000'
Opening liabilities	461,844	672,707	1,134,551
Changes in the profit or loss			
Insurance revenue			
Contracts under the full retrospective transition approach	(1,329,427)		(1,329,427)
Total	(1,329,427)	-	(1,329,427)
Insurance service expenses			
Incurred claims and other insurance service expenses	-	792,066	792,066
Amortisation of insurance acquisition cash flows	168,249	-	168,249
Adjustments to liabilities for incurred claims	-	942	942
Total Insurance service expenses	168,249	793,008	961,257
Insurance service results	(1,161,178)	793,008	(368,170)
Total changes in the statement of profit or loss	(1,161,178)	793,008	(368,170)
Cash flows			
Premiums received	1,254,572	-	1,254,572
Claims and other insurance service expenses paid, including investment components	-	(721,684)	(721,684)
Insurance acquisition cash flows	(168,249)	-	(168,249)
Total cash flows	1,086,323	(721,684)	364,639
Closing liabilities	386,989	744,031	1,131,020

Notes to Financial Statements

For the year ended 31 December 2024

23. Insurance and reinsurance contracts (continued)

(a) Movements in insurance and reinsurance contract balances (continued)

(ii) Life Savings - Insurance Contracts

Analysis by remaining coverage and incurred claims - Contracts not measured under PAA

2024	Liabilities for remaining coverage			
	Excluding loss component	Loss component	Liabilities for incurred claims	Total
	KShs '000'	KShs '000'	KShs '000'	KShs '000'
Opening liabilities	7,704,046	-	-	7,704,046
Changes in the profit or loss				
Insurance revenue				
Variable fee approach charges	(170,954)	-	-	(170,954)
Total	(170,954)	-	-	(170,954)
Insurance service result	(170,954)	-	-	(170,954)
Insurance finance income or expenses	1,982,678	-	-	1,982,678
Total changes in the statement of profit or loss	1,811,724	-	-	1,811,724
Cash flows				
Premiums received	1,228,088	-	-	1,228,088
Claims and other insurance service expenses paid, including investment components	(2,249,644)	-	-	(2,249,644)
Insurance acquisition cash flows	(210,541)	-	-	(210,541)
Change in Policy Loans	(1,843)	-	-	(1,843)
Total cash flows	(1,233,940)	-	-	(1,233,940)
Closing liabilities	8,281,830	-	-	8,281,830

Notes to Financial Statements

For the year ended 31 December 2024

23. Insurance and reinsurance contracts (continued)

(a) Movements in insurance and reinsurance contract balances (continued)

(ii) Life Savings - Insurance Contracts (continued)

Analysis by remaining coverage and incurred claims - Contracts not measured under PAA.

2023	Liabilities for remaining coverage			
	Excluding loss component	Loss component	Liabilities for incurred claims	Total
	KShs.'000'	KShs. '000'	KShs.'000'	KShs.'000'
Opening liabilities	7,486,923	-	-	7,486,923
Changes in the profit or loss				
Insurance revenue				
Variable fee approach charges	(184,844)	-	-	(184,844)
Total	(184,844)	-	-	(184,844)
Insurance service result	(184,844)	-	-	(184,844)
Net finance expenses from insurance contracts	173,876	-	-	173,876
Total changes in the statement of profit or loss	(10,968)	-	-	(10,968)
Cash flows				
Premiums received	2,465,281	-	-	2,465,281
Claims and other insurance service expenses paid, including investment components	(1,837,294)	-	-	(1,837,294)
Insurance acquisition cash flows	(240,027)	-	-	(240,027)
Change in Policy Loans	(159,869)	-	-	(159,869)
Total cash flows	228,091	-	-	228,091
Closing liabilities	7,704,046	-	-	7,704,046

Notes to Financial Statements

For the year ended 31 December 2024

23. Insurance and reinsurance contracts (continued)

(a) Movements in insurance and reinsurance contract balances (continued)

(ii) Life Savings - Insurance Contracts (continued)

Analysis by measurement component – Contracts not measured under the PAA (continued)

2024	CSM				Total
	Estimates of present value of future cash flows	Risk adjustment for non-financial risk	Other contracts	Subtotal	
	KShs.'000'	KShs.'000'	KShs.'000'	KShs.'000'	KShs.'000'
Opening liabilities	6,533,541	12,932	1,157,573	1,157,573	7,704,046
Changes in the statement of profit or loss					
Changes that relate to current services					
CSM recognised for services provided	-	-	(208,092)	(208,092)	(208,092)
Change in risk adjustment for non-financial risk for risk expired	-	(852)	-	-	(852)
Experience Adjustments	-	-	37,990	37,990	37,990
Changes that relate to future services					
Contracts initially recognised in the year	35,257	(2,524)	(32,733)	(32,733)	-
Changes in estimates that adjust the CSM	666,480	9,509	(675,989)	(675,989)	-
Insurance service result	701,737	6,133	(878,824)	(878,824)	(170,954)
Insurance finance income or expenses	1,982,678	-	-	-	1,982,678
Total changes in the statement of profit or loss	2,684,415	6,133	(878,824)	(878,824)	1,811,724
Premium received, incurred claims and insurance acquisition cashflows	(1,233,940)	-	-	-	(1,233,940)
Closing liabilities	7,984,016	19,065	278,749	278,749	8,281,830

Notes to Financial Statements

For the year ended 31 December 2024

23. Insurance and reinsurance contracts (continued)

(a) Movements in insurance and reinsurance contract balances (continued)

(ii) Life Savings - Insurance Contracts (continued)

Analysis by measurement component – Contracts not measured under the PAA (continued)

	CSM				
2023	Estimates of present value of future cash flows	Risk adjustment for non-financial risk	Other contracts	Subtotal	Total
	KShs.'000'	KShs.'000'	KShs.'000'	KShs.'000'	KShs.'000'
Opening liabilities	6,902,638	(8,255)	592,540	592,540	7,486,923
Changes in the statement of profit or loss					
Changes that relate to current services					
CSM recognised for services provided	-	-	(178,163)	(178,163)	(178,163)
Change in risk adjustment for non-financial risk for risk expired	-	(6,681)	-	-	(6,681)
Changes that relate to future services					
Contracts initially recognised in the year	(90,037)	14,343	75,694	75,694	-
Changes in estimates that adjust the CSM	(681,027)	13,525	667,502	667,502	-
Insurance service result	(771,064)	21,187	565,033	565,033	(184,844)
Investment return	173,876	-	-	-	173,876
Total changes in the statement of profit or loss	(597,188)	21,187	565,033	565,033	(10,968)
Premium received, incurred claims and insurance acquisition cashflows					
	228,091	-	-	-	228,091
Closing liabilities	6,533,541	12,932	1,157,573	1,157,573	7,704,046

Notes to Financial Statements

For the year ended 31 December 2024

23. Insurance and reinsurance contracts (continued)

(a) Movements in insurance and reinsurance contract balances (continued)

Reinsurance Contracts – Life risk

2024	Assets for remaining coverage		Assets for incurred claims	Total
	Excluding loss-recovery component	Loss-recovery component		
	KShs '000'	KShs '000'	KShs '000'	KShs '000'
Net opening balance	(745,797)	-	1,182,349	436,552
Changes in the statement of profit or loss and OCI				
Allocation of reinsurance premiums paid	(531,712)	-	-	(531,712)
Amounts recoverable from reinsurers				
Recoveries of incurred claims and other insurance service expenses	-	-	223,973	223,973
Change in risk adjustment for non-financial risk for risk expired	(5,613)	-	-	(5,613)
Adjustments to assets for incurred claims	987,546	-	(985,535)	2,011
Release of Contractual Service Margin	(16,928)	-	-	(16,928)
Total amounts recoverable from reinsurers	965,005	-	(761,562)	203,443
Experience Adjustments	(15,275)	-	-	(15,275)
Net expenses from reinsurance contracts	418,018	-	(761,562)	(343,544)
Net finance income from reinsurance contracts	(17,830)	-	-	(17,830)
Total changes in the statement of profit or loss and OCI	400,188	-	(761,562)	(361,374)
Cash flows				
Premiums paid	607,385	-	-	607,385
Amounts received	(17,247)	-	(241,905)	(259,152)
Total cash flows	590,138	-	(241,905)	348,233
Net closing balance	244,529	-	178,882	423,411

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For the year ended 31 December 2024

23. Insurance and reinsurance contracts (continued)

(a) Movements in insurance and reinsurance contract balances (continued)

Reinsurance Contracts – Life risk (continued)

2023	Assets for remaining coverage		Assets for incurred claims	Total
	Excluding loss-recovery component	Loss-recovery component		
	KShs.'000'	KShs.'000'	KShs.'000'	KShs.'000'
Opening assets	-	-	929,521	929,521
Opening liabilities	(329,738)	-	-	(329,738)
Net opening balance	(329,738)	-	929,521	599,783
Changes in the statement of profit or loss				
Allocation of reinsurance premiums paid	(669,021)	-	-	(669,021)
Amounts recoverable from reinsurers				
Recoveries of incurred claims and other insurance service expenses	-	-	335,856	335,856
Change in risk adjustment for non-financial risk for risk expired	(11,768)	-	-	(11,768)
Adjustments to assets for incurred claims	-	-	252,587	252,587
Total amounts recoverable from reinsurers	(11,768)	-	588,443	576,675
Net expenses from reinsurance contracts	(680,789)	-	588,443	(92,346)
Net finance income from reinsurance contracts	(23,201)	-	-	(23,201)
Total changes in the statement of profit or loss	(703,990)	-	588,443	(115,547)
Cash flows				
Premiums paid	287,931	-	-	287,931
Amounts received	-	-	(335,615)	(335,615)
Total cash flows	287,931	-	(335,615)	(47,684)
Net closing balances and values	(745,797)	-	1,182,349	436,552

Notes to Financial Statements

For the year ended 31 December 2024

23. Insurance and reinsurance contracts (continued)

(a) Movements in insurance and reinsurance contract balances (continued)

Reinsurance Contracts – Life risk (continued)

Contracts not measured under the PAA

2024	Estimate of PV of cashflows	Risk adjustment for non-financial risk	Contracts under fair value transition approach	Other Contracts	Subtotal	Total
	KShs '000'	KShs '000'	KShs '000'	KShs '000'	KShs '000'	KShs '000'
Opening liabilities	3,573	(17,624)	(122,925)		(122,925)	(136,976)
Changes in the statement of profit or loss						
Changes that relate to current services						
CSM recognised for services rendered	-	-	(865)	(16,063)	(16,928)	(16,928)
Change in risk adjustment for non-financial risk for risk expired	-	(5,613)	-	-	-	(5,613)
Experience adjustments	(51,879)	37,239	124,113	63,290	187,403	172,763
Changes that relate to future services						
Contracts initially recognised in the year	(70,994)	3,922	-	67,072	67,072	-
Changes in estimates that adjust the CSM	(29,941)	(3,411)	5,240	28,112	33,352	-
Changes that relate to past services						
Adjustments to liabilities for incurred claims	-	-	-	-	-	-
Net expense from reinsurance contracts	(152,814)	32,137	128,488	142,411	270,899	150,222
Net finance income from reinsurance contracts	(43,504)	3,210	130	22,334	22,464	(17,830)
Total changes in the statement of profit or loss	(196,318)	35,347	128,618	164,745	293,363	132,392
Cash flows	75,644	-	-	-	-	75,644
Net closing balance	(117,101)	17,723	5,693	164,745	170,438	71,060

Notes to Financial Statements

For the year ended 31 December 2024

23. Insurance and reinsurance contracts (continued)

(a) Movements in insurance and reinsurance contract balances (continued)

Reinsurance Contracts – Life risk (continued)

Contracts not measured under the PAA (continued)

2023	Estimate of PV of cashflows	Risk adjustment for non-finan- cial risk	Contracts under fair value transi- tion approach	Subtotal	Total
	KShs.'000'	KShs.'000'	KShs.'000'	KShs.'000'	KShs.'000'
Opening liabilities	18,045	-	-	-	18,045
Changes in the statement of profit or loss					
Changes that relate to current services					
Change in risk adjustment for non-financial risk for risk expired	-	(11,969)	-	-	(11,969)
Changes that relate to future services					
Contracts initially recognised in the year	61,886	-	(61,886)	(61,886)	-
Changes in estimates that adjust the CSM	6,017	(6,863)	(64,476)	(64,476)	(65,322)
Changes that relate to past services					
Adjustments to liabilities for incurred claims	10,239	-	-	-	10,239
Net expense from reinsurance contracts	78,142	(18,832)	(126,362)	(126,362)	(67,052)
Net finance income from reinsurance contracts	(27,846)	1,208	3,437	3,437	(23,201)
Total changes in the statement of profit or loss	50,296	(17,624)	(122,925)	(122,925)	(90,253)
Cash flows	(64,768)	-	-	-	(64,768)
Net closing balance	3,573	(17,624)	(122,925)	(122,925)	(136,976)

Notes to Financial Statements

For the year ended 31 December 2024

23. Insurance and reinsurance contracts (continued)

(a) Movements in insurance and reinsurance contract balances (continued)

Reinsurance Contracts – Life risk (continued)

Contracts measured under the PAA

2024	Assets for remaining coverage		Assets for incurred claims		Total
	Excluding loss-recovery component	Loss-recovery component	Estimate of PV of cashflows	Risk adjustment for non-financial risk	
	KShs '000'	KShs '000'	KShs '000'	KShs '000'	KShs '000'
Opening balance	(261,518)	-	835,046	-	573,528
Changes in the statement of profit or loss					
Allocation of reinsurance premiums paid	(531,712)	-	-	-	(531,712)
Amounts recoverable from reinsurers					
Recoveries of incurred claims and other insurance service expenses	-	-	225,983	-	225,983
Change in risk adjustment for non-financial risk for risk expired	-	-	-	7,407	7,407
Adjustments to assets for incurred claims	452,203	-	(647,649)	-	(195,446)
Total amounts recoverable from reinsurers	452,203	-	(421,666)	7,407	37,944
Net expenses from reinsurance contracts	(79,509)	-	(421,666)	7,407	(493,768)
Total changes in the statement of profit or loss	(79,509)	-	(421,666)	7,407	(493,768)
Cash flows					
Premiums paid	514,496	-	-	-	514,496
Amounts received	-	-	(241,905)	-	(241,905)
Total cash flows	514,496	-	(241,905)	-	272,591
Closing balance	173,469	-	171,475	7,407	352,351

Notes to Financial Statements

For the year ended 31 December 2024

23. Insurance and reinsurance contracts (continued)

(a) Movements in insurance and reinsurance contract balances (continued)

Reinsurance Contracts – Life risk (continued)

Contracts measured under the PAA (continued)

2023	Assets for remaining coverage		Assets for incurred claims	Total
	Excluding loss-recovery component	Loss-recovery component		
	KShs.'000'	KShs.'000'	KShs.'000'	KShs.'000'
Opening balance	(45,264)	-	627,002	581,738
Changes in the statement of profit or loss				
Allocation of reinsurance premiums paid	(669,021)	-	-	(669,021)
Amounts recoverable from reinsurers				
Recoveries of incurred claims and other insurance service expenses	-	-	335,856	335,856
Change in risk adjustment for non-financial risk for risk expired	-	-	-	-
Adjustments to assets for incurred claims	-	-	207,803	207,803
Total amounts recoverable from reinsurers	-	-	543,659	543,659
Net expenses from reinsurance contracts	(669,021)	-	543,659	(125,362)
Total changes in the statement of profit or loss	(669,021)	-	543,659	(125,362)
Cash flows				
Premiums paid	452,767	-	-	452,767
Amounts received	-	-	(335,615)	(335,615)
Total cash flows	452,767	-	(335,615)	117,152
Closing balance	(261,518)	-	835,046	573,528

Notes to Financial Statements

For the year ended 31 December 2024

23. Insurance and reinsurance contracts (continued)

(a) Movements in insurance and reinsurance contract balances (continued)

(i) Non life - insurance and reinsurance Contracts

	2024					2023				
	Liabilities for incurred claims					Liabilities for incurred claims				
	Liabilities for remaining coverage	Estimate of present value of future cashflows	Risk adjustment for non financial risk	Subtotal Liabilities for incurred claims	Total Liability	Liabilities for remaining coverage	Estimate of present value of future cashflows	Risk adjustment for non financial risk	Subtotal Liabilities for incurred claims	Total Liability
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
Opening liabilities	1,051,209	1,634,798	89,959	1,724,757	2,775,966	1,098,422	2,411,618	175,542	2,587,160	3,685,582
Changes in the statement of profit or loss and OCI										
Insurance revenue (note 5)	(3,243,976)	-	-	-	(3,243,976)	(3,206,877)	-	-	-	(3,206,877)
Insurance service expenses										
Incurred claims and other insurance service expenses	-	1,447,996	(29,054)	1,418,942	1,418,942	-	1,468,813	(97,538)	1,371,275	1,371,275
Amortisation of insurance acquisition cash flows	433,131	-	-	-	433,131	383,690	-	-	-	383,690
Adjustment to liabilities for incurred claims	-	(43,888)	-	(43,888)	(43,888)	-	(400,666)	-	(400,666)	(400,666)
	433,131	1,404,108	(29,054)	1,375,054	1,808,185	383,690	1,068,147	(97,538)	970,609	1,354,299
Insurance service result	(2,810,845)	1,404,108	(29,054)	1,375,054	(1,435,791)	(2,823,187)	1,068,147	(97,538)	970,609	(1,852,578)
Net finance expenses from insurance contracts	-	(231,596)	-	(231,596)	(231,596)	-	(117,850)	(11,955)	(129,805)	(129,805)
Total changes in the statement of profit or loss	(2,810,845)	1,635,704	(29,054)	1,606,650	(1,204,195)	(2,823,187)	1,185,997	(85,583)	1,100,414	(1,722,773)
Cash flows										
Premiums received	3,013,290	-	-	-	3,013,290	2,775,974	-	-	-	2,775,974
Claims and other insurance service expenses paid	-	(1,962,253)	-	(1,962,253)	(1,962,253)	-	(1,962,817)	-	(1,962,817)	(1,962,817)
Total cash flows	3,013,290	(1,962,253)	-	(1,962,253)	1,051,037	2,775,974	(1,962,817)	-	(1,962,817)	813,157
Reclassification to liabilities directly attributed with the assets held for sale	(1,253,654)	(1,308,249)	(60,905)	(1,369,154)	(2,622,808)	-	-	-	-	-
Closing liabilities	-	-	-	-	-	1,051,209	1,634,798	89,959	1,724,757	2,775,966

Notes to Financial Statements

For the year ended 31 December 2024

23. Insurance and reinsurance contracts (continued)

(a) Movements in insurance and reinsurance contract balances (continued)

(ii) Non life insurance liabilities

	2024					2023				
	Assets for remaining coverage	Estimate of present value of future cash flows	Risk adjustment for non financial risk	Subtotal assets for incurred claims	Total Assets	Assets for remaining coverage	Estimate of present value of future cash flows	Risk adjustment for non financial risk	Subtotal assets for incurred claims	Total Assets
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
Opening assets	281,756	414,862	20,179	435,041	716,797	314,072	976,081	68,127	1,044,208	1,358,280
Changes in the statement of profit or loss and OCI										
Allocation of reinsurance premiums paid	(783,359)	-	-	-	(783,359)	(808,846)	-	-	-	(808,846)
Amounts recoverable from reinsurers										
Recoveries of incurred claims and other insurance service expenses	-	91,558	(2,508)	89,050	89,050	-	(198,976)	(54,132)	(253,108)	(253,108)
Effect of changes in non-performance risk for reinsurers	-	(6,712)	-	(6,712)	(6,712)	-	-	-	-	-
	-	84,846	(2,508)	82,338	82,338	-	(198,976)	(54,132)	(253,108)	(253,108)
Net expenses from reinsurance contracts	(783,359)	84,846	(2,508)	82,338	(701,021)	(808,846)	(198,976)	(54,132)	(253,108)	(1,061,954)
Net finance income from insurance contracts	-	60,152	-	60,152	60,152	-	26,495	6,184	32,679	32,679
Total changes in the statement of profit or loss	(783,359)	144,998	(2,508)	142,490	(640,869)	(808,846)	(172,481)	(47,948)	(220,429)	(1,029,275)
Cash flows										
Premiums paid	867,452	-	-	-	867,452	776,530	-	-	-	776,530
Amounts received for claims	-	(105,332)	-	(105,332)	(105,332)	-	(388,738)	-	(388,738)	(388,738)
Total cash flows	867,452	(105,332)	-	(105,332)	762,120	776,530	(388,738)	-	(388,738)	387,792
Reclassification to assets held for sale	(365,849)	(454,528)	(17,671)	(472,199)	(838,048)	-	-	-	-	-
Closing assets	-	-	-	-	-	281,756	414,862	20,179	435,041	716,797

Notes to Financial Statements

For the year ended 31 December 2024

23. Insurance and reinsurance contracts (continued)

(a) Movements in insurance and reinsurance contract balances (continued)

(ii) Non life insurance liabilities (continued)

The development of insurance liabilities provides a measure of the Company's ability to estimate the ultimate value of claims. The table below illustrates how the Group's estimate of total claims outstanding for each accident year has changed at successive year ends.

Year	Pre 2018	2018	2019	2020	2021	2022	2023	2024	Total
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
Accident year	59,781	10,761	24,363	64,159	98,820	172,518	132,325	304,057	866,784
One year later	9,254	2,031	19,791	15,615	34,552	43,268	17,386	-	141,897
Two years later	1,649	92	2,613	19,318	11,934	11,328	-	-	46,934
Three years later	1,927	150	4,233	1,150	5,131	-	-	-	12,591
Four years later	250	-	-	3,654	-	-	-	-	3,904
Five years later	150	-	-	-	-	-	-	-	150
Six years later	1,476	-	-	-	-	-	-	-	1,476
Seven years later and more	1,221	-	-	-	-	-	-	-	1,221
Cumulative payments to date	75,708	13,034	51,000	103,896	150,437	227,114	149,711	304,057	1,074,957
Discounting Factor	(9,168)	(2,289)	(8,957)	(18,247)	(26,421)	(39,888)	(26,294)	(53,404)	(184,668)
Risk Adjustment	3,024	755	2,954	6,018	8,714	13,156	8,672	17,612	60,905
Incurred But Not Reported	20,149	5,031	19,686	40,104	58,068	87,666	57,788	117,370	405,862
Claims Handling Expense	600	150	586	1,194	1,729	2,611	1,721	3,507	12,098
Current estimate of cumulative claims	90,313	16,681	65,269	132,965	192,527	290,659	191,598	389,142	1,369,154

Notes to Financial Statements

For the year ended 31 December 2024

23. Insurance and reinsurance contracts (continued)

(a) Movements in insurance and reinsurance contract balances (continued)

(ii) Non life insurance liabilities (continued)

Utilization of contract liabilities:

	2024					2023				
Class	Claims O/s	Claims Paid	Actual Reserves	Computed Reserves	Utilization Ratio	Claims O/s	Claims Paid	Actual Reserves	Computed Reserves	Utilization Ratio
Engineering	-	-	-	1,927,439	0%	24,019	811,205	835,224	25,456,500	3.3%
Fire Domestic	-	227,300	227,300	1,283,536	18%	27,000	852,049	879,049	988,894	88.9%
Fire Industrial	601,541	2,990,753	3,592,294	9,309,443	39%	4,372,978	6,091,088	10,464,066	12,389,817	84.5%
Liability	1,038,855	1,683,027	2,721,882	6,184,662	44%	4,711,009	3,253,285	7,964,294	18,265,696	43.6%
Marine	-	56,160	56,160	5,283,241	1%	-	3,808,910	3,808,910	4,647,440	82.0%
Miscellaneous	3,200	16,050	19,250	961,565	2%	-	-	-	220,618,960	0.0%
Motor Commercial	17,802,068	51,893,394	69,695,462	174,981,190	40%	36,095,793	45,042,275	81,138,068	172,497,108	47.0%
Motor Private	11,863,925	70,103,070	81,966,995	138,317,976	59%	29,611,715	40,410,480	70,022,195	162,015,487	43.2%
Personal Accident	-	20,196,269	20,196,269	10,403,743	194%	476,450	7,573,570	8,050,020	10,031,001	80.3%
Medical	5,458,166	42,897,990	48,356,156	23,260,638	208%	-	-	-	151,813	0.0%
Psv	1	1,880,722	1,880,723	6,698,313	28%	2,700,999	62,997,093	65,698,092	103,403,019	63.5%
Theft	980,000	11,447,102	12,427,102	71,137,977	17%	-	-	-	41,402,761	0.0%
Workmen's	-	-	-	1,927,439	0%	6,852,142	49,436,483	56,288,625	78,248,893	71.9%
Total	37,747,756	203,391,837	241,139,593	451,677,162	53.62%	84,872,105	220,276,438	305,148,543	850,117,389	35.9%

Notes to Financial Statements

For the year ended 31 December 2024

23. Insurance and reinsurance contracts (continued)

(b) Contractual Service Margin

Accretion is based on the interest rates as per the yield curve and recognition is based on the projected runoff of the coverage units till maturity of the contracts

i. Expected recognition of contractual service margin under VFA.

Life insurance	1 year or less	1–2 years	2–3 years	3–4 years	4–5 years	5–10 years	More than 10 years
	KShs '000'	KShs '000'	KShs '000'	KShs '000'	KShs '000'	KShs '000'	KShs '000'
Opening Balance	278,749	245,215	222,047	186,449	144,491	110,083	11,648
Allocation of investment return to contracts under the variable fee approach	29,391	30,523	32,548	27,688	17,552	30,020	22,160
Recognised in statement of profit or loss	(62,925)	(53,691)	(68,146)	(69,646)	(51,960)	(128,455)	(33,808)
Closing Balance	245,215	222,047	186,449	144,491	110,083	11,648	-

ii. Expected recognition of contractual service margin Under GMM

Life insurance	1 year or less	1–2 years	2–3 years	3–4 years	4–5 years	5–10 years	More than 10 years
	KShs '000'	KShs '000'	KShs '000'	KShs '000'	KShs '000'	KShs '000'	KShs '000'
Expected Opening Balance of CSM	1,793,460	1,580,009	1,407,636	1,277,447	1,140,426	1,000,708	489,719
Accretion of interest on liabilities under the general model	243,970	229,860	232,259	192,737	161,039	595,632	1,423,519
Recognised in statement of profit or loss	(457,421)	(402,233)	(362,448)	(329,758)	(300,757)	(1,106,621)	(1,913,238)
Expected Closing Balance of CSM	1,580,009	1,407,636	1,277,447	1,140,426	1,000,708	489,719	-

Notes to Financial Statements

For the year ended 31 December 2024

23. Insurance and reinsurance contracts (Continued)

(b) Contractual Service Margin (continued)

(iii) Reinsurance contracts

Expected recognition of contractual service margin

Life insurance	1 year or less	1–2 years	2–3 years	3–4 years	4–5 years	5–10 years	More than 10 years
	KShs '000'	KShs '000'	KShs '000'	KShs '000'	KShs '000'	KShs '000'	KShs '000'
Expected Opening Balance of CSM	170,438	159,189	147,365	137,763	125,580	110,142	49,469
Accretion of interest on liabilities under the general model	21,338	20,471	22,220	18,704	14,206	63,607	28,087
Recognised in Statement of profit or loss	(32,587)	(32,295)	(31,822)	(30,887)	(29,644)	(124,280)	(77,556)
Expected Closing Balance of CSM	159,189	147,365	137,763	125,580	110,142	49,469	-

2024	CSM			
	Contracts Measured under Fair Value	Contracts Measured under Fully retrospective	Contracts Measured under Modified retrospective	Total
	KShs '000'	KShs '000'	KShs '000'	KShs '000'
Opening Balance	558,649	1,203,517	439,918	2,202,084
Adjustments in the period	(255,444)	603,635	46,923	395,114
Recognised in the profit or loss	(59,211)	(257,686)	(208,092)	(524,989)
Closing Balance	243,994	1,549,466	278,749	2,072,209

Notes to Financial Statements

For the year ended 31 December 2024

23. Insurance and reinsurance contracts (Continued)

(b) Contractual Service Margin (continued)

(iii) Reinsurance contracts

Expected recognition of contractual service margin

2023	CSM			
	Contracts Measured under Fair Value	Contracts Measured under Fully retrospective	Contracts Measured under Modified retrospective	Total
	KShs '000'	KShs '000'	KShs '000'	KShs '000'
Opening Balance	768,917	1,026,458	722,435	2,517,810
Adjustments in the period	(109,370)	577,257	(282,517)	185,370
Recognised in the profit or loss	(100,898)	(400,198)	-	(501,096)
Closing Balance	558,649	1,203,517	439,918	2,202,084

(i) Carrying value of new insurance contracts issued – Life risk

	2024			2023		
	Groups of contracts that are expected to be profitable	Groups of contracts that are onerous at initial recognition	New Contracts Issued during the year	Groups of contracts that are expected to be profitable	Groups of contracts that are onerous at initial recognition	New Contracts Issued during the year
Life insurance- Risk business						
Estimate of the present value of future cash inflows	2,926,547	127,448	3,053,995	664,906	3,031	667,937
Estimate of the present value of cash outflows	(1,902,211)	(82,372)	(1,984,583)	(438,146)	(2,251)	(440,397)
Insurance acquisition cash flows	(638,302)	(115,718)	(754,020)	(128,735)	(3,961)	(132,696)
Risk adjustment for non-financial risk	(14,779)	(2,215)	(16,994)	(3,869)	(136)	(4,005)
Contractual service margin	(371,255)	-	(371,255)	(94,156)	-	(94,156)
Carrying value of new Insurance contracts issued	-	(72,857)	(72,857)	-	(3,317)	(3,317)

Notes to Financial Statements

For the year ended 31 December 2024

Movements in insurance and reinsurance contract balances (continued)

(c) Carrying value of new insurance contracts issued (continued)

(i) Carrying value of new insurance contracts issued – Life risk (continued)

	2024			2023		
	Groups of contracts that are expected to be profitable	Groups of contracts that are onerous at initial recognition	New Contracts Issued during the year	Groups of contracts that are expected to be profitable	Groups of contracts that are onerous at initial recognition	New Contracts Issued during the year
Life insurance- Savings business						
Estimate of the present value of future cash inflows	(35,257)	-	(35,257)	46,363	-	46,363
Estimate of the present value of cash outflows	-	-	-	-	-	-
Insurance acquisition cash flows	-	-	-	-	-	-
Risk adjustment for non-financial risk	2,524	-	2,524	(9,877)	-	(9,877)
Contractual service margin	32,733	-	32,733	(36,486)	-	(36,486)
Carrying value of new Insurance contracts issued	-	-	-	-	-	-

Notes to Financial Statements

For the year ended 31 December 2024

23. Movements in insurance and reinsurance contract balances (continued)

(c) Carrying value of new insurance contracts issued (continued)

(ii) Carrying value of new reinsurance contracts held

	Groups of contracts that are expected to be profitable	Groups of contracts that are onerous at initial recognition	Contracts Issued during the year	Groups of contracts that are expected to be profitable	Groups of contracts that are onerous at initial recognition	Contracts held during the year
Estimate of the present value of future cash inflows	29,595	-	29,595	-	-	-
Estimate of the present value of future outflows	(100,589)	-	(100,589)	-	334,578	-
Insurance acquisition cash flows	-	-	-	-	-	-
Risk adjustment for non-financial risk	3,922	-	3,922	-	(14,416)	-
Contractual service margin	67,072	-	67,072	-	(219,983)	-
Carrying value of new Reinsurance contracts held	-	-	-	-	100,179	-

Notes to Financial Statements

For the year ended 31 December 2024

24. Non life reinsurance contract liabilities

	2024	2023
	KShs.'000'	KShs.'000'
At start of year	53,586	33,639
Premium ceded to reinsurers	783,359	808,846
Payments to reinsurers	(718,148)	(788,899)
Reclassification to liabilities directly attributed with the assets held for sale	(118,797)	-
At end of year	-	53,586

25. Provisions

	Group	
	2024	2023
	KShs.'000	KShs.'000
Provision for claims litigation	33,678	34,570
	33,678	34,570
The movement in the provisions is as follows:		
At 1 January	34,570	34,570
Used amounts reversed	(892)	-
At end of year	33,678	34,570

The above provisions relate to general provision on insurance claims business transfer arrangements by Sanlam Securities Limited and the directors have a reason to believe the amounts provided will be paid out as benefits under the claims. The amounts are payable on demand.

Notes to Financial Statements

For the year ended 31 December 2024

26. Payables and other liabilities

	Group		Company	
	2024	2023	2024	2023
	KShs:'000	KShs:'000	KShs:'000	KShs:'000
Amount due to related parties (Note 31 (b))	54,647	15,418	15,057	33,943
Trade creditors	121,670	70,671	-	-
Payroll creditors	11,188	13,479	-	-
Provision for expenses	86,676	119,841	-	-
Commission payable	225,953	225,953	-	-
Other payables and accruals	710,348	458,323	102,874	82,855
Total	1,210,482	903,685	117,931	116,798

The carrying amounts disclosed above reasonably approximate fair value at reporting date due to their short-term nature. The expense provision relates to expenses incurred but paid but are expected to be settled in the next 12 months. Other payables comprise of payroll liabilities and accrued expenses payable within three months.

Notes to Financial Statements

For the year ended 31 December 2024

27. Deferred income taxation

a) Recognized deferred tax at Group

Deferred tax is calculated, in full, on all temporary differences under the liability method using a principal tax rate of 30% (2023: 30%). The movement on the deferred income tax account is as follows:

For the year ended 31 December 2024:	At start of year	(Charge)/credit to income statement	Prior year adjustment	Acquired on business transfer	Transfer to current tax liability	At end of year
	KShs:'000	KShs:'000	KShs:'000	KShs:'000	KShs:'000	KShs:'000
Property and equipment	6,538	645	803	-	-	7,986
Other deductible differences	85,643	343	12	-	-	85,998
Deferred tax asset	92,181	988	815	-	-	93,984
Deferred tax on life fund surplus	(1,020,059)	(591,358)	-	-	166,040	(1,445,377)
Deferred tax liability	(1,020,059)	(591,358)	-	-	166,040	(1,445,377)
Total	(927,878)	(590,370)	815	-	166,040	(1,351,393)

For the year ended 31 December 2023:	At start of year	(Charge)/credit to income statement	Prior year adjustment	Acquired on business transfer	Transfer to current tax liability	At end of year
	KShs:'000	KShs:'000	KShs:'000	KShs:'000	KShs:'000	KShs:'000
Property and equipment	3,030	3,508	-	-	-	6,538
Other deductible differences	190,162	(104,519)	-	-	-	85,643
Deferred tax asset	193,192	(101,011)	-	-	-	92,181
Deferred tax on life fund surplus	(963,977)	(228,813)	-	-	172,731	(1,020,059)
Deferred tax liability	(963,977)	(228,813)	-	-	172,731	(1,020,059)
Total	(770,785)	(329,824)	-	-	172,731	(927,878)

Notes to Financial Statements

For the year ended 31 December 2024

27. Deferred income taxation (continued)

b) Unrecognised deferred tax asset of the Company

	Group			Company		
For the year ended 31 December 2024:	At start of year	Movement	At end of year	At start of year	Movement	At end of year
	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Temporary differences on property and equipment	-	-	-	-	-	-
Other temporary differences	-	-	-	-	-	-
Trading tax losses	524,799	(54,737)	470,062	524,799	(54,737)	470,062
Total	524,799	(54,737)	470,062	524,799	(54,737)	470,062
Deferred tax asset at 30%	157,440	(16,421)	141,019	157,440	(16,421)	141,019

The group has elected not to recognise deferred tax of the company noting related income is tax exempt and hence the deferred tax is unrecoverable.

	Group			Company		
For the year ended 31 December 2023:	At start of year	Movement	At end of year	At start of year	Movement	At end of year
	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Temporary differences on property and equipment	4,497	(4,497)	-	4,497	(4,497)	-
Other temporary differences	22,163	(22,163)	-	22,163	(22,163)	-
Trading tax losses	517,559	7,240	524,799	517,559	7,240	524,799
Total	544,219	(19,420)	524,799	544,219	(19,420)	524,799
Deferred tax asset at 30%	163,266	(5,826)	157,440	163,266	(5,826)	157,440

Notes to Financial Statements

For the year ended 31 December 2024

28. Earnings per share

The following reflects the income and share data used in the basic and diluted earnings per share computation:

(a) Group		
	2024	2023
	KShs.'000	KShs.'000
Net profit/(loss) attributable to ordinary shareholders for basic and diluted earnings	959,870	(161,128)
Weighted average number of ordinary shares for basic and diluted earnings per share in '000	144,000	144,000
Basic loss per ordinary share KShs.	6.67	(1.12)
Diluted loss per ordinary share KShs.	6.67	(1.12)

(b) Company	2024	2023
	KShs. '000	KShs. '000
Net profit/(loss) attributable to ordinary shareholders for basic and diluted earnings	188,101	(536,112)
Weighted average number of ordinary shares for basic and diluted earnings per share	144,000	144,000
Basic loss per ordinary share KShs.	1.31	(3.72)
Diluted loss per ordinary share KShs.	1.31	(3.72)

29. Contingent liabilities – Group and Company

The Group, like other insurance entities, is subject to litigation arising in the normal course of insurance business. The directors are of the opinion that this litigation will not have a material effect on the financial statement position of the Group. Contingencies regarding litigations at the end of the year amounted to KShs 171,770,507 (2023: KShs. 160,824,290).

These contingent liabilities include KShs 57,771,597 (2023: KShs. 53,331,229) which in the advocates assessment of the case is less likely to materialize. These claims arose from general insurance claims. The information usually required by IAS 37 Provisions, Contingent Liabilities and Contingent Assets is not disclosed on the grounds it can be expected to prejudice the outcome of the petition.

Notes to Financial Statements

For the year ended 31 December 2024

30. Cash generated from operations

(a) Group	Note	2024	2023
		KShs.'000	KShs.'000
Profit before tax:		1,661,131	242,787
Adjusted for:			
Amortization of intangible assets	9	9,266	23,123
Depreciation of property and equipment	10(a)	61,164	64,683
Amortization of right of use asset	10(b)(i)	44,174	29,016
Finance charge on lease	10(b)	19,480	18,205
Cost of sales	16	9,753	-
Interest income on financial assets at fair value through profit and loss		(4,000,801)	(1,061,226)
Fair value gains on financial assets as at fair value through profit and loss		(3,054,916)	-
Revaluation loss on investment property	11(a)	15,000	(6,900)
Interest on financial assets at amortized cost		(210,495)	20,021
Unrealized foreign exchange (gain)/loss	12(a)	723	(25,163)
Dividend income	7	(30,197)	-
Rental income	7	(211,414)	(77,662)
Finance costs	22	734,812	604,610
		(4,952,320)	(168,506)
Changes in working capital and insurance liabilities:			
Reinsurance contract liabilities		65,211	19,947
Reinsurance contract assets		(108,110)	804,714
Insurance contract liabilities		2,387,671	(1,694,285)
Receivables and other financial assets		(34,658)	16,783
Provisions, payables and other charges		306,015	7,109
Cash (utilised in)/generated from operations		(2,336,191)	(1,014,238)

Notes to Financial Statements

For the year ended 31 December 2024

30. Cash generated from operations (continued)

Reconciliation of profit before income tax to cash generated from operations.

(b) Company	Note	2024	2023
		KShs.'000	KShs.'000
Loss before income tax		188,563	(534,858)
Adjusted for:			
Investment income	7	(4,970)	(4,123)
Cost of sales – Inventory	16	9,753	-
Dividend income	7	(900,000)	(150,000)
Intercompany balance write off (deemed dividend)		(352,597)	-
Impairment of investment in subsidiaries and associate	12(a)	313,079	-
Interest expense	22	649,710	529,008
		(96,462)	(159,973)
Changes in working capital			
Receivables and other assets		(1,829)	22,594
Payables and other charges		353,730	21,200
		255,439	(116,179)
Tax paid	8(b)	(1,361)	(3,716)
Net cash used in from operations		254,078	(119,895)

Notes to Financial Statements

For the year ended 31 December 2024

31. Disposal group held for sale

Following the proposed merger between the Sanlam General Insurance Limited and Jubilee Allianz General Insurance Limited (Jubilee Allianz), the Sanlam General Insurance Limited has committed to transfer part of its assets to Jubilee Allianz. The Board approved the merger on 15 October 2024. The requisite documents have been submitted to the Insurance Regulatory Authority for approval.

As at 31 December 2024, the assets and liabilities that were to be transferred comprised the following:

	2024	
	Note	KShs'000
Assets		
Property and equipment	10 (a)	29,229
Right of use assets	10 (b)	23,049
Receivables from intermediaries	18 (a)	231,678
Reinsurance contract assets	17 (a)	838,048
Government securities at fair value through profit or loss	14 (a)	1,624,605
Deposits with financial institutions	20	132,720
Assets held for sale		2,879,329
Liabilities		
Insurance contract liabilities	23	2,622,808
Reinsurance contract liabilities	24	118,797
Lease liabilities	10 (b)	24,599
Liabilities directly attributed with the assets held for sale		2,766,204

The assets have been stated at the lower of the fair value less costs to sale and carrying value which has been determined according to the applicable accounting policy

Notes to Financial Statements

For the year ended 31 December 2024

32. Related party transactions

The Group is controlled by the following entities;

Name	Type	Place of incorporation	Ownership interest	
			2024	2023
Hubris Holdings Limited	Immediate parent entity	Kenya	57.14%	57.14%
Sanlam Allianz Africa (Proprietary) Limited	Intermediate parent entity	South Africa	57.14%	57.14%
Sanlam Limited	Ultimate parent entity and controlling party	South Africa	57.14%	57.14%

There are no other companies that are related to the Group through common shareholdings.

(a) Amounts due from related parties:	Group		Company	
	2024	2023	2024	2023
	KShs:'000	KShs:'000	KShs:'000	KShs:'000
Hubris Holding (Parent)	18,457	12,772	18,457	12,772
Sanlam Life Insurance Limited (Subsidiary)	-	-	-	-
Sanlam Emerging Markets Proprietary Limited (Intermediate parent)	83,793	15,232	-	-
Sanlam Securities Limited (Subsidiary)	-	-	-	-
Total	102,250	28,004	18,457	12,772

The amounts due from related parties have been disclosed as part of receivables and other assets.

There were no provisions made or amounts written off on related party balances during the year (2023: nil). The amounts due from related parties are non-interest bearing and will be paid using cash and cash equivalents.

Notes to Financial Statements

For the year ended 31 December 2024

32. Related party transactions (continued)

The intercompany balance arises due to functions carried out by one related entity for the benefit of the other, including IT support, investment management and other operation support. The balances are settled on a monthly basis.

(b) (i) Amounts due to related parties	Group		Company	
	2024	2023	2024	2023
	KShs:'000	KShs:'000	KShs:'000	KShs:'000
Sanlam Emerging Markets Proprietary Limited (Intermediate parent)	54,647	11,655	-	-
Sanlam Investment East Africa Limited(Common ultimate parent)	-	3,763	-	-
Sanlam Life Insurance Limited (Subsidiary)	-	-	15,057	-
Sanlam Securities Limited (Subsidiary)	-	-	-	33,943
Total	54,647	15,418	15,057	33,943
Premiums receivable from related parties (Director)	-	-	-	-

The amounts due to related parties are non-interest bearing and will be paid using cash and cash equivalents within 3 months after the intercompany transaction. The intercompany balance arises due to functions carried out by one related entity for the benefit of the other, including IT support, investment management and other operation support.

i. (b) (ii) Borrowings

Sanlam Emerging Markets (ultimate parent company) advanced a loan of KShs 1,085,700,000 to Sanlam General Insurance Limited as subsidiary of Sanlam Kenya PLC in 2022. The loan is for a period of 18 months at a rate of 3% per annum. This loan is to bridge the capital gap and ensure group entities are compliant with the regulations.

(c) Key management compensation:	Group		Company	
	2024	2023	2024	2023
	KShs:'000	KShs:'000	KShs:'000	KShs:'000
Salaries and other short-term employment benefits	215,166	361,561	-	-
Post-employment benefits	16,462	23,131	-	-
Long term Service incentive	75,579	10,586	-	-
	307,207	395,278	-	-

Notes to Financial Statements

For the year ended 31 December 2024

32. Related party transactions (continued)

(d) Directors' remuneration:	Group		Company	
	2024	2023	2024	2023
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Fees	32,422	25,586	-	-
Other emoluments (included in (c) above)	96,573	102,093	-	-
Long term Service incentive	75,579	10,586	-	-
Total	204,574	138,265	-	-

(e) Directors' pension				
Pension benefits	8,476	7,844	-	-

(f) Other related party transactions through the statement of profit or loss

	Group		Company	
	2024	2023	2024	2023
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Fund management fees payable to Sanlam Investments East Africa Limited (Common ultimate parent)	53,577	43,590	-	-
Management fees payable to Sanlam Emerging Markets Proprietary Limited (Intermediate parent)	25,854	25,854	-	-
Finance costs payable to Sanlam Capital Markets (Common ultimate parent)	85,102	75,409	50,800	48,100
Interest expense on intercompany advances payable to Sanlam Life Insurance Limited (Subsidiary)	12,063	-	-	-
	176,596	144,853	50,800	48,100

Notes to Financial Statements

For the year ended 31 December 2024

32. Related party transactions (continued)

Particulars of the Group's principal subsidiaries are shown below:

	Country of incorporation and domicile	Primary business operation	% Held
Sanlam Life Insurance Limited	Kenya	Life insurance	100
Sanlam General Insurance Limited	Kenya	General insurance	71.86
Sanlam Securities Limited	Kenya	Investment	100
Sanlam Investments Limited	Kenya	Investment Managers	100
Mae Properties Limited	Kenya	Investment in Properties (dormant)	100
Chem Chemi Mineral Water Limited	Kenya	Dealing with bottled water (dormant)	100

- ii. The assets and liabilities held by the respective companies can only be transferred within the subsidiaries if a proper Board resolution is passed and sanctioned by the shareholders as provided by the regulatory framework touching on transfer of the said assets and liabilities.

33. Capital management

Group

Objective:

The Group's objective in managing its capital is to ensure that it supports the development of its business and is able to continue as a going concern, while at the same time maximising the return to its shareholders.

The Life and General insurance subsidiaries of the Group are subject to the following external capital requirements as guided by the Risk Based Capital guidelines in the Insurance Act;

The risk-based capital of an insurer shall be the square root of the sum of the squares of capital required for;

- i) insurance risk;
- ii) market risk;
- iii) credit risk; and

- iv) capital required for operational risk,

The Capital Adequacy Ratio (CAR) is the measure used for capital and the minimum requirement as stipulated by the guidelines is 100%.

As at 31 December 2024, Sanlam Life Insurance Limited and Sanlam General Insurance had complied with the external capital requirements with a CAR of 283 (2023: 267%) and 226% (2023: 156%) respectively. This was because of Sanlam General Insurance receiving KShs 1.085 billion from Sanlam Emerging Markets on 5 May 2022.

Other businesses of the Group are not subject to any external capital requirements.

The effective management of Sanlam Kenya PLC capital base is an essential component of meeting the Group's strategic objective of maximising shareholder value. The capital value used by the Group as the primary performance measurement base is the Group Embedded Value. The Group Embedded Value is the aggregate of the following components:

- ① The embedded value of covered business, which comprises the long - term required capital supporting these operations and their net value of in - force business; and
- ② The fair value of other Group operations, which includes the land and property development, capital markets and short - term insurance.

Notes to Financial Statements

For the year ended 31 December 2024

33. Capital management (continued)

The management of the Group's capital base requires a continuous review of optimal capital levels, including the use of alternative sources of funding, to maximise return on Group Embedded Value. The Group has an integrated capital and risk management approach. The amount of capital required by the various businesses is directly linked to their exposure to financial and operational risks. Risk management is accordingly an important component of effective capital management.

All the subsidiaries of the Group are within the Kenyan jurisdiction and therefore apply the same capital management policies and processes.

Processes for managing capital:

a) Capital allocation methodology

Group businesses are each allocated an optimal level of capital and are measured against appropriate return hurdles.

The following methodology is used to determine the allocation of long-term required capital to the covered business:

- The level and nature of the supporting capital is determined by minimum regulatory capital requirements as well as economic, risk and growth considerations. Regulatory capital must comply with specific requirements of the Insurance Act and Kenya Companies Act, 2015. A deterministic modelling process is used to determine the long-term required capital levels.
- The fair value of **other Group operations** includes the working capital allocated to the respective operations.

The Group's policy to ensure appropriate capital levels is twofold:

- (i) The Group dividend policy is based on the annual declaration of all discretionary capital that is not required for normal operations or expansion; and
- (ii) Performance targets are set for other Group operations based on an expected return on the fair value of the businesses, equal to their internal hurdle rates. This ensures that all non-productive working capital is declared as a dividend to the Group.

b) Required capital

(i) Long-term required capital – covered business

The Group's **covered business** requires significantly higher levels of allocated capital than the other Group operations. The optimisation of long-term required capital is accordingly a primary focus area of the Group's capital management philosophy given the significant potential to enhance shareholder value.

The following main strategies are used to achieve this objective:

- Appropriate matching of assets and liabilities for policyholder solutions. This is especially important for long-duration policyholder solutions that expose the Group to interest rate risk, e.g. non-participating annuities, but also for participating business where asset/liability matching and investment strategy have a direct impact on capital requirements.
- Managing the impact of new business on capital requirements by limiting volumes of capital-intensive new business per business.
- The asset mix of the long-term required capital also impacts on the overall capital requirement. An increased exposure to interest-bearing instruments reduces the volatility of the capital base and accordingly also the capital requirement. The expected investment return on these instruments are however lower than equity with a potential negative impact on the return on Group Embedded Value. There is accordingly a trade-off between lower capital levels and the return on capital. The Group's stochastic capital model is used to determine the optimal asset mix that will ensure the highest return on capital.
- Certain of the Group's long term required capital covered business investments in other Group operations qualify, to a varying degree, to be utilised as regulatory capital for the covered business. Maximum capital efficiency can therefore be achieved by optimising the level of such investments held in the life company's regulatory capital.

The Group continues to improve and further develop its capital management models and processes in line with international best practice and the current significant international developments surrounding solvency and capital requirements.

Notes to Financial Statements

For the year ended 31 December 2024

33. Capital management (continued)

(ii) Other Group operations

The performance measurement of other Group operations is based on the return achieved on the fair value of the businesses. Risk adjusted return targets are set for the businesses to ensure that each business' return target takes cognisance of the inherent risks in the business. This approach ensures that the management teams are focused on operational strategies that will optimise the return on fair value, thereby contributing to the Group's main objective of optimising return on Group Embedded Value.

c) Discretionary capital

Any capital in excess of requirements, and not optimally utilised, is identified on a continuous basis. The pursuit of structural growth initiatives has been set as the preferred application of Group capital, subject to such initiatives yielding the applicable hurdle rate and being complementary to or in support of Group strategy. Any discretionary capital not being efficiently redeployed will be returned to shareholders in the most effective form.

Company

The Company's objectives when managing capital are to safeguard the Company's ability to continue as a going concern in order to provide returns for shareholders and to maintain an optimal capital structure to reduce the cost of capital. In order to maintain or adjust the capital structure, the Company may adjust the amount of dividends paid to shareholders, issue new capital or sell assets to reduce debt.

34. Risk management

The Group's robust risk management framework continues to be applied across the various risk areas introduced by financial instruments. Non-financial risks emerging from global movement restrictions, remote working are being assessed, identified and managed through timely application of the Group's risk management framework.

a) Market risk

Market risk is the risk of adverse financial impact due to changes in fair values or future cash flows of financial instruments from fluctuations in interest rates, equity prices, property prices, and foreign currency exchange rates. Market risk arises in business units due to

fluctuations in both the value of liabilities and the value of investments held. At Group level, it also arises in relation to the overall portfolio businesses and in the value of investment assets owned directly by the shareholders.

i) Equity risk

Equity price risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in market prices (other than those arising from interest rate risk or currency risk), whether those changes are caused by factors specific to the individual financial instrument or its issuer, or factors affecting all similar financial instruments traded in the market. The Group's shareholders are exposed to the following sources of equity risk:

- Direct equity shareholdings in shareholder funds;
- The indirect impact from changes in the value of equities held in policyholders' funds from which management charges or a share of performance are taken;
- Equity assets backing insurance liabilities that are not participating or not fully market linked; and
- WInterest in the free estate of long term with profit funds

Changes in prices of equities will have the following impact in the statement of profit or loss and with a similar impact on the carrying value of equity securities.

	Gross Portfolio	Change in Base	
	KShs.'000	%	KShs.'000
31 December 2024			
Equities and similar securities	155,556	8.6%	13,378
31 December 2023			
Equities and similar securities	439,384	8.6%	37,787

Notes to Financial Statements

For the year ended 31 December 2024

34. Risk management (continued)

a) Market risk (continued)

i) Equity risk (continued)

Change in base is the relative movement in the carrying value of equities and similar securities over the two reporting periods: 2023 and 2024.

Linked and market-related business

Linked and market-related business are contracts where there is a direct relationship between the returns earned on the underlying portfolio and the returns credited to the contract. Policyholders carry the full market risk in respect of linked business. Market-related policies, however, provide for guaranteed minimum benefits at death or maturity, and therefore expose the life insurance business to market risk.

The risk relating to guaranteed minimum benefits is managed by appropriate investment policies, determined by the Actuarial committee, and by adjusting the level of guarantees for new policies to prevailing market conditions. These investment policies are then reflected in the investment guidelines for the policyholder portfolios.

Market risk on stable, reversionary bonus and participating annuity business (smoothed-bonus business)

These policies provide for the payment of an after-tax and after - cost investment return to the policyholder, in the form of bonuses. The use of bonuses is a mechanism to smooth returns to policyholders to reduce the effects of volatile investment performance, and bonus rates are determined in line with the product design, policyholder reasonable expectations, affordability and the approved bonus philosophy. The purpose of these reserves is therefore to manage volatility in cash earnings available for bonus distribution.

In the event of adverse investment performance, this reserve may become negative. Negative bonus stabilisation reserves are allowed for in the valuation of these liabilities to the extent that the shortfall is expected to be recovered by declaring lower bonuses in the subsequent three years. The funding level of portfolios is bolstered through loans from shareholders in instances where negative stabilisation reserves will not be eliminated by these management actions. At end of year 2024, all stable and reversionary bonus business portfolios had a funding level in excess of 100%. (2023: 100%)

Equity risk is borne by policyholders to the extent that the after-tax and after - cost investment return is declared as bonuses. The capital portfolio is however exposed to some equity risk as an under performance in equity markets may result in an underfunded position that will require financial support by the capital portfolio. The Group manages this risk through an appropriate investment policy. Actuarial committee oversees the investment policy for the various smoothed-bonus portfolios.

The aim is to find the optimum balance between high investment returns (to be able to declare competitive bonus rates) and stable investment returns given the need to meet guaranteed benefits and to support the granting of stable bonus rates. The requirements for the investment management of each portfolio are set out in investment guidelines, which cover, inter alia, the following:

- Limitations on exposure to volatile assets;
- The benchmarks for the performance measurement of each asset class and limits on deviations from these benchmarks;
- Credit risk limits;
- Limits on asset concentration – with regard to strategic investments, the exposure of policyholders' portfolios to these investments is based on portfolio investment considerations and restricted with reference to a specific counter's weight in the benchmark portfolio.
- Limits on exposure to some particular types of assets, such as unlisted equities, property and hedge funds; and
- Regulatory constraints.

Feedback on the investment policy and its implementation and the performance of the smoothed-bonus portfolios is provided quarterly to the Sanlam Kenya PLC Board.

The Group's equity price risk exposure relates to financial assets whose values will fluctuate as a result of changes in market prices, principally investment securities not held for the account of unit-linked business.

The Group's price risk policy requires it to manage such risks by setting and monitoring objectives and constraints on investments, diversification plans, limits on investments in each sector and market and careful and planned use of financial instruments.

Notes to Financial Statements

For the year ended 31 December 2024

34. Risk management (continued)

a) Market risk (continued)

i) Equity risk (continued)

ii) Interest rate risk

Interest rate risk is the risk that the value of future cash flows of a financial instrument will fluctuate because of changes in market interest rates. Floating rate instruments expose the Group to cash flow interest risk, whereas fixed interest rate instruments expose the Group to fair value interest risk. The Group is not exposed to cash flow interest risk as it does not hold instruments with a floating rate to match long term liabilities. The Group is however exposed to fair value interest risk as it holds investments in government bonds, corporate bonds and deposits with financial institutions which are designated at fair value through profit and loss. Interest on fixed interest rate instruments is priced at inception of the financial instrument and is fixed until maturity.

The Group manages this risk by adopting close asset liability matching criteria, to minimise the impact of mismatches between the value of assets and liabilities from interest rate movements. Interest rate risk is managed as follows with regard to long-term life business.

Changes in prices of public loans and stock as a result of changes in interest rates will have the following impact in the statement of profit or loss and value of the financial assets and liabilities. The impact is net of tax.

	Gross portfolio	Change in base	2024	Gross portfolio	Change in base	2023
Financial assets	KShs.'000	Percentage	KShs.'000	KShs.'000	Percentage	KShs.'000
Government bonds	31,598,736	10%	3,159,874	27,667,238	10%	2,766,724
Deposits with financial institutions	1,673,106	10%	167,311	1,561,421	10%	156,142
Financial liabilities	KShs.'000	Percentage	KShs.'000	KShs.'000	Percentage	KShs.'000
Borrowings	3,041,628	10%	304,163	4,657,144	10%	465,714

Notes to Financial Statements

For the year ended 31 December 2024

34. Risk management (continued)

a) Market risk (continued)

ii) Interest rate risk (continued)

The table below summarises the exposure to interest rate risks. Included in the table are the Group's assets and liabilities at carrying amounts, categorised by the earlier of contractual maturity and interest rate repricing.

At 31 December 2024	Carrying amount	Contractual cashflows (undiscounted)		
		< 1 year	1 - 5 years	> 5 years
	KShs:'000	KShs:'000	KShs:'000	KShs:'000
Assets				
Government securities	31,598,736	4,656,097	17,737,512	35,475,024
Deposits with financial institutions	1,673,106	1,686,009	-	-
Cash and bank balances	467,210	467,210	-	-
Total	33,739,052	6,809,316	17,737,512	35,475,024
Liabilities				
Borrowings	3,041,628	3,254,628	-	-
Lease liabilities	37,644	62,375	56,138	45,471
Total	3,079,272	3,317,003	56,138	45,471
At 31 December 2023	KShs:'000	KShs:'000	KShs:'000	KShs:'000
Assets				
Government securities	27,667,237	2,841,551	4,434,378	31,458,203
Deposits with financial institutions	1,561,421	1,564,558	-	-
Cash and bank balances	477,956	487,122	-	-
Total	29,706,614	4,893,231	4,434,378	31,458,203
Liabilities				
Borrowings	4,657,144	1,122,148	4,265,528	-
Lease liabilities	69,670	52,524	17,146	15,431
Total	4,726,814	1,174,672	4,282,674	15,431

Notes to Financial Statements

For the year ended 31 December 2024

34. Risk management (continued)

a) Market risk (continued)

ii) Interest rate risk (continued)

Linked and market - related business

Linked and market-related business relates to contracts where there is a direct relationship between the returns earned on the underlying portfolio and the returns credited to the contract. Policyholders carry the full interest rate risk in respect of linked business.

The life business is exposed to interest rate risk to the extent that guaranteed minimum benefits at death or maturity are provided. Refer to equity risk above for the management of market risk in respect of these policies.

Stable, reversionary bonus and participating annuity business (smoothed - bonus business)

The life business is exposed to interest rate risk to the extent that changes in effective interest rates result in negative stabilisation reserves that cannot be eliminated through the smoothed - bonus management action philosophy. The use of bonuses is a mechanism to smooth returns to policyholders to reduce the effects of volatile investment performance, and bonus rates are determined in line with the product design, policyholder reasonable expectations, affordability and the approved bonus philosophy. The purpose of these reserves is therefore to manage volatility in cash earnings available for bonus distribution.

Guarantee plans

Our Flexi Saver and Flexi Educator policies provide for guaranteed maturity amounts. The life insurance business is therefore exposed to interest rate risk, if the assets backing these liabilities do not provide a comparable yield to the guaranteed value.

Interest rate risk is managed by matching the liabilities with assets that have similar investment return profiles as the liabilities.

(b) Currency risk

The Group is exposed to currency risk due to revenue collected in foreign currency. The revenue amounts in foreign currency are not significant and consequent claims are paid in foreign currency.

(c) Property risk

The Group is subject to property price risk due to holdings of investment properties in a variety of locations. Investment in property is managed by a professional property manager with regard to liquidity requirements and the expectations of shareholders' and policyholders as well as overall risk appetite. The Group Investment Committee also monitors property assets owned directly by the Group on a quarterly basis.

The majority of the investment properties are held in respect of market-related and non-participating policyholder business as well as smoothed - bonus business. Refer to equity risk above for a description on how the risks associated with these types of business are managed.

Comprehensive measures and limits are in place to control the exposure of the insurance businesses' capital to market risk. Continuous monitoring takes place to ensure that appropriate assets are held in support of the capital and investment return targets. Limits are applied in respect of the exposure to asset classes and individual counters.

Market risk – sensitivities

Sensitivities that illustrate the effect of changes in investment return assumptions on the value of in-force (VIF) business and change in VIF relative to the base value is an indication of how the present value of future after-tax profits (including the allowance for the cost of capital at risk) are impacted based on these assumptions. An analysis of the Group's sensitivity on investment return (and inflation) decreased by 1% and with bonus rates and discount rates changing commensurately, the impact on the value of in-force business net of cost of capital would be a decrease of KShs 8 million (2023: decrease of KShs. 6 million) assuming all other variable remain constant.

The basis of valuation of insurance contract liabilities is prescribed in the Insurance Act of Kenya 2020. The Act prescribes Net premium valuation method which is very conservative. The rates prescribed by the Act are applicable for all insurers in the country.

(d) Market risk – capital

The liabilities are inherently based on estimates and assumptions set out in this basis of preparation and as also disclosed under critical accounting estimates and judgements in the condensed consolidated interim financial statements. It is reasonably possible that outcomes in future financial years will be different to the current assumptions and estimates, possibly significantly, impacting on the reported results.

Notes to Financial Statements

For the year ended 31 December 2024

34. Risk management (continued)

(d) Market risk – capital (continued)

Accordingly, sensitivity analyses are provided for changes from the base estimates and assumptions

Sensitivities	% change in base	Life risk	Life savings	Non-Life
31 December 2024		KShs. '000	KShs. '000	KShs. '000
Interest rate risk	+(-)3%	+(-)191,188	+(-)712,094	6,996
Price risk – equity	+(-)4%	-	-	111,960

31 December 2024		KShs. '000	KShs. '000	KShs. '000
Interest rate risk	+(-)3%	+(-) 170,597	+(-) 611,002	+(-) 13,538
Price risk - equity	+(-)4%	+(-)3,353	-	+(-) 115,276

The above sensitivity analysis excluded unit linked investments, as the movement in assets and liabilities offset each other.

(e) Credit risk

Credit risk is the risk that one party to a financial instrument will cause a financial loss for the other party by failing to discharge an obligation. Credit risk mainly arises from financial assets, and is managed on a Group-wide basis. The Group does not grade the credit quality of financial assets that are neither past due nor impaired.

Sanlam Kenya PLC recognises that a sound credit risk policy is essential to minimise the effect on the Group as a result of loss due to a major corporate failure and the possible systemic risk such a failure could lead to. The Sanlam Kenya PLC Investment Risk Policy and Strategy has been established for this purpose. The governance structures ensure that an appropriate credit culture and environment is maintained, such that no transactions are concluded outside areas of competence, nor without following normal procedures. This credit culture is the product of a formal credit risk strategy and credit risk policy.

The credit risk strategy stipulates the parameters for approval of credit applications, such as: economic sector; risk concentration; maximum exposure per obligor, group, and industry; geographical location; product type; currency; maturity, anticipated profitability or excess spread; economic capital limits; and cyclical aspects of the economy.

All facilities are reviewed on at least an annual basis by the appropriate approval authority. Where possible, Sanlam Kenya PLC interest is protected by obtaining acceptable security. Covenants are also stipulated in the loan agreements, specifying actions that are agreed to.

In addition to the above measures, the portfolios are also managed in terms of the investment guidelines of the life insurance operations, which place limits in terms of the lowest credit quality that may be included in a portfolio, the average credit quality of instruments in a portfolio as well as limits on concentration risk.

The Group is also exposed to credit risk in respect of its working capital assets. The following are some of the main credit risk management actions:

- Unacceptable concentrations of credit risk to groups of counterparties, business sectors and product types are avoided by dealing with a variety of major banks and spreading debtors and loans among a number of major industries, customers and geographic areas.
- Long-term insurance business debtors are secured by the underlying value of the unpaid policy benefits in terms of the policy contract.
- Exposure to external financial institutions concerning deposits and similar transactions is monitored against approved limits.

The Group takes on exposure to credit risk, which is the risk that a counter party will cause a financial loss to the Group by failing to pay amounts in full when due. Credit risk is an important risk for the Group's business. Management therefore carefully manages the exposure to credit risk by:

- Developing and maintaining processes for measuring ECL including monitoring of credit risk, incorporation of forward-looking information and the method used to measure ECL.
- Ensuring that the Group has policies and procedures in place to appropriately maintain and validate models used to assess and measure ECL.

Notes to Financial Statements

For the year ended 31 December 2024

34. Risk management (continued)

(e) Credit risk (continued)

- Establishing a sound credit risk accounting, assessment and measurement process that provide it with a strong basis for common systems, tools and data to assess credit risk and to account for ECL.

The Group structures the levels of credit risk it undertakes by placing limits on the amount of risk accepted in relation to one borrower or groups of borrowers. Such risks are monitored on a revolving basis and subject to annual or more frequent review. The from whom reinsurance balances are due.

exposure to any one borrower is further restricted by sub-limits. Actual exposures against limits are monitored regularly. Exposure to credit risk is managed through regular analysis of the ability of borrowers and potential borrowers to meet interest and capital repayment obligations and by changing lending limits where appropriate. Exposure to credit risk is also managed in part by obtaining collateral, corporate, and personal guarantees.

The credit quality of financial assets is assessed by reference to external credit ratings if available or internally generated information about counterparty default rates. None of the Group's credit risk counterparties are rated except the Government of Kenya, the issuer of the Group's government securities which has B+ rating and the reinsurance companies

Group

Assets	Note	External credit rating	Internal credit rating	12-month or lifetime ECL	2024	2023
					KShs,'000	KShs,'000
Government securities - At fair value through profit or loss	14	B+	-	12 months	30,489,173	26,571,319
Government securities at amortised cost	14	B+	-	12 months	1,109,563	1,095,918
Loans	13	-	Group 2	12 months	74,646	86,178
Receivables from intermediaries	18	-	Group 2	Lifetime	231,678	255,201
Receivables and other financial assets (excluding prepayments, advances and vat)	33(e)	-	Group 2	Mix of both lifetime & 12	204,469	130,129
Deposits with financial institutions	20	-	Group 2	12 months	1,673,106	1,561,335
Total					33,782,635	29,700,080

The above table represents credit risk exposure to the Group at 31 December 2024 and 2023, without taking account of any collateral held or other credit enhancements attached. The exposures set out above are based on carrying amounts as reported in the statement of financial position. Other receivables balance shown in the table is less prepaid amounts while the cash and bank balances are less cash in hand balances.

As shown above, 91% of the total maximum exposure is derived from government securities (2023: 88%) In the opinion of the Directors there is no other significant concentration of the credit risk at year end.

Mortgage loans are secured by collateral in the form of charges over land and buildings. The fair values of collateral held for mortgages amounted to KShs 418,500,000 (2023: KShs 418,500,000). In case of default the collateral would be realised thereby reducing the Group's credit risk. There were no changes in the quality of the collaterals. There were no collateral sold or pledged within the year.

Notes to Financial Statements

For the year ended 31 December 2024

34. Risk management (continued)

(e) Credit risk (continued)

Company

Assets	Note	External credit rating	Internal credit rating	12-month or lifetime ECL	2024	2023
					KShs,'000	KShs,'000
Receivables from related parties	31(a)	-	Group 2	12 months	-	12,772
Receivables and other financial assets (excluding prepayments)		-	Group 2	Mix of both lifetime & 12	31,315	29,260
Cash and bank balances	20	-	Group 2	12 months	56,475	6,372
Total	-	-	-	-	87,790	48,404

The above table represents a worst-case scenario of credit risk exposure to the Company at 31 December 2024 and 202, without taking account of any collateral held or other credit enhancements attached. For on-balance sheet assets, the exposures set out above are based on carrying amounts as reported in the statement of financial position. Other receivables balance shown in the table is less prepaid amounts while the cash and bank balances are less cash in hand balances.

Measurement of ECL

The key inputs used for measuring ECL are:

- probability of default (PD);
- loss given default (LGD); and
- exposure at default (EAD).

As explained above these figures are generally derived from internally developed statistical models and other historical data and they are adjusted to reflect probability-weighted forward-looking information.

PD is an estimate of the likelihood of default over a given time horizon. It is estimated as

at a point in time. The calculation is based on statistical rating models and assessed using rating tools tailored to the various categories of counterparties and exposures. These statistical models are based on market data (where available), as well as internal data comprising both quantitative and qualitative factors. PDs are estimated considering the contractual maturities of exposures and estimated prepayment rates. The estimation is based on current conditions, adjusted to take into account estimates of future conditions that will impact PD.

LGD is an estimate of the loss arising on default. It is based on the difference between the contractual cash flows due and those that are expected to be received, taking into account cash flows from any collateral. The LGD models for secured assets consider collateral valuation.

EAD is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of principal and interest. The Group's modelling approach for EAD reflects expected changes in the balance outstanding over the lifetime of the exposure that are permitted by the current contractual terms. The Group uses EAD models that reflect the characteristics of the portfolios.

The Group measures ECL considering the risk of default over the maximum contractual period (including extension options) over which the entity is exposed to credit risk and not a longer period, even if contract extension or renewal is common business practice.

Notes to Financial Statements

For the year ended 31 December 2024

34. Risk management (continued)

(e) Credit risk (continued)

Measurement of ECL (continued)

The measurement of ECL is based on probability weighted average credit loss. As a result, the measurement of the loss allowance should be the same regardless of whether it is measured on an individual basis or a collective basis (although measurement on a collective basis is more practical for large portfolios of items). In relation to the assessment of whether there has been a significant increase in credit risk it can be necessary to perform the assessment on a collective basis as noted below.

Groupings based on shared risks characteristics

When ECL are measured on a collective basis, the financial instruments are grouped on the basis of shared risk characteristics, such as:

- Asset type; and
- Intermediary.

The groupings are reviewed on a regular basis to ensure that each group is comprised of homogenous exposures.

Stages of credit quality and expected credit loss measurement

The Group evaluates financial instruments based on their credit characteristics and assesses any changes in credit risk since origination before grouping them into stages. The groupings are reviewed and updated on a regular basis. The table below shows the staging criteria applied across financial assets.

Stage 1	Stage 2	Stage 3
Performing	Underperforming	Non-Performing
No significant change in credit risk since initial recognition.	Significant increase in Credit risk since initiation. No objective evidence of impairment	Financial instruments that have deteriorated significantly in credit quality since initial recognition. Credit impairment evident

Impairment and provisioning policies

The loss allowance recognised in the period is impacted by a variety of factors as follows:

- Transfers between Stage 1 and Stage 2 or 3 due to financial instruments experiencing significant increases (or decreases) of credit risk or becoming credit impaired in the period, and the consequent “step up” or “step down” between 12-month and lifetime ECL;
- Additional allowance for new financial instruments recognised during the period, as well as releases for financial instruments de-recognised in the period;
- Impact on the measurement of ECL due to changes in PDs, EADs and LGDs in the period, arising from regular refreshing of inputs to models;
- Foreign exchange retranslations for assets denominated in foreign currencies and other movements; and
- Financial assets derecognised during the period and write-offs of allowances related to assets that were written off during the period.

Notes to Financial Statements

For the year ended 31 December 2024

34. Risk management (continued)

(e) Credit risk (continued)

Impairment and provisioning policies (continued)

The table provide details of the key principles applied over each asset class that is in scope.

Financial asset	Description	Key principle applied
Cash and bank balances	Cash assets have been defined as cash in bank, on hand or in other accounts. These excludes liquid deposits held with financial institutions	Sanlam annually performs the bank credit risk analysis for banking institutions, within which institutions are scored and ranked. Institutions are then assigned an internal rating rank based on the score and assigned a credit rating.
Deposits with financial institutions	Deposits with financial institutions are cash transfers to financial institutions for the purposes of a term investment during which the principal can be redeemed with interest earned at the call of the investor. This will exclude any cash in a bank account that is earning interest on existing balances	Sanlam annually performs the bank credit risk analysis for banking institutions, within which institutions are scored and ranked. Institutions are then assigned an internal rating rank based on the score and assigned a credit rating.
Government Securities	This is secured or unsecured short term or long-term debt issued by a sovereign Government	Sanlam utilizes the ECL model based on PD, LGD and EAD reviewing sovereign debt credit risk. The loss allowance is adjusted for credit risk ratings and a macro economic outlook adjustment.
Receivables from direct insurance arrangements	These are receivable that arise out of normal insurance business	Sanlam uses a simplified approach based on an entity's historical default rates over the expected life of the receivables and is adjusted for forward-looking estimates.
Other receivables	These are all other receivables that are neither investment assets nor insurance receivable	These are each assessed individually based on the unique factors that include the nature, aging, collateral to determine a loss rate adjusted with a macroeconomic factor

Notes to Financial Statements

For the year ended 31 December 2024

34. Risk management (continued)

(e) Credit risk (continued)

Impairment and provisioning policies (continued)

The amount that best represents the Group's and Company maximum exposure before collateral to credit risk at end of year 2023 is tabulated in the industry analysis below:

he amount that best represents the Group's and Company maximum exposure before collateral to credit risk at end of year 2024 is tabulated in the industry analysis below:

	Government	Financial services	Others	Total
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Group:				
Government securities	31,598,736	-	-	31,598,736
Loans	-	103,145	-	103,145
Receivables from intermediaries	-	291,378	-	291,378
Receivables and other assets	-	-	1,209,820	1,209,820
Deposits with financial institutions	-	467,210	-	467,210
Cash and cash equivalents	-	1,673,106	-	1,673,106
	31,598,736	2,534,839	1,209,820	35,343,395

Company

Receivables and other financial assets	-	-	31,315	31,315
Cash and cash equivalents	-	56,475	-	56,475
	-	56,475	31,315	87,790

Notes to Financial Statements

For the year ended 31 December 2024

34. Risk management (continued)

(e) Credit risk (continued)

Impairment and provisioning policies (continued)

The amount that best represents the Group's and Company maximum exposure before collateral to credit risk at end of year 2023 is tabulated in the industry analysis below:

	Government	Financial services	Others	Total
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Group:				
Government securities	27,667,238	-	-	27,667,238
Loans	-	114,381	-	114,381
Receivables from intermediaries	-	321,246	-	321,246
Receivables and other assets	-	-	399,836	399,836
Deposits with financial institutions	-	477,955	-	477,955
Cash and cash equivalents	-	1,561,335	-	1,561,335
	27,667,238	2,474,917	399,836	30,541,991
Company				
Receivables and other financial assets	-	-	116,798	116,798
Cash and cash equivalents	-	24,126	-	24,126
	-	24,126	116,798	140,924

Notes to Financial Statements

For the year ended 31 December 2024

34. Risk management (continued)

(e) Credit risk (continued)

Credit exposure by staging

Owing to the fact that there is no readily available credit rating information, the group assesses the credit quality of the institution, taking into account its financial position, past experience and other factors

The life insurance businesses' maximum exposure to credit risk is equivalent to the amounts recognised in the statement of financial position, as there are no financial

guarantees provided to parties outside the Group, nor are there any loan commitments provided that are irrevocable over the life of the facility (nor revocable only in adverse circumstances). The credit quality of each class of financial asset that is neither past due nor impaired, has been assessed as acceptable within the parameters used to measure and monitor credit risk, as described above. There are no assets that would have been past due or impaired, had the terms not been renegotiated.

The Group holds collateral on mortgages for the past due or impaired receivables in form of legal charges to the title. The management continues to actively follow up past due and impaired receivables.

The following is a movement of ECL provision account:

	Stage 1			Stage 2	Total
	Loans	Cash and bank balances	Government securities	Receivables from intermediaries	
	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000
The movement in the provisions is as follows:					
At 1 January 2024	28,203	3,223	2,132	57,076	90,634
Additional provision	296	9,679	-	2,624	12,599
Unused amounts reversed	-	-	(774)	-	(774)
At end of year	28,499	12,902	1,358	59,700	102,459
At 1 January 2023	28,196	5,840	378	254,165	288,579
Additional provision	7	-	1,754	-	1,761
Unused amounts reversed	-	(2,617)	-	(197,089)	(199,706)
At end of year	28,203	3,223	2,132	57,076	90,634

Notes to Financial Statements

For the year ended 31 December 2024

34. Risk management (continued)

(e) Credit risk (continued)

Credit exposure by staging (continued)

The table below provides information regarding the credit risk exposure of the Group using the expected credit loss stages for assets at amortised cost.

	Carrying value	Impairment charge	Total
At 31 December 2024:	KShs.'000	KShs.'000	KShs.'000
Government securities at amortised cost	1,109,563	-	1,109,563
Loans	74,646	28,499	103,145
Receivable from intermediaries	231,678	111,926	343,604
Receivables and other financial assets	1,209,820	12,902	1,222,722
Cash and bank balances	1,673,106	-	1,673,106
Deposits with financial institutions	467,210	-	467,210
Gross financial assets	4,766,023	153,327	4,919,350

	Carrying value	Impairment charge	Total
At 31 December 2023:	KShs.'000	KShs.'000	KShs.'000
Government securities at amortised cost	1,095,918	2,132	1,098,050
Loans	86,178	28,203	114,381
Receivable from intermediaries	255,201	57,076	312,277
Receivables and other financial assets	130,129	-	130,129
Deposits with financial institutions	477,955	9,167	487,122
Cash and bank balances	1,561,335	3,223	1,564,558
Gross financial assets	3,606,716	99,801	3,706,517

Notes to Financial Statements

For the year ended 31 December 2024

34. Risk management (continued)

(f) Reinsurance risk

Sanlam Kenya PLC makes use of reinsurance to:

- Access underwriting expertise;
- Access product opportunities;
- Enable it to underwrite risks greater than its own risk appetite; and
- Protect its mortality/risk book against catastrophes.

The use of reinsurance exposes the Group to credit risk. The counterparty risks of reinsurers are managed under the Group's credit risk framework. The Group's reinsurance arrangements include proportionate, excess and catastrophe coverage. All risk exposures in excess of specified monetary limits are reinsured. Catastrophe insurance is in place for single-event disasters. Credit risk in respect of reinsurance is managed by placing the Group's reinsurance only with subsidiaries of companies that have high international or similar credit ratings.

(g) Liquidity risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting obligations associated with financial liabilities and policy holder liabilities. The board has developed a

risk management framework for the management of the Group short, medium and long-term liquidity requirements thereby ensuring that all financial liabilities are settled as they fall due.

The Group manages liquidity risk by continuously reviewing forecasts and actual cash flows and maintaining banking facilities to cover any shortfalls.

Liquidity risk – policyholder solutions

Stable, reversionary bonus and participating annuity business (smoothed - bonus business)

These policyholder solutions expose the Group to liquidity risks. Expected cash flows are taken into account in determining the investment guidelines and asset spread of the portfolios. Limits are also placed on the exposure to illiquid investments.

Other policyholder business

Policyholder portfolios supporting linked and market-related business, participating annuities and other non-participating life business are invested in appropriate assets, taking into account expected cash outflows. The following table summarises the overall maturity profile of the business:

As at 31 December 2024	1 year	1 - 5 years	Over 5 years	On demand	Total
Group	KShs:'000	KShs:'000	KShs:'000	KShs:'000	KShs:'000
Borrowings	4,216,156	-	-	-	4,216,156
General insurance contract liabilities	2,622,796	-	-	-	2,622,796
Life insurance contract liabilities	4,599,507	8,578,768	10,187,883	4,169,096	27,535,254
Payables and other liabilities	1,210,482	-	-	-	1,210,482
Lease liabilities	67,866	61,080	-	-	128,946
Total financial liabilities	12,716,807	8,639,848	10,187,883	4,169,096	35,713,634

Notes to Financial Statements

For the year ended 31 December 2024

34. Risk management (continued)

(g) Liquidity risk (continued)

As at 31 December 2024	1 year	1 - 5 years	Over 5 years	On demand	Total
Group	KShs:'000	KShs:'000	KShs:'000	KShs:'000	KShs:'000
Equity securities	-	-	-	155,557	155,557
Government securities at FVTPL	1,997,776	3,216,788	11,063,035	14,211,575	30,489,174
Government securities at amorised cost	-	1,109,562	-	-	1,109,562
Loans	41,365	22,429	52,519	-	116,313
Reinsurance assets	1,261,459	63,353	6,590	-	1,331,402
Receivable from intermediaries	231,678	-	-	-	231,678
Receivables and other financial assets	298,166	-	-	-	298,166
Deposits with financial institutions	1,540,471	-	-	-	1,540,471
Cash and bank balances	467,210	-	-	-	467,210
Total financial assets	5,838,125	4,412,132	11,122,144	14,367,132	35,739,533
(Gap)/surplus	(6,878,682)	(4,227,716)	934,261	10,198,036	25,899

Company	KShs:'000	KShs:'000	KShs:'000	KShs:'000	KShs:'000
Borrowings	3,041,628	-	-	-	3,041,628
Payables and other liabilities	117,161	-	-	-	117,161
Total financial liabilities	3,158,789	-	-	-	3,158,789

Receivables and other financial assets	31,315	-	-	-	31,315
Deposits with financial institutions	-	-	-	-	-
Cash and bank balances	56,475	-	-	-	56,475
Total financial assets	87,790	-	-	-	87,790
(Gap)/surplus	(3,070,999)	-	-	-	(3,070,999)

Notes to Financial Statements

For the year ended 31 December 2024

34. Risk management (continued)

(g) Liquidity risk (continued)

As at 31 December 2023	1 year	1 - 5 years	Over 5 years	Open ended	Total
Group	KShs:'000	KShs:'000	KShs:'000	KShs:'000	KShs:'000
Borrowings	-	4,657,144	-	-	4,657,144
Market linked investment contracts	194,727	456,457	16,570	-	667,754
Non-market related insurance contracts	2,884,348	5,844,998	4,509,133	278,014	13,516,493
Deposit administration contracts	-	-	-	3,368,093	3,368,093
Insurance payables	-	-	-	373,771	373,771
Payables and other liabilities	825,189	-	-	-	825,189
Lease liabilities	58,493	55,343	-	-	113,836
Total financial liabilities	3,962,757	11,013,942	4,525,703	4,019,878	23,522,280

As at 31 December 2023	1 year	1 - 5 years	Over 5 years	Open ended	Total
Group	KShs:'000	KShs:'000	KShs:'000	KShs:'000	KShs:'000
Equity securities	-	-	-	439,384	439,384
Government securities at FVTPL	2,029,679	2,071,495	22,470,145	-	26,571,319
Government securities at amorised cost	-	1,095,918	-	-	1,095,918
Loans	41,373	19,951	53,057	-	114,381
Reinsurance assets	1,153,349	-	-	-	1,153,349
Receivable from intermediaries	255,201	-	-	-	255,201
Receivables and other financial assets	130,129	-	-	-	130,129
Deposits with financial institutions	1,561,335	-	-	-	1,561,335
Cash and bank balances	477,955	-	-	-	477,955
Total financial assets	5,649,021	3,187,364	22,523,202	439,384	31,798,971
(Gap)/surplus	1,686,264	(7,826,578)	17,997,499	(3,580,494)	8,276,691

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For the year ended 31 December 2024

As at 31 December 2023	1 year	1 - 5 years	Over 5 years	Open ended	Total
Company	KShs:'000	KShs:'000	KShs:'000	KShs:'000	KShs:'000
Borrowings	-	3,516,918	-	-	3,516,918
Payables and other liabilities	116,797	-	-	-	116,797
Total financial liabilities	116,797	3,516,918	-	-	3,633,715
Receivables and other financial assets	34,743	-	-	-	34,743
Deposits with financial institutions	17,754	-	-	-	17,754
Cash and bank balances	6,372	-	-	-	6,372
Total financial assets	58,869	-	-	-	58,869
(Gap) /surplus	(57,928)	(3,516,918)	-	-	(3,574,846)

Notes to Financial Statements

For the year ended 31 December 2024

34. Risk management (continued)

(h) Insurance risk (continued)

Underwriting risk

	2024					
	CSM		Profit or loss		Equity	
	Gross	Net	Gross	Net	Gross	Net
Life risk and life savings	KShs. '000	KShs. '000	KShs. '000	KShs. '000	KShs. '000	KShs. '000
Mortality rates (1% increase)	3,778	3,209	(5,368)	(3,088)	(3,758)	(2,162)
Mortality rates (1% decrease)	(3,778)	(3,209)	5,368	3,088	3,758	2,162
Expenses (5% increase)	(74,088)	(62,930)	(30,667)	(30,667)	(21,467)	(21,467)
Expenses (5% decrease)	74,088	62,930	30,667	30,667	21,467	21,467
Lapse rates (5% increase)	(5,028)	(4,271)	(1,237)	(1,050)	(866)	(735)
Lapse rates (5% decrease)	5,028	4,271	1,237	1,050	866	735

Participating	KShs:'000	KShs:'000	KShs:'000	KShs:'000	KShs:'000	KShs:'000
Mortality rates (1% increase)	(836)	(836)	(147)	(147)	(103)	(103)
Mortality rates (1% decrease)	836	836	147	147	103	103
Expenses (5% increase)	(29,980)	(29,980)	(5,146)	(5,146)	(3,602)	(3,602)
Expenses (5% decrease)	29,980	29,980	5,146	5,146	3,602	3,602
Lapse rates (5% increase)	(319)	(319)	(55)	(55)	(38)	(38)
Lapse rates (5% decrease)	319	319	55	55	38	38

Notes to Financial Statements

For the year ended 31 December 2024

34. Risk management (continued)

(h) Insurance risk (continued)

Life risk and life savings	2023					
	CSM		Profit or loss		Equity	
	Gross	Net	Gross	Net	Gross	Net
	KShs:'000	KShs:'000	KShs:'000	KShs:'000	KShs:'000	KShs:'000
Mortality rates						
(1% increase)	8,271	7,445	(6,414)	(3,206)	(4,490)	(2,244)
Mortality rates						
(1% decrease)	(8,271)	(7,445)	6,414	3,206	4,490	2,244
Expenses (5% increase)	(34,207)	(30,793)	(25,271)	(24,650)	(17,690)	(17,255)
Expenses (5% decrease)	34,207	30,793	25,271	24,650	17,690	17,255
Lapse rates (5% increase)	(11,896)	(10,709)	(1,710)	(1,748)	(1,197)	(1,224)
Lapse rates (5% decrease)	11,896	10,709	1,710	1,748	1,197	1,224
Participating	KShs:'000	KShs:'000	KShs:'000	KShs:'000	KShs:'000	KShs:'000
Mortality rates						
(1% increase)	105	105	(836)	(836)	(585)	(585)
Mortality rates						
(1% decrease)	(105)	(105)	836	836	585	585
Expenses (5% increase)	5,038	5,038	(39,982)	(39,982)	(27,988)	(27,988)
Expenses (5% decrease)	(5,038)	(5,038)	39,982	39,982	27,988	27,988
Lapse rates (5% increase)	48	48	(382)	(382)	(267)	(267)
Lapse rates (5% decrease)	(48)	(48)	382	382	267	267

Policies and practices: underwriting strategy

Notes to Financial Statements

For the year ended 31 December 2024

34. Risk management (continued)

(h) Insurance risk (continued)

- i) All long-term insurance product additions and alterations are required to pass through the approval framework that forms part of the life insurance business' governance process. The statutory actuaries approve the policy conditions and premium rates of new and revised products;
- ii) Specific testing for HIV/Aids is carried out in all cases where the applications for risk cover exceed a set limit. Product pricing and reserving policies also include specific allowance for the risk of HIV/ Aids;
- iii) Applications for risk cover are reviewed by experienced underwriters and evaluated against established standards. Retention limits are applied to limit the exposure per individual life;
- iv) Appropriate income replacement levels apply to disability insurance;
- v) The experience of reinsurers is used where necessary for the rating of substandard risks;
- vi) The risk premiums for Group risk business and some of the in-force individual risk business can be adjusted within 12 months should claims experience deteriorate to the extent that such an adjustment is considered necessary.
- vii) Risk profits are determined on a regular basis; and
- viii) Regular investigations into mortality and morbidity experience are conducted to ensure that corrective action, for example re-rating of premiums, is taken where necessary.

(i) Persistency risk

Distribution models are used by the Group to identify high-risk clients. Client relationship management programmes are aimed at managing client expectations and relationships to reduce lapse, surrender and paid-up rates. The design of insurance products excludes material lapse, surrender and paid-up value guarantees, subject to regulatory constraints, to limit financial loss at surrender. Persistency experience is monitored to ensure that negative experience is timorously identified, and corrective action taken.

The Group's reserving policy is based on the statutory required Gross Premium Method

which ensures that adequate provision is made for lapses, surrenders and paid-up policies.

(ii) Expense risk

Expenses are managed through the Group's budgeting process and continuous monitoring of actual expenses versus budgeted is conducted and reported on.

Sanlam Life analyses its expenses into 3 categories:

- (a) Those that relate to whether or not policies are in force and so can be expressed as a per policy amount in KShs increasing with the assumed expense inflation.
- (b) Those that relate to the amount of premium and so can be expressed as a percentage of premium.
- (c) Investment related expenses expressed as a percentage of funds under management.

There has been an increase in fixed per policy expenses as a result of lower than expected new business volumes and the reduced size of the existing book. The existing book has reduced because new business volumes and reinstatements are insufficient to replace exiting policies. Maturities arising from policies sold in the previous years also increased in 2024.

(III) Mortality

Mortality experience analyses have shown that the assurance mortality experienced by Sanlam Life on individual life is lower than previously assumed. This emerges as a mortality profit in the Analysis of Surplus. The mortality assumptions for some products have been revised to closer reflect the current and expected future experience. For most products observed experience was in line with the expected experience and the mortality assumptions are unchanged from 2020. Most of the profits emerging from mortality experience arise from accidental riders. An allowance for expected excess Covid-19 mortality was however allowed for as we continue to monitor the mortality experience post the pandemic.

The annuity mortality basis was also maintained in 2024 similar to the 2023 basis with no significant variances noted between the actual observed and expected mortality experience. The assumed mortality rates on the annuity business continue to include an allowance for the expected improvement in annuitant's mortality over time.

Notes to Financial Statements

For the year ended 31 December 2024

34. Risk management (continued)

(h) Insurance risk (continued)

(iv) Operating assumption changes

- The change in mortality assumptions for IL resulted in a positive impact on the VIF but this was offset by a change in the loss ratios on credit life (34% to 40%). This resulting in a negative impact of KShs. 22m.

- There was a positive impact from persistency mainly driven by an increase in the assumed premium collection rate on the bancassurance line of business from 95% to 97%
- Increase in unit maintenance costs on the individual life book from KShs. 5,765 to KShs. 6,417 while those in annuity business increased from 2,214 to 2,722, which were only offset partially by reduction in premium related expenses from 2.7% to 2.5%. This resulting in a negative impact on VIF of KShs. 7m.

The main economic assumptions (p.a.) used are as follows:

	2024	2023
	% p.a	% p.a
Risk discount rate	20.0	23.1
Overall investment returns (pre-tax)	14.9	17.9
Expense inflation rate	12.0	15.1

(v) Claims risk

The risk that Sanlam Kenya PLC may pay fraudulent claims (claims risk) is mitigated by employing highly trained client service staff to ensure that fraudulent claims are identified and investigated thoroughly. The legitimacy of claims is verified by internal, financial and operating controls that are designed to contain and monitor claims risks. The Sanlam forensic investigation team also advises on improvements to internal control systems.

The Group writes a diverse mix of business, and continually monitors this risk and the opportunities for mitigating actions through reinsurance. The Group's life insurance businesses are focused on different market segments, resulting in a mix of individual and institutional clients, as well as entry-level, middle market and high net worth clients.

The tables below provide an analysis of the Group's exposure to the value of benefits insured:

Concentration risk has not provided for life savings and non-life.

Notes to Financial Statements

For the year ended 31 December 2024

34. Risk management (continued)

(h) Insurance risk (continued)

(v) Claims risk (continued)

Sum assured	Number of lives		Before Reinsurance		After reinsurance	
	2024	2023	2024	2023	2024	2023
	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000
0 – 3,510	188,305	157,898	95,791,055	74,479,228	80,469,420	64,724,966
3,510 – 7,020	8,056	4,906	41,097,439	25,728,960	30,784,146	19,866,030
7,020 – 35,102	7,023	4,773	94,016,774	64,952,673	46,225,935	33,008,765
35,102 – 56,164	419	324	18,288,885	14,600,418	3,230,000	2,543,000
>56,164	253	153	23,884,172	14,940,581	1,826,000	1,072,000
Total	204,056	168,054	273,078,325	194,701,860	162,535,501	121,214,761

Non-participating annuity payable per annum per life insured

Sum assured	Number of lives		Before Reinsurance		After reinsurance	
	2024	2023	2024	2023	2024	2023
	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000
0 – 143	1,643	1,768	109,006,183	121,423,658	109,006,183	121,423,658
143 – 286	1,245	1,239	255,966,333	263,217,998	255,966,333	263,217,998
286 – 428	624	608	217,988,147	220,207,434	217,988,147	220,207,434
428 – 571	386	346	190,765,740	177,657,492	190,765,740	177,657,492
571 – 714	211	197	134,366,906	131,796,132	134,366,906	131,796,132
>714	677	571	887,671,852	765,965,832	887,671,852	765,965,832
Total	4,786	4,729	1,795,765,161	1,680,268,546	1,795,765,161	1,680,268,546

The following tables disclose the concentration of insurance liabilities by the class of business in which the contract holder operates and by maximum insured loss limit included in the terms of the policy.

Notes to Financial Statements

For the year ended 31 December 2024

34. Risk management (continued)

(h) Insurance risk (continued)

(v) Claims risk (continued)

The amounts are the carrying amounts of insurance liabilities (gross and net of reinsurance) arising from insurance contracts:

Year ended 31 December 2024		Maximum Insured Loss			
		KShs. 3-15m	KShs. 15 - 250m	KShs. 250 -1000m	Total
		000'	000'	000'	000'
Motor	Gross	3,136,287	6,221,854	25,392,925	34,751,066
	Net	2,829,631	5,613,500	22,910,085	31,353,216
Fire	Gross	61,045,774	121,104,311	494,256,646	676,406,731
	Net	23,622,777	46,863,526	191,261,641	261,747,944
Personal accident	Gross	5,041,692	10,001,849	40,820,019	55,863,560
	Net	1,302,952	2,584,831	10,549,334	14,437,117
Others	Gross	6,627,126	13,147,078	53,656,476	73,430,680
	Net	2,979,757	5,911,325	24,125,581	33,016,663
Total		Gross	75,850,879	150,475,092	614,126,066
		Net	30,735,117	60,973,182	248,846,641
					340,554,940

Year ended 31 December 2023		Maximum Insured Loss			
		KShs. 3-15m	KShs. 15 - 250m	KShs. 250 -1000m	Total
		000'	000'	000'	000'
Motor	Gross	25,673,308	5,265,168	1,191,315	32,129,791
	Net	23,163,051	4,750,356	1,074,832	28,988,239
Fire	Gross	35,037,861	71,649,608	472,392,265	579,079,734
	Net	13,558,540	27,726,125	182,800,819	224,085,484
Personal accident	Gross	3,736,063	31,797,290	73,040,074	108,573,427
	Net	965,531	8,217,542	18,876,133	28,059,206
Others	Gross	10,483,129	39,936,875	60,049,442	110,469,446
	Net	4,713,533	17,956,832	27,000,053	49,670,418
Total		Gross	74,930,361	148,648,941	606,673,096
		Net	42,400,655	58,650,855	229,751,837
					330,803,347

Notes to Financial Statements

For the year ended 31 December 2024

34. Risk management (continued)

(h) Insurance risk (continued)

(v) Claims risk (continued)

Life business

Year ended 31 December 2024		3 - 3m	3 - 15m	15 - 250m	250 - 1000m	Total
		KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Ordinary life	Gross	24,465,574	8,683,246	1,690,801	-	34,839,621
	Net	21,249,512	2,123,700	322,250	-	23,695,462
Group life	Gross	59,883,293	94,121,249	82,971,732	1,262,431	238,238,705
	Net	50,632,168	68,152,188	20,037,683	18,000	138,840,039
Total	Gross	84,348,867	102,804,495	84,662,533	1,262,431	273,078,326
	Net	71,881,680	70,275,888	20,359,933	18,000	162,535,501

Year ended 31 December 2023		3 - 3m	3 - 15m	15 - 250m	250 - 1000m	Total
		KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Ordinary life	Gross	24,219,628	7,600,181	1,407,118	-	33,226,927
	Net	20,995,005	1,968,750	278,500	-	23,242,255
Group life	Gross	41,325,960	62,680,906	56,717,238	750,829	161,474,933
	Net	36,895,372	46,695,362	14,369,773	12,000	97,972,507
Total	Gross	65,545,588	70,281,087	58,124,356	750,829	194,701,860
	Net	57,890,377	48,664,112	14,648,273	12,000	121,214,762

The concentration by sector or maximum insured loss at the end of the year is broadly consistent with the prior year.

Notes to Financial Statements

For the year ended 31 December 2024

34. Risk management (continued)

(i) Capital adequacy risk

The insurance subsidiaries Sanlam Life Insurance Limited and Sanlam General Limited are adequately capitalised, with Capital Adequacy Requirement (CAR) covered by the excess of assets over liabilities.

Refer to the capital management section (Note 33) for details on the management of the Group's capital base.

35. Subsequent events – Group and Company

Events subsequent to the financial position date are disclosed only to the extent that they relate directly to the financial statements and their effect is material. Subsequent to year-ended 31 December 2024, Sanlam Life Insurance Ltd (subsidiary) disbursed KShs 800 million in dividends to its parent company, Sanlam Kenya PLC. These funds were allocated towards the reduction of outstanding borrowings from Stanbic Bank.

To:**The Share Registrars,**

P.O. Box 9287- 00100, NAIROBI

Image Registrars Limited, 5th Floor,

Absa Towers (formerly Barclays Plaza),

Sanlam Kenya Plc – Proxy Form

I/We..... of

being member/members of SANLAM KENYA PLC hereby appointof.....
 or failing him/her the Chairman of the meeting of as/ our proxy, to vote for me/ us and on my/ our behalf at the 79th Annual General Meeting of the company to be held on Friday 27th June 2025 and at any adjournment thereof.

I/WE direct my/our proxy to vote on the following resolutions as I/WE have indicated by marking the appropriate box with an 'X'. If no indication is given, my/our proxy will vote or withhold his or her vote at his or her discretion and I/WE authorise my/our proxy to vote (or withhold his or her vote) as he or she thinks fit in relation to any other matter which is properly put before the Meeting.

RESOLUTIONS	FOR	AGAINST	WITHHELD
1. THAT the Balance Sheet and Accounts for the year ended 31 December 2024 together with the reports of the Chairman, the Group Chief Executive, the Directors, the Auditor and the Statutory Actuary are hereby approved and adopted.			
2. THAT Mr Rohan Patel is hereby elected a Director of the Company.			
3. THAT Dr Grace Mwai is hereby elected a Director of the Company.			
4. THAT Ms Rose Agutu is hereby elected a Director of the Company			
5. THAT in accordance with the provisions of Section 769 of the Companies Act, 2015 the following Directors, being members of the Audit, Actuarial, Risk and Compliance Committee are hereby elected to continue serving as members of the Committee: a. Freda Britz (Chair Person) b. Nelius Bezuidenhout c. Cornie Foord d. Rose Agutu e. Amine El Kernighi			
6. THAT the Directors' remuneration is hereby approved.			

RESOLUTIONS	FOR	AGAINST	WITHHELD
7. THAT the following policies be and are hereby approved: i. Directors Remuneration Policy ii. Stakeholder Management Policy iii. Corporate Disclosure and Procedures Policy iv. Dispute Resolution Policy; and v. Board Appointment Policy and Procedure			

Please clearly mark the box below to instruct your proxy how to vote

CDSC No of member (if known): (This can be found on your CDSC Statement)

Mobile Number (of the proxy holder):

Signed this day of 2025

.....

Notes

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Notes

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